

SPR Auto Technologie (SHRIPISTON)

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April 12, 2024

Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
ISIN No. INE526E01018

Company Symbol: SHRIPISTON

Sub: Transcript of the “Maiden Investor Call” - Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“SEBI Listing Regulations”)

Dear Madam/Sir,
With reference to the captioned matter and in furtherance to our earlier intimation letters dated April 1, 2024 and April 6, 2024 regarding the schedule, investor presentation and Audio Recordings of “Maiden Investor Call” of Shriram Pistons & Rings Limited (Company) and in compliance with Regulation 30(6) read with Schedule III and other applicable provisions of the SEBI Listing Regulations, please find enclosed the transcript of the Maiden Investor Call held on Friday, April 5, 2024.
The above information is also available on the website of the Company and can be accessed at <https://shrirampistons.com> .
Kindly take the above information on record and treat this as compliance with SEBI Listing Regulations.

Thanking you.

Yours faithfully,

For Shriram Pistons & Rings Limited

(Pankaj Gupta)
Company Secretary & Compliance Officer
Membership No.: F4647
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“Shriram Pistons & Rings Limited
Maiden Investor Call”
April 05, 2024

MANAGEMENT : MR. KRISHNAKUMAR SRINIVASAN – MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. PREM RATHI – EXECUTIVE DIRECTOR AND CHIEF
FINANCIAL OFFICER
MR. PANKAJ GUPTA – HEAD LEGAL AND COMPANY
SECRETARY

IR PARTNER : MR. RIDDHAN T KAPUR – ERNST & YOUNG LLP

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Moderator: Ladies and gentlemen, good day and welcome to the Maiden Investor Call of Shriram Pistons &

Rings Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr.

Riddhant Kapur from Ernst & Young LLP. Thank you and over to you Mr. Kapoor.

Riddhant Kapur: Thank you Michelle. A very good afternoon, everyone and thank you for joining in on the maiden Investor Call of Shriram Pistons & Rings Limited. I am Riddhant Kapur from Ernst & Young LLP, and we are the Investor Relations partners for Shriram Pistons & Rings.

To give you all an overview of the company and its performance, we have with us Mr.

Krishnakumar Srinivasan, Managing Director and Chief Executive Officer, Mr. Prem Rathi, Executive Director and Chief Financial Officer and Mr. Pankaj Gupta, Head Legal and Company Secretary. The company's investor presentation has already been uploaded on the Stock Exchange as well as on the company's website and we hope you all have had an opportunity to go through the same. Before we begin, I would like to draw out the fact that for the purpose of today's call, we shall be referring to the released financial results for the quarter ended 31st December 2023.

We would humbly request you all to stick to these financials and refrain from asking any questions related to the full year performance. Also, let me remind you that this discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It may be viewed in conjunction with our business risks that could cause future results, performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

Now, I would like to hand over the call to Mr. Krishnakumar for his opening remarks, post which we will open the floor for an interactive Q&A session. Thank you and over to you sir.

Krishnakumar Srinivasan: Thank you Riddhant. Thank you and good afternoon everyone. On behalf of the company, I would like to express our sincere gratitude to each one of you joining our Maiden Investor Call today. Being it our first interaction with the investor and analyst community at large, I would like to take some time to establish who we are and what we do for those who might be new to our company.

The company was incorporated in 1963 in the name of Shama Pistons & Rings Limited and was taken over by our founder Dr. Charat Ram in 1972 and renamed to Shriram Pistons & Rings Limited or SPRL as we call it today. Dr. Charat Ram played a significant role in shaping the Indian industry, was a pillar and the face of the Indian industry for a long time. He made history by bringing the Honda Genset and Honda cars to India under joint ventures and also built SPRL into the leading manufacturer of pistons, piston rings, piston pins and engine valves.

This success is attributed to our rich heritage spanning over five decades marked by numerous achievements including technology collaborations with international leaders and establishment Shriram Pistons & Rings Limited

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of our advanced technology center. Before delving into these aspects, let me provide an overview of our business model.

We manufacture pistons, piston pins, piston rings and engine valves for almost all the leading OEMs and aftermarket distribution in India as well as for exports.

Our products are marketed and distributed under our well-known renowned brands SPR and Usha. Both the brands are

very well recognized both domestically and globally. We manufacture

our products in four facilities, two located in Uttar Pradesh in Ghaziabad and Bulandshahr, one in Rajasthan in Patna and one in Madhya Pradesh in Pithampur.

Our manufacturing lines are fungible which means that we can produce the respective products on ear-marked lines based on changes in demand for a specific segment of the auto industry.

This gives us the added advantage to be able to cater to demand effectively and optimize our operations. Please also note that our Madhya Pradesh unit comes under our wholly owned subsidiary SPR Ingenious Limited, we call it SEL.

Apart from these, under SEL we also have two more facilities which I will be talking about later.

To cater to our major OEM customers and to ensure that we meet the just-in-time demands of our customers efficiently, we have set up five assembly units in Haryana, Uttar Pradesh, Maharashtra, Tamil Nadu, and Gujarat where most of the OEMs have their manufacturing setups. As a company, innovation is in our DNA, and we have always focused on improving our products and being able to provide complete and comprehensive solutions for the high technology new generation engines.

We accomplished this feat via our ultra-modern state-of-art technology center established in 2014 which serves as a comprehensive product development facility. Our technology center holds recognition from the Department of Scientific and Industrial Research, Government of

India. Within this facility, we have also developed solutions for green hydrogen, flex fuel and natural gas engines positioning us well to adapt to evolving industry trends. At this facility, we even do engine testing for our customers.

Our access to cutting-edge technology is complemented by four long-standing technology collaborations with prominent global leaders in the automotive components sector. Our longest-standing partnership dates back to 1972 with the Kolbenschmidt Group, focusing on piston manufacturing.

Additionally, since 1989, we have maintained a partnership with Honda Foundry Japan for pistons specific to Honda requirements globally. Our collaboration with Riken Corporation from Japan, established in 1978, pertains to rings production. And the one with Fuji Japan, established in 1993, revolves around engine valve technology.

These strategic partnerships over decades, combined with our extensive manufacturing acumen and expertise, have really propelled us to our current position of prominence.

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Now moving to the segments we cater to. A large chunk, approximately 81%, of our stand alone revenue in FY23, was from the domestic market, including business from OEMs and aftermarket, where we cater to a diverse range of product segments like commercial vehicles, passenger vehicles, tractors, two- and three-wheelers, off-highway vehicles, industrial engines, railway engines, and for various defence applications.

We have a solid market presence across all these product segments and have enduring relationships with all the prominent players of these segments. Our list of marquee clientele includes the giants of the auto industry, namely Tata, Maruti Suzuki, Mahindra, Bajaj, Hero, Eicher, John Deere, Escorts, Kubota, Cummins, Honda, TVS, Ashok Leyland, Bharat Benz, Hyundai, Renault, Nissan, ITL, TAFE, and CNH, among others.

Regarding our export activities which contribute 19% of the stand alone revenue in FY23, we hold a leading position as exporters of our products with a presence in over 45 countries spanning five continents.

We maintain enduring supply agreements with our key customers who are prominent OEMs on a global scale with Volkswagen, Jaguar, Land Rover, BMW, Honda, Fiat, Fuso, Caterpillar, Wabco, Renault, Agco, Suzuki, Kubota, Cummins, Yanmar, and Perkins are some of the lead

ing

global OEMs that are our key customers and have been there for a long time.

Now that we have established ourselves as a leading manufacturer of pistons, rings, pins, and engine valves globally, you may think if we are doing anything to augment our growth further, and I am happy to share that we definitely are. We are diversifying our product portfolio and moving into newer segments which would ensure that we continue growing in the long term and continue to de-risk our business model.

Through our wholly owned subsidiary SPR Engenious Limited, SEL, we have recently made two acquisitions. The first one is the acquisition of a 66% stake in EMF Innovations Private Limited. We call it as EMFi. EMFi is a young technology company operating in the electric vehicle space, EV space. We leverage Singapore's strong power electronics research base and India's extensive manufacturing ecosystem to deliver cost-effective and reliable electric motors and controllers for green mobility applications.

Through our R&D and manufacturing facility in Coimbatore, Tamil Nadu, we manufacture electric motors and controllers which have applications across passenger vehicles, two and three wheelers, commercial vehicles like buses and trucks, and also for various other applications.

Through this acquisition, we have marked our foray into the EV component segment. We will be among the top few companies supplying electric motors and controllers together, sized for specific applications for our customers.

We have capabilities and capacities to manufacture motors and controllers for applications ranging right from 250 watts to 300 kilowatts across all segments. We are in the process of building a state-of-the-art manufacturing facility near to our existing facility in Coimbatore.

Moreover, to further augment our technical capabilities, we also have technical collaboration Shriram Pistons & Rings Limited

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agreements with GLE Motors and Lingbo Controllers, helping us in developing certain India-related applications and in line with the Government of India drive towards Atma Nirbharta.

Another acquisition that we have done recently is a 62% stake in Takahata Precision India Private Limited, we call it as TPI, in October 2023 for high-precision plastic injection molded parts for automotive applications. TPI has technical collaboration with Takahata Japan, which is a leading high-precision injection molded parts manufacturing company globally.

TPI has a state-of-the-art manufacturing facility in Neemrana, Rajasthan, which enables TPI to conduct end-to-end operations, right from design to manufacturing to inspection, all under one roof. These acquisitions of EMFI and Takahata mark our foray into ICE agnostic products. As an outcome of all our efforts over the years to ensure that we provide only the best quality products to our customers, the company has received several awards from various industry bodies.

The Sword of Honour from the British Safety Council, the Gold Award in Exports from the Federation of Indian Exports Organisation (FIEO), the Lakshman Rao Kirloskar Award for Best Foundry of the Year by the Institute of Indian Foundrymen and various other awards from CII, ACMA, Engineering Export Promotion Council and others.

Other than this, we have also received several awards from OEMs from across different segments like passenger vehicles, two and three wheelers, commercial vehicles and other areas. In 2022, we were amongst the top companies to have received the Golden Peacock Award for Excellence in Corporate Governance from IOD in a function held in London.

Also in 2022, we challenged the TPM award again for the third time and ensured that we cleared the TPM certification, which was won by us from Japan Institute of Plant Maintenance, JIPM.

At the heart of our organisation lies the conviction that our team is our greatest strength.

Anchored by a robust leadership team, we benefit from seasoned professionals, some of whom have been with us for over 30 years, fostering a deep-rooted commitment to our mission and values.

We have implemented a meticulous system to identify and nurture the top talent, ensuring a continuous influx of skilled individuals who align with our vision. Moreover, our investment in cultivating a strong leadership pipeline ensures a sustainable succession plan and fosters innovation. Providing invaluable oversight and guidance, our expert board of directors enriches our strategic decisions, propelling us towards excellence and enduring success with speed.

We are also committed to being a responsible corporate citizen and have embedded sustainability in every realm of our value chain. We have achieved several milestones in our ESG journey, like three of our plants having the status of zero liquid discharge and state-of-the-art ETP and STP. Further, we have achieved a 20% reduction in scope II emissions, a 20% increase in the mix of renewable energy, solar power and wind power, and a 30% increase in the use of recycled material.

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We are also very active in CSR and run various campaigns which have positively impacted more than 90,000 beneficiaries collectively. In terms of governance, we are stringent and have strong corporate governance frameworks in place, duly demonstrated by the Golden Peacock Award that I stated earlier. That is more or less all about our business.

I hope you all have a better understanding about it than before joining this call.

Now allow me to spend some time on taking you through the industry and where it is headed.

India's auto components sector plays a pivotal role in driving the growth of the automotive industry, both domestically and globally.

With a rich ecosystem of manufacturers, suppliers and innovators, India has emerged as a key player in the global automotive supply chain as global OEMs seek to de-risk their supply chain. According to the industry reports, the Indian auto components industry is expected to grow at a 15% CAGR to reach approximately \$200 billion by 2026. The engine components, the segment we operate in, will continue to hold a major chunk in this in the future as well.

Our country boasts a robust network of auto components manufacturers renowned for their quality, reliability and cost-effectiveness. From pistons, engine valves, to electronic components and safety systems, Indian companies produce a diverse range of components that are integral to vehicles. The push of the government, like tightening norms to get the industry in sync with global standards and their focus on schemes like Make in India, bodes well for our industry.

I would also like to draw attention to the electric vehicles industry since we have marked our foray to EV as well. The EV industry is experiencing a transformative shift driven by the urgent need to mitigate air pollution and embrace sustainable mobility solutions. With a growing emphasis on clean energy, the adoption of electric vehicles has emerged as a key priority for policymakers, industry stakeholders and consumers alike.

We anticipate a continued rise in the penetration of electric vehicles supported by the ambitious targets set by the government. Proactive measures including incentives, subsidies and investments in charging infrastructure are being undertaken to expedite the EV adoption, fostering an ecosystem conducive to widespread integration. While we project a long-term growth in the EV sector, there are certain challenges which would impede vertical growth. These challenges encompass high battery costs and addressing of the power infrastructure limitations. Moreover, from a sustainability standpoint, the impact on the environment has to be

understood from a well-to-wheel perspective.

The significant surge in demand, especially with a fleet of over 150 million vehicle park across categories, underscores the necessity for substantial power generation infrastructural development from sustainable sources, a process that will unfold gradually in line with the government push.

Additionally, I would also like to highlight that the emergence of EV imports from China and the adoption for Indian applications poses unique considerations as the Indian market demands larger vehicles tailored to accommodate families. Recognizing this, our investment in EMF i reflects our commitment to developing customized solutions grounds-up aligned with India's demographic realities.

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Amidst these developments, the conventional Internal Combustion Engine and the industrial engines in its various forms are looking towards greener solutions like Hybrid, CNG, LNG, hydrogen-powered vehicles, H-CNG, where hydrogen is blended with CNG, and other flex fuels.

And we believe that these engines, along with EV, are poised to coexist to meet the inherent demand of the growing market.

Now, I will just quickly take you through the key stand alone SPRL financial highlights. I would like to highlight that we will only be discussing about the released financials and will not be giving any guidance on future performance on this call.

In the last few years, we have worked with a huge amount of focus on increasing the productivity in all our business functions, improving the quality of our products, while also working and improving efficiencies in terms of the speed and execution of our operations. All these factors have enabled us to achieve positive results in the last few years that are sustainable and give us the confidence to continue to perform well in the future as well. Let me give you some highlights on the historical financial performance so far.

You can also refer to all our financial performance results in the presentations that are uploaded already on our website. Revenue from operations have grown from INR 16,068 million in FY20 to INR 26,050 million in FY23, a CAGR of 17.5%. During the same period, EBITDA grew at a strong CAGR of 36.2% from INR 2,018 million in FY20 to INR 5,097 million in FY23 and EBITDA margins expanded from 12.4% in FY20 to 19.2% in FY23.

Our PAT for FY20 was at INR 730 million and for FY23 was at INR 2,956 million, a robust CAGR of 59.4%. Our PAT margin has also expanded significantly from 4.5% in FY20 to 11.1% in FY23.

Now moving on to the highlights for the 9M FY24 as compared to 9M FY23. Our revenue grew by 13.8% to reach INR 21,724 million from INR 19,083 million in the corresponding period of the previous fiscal.

Profitability has recorded a strong growth in the 9 M period this year. EBITDA was up by 46.2% YoY was at INR 5,208 million as compared to INR 3,563 million in the 9 M FY23. Our EBITDA margin expanded by 495 basis points to 23.3% in the 9 M FY24 which stood at 18.4% in the 9 M FY23. Our PAT recorded a robust growth of 60.7% reaching INR 3,262 million in the 9 M FY24 as against INR 2,030 million in the 9 M FY23.

Our PAT margin stood at 14.6% as against 10.5% in the 9 M FY23 an expansion of 438 basis points. Our ROE and ROCE as at the end of FY23 stood at 19.3% and 23.8% respectively. Our Debt to Equity remains low at 0.24 times as at the end of FY23. The company is generating positive cash from operations to a tune of INR3,992 million as at the end of FY23. We also maintain a robust credit profile with a credit rating of AA Stable from India Ratings & Research. We have always been focused to creating value for our shareholders and have been doing so for various years by giving out dividend and bonuses regularly. In this financial year, we have done

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a bonus issue of shares i

n June 2023 in the ratio of 1:1. To stress on the fact that we care about all our stakeholders and shareholders, let me give you a quick fact.

If we account for all the bonus issues since 1991, a shareholder holding one equity share of our company in 1991 would now have 96 equity shares due to the bonuses we have given so far to all our shareholders. Till date for FY24, we have announced an interim dividend of INR5 per equity share.

Now, to conclude, I would like to state that we have the right business strategies in place to ensure a long-term success and growth of the franchise. Central to our approach are meticulously

crafted growth strategies that align with our objectives and market demands. Recognizing the importance of diversification risk mitigation, we strategically engage in mergers and acquisitions to expand our portfolio and safeguard against market volatility like our acquisitions of EMF i and Takahata.

By continuously refining our strategies, we strategically navigate the business landscape poised for sustainable growth and resilience. As we chart our path forward, our primary focus remains on sustaining the growth momentum, not only in terms of the top line but also bolstering the bottom line. Amidst our pursuit of growth and success, we persistently uphold the principles of integrity, conducting every aspect of our business with an ethical resolve.

With this, I would like to come to the end of my talk, and I would request the moderator to open the floor for questions.

Moderator: Thank you, we will now begin the question -and-answer session . The first question is from the line of Sunil M. Kothari from Unique PMS. Please go ahead.

Sunil Kothari: Thanks for the opportunity, sir. Congratulations for such a wonderful journey during the last so many years and starting investor relations and communication. Commendable job you have done. My first question is on the way you have taken efforts during the last 10 years of so many collaborations, technical capabilities, challenges from ICE to EV and all these things happened global level. And you also mentioned during your talk that the change in supply realignment, supply chain realignment is also a big opportunity. So, if you can talk a little bit more about this supply chain realignment in terms of acceptance of global players from the Indian players like you, a component supplier . So that will be really very helpful.

Krishnakumar Srinivasan: Thanks, Sunilji. Yes, of course. When I say supply chain realignment, it is basically many of the global suppliers are looking for competitive solutions from, I would say low -cost countries.

And we have been pitching ourselves with the kind of technology backing that we have from all our suppliers, from all our partners. We have all the possibilities of meeting the global demands. And that is the reason why we have been able to now export to over 45 countries globally.

And you already heard about all the big names that are already there as our customers and the kind of portfolio that we are already supplying to them. So basically, it is a matter by which most of the customers globally are looking for good solutions and good partners who will partner with Shriram Pistons & Rings Limited

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them and service the last ICE engine that is made globally. And we have committed ourselves to that journey.

Sunil Kothari: So, now it is a little speedier acceptance of companies like Shriram Pistons and Indian component manufacturers at a global level because of all these challenges from China and second, of their cost, which is changing. The global players have taken more resources towards EV research and EV development. Some of the reasons should be like this or anything else you can add to our understanding?

Krishnakumar Srinivasan: No, we have been, I think the major reason for us to get business is the technology leadership

that we have. Unless you have the right technology leadership, you will not be in a position to, be able to supply it globally . So that is the first important reason.

The second important part is we have been supplying to global customers for the last now many years, over 15 to 17 years, even before the China issue and China plus one strategy came into place. So we have been always, tied up with most of our partners and we have been doing quite well with them. And there are some customers with whom we are tied up for the last over three decades globally.

So, it is the combination of partnership and a combination of really ensuring that we are able to give just -in-time supplies to all our customers globally. And we do a number of things to make this happen. So that is the reason why we have such a strong partnership with customers abroad.

Sunil Kothari: And the last question is, you have done a commendable job in terms of distributing very good and reasonable high dividend , bonuses. You have created shareholders value. What do you want, in your opinion, or what's your thought process by starting now this investor communication and relationship? What is your thought process? How will it add value to all the stakeholders' wealth?

Krishnakumar Srinivasan: So, as I, as you would have known that we had earlier hardly less than 3,000 investors, primarily because the float was very low. And subsequently, now over the last, over six months now, we have seen that the float has increased due to various reasons. And we do have a lot of our investors as king inputs from us.

So it has become necessary for us to communicate with all the investors and ensure that everybody is on the same page. And that is the reason why we have started the investor calls. And we'll continue to do so. And we expect to, on a timely basis, give inputs to all our investors in terms of the performance of the company as well as in terms of some of the important strategic directions the company is taking from time -to-time.

Sunil Kothari: Great, sir. Thanks a lot. And congratulations again for the good work you are doing. Thanks a

lot.

Krishnakumar Srinivasan: Thanks a lot, Sunil Ji.

Moderator: Thank you. The next question is from the line of Dhruv Agarwal from Niveshaay Investment Advisors. Please go ahead.

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Dhruv Agarwal: Yes, hi, sir. Congratulations on the very good set of numbers over the years, sir. So my first question would be that what would be the industry size of the EV segment that you have recently acquired, sir?

Krishnakumar Srinivasan: Yes, Dhruv Ji, you are asking about the EV segment market?

Dhruv Agarwal: Yes, sir. Yes, sir.

Krishnakumar Srinivasan: Let me highlight this. You know, the unique part about EMF Innovations is that we have done a ground-up activity to manufacture the markets required for the Indian requirements. So, we now manufacture products right from 250 watts right up to 300 kilowatts. As a result, what happens is we are in a position now to supply to all segments of the market. We supply to the two-wheelers, three-wheelers. We supply to passenger cars. We supply to, LCV, HCV applications and also to MCV applications today. And many of our products are under testing. It's under validation.

And a lot of activities are going on to grow the business there. So, the whole segment of the market that is available for electrification is also the market that is available for us to manufacture both electric motors and controllers. Now, the unique part is we will be probably one of the top few companies who will be manufacturing the controllers and the electric motors locally and supplying it, thereby meeting all the Atma Nirbharta and at the same time meeting the requirements of our customers.

Dhruv Agarwal: Understood, sir. Right. So what will be the industry size, sir,

if you can quantify? And like out

of that industry size, what would be your quantification or what would be your share in that?

Krishnakumar Srinivasan: Well, industry is evolving. So it will be very wrong to say the industry size is limited to this. I think the industry is evolving, as you know. And EV industry, the penetration today of EV is around 1% of the overall market. And we expect this penetration to keep on increasing. And as it keeps on increasing, our growth also in the EV side will keep on increasing. So I think that is the best that we can at this stage inform you.

Dhruv Agarwal: Right. And, sir, what would be the peak revenue from this recently acquired firm that you can add on to the firm, sir? Can you quantify that as well, sir, over the years, like in coming years, sir?

Krishnakumar Srinivasan: You mean the revenue of the EV segment?

Dhruv Agarwal: Yes, definitely. Yes, sir.

Krishnakumar Srinivasan: So, as you know, it's already there in the public domain. We have done a business of almost INR 23 crores last year. And we are growing. So, there are a lot of huge opportunities that we are working on. And looking at all the new FAME II requirements as well as the new requirements put forth by the government, we are probably one of the top few companies who are satisfying all those requirements in terms of localization as well as local homologations. So business is bound to grow.

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Dhruv Agarwal: Right. Okay, sir. And, sir, like, where do you see your company, like, in, like, coming three years, where do you see your company there? In terms of sales and as well as EBITDA or profit, sir?

Krishnakumar Srinivasan: Well, as far as SPRL is concerned, we expect it to continue doing well. And there is no reason why we should look at anything lower. And we are also working on other segments like the EV segment and also the plastic injection molded segment. And hence, we think that we will continue our growth story in the auto industry.

Dhruv Agarwal: Very nice, sir. Okay. Thank you.

Krishnakumar Srinivasan: Thank you so much, Dhruv Ji.

Moderator: Thank you. The next question is from the line of Hrishit Urvis Jhaveri from Pi Squ are Investments. Please go ahead.

Hrishit Urvis Jhaveri: I just wanted to understand, sir, if we see the margins which you have presented, there has been exceptional expansion from around 12% to around 19%. And if we compare with the industry peers, we are obviously the leaders, but the growth here has been phenomenal. Can you highlight some major contributors here, sir?

Krishnakumar Srinivasan: Yes, sure. Basically, we have, as I said, we have been working on a number of areas, and it included improving our capacity utilization, ensuring that we are able to work on multiple

multimodal systems of power supplies in terms of using also the sustainable solutions, bringing in a lot of operational efficiencies and improving productivities, and also looking at our bleeders and ensuring that we are constantly working on improving the overall margin.

So multiple actions have been taking place right from supply chain to our markets, which have really helped us to grow our top line as well as the bottom line. And I think most of these – the good part is all of these actions are very sustainable, and we expect that it will really help us in the going years.

Hrishit Urvis Jhaveri: Yes, sir. And one more question, sir. What's our vision as a management for the next three to five years as a company? Where do we see ourselves in the next three to five years?

Krishnakumar Srinivasan: Well, looking at the growth rate or the CAGR that we have achieved so far, so my expectation is to improve further on the CAGR. So, there is no reason why we shouldn't be able to do that.

And we are looking at various ways of improving our top line, bottom line as a

group, because

with multiple actions taking place on acquisitions, mergers, there is no limitation with the kind of money that we are generating.

So, it would be wrong to put a target. Our targets are very, very steep, and we expect that based on the market demand, we will continue to grow the business, and it is going to be a positive story.

Hrishit Urvis Jhaveri: Yes, sir. And this is the last question, yes. The recent acquisitions of EMFi and Takahata, are we expecting any new capex in the coming years in these acquisitions?

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Krishnakumar Srinivasan: Well, we as management always believe that we have to continue to grow the business, grow the franchise, whether it is, you know, as I said in my talk, that we expect many of the technologies to coexist, which means the EV will coexist, the IC engines will coexist in various forms, whether it is in hybrid or in, flex fuels or in hydrogen blended CNG, etc.

So, there is going to be multiple areas on which we will continue to work to improve our technology and improve our offerings to our customers. So, it will become necessary for us to ensure that all our businesses, where necessary to put capex to grow the business. So, there will certainly be capex infusions that will happen, and it will continue to happen in all the businesses to grow the business.

Hrishit Urvis Jhaveri: That's correct, sir. But do we have any planned figure for FY '25, like, in terms of quantified number?

Krishnakumar Srinivasan: Yes, we do have, but we, that number is still getting, for the year '24-'25, we have a couple of new projects. See, what happens in a growing industry like electrification is there are new acquisitions of businesses that are happening almost on a daily basis. So this figure is continuing to grow, and we are improving our capacity. As I said, we have just taken a new piece of land in Coimbatore. We are building up a state-of-art, modern facility there, and we'll be putting in a lot of money there.

Hrishit Urvis Jhaveri: And, sir, just the last question to conclude, what would be our current utilization level around 70%-75% or more than that?

Krishnakumar Srinivasan: We continue to work with a very, tight way of managing our capacity utilization. So we are seeing, on an average, it is all 75-plus kind of a situation that we see in the businesses that we have invested so far.

Hrishit Urvis Jhaveri: Thank you, sir, and all the best.

Krishnakumar Srinivasan: Thank you so much. Thank you.

Moderator: Thank you. The next question is from the line of Navin Matta from Mahindra Manulife. Please go ahead.

Navin Matta: Hi, sir. Thanks for the opportunity. The question was on domestic revenue mix. Can you just kind of break that out into, how much is to the two-wheeler, four-wheeler segment?

Krishnakumar Srinivasan: Yes. So, as I said, if you go through our presentation, which is uploaded in our portal, you'll see that our more than slightly over 50% is coming from our OE segment, and we do have a good mix of aftermarket and exports. Now, what happens in aftermarket exports is also there is a bifurcation of two-wheelers and, the passenger car business.

So, the mix keeps on changing a little bit. So, we don't really publish these numbers, but I can tell you for sure that no one segment of the market, whether it is two-wheeler, whether it is three-wheeler, or whether it is passenger car, is over maybe 17%, 18% of our overall business.

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Navin Matta: Okay. That's good. And, sir, you mentioned about, the drivers for margin improvement. I was just trying to get a sense of, we've already hit about 23% margins in the third quarter. I'm just trying to understand, where do we see, do we see any upside to this or, do you think we would

sustain?

Krishnakumar Srin

ivasan: Well, as you would have seen from the record of the last four years, we have always outperformed the market. So, we are hoping that we can do more. So, let's keep our fingers crossed.

Navin Matta: Okay. And, sir, can you talk about, you mentioned about EV orders. Can you speak about order wins or any major customers where you might have backed some orders?

Krishnakumar Srinivasan: Yes, we have bagged a number of orders. And since most of these orders are under validation phase, homologation phase, of course, CV supplies are also going on. So, it will be wrong on my part to give the names at this stage because most of the customers are wanting us to hold it confidential and we've signed non-disclosure / confidentiality agreements. So, we can't have the disclosures of those names at this stage.

Navin Matta: But can you highlight any kind of loss of order book that you might have or, you know, potentially you could win in the next 12 months or anything that you can kind of indicate?

Krishnakumar Srinivasan: We don't give those figures, but you can be rest assured that we will grow the business. We are not going to invest such a huge piece of money, for buying a new piece of land and building a new modern ultra-facility if we don't have business, right or business commitments.

Navin Matta: Sorry, sir, I missed out. What is the investment? I mean, what is the quantum of investment?

Krishnakumar Srinivasan: It's already there in the public domain. I think it's over INR 700 million.

Navin Matta: Okay. And just one last one, sir. How should we think about, your growth in, especially in the domestic OEMs? we have most of the ancillary companies highlighting that, whatever the market growth is, they would grow about, anywhere between 3%, 5%, 7% above that?

Krishnakumar Srinivasan: So, basically, Matta Ji, that we continue to, as I said, even the domestic business, we are continuing to outgrow the market. And this comes from various possibilities of penetrations into markets which we have not penetrated earlier, getting into new customers, and also trying to ensure that we completely support our existing customers on all their new programs. So, this will continue, this drive will continue to grow the business share.

Moderator: Thank you, sir. We'll take the next question from the line of Chirag Uttam Jain from Emkay Global. Please go ahead.

Chirag Jain: Good afternoon, sir. Thank you for the opportunity. Sir, can you share some thought process in terms of the new product categories or segments that you would like to enter, both organic and inorganic? I mean, you may not give specific categories, but the overall thought process as to what all segments would be relevant to us in the overall scheme of things?

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Krishnakumar Srinivasan: Yes, Chirag Ji. So, certainly, you know, we are looking at various segments. And as I said, with all the work that we did over the last now in less than three years, we have closed two mergers and acquisitions. And if you see the product portfolio, we have tried to maintain it to be within the automotive realm because we are experts in that field and we know that we have a good reach with all our customers and we would prefer to be within this field.

So, with that in mind, I think our direction is more towards – since we are very well impregnated into the IC engine space, which includes also the hybrids and the non-EV applications like the flex fuels as well as others, we would like to certainly look at areas which are agnostic to the IC engines, which means any product or any portfolio – product portfolio which is not – which is going to be there both in IC engine as well as EV vehicles is an area that we would be looking at.

We have done some high degree of work on this, and we are continuously working to see how we can progress on this. For ex

ample, in Takahata, the products that we make goes into steering applications, it goes into seat belt applications, it goes into body parts, it goes into trim applications, it goes into rooftop applications. So, there are a number of applications that it is going into. So, similarly, we are looking for products which can go into multiple areas within the automotive realm.

Chirag Jain: Thank you, sir. One more question on the aftermarket side because that's a fairly big part of your revenue, almost 26% as you shared in the presentation. Any thoughts over here as to what kind of initiatives we are doing on the aftermarket business and in terms of the growth outlook for that piece in particular?

Krishnakumar Srinivasan: Yes. Aftermarket is all about reach. So, we have focused over the last many years now to ensure that we have all the right touch points across the country. I'm very happy to state that we have over 1,200 touch points across the country today and we have multiple distribution network only in India. And we are also supplying to over 45 countries which includes both for OEMs as well as for aftermarket applications, and we supply to many of them with our partners across various countries.

So, it's all about getting the reach and I think I'm very happy to state that we have a very, very good reach and we can use this network very usefully. And this network is also trained for doing a lot of service -related issues in case the issue comes up and this network will also be used for all our EV applications.

Moderator: Thank you, sir. We'll take the next question from the line of Piyush Parag from Nuvama Wealth and Investment Limited. Please go ahead.

Piyush Parag: Hi, sir. And congratulations for a very good presentation. So, a few questions I have. First, if you can just throw some light on, customer concentration that you have for both of your domestic and, of course, maybe top three, to top five customers, how they look?

The other questions would be like more how do you see this in any of your new businesses, either from the product or maybe from the customer? How do you target for, say, suppose FY '24 or maybe FY '25, and '26? How do you see this new business will contribute going forward?

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And what is kind of the trend that you're seeing? So, if you can put some, some color on that? And for me, your capex, how do you look the capex to be? What is your growing capex? What is your maintenance capex? So, these are two questions from my side. Thank you, sir.

Krishnakumar Srinivasan: Yes, Piyushji, basically, as I said, we supply to almost all the OEMs in the country, and then at different segments, point in time, different customers become our top three, it moves up and down based on the segment of the industry that we work on. Sometimes a two-wheeler manufacturer become -- will come in the top three and sometimes he may drop from the top three. So, that's why we don't really spell out our top three customers.

But you can be rest assured, as I said, all the top names, which I read out in my message just now, are there in the top bracket, which includes Maruti Suzuki, Mahindra, Tata, Bajaj, Hero, Escorts and others and Cummins.

Piyush Parag: Yes. So, we just wanted to understand that a new business contribution would be how much? I mean, just what do you like target to have, like, for this year from the your promises, how would be your new business contribution? On something on that's, that you have?

Krishnakumar Srinivasan: Yes, Piyush Ji, you see, when the market is going at a CAGR of 3% to 5% and we are growing at a rate of around 15% or 14%, you can be rest assured that we are breaking into newer markets, newer segments of the business and trying to outgrow the business. So, we'll continue to invest in all the technologies and capacities always ahead of the market.

So, we

believe in growing our business that way and ensuring that we have sustainable businesses from all our customers. So, we have continued to do that and we'll continue to do that.

Piyush Parag: Okay. That's great. And just some sense on the capex, how do you look at the capex?

Krishnakumar Srinivasan: As I said, you can see the capex figures that are already there in our, in the public domain. And we plan to invest similar numbers. There are also very specific areas where we want to, we have to, where we are trying to grow the business with new businesses coming in. And that's the, the INR 700 million that we talked about putting it in Coimbatore for growing our electric vehicle portfolio along with MOU that has been signed with the Tamil Nadu government with a new plant coming up in Coimbatore.

All that is the capex that we'll be putting in for growing the EV business, including the way that we'll be growing all our existing business. The existing business also we are continuing to put our money regularly and keeping investing in on newer technologies. For example, we have to continuously work on, newer technologies like the hydrogen pistons, piston for hydrogen applications, pistons with hydrogen blended CNG applications. All this undergoes, the piston undergoes a massive change with the change in the fuel and we have to continue to invest in these capex.

Piyush Parag: Okay. Thanks a lot, sir. Thanks a lot.

Krishnakumar Srinivasan: Thanks, Piyush. Thanks a lot.

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Krishnakumar Srinivasan: Sure.

Moderator: Thank you. The next question is from the line of NGN Puranik from ENAM Asset Management. Please go ahead.

NGN Puranik: Thanks for a wonderful presentation. I have a question on your technology group because you seem to be making some complex engineering product. It's not easy for everyone to make this.

And you have two collaborations, plus you have a robust R&D and you have done a couple of acquisitions. So all this brings a lot of process technology to the table.

So I want to understand what are these two technologies where the formal agreements you have

are contributing to your process today, plus also your own R&D. If you can give a complete view of your technology focus and processes, that will be wonderful?

Krishnakumar Srinivasan: Surely. Surely. So basically, if you really see our technology agreements that we have, we have technology agreements with four of our partners. One is for manufacturing of pistons and piston-related technologies. And the second one is for manufacturing of piston rings and its technologies. And the third one is with Fuji Oozx for manufacturing of engine valves. We also have the fourth technology agreement with Honda Foundry, which again requires a very unique piston manufacturing technology, which is applicable only for Honda cars across the globe. And we can, once we have started supplies to Honda, we can supply anywhere in the globe with that technology. So those are the technology partnerships that we have, which have ensured that we have grown our business with, especially on our legacy business with these partners.

Similarly, we plan to grow our business, the newly acquired business of Takahata. We plan to, that's why we have the Takahata Japan still holding around 38% of the ownership of the company, because we believe in partnership, and we believe in sitting on the same side of the table to work on strategies for the business. And that is how we have been able to ensure that we are able to get into newer businesses as far as Takahata is also concerned.

And the same way, even with EMF International, we have EMF i partners who are sitting in Singapore, working, sitting with us with a 32%, 34% stake, and continuing to grow the business is EMFi. So this is our strategy, ensure that we have the right technology partners, ensure t

hat

we are able to put in the capex and grow the business.

NGN Puranik: My question is when you have technology partnerships, they provide certain processes, and then you observe those processes. Do you see every year an incremental value add coming from these technology guys or they are there just for a decorative value?

Krishnakumar Srinivasan: No, no. They actually, when we sit with a technology partner, we actually, it actually gives us an example of what not we should do to be able to survive in India.

NGN Puranik: Excellent. That's a greater advice.

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Krishnakumar Srinivasan: Let me give you an example. For example, if you see an electric motor, I know I used to live in China for almost five years. Okay. And if you see in China, most of the electric vehicles are single owner driven. You will hardly see a Chinese two-wheeler going with four people sitting on the motorcycle or on the vehicle. Now, if you bring the motor and controller from that Chinese manufacturer and try to put it in a vehicle here, you have seen the result what is happening. Everything is burning and you are getting hundreds of heating issues and this and that, so many things happening, right. But whereas in what we have done is we have done grounds up. We have ensured that make the product which is ideal for Indian conditions. We have done engineering on it.

We have ensured that it is able to take the required torque and speed levels and able to require required kilowatt ratings to ensure that we give the best efficiency of the motor, thereby reducing the drain on the battery. We also, in some applications, we also have given motors coupled with a, step up transformer, step up gear boxes to ensure that we get very high efficiencies of the motors.

Now, these are the work that needs to be done locally because the engine conditions are very, very typical to India. These are not where you can just blindly bring a product or a process from abroad and fit it. But we know for sure that whatever has been tried, we don't want to go through the route where, we go through multiple iterations on issues which have been time tested elsewhere in the globe. So that, we spend more time in development as per the requirement of the country and not wasting our time on developments which should not be in the country.

NGN Puranik: So, they help you to localize technology or a design to the market condition here.

Krishnakumar Srinivasan: Exactly, exactly.

NGN Puranik: Thank you.

Moderator: Thank you, sir. We'll take the next question from the line of Ashish Uppanlawar from InvesQ. Please go ahead.

Ashish Uppanlawar: Yes, thank you so much for this. Sir, broadly from whatever we discussed now, it seems to be the strategy that the acquisitions would be there on the non-ICE side and we are trying to get more and more diversification on the plate. So, one would assume that further acquisitions would be in the pipeline.

So, if you could give us your thought process on to which areas you would be looking at?

Because I think a couple of acquisitions are on a different wicket basically into injection moulding and into control systems, etc. So, what all would come under this and are we right in understanding that more acquisitions probably would come?

Krishnakumar Srinivasan: For sure. We are sitting on cash; we are ensuring that we are deploying our cash quite well and

we will continue to invest into more mergers and acquisitions. But as I said, even the ones that we have done so far, they are all related to automotive applications. So, our strength is in the automotive area and we want to ensure that we continue to grow in that particular area.

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Areas where we will continue to invest for our mergers and acquisitions will be any area which is agnostic to

to the ICE engine. That is what we have set ourselves a target. There could be small applications into the ICE engine along with the kind of products for other areas of the car that could also be a possible acquisition area. So, we are looking at all the possibilities, but primarily at areas which are agnostic to the ICE engines, to the powertrain.

Ashish Uppanlawar: Okay. And the two subsidiaries that you have, what is the contribution to consolidated revenues and profits right now? And how should we look at the Japanese acquisition that you have done to grow? What are the plans with that company?

Krishnakumar Srinivasan: What I would suggest is you can look at the nine-month results. All the figures are there. You can easily expand it for the overall things as far as the domestic market is concerned.

Ashish Uppanlawar: I was inquiring about the Takahata. What is the growth plan maybe for the next couple of years for that company? How are you planning to expand the revenues for that company?

Krishnakumar Srinivasan: Yes. So, we will continue. The continuation of outgrowing the market is there for all our subsidiaries. They have targets which have been very clearly set for this year, which will ensure that we will outgrow the overall automotive market today. The market is growing at the range of around 5% to 6% CAGR. We want to outgrow this market.

So, we will continue to do that in Takahata also and we will continue to do that in EMFi, and we will continue to do that in SPRL and SEL. So, we have accordingly set targets for ourselves, and you will see it on a quarter-to-quarter basis how we perform.

Ashish Uppanlawar: Okay, sure. I have more questions, but the time permits now.

Krishnakumar Srinivasan: Yes. Thank you so much.

Moderator: Thank you, sir. We will take the next question from Rehan Lalji from Equitree Capital. Please go ahead.

Rehan Lalji: Hi. Thank you for taking my question. I do not know if I missed the same, but I just wanted to understand the segmental revenue distribution between your – on your standalone front between piston pins and piston rings and engine valves if you have the data of the same?

Krishnakumar Srinivasan: Hi, Rehan. Basically, as I said, we sell assemblies. Most of the customers buy assemblies. They take the piston -- we assemble the piston, the piston pin, and the piston rings along with, in some cases, even with the conrods and give it. So, it is very difficult for us to bifurcate the revenue that way.

Rehan Lalji: Okay. So, you cannot even give any ballpark estimate of where you get your most revenue from?

Krishnakumar Srinivasan: Well, it is fairly, well broken down between all the segments of the product portfolio that we have today. So, even in SPRL, the pistons, the piston rings, engine valves, depending on the kind of product that we have, of course, there is a small variation in the overall turnover, but more or less it is well equated.

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Rehan Lalji: Understood. And at your, I am talking about your standalone entity, what is the peak potential revenue you assume you can do from your current, I think, five manufacturing plants? What is the peak kind of number do you think you can do from the current five?

Krishnakumar Srinivasan: Again, that is a very typical crystal ball gazing that we will have to do, but for us, we have committed ourselves to service the last IC engine that will be there made globally. So, for us, the markets are global. We have outreach up to almost 45 countries today and there is no reason why we should not do more.

And as many of the customers, you know, today, the overall penetration of EVs in the market, though initially it was very buoyant, but people have now become more and more realistic to the numbers that are happening, including the hybridization that is happening globally, even including

Europe and Japan, and any hybrid business also requires a lot of IC engines and we are working on programs with customers which are going to probably see the light of day in the 2030s. So there is no reason why we should, you know, in any way discount the legacy business. So we expect that we will grow in all segments of the business.

Moderator: Thank you, sir. We will take the next question from Shiva from Purnartha Investment Advisors. Please go ahead.

Shiva: Good evening, management. Thank you for the opportunity. My question is with respect to the

gross margin. If I look at your gross margin for the last 10 years, in the initial first five years, it was at least 69%. And in the next half of the five years, it went down to 62 -odd-percent. During this time, I understand the raw material has been fluctuating, but on a larger scale, it has been stagnant at this point. So, could you just tell us why this shift in the gross margin in the last 10 years?

Krishnakumar Srinivasan: Yes. Mr. Shiva, good question. And let me answer it this way that, what has happened is, as the BS6 came into picture, you know, from sometime in 2018 -2019, we were among the top runners in terms of providing solutions to almost all the customers in India. And we took a tremendous lead in ensuring that we are able to supply the newer designs required for BS6 applications, and thereby changing completely some of our mix that we had.

And over the period of time, we have also continuously also worked on improving our bleeders and ensuring that we are able to improve the overall mix within the portfolio that we have. At the same time, we have seen that the customer mix, as well as the segment mix, in terms of the products, have continuously also been looked at to ensure that we are able to improve our gross margins.

So, I think we have worked on multiple areas. It's very difficult to pinpoint one area giving a certain percentage. It's a combination of various exercises that we have done over a period of time.

Shiva: So are you saying that it fell down, right, from 69 -odd to more than 1,000 bps gone.

Krishnakumar Srinivasan: No, it also -- see, you will have to look at the material margins and other things also. So, basically, it's a combination of multiple activities.

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Shiva: Okay. Thank you. And the second is with respect to your royalty expenses. If I see, so you have been ranging from 2.1% to 1.8% roughly. So my first part is, how are those royalty expenses calculated? Is it a percentage? Who are the players that we pay to? And the second part is, KS Kolben has said that he will exit our stock. So, is the partnership still hold and the royalty still hold? It's only the exit of stock? Or how does that change the royalty expenses?

Krishnakumar Srinivasan: Yes, again, a good question. Let me answer the second part first. As far as KS exiting our stocks are concerned, it was primarily done by their parent company called Rheinmetall. Because Rheinmetall took a strategic decision of moving more into, post the Ukraine war, they wanted to actually invest more into defence applications in Germany. So they wanted to actually move out of some of the other areas that they were in.

It is not only the Kolbenschmidt that they have hived off, but there are many other companies also that they have looked into. So, Kolbenschmidt that way came out of Rheinmetall. And that's the reason why Rheinmetall, which was a parent company holding the share, they decided to sell their shares. But as far as Kolbenschmidt is concerned, we continue to have a technical collaboration agreement. In fact, we renewed it just recently. And it's renewed for the next seven years.

So, there is no reason why we will get out of it. Because we have had a very longstanding partnership with Kolbenschmidt over the last five decades now and we are

very, very close as

partners. And as far as the royalty is concerned, most of the royalty that we pay is as per mostly international levels. And it is as per what is done by technology agreements all across the globe. So we are within those norms. Thank you.

Moderator: Thank you. We'll take the next question from NGN Puranik from Enam Asset Management. Please go ahead.

NGN Puranik: I have one question about how will you manage disruption in the IC engine space? And what are your plans for that? Are you technologically secured in terms of collaborations and all that? Or do you need to add more technology collaborators into the space? How do you -- how will you manage it? How will the revenue scenario look like in the next few years?

Krishnakumar Srinivasan: Yes. As far as the technology scenario is concerned, we started working on building our own technology center some way back in -- almost a decade back. And post that, we have trained our people and we have our own patents also. And we have done a lot of work wherein we can be sure that we can develop many of the parts ourselves. But at the same time, we are working with our technology partners to continue to develop newer solutions as is required by the industry. Now, what is exactly -- what are the disruptions that are happening in the industry? I already talked about in my speech. The disruptions that are happening is that the IC engines are getting broken up into a number of other, fuel solutions, like going in for hydrogen applications -- hydrogen as a fuel application. Second is going for ethanol blending. We have moved up from 20%. We are working on products up to 85% blending.

Then it has gone into flex fuels. It has gone into LNG applications, CNG applications. It has gone into hydrogen blending with CNG. So there are a number of areas that we are working on.

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And I'm very happy to state that we are absolutely leading most of these disruptions along with our customers. So we are working on a number of solutions with our customers and multiple things on the test bed.

Luckily, we have our own test benches. And in fact, many of our customers do their testing on our test bench. So, it is to world standards. So, we are well equipped to face this disruption.

NGN Puranik: So you will see -- you don't see any sudden shocks from the ICE, non-ICE space?

Krishnakumar Srinivasan: As I said, we are present in the ICE space as well as non-ICE space. We are also present in EV motors and controllers. So, there is no reason why we should be affected. We will continue to grow in both areas.

NGN Puranik: And that's a significant portion of your business, motors and controllers?

Krishnakumar Srinivasan: Yes, it is going to be.

NGN Puranik: Oh, so that will...

Krishnakumar Srinivasan: It's a 1% of the market. We'll also grow.

Krishnakumar Srinivasan: I think we have already crossed our time. But I think we'll take another five or seven minutes to try to answer as much as possible.

Moderator: Sure, sir. Thank you. We'll take the next question from Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Am I audible?

Moderator: Yes.

Deepak Poddar: Thank you very much, sir, for this opportunity. Sir, just wanted -- just have a thought. We have a gross margin of 60%, right? And we have been vocal that we look to maintain or improve upon the CAGR we have been doing, which if I have to see last maybe two years, we are growing at about 25% CAGR.

If I have to assume a similar CAGR going forward with a gross margin of 60%, ideally your -- because of your leverage only, I feel that your EBITDA margin can see a substantial jump. So just wanted to have your thought on this.

Krishnakumar Srinivasan: Well, that's one of the scenarios.

Deepak Poddar: Yes. So ideally there -- so is there any aspiration in margins that

from a current trajectory of

maybe about 21%, we want to look at a trajectory maybe towards 25%, 24%, 25% over the next three to five years?

Krishnakumar Srinivasan: Well, our way of working is we try to outgrow the business, outgrow the markets, and do all the right things for the business. So when we are doing all the right things, I think the EBITDA and Shriram Pistons & Rings Limited

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the PAT and PBT are all the end results that will come. So we believe that the end results will be certainly coming in line with all the actions that we are taking. But we focus on the actions and doing all the right things for the business.

Deepak Poddar: Fair enough. Correct, correct. And my second question is on your capacity. You said we currently are running at about 75% capacity utilization. So about Coimbatore, I think new facility which we are working on, so how much capacity that will contribute and how much capacity increase will happen because of that investment?

Krishnakumar Srinivasan: Well, see, there again it is a combination of motors, controllers, and we are also going to make a combination of assemblies and other things. So, it is as per the requirements of the customers and, the numbers there -- one of the statements that I did earlier in my speech was also, we have to ensure that we are putting the capital ahead of the market because if we don't do that in a business like EV, then you will miss a very good potential possibility of supplying to major customers. And that's not something that we want to do.

Now, based on all the recent working that we have done and all the various areas that we are working with our customers, knowing that we are going to win those businesses, it is necessary for us to grow the capacity ahead of the market. And that's exactly what we are doing. And it will be very difficult for me to tell exact numbers because the lines are fairly fungible and even in our existing business lines are fungible. So, we can -- if one segment of the business goes down, we can always make the other segment of the business on those lines. So in the same way, we are also doing for the other products.

Deepak Poddar: Okay. But what's the optimum capacity utilization?

Deepak Poddar: Yes. So what's the maximum optimization -- optimized capacity utilization we can reach? I mean, is it 100%?

Krishnakumar Srinivasan: We are looking at more than 0.5 million.

Deepak Poddar: What, 0.5 million?

Krishnakumar Srinivasan: 0.5 million motors and controllers immediately.

Deepak Poddar: No, I was asking in terms of percentage. I mean 75%, which is your current utilization level. So is it possible to reach 100%?

Krishnakumar Srinivasan: Why not? Certainly. And not that the capacity is, by small additions of certain bottleneck areas and all that, we can further increase the capacity. So there is no big problem. We have enough piece of land. We have always believed in ensuring that we have good areas for growth, good physical land area available also for growing the business. And we have enough land in our Pithampur facility. If we have to put up another factory and put up few lines, we will certainly do that.

Deepak Poddar: Fair enough. All the very best to you, sir. That's it from my side. Thank you so much.

Krishnakumar Srinivasan: Thank you so much.

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Moderator: Thank you. The next question is from the line of Chitresh Modi from Unicity Capital Management. Please go ahead.

Chitresh Modi: Yes. Hi. Thank you, sir, for the opportunity. Congratulations for a great set of numbers. But two questions. In your presentation, you did -- you have shown that the revenue mix from non - automotive applications is about 3%. And I do understand that you made some acquisitions. So going forward, I don't want any guidance, but what do you think this pa

rticular number should

reach at? Would it be 5%, 10% kind of number? Or this is more like a steady state number that we are looking at?

Krishnakumar Srinivasan: No, the non -automotive that you see in the presentation is primarily for SPRL, which is a stand alone business. That is the stand alone business of our pistons, rings, and engine valves and others. Okay. So that non -automotive applications are primarily applications like compressors, applications like marine engines, applications like snowmobile applications, like skaters driving on the snow and all that. For all those applications, we supply the pistons globally. So those are the non -automotive applications that we are talking about in the presentation. But if I were to look at the consolidated non -automotive applications, I think it should be well crossing to the high 20s.

Chitresh Modi: Okay. All right. Okay. And, sir, second question was, obviously, like post -COVID, when I look at your operating profit margins, and you have shown a fantastic growth in that, like almost close to 500 or 600 basis points in the last three years. What do you think is the key attribute for such a great margin improvement? Would you say is it a newer technology, newer product, or you would say more it is because of the operational efficiency that the company has?

Krishnakumar Srinivasan: I think I answered this question earlier. The same question was asked earlier, and I have already answered it. But I said it's multiple activities across the entire supply chain, including improving capacities, improving efficiencies, improving productivity, etc,

Moderator: Thank you, sir. We'll take the next question from Senthil Manikandan K. from Ithought PMS. Please go ahead.

Senthil Manikandan K.: Thanks for the opportunity. My first question is with respect to our core business. As the powertrain moves from ICE to hybrids and CNG or LNG, so what could be our content per vehicle? And with respect to as technology is getting upgraded, will we also see a higher realization per vehicle? That's my first question.

Krishnakumar Srinivasan: Yes, certainly we see a higher realization as the technology moves up. For example, the hydrogen piston requires multiple areas to be attacked, including hydrogen embrittlement and others. So there are a number of areas that we have to work on. And we expect higher realization as the technology moves up. So we have always ensured that we get that.

Senthil Manikandan K.: Can you please quantify it?

Krishnakumar Srinivasan: Quantification is a little difficult at this stage because many of these are under drawing board stage at this stage. So it will be very difficult to quantify at this stage. But you can be rest assured that it will only go on the positive direction and not go on the southward direction.

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Senthil Manikandan K.: Second question is broadly on the capital allocation strategy. So the company will be placed in the cash flow generated from the core business to do an M&A on the emerging powertrain. So that could be broadly the capital allocation strategy going forward, right?

Krishnakumar Srinivasan: Well, it all depends on the kind of M&A targets that we have. And it could be a mix of many, many things. So we can't at this stage say that this is what is going to happen. It's going to be a combination of many, many things. So very difficult to answer it purely on one side.

Senthil Manikandan K.: Okay. Thanks, sir.

Moderator: Thank you, sir. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Krishnakumar for closing comments. Over to you, sir.

Krishnakumar Srinivasan: Yes, thank you once again. I would like to express once again my sincere gratitude to everyone who joined on our maiden investor call today and contributing to this really

very engaging

discussion. We remain committed to pursuing our business strategies and doing everything that is right and continuing to deliver positive results.

If you have any questions or require any additional information, please do not hesitate to reach out to our Investor Relations team. Once again, on behalf of the company, I would like to extend my heartfelt thanks for your time and participation. Please do take good care and thank you very much. Goodbye.

Moderator: Thank you members of the management. Ladies and gentlemen, on behalf of Shriram Pistons & Rings Ltd., that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. Some minor editing may have been done for better readability. In case of discrepancy, the audio recording uploaded on the stock exchange on April 06 , 2024, will prevail.

Call: Apr 2024

April 12, 2024

Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
ISIN No. INE526E01018

Company Symbol: SHRIPISTON

Sub: Transcript of the "Maiden Investor Call" - Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations")

Dear Madam/Sir,
With reference to the captioned matter and in furtherance to our earlier intimation letters dated April 1, 2024 and April 6, 2024 regarding the schedule, investor presentation and Audio Recordings of "Maiden Investor Call" of Shriram Pistons & Rings Limited (Company) and in compliance with Regulation 30(6) read with Schedule III and other applicable provisions of the SEBI Listing Regulations, please find enclosed the transcript of the Maiden Investor Call held on Friday, April 5, 2024.
The above information is also available on the website of the Company and can be accessed at <https://shrirampistons.com> .
Kindly take the above information on record and treat this as compliance with SEBI Listing Regulations.

Thanking you.

Yours faithfully,

For Shriram Pistons & Rings Limited

(Pankaj Gupta)
Company Secretary & Compliance Officer
Membership No.: F4647
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"Shriram Pistons & Rings Limited
Maiden Investor Call"
April 05, 2024

MANAGEMENT : MR. KRISHNAKUMAR SRINIVASAN – MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. PREM RATHI – EXECUTIVE DIRECTOR AND CHIEF
FINANCIAL OFFICER
MR. PANKAJ GUPTA – HEAD LEGAL AND COMPANY
SECRETARY

IR PARTNER : MR. RIDDHAN T KAPUR – ERNST & YOUNG LLP

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Moderator: Ladies and gentlemen, good day and welcome to the Maiden Investor Call of Shriram Pistons &

Rings Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr.

Riddhant Kapur from Ernst & Young LLP. Thank you and over to you Mr. Kapoor.

Riddhant Kapur: Thank you Michelle. A very good afternoon, everyone and thank you for joining in on the maiden Investor Call of Shriram Pistons & Rings Limited. I am Riddhant Kapur from Ernst & Young LLP, and we are the Investor Relations partners for Shriram Pistons & Rings.

To give you all an overview of the company and its performance, we have with us Mr.

Krishnakumar Srinivasan, Managing Director and Chief Executive Officer, Mr. Prem Rathi, Executive Director and Chief Financial Officer and Mr. Pankaj Gupta, Head Legal and Company Secretary. The company's investor presentation has already been uploaded on the Stock Exchange as well as on the company's website and we hope you all have had an opportunity to go through the same. Before we begin, I would like to draw out the fact that for the purpose of today's call, we shall be referring to the released financial results for the quarter ended 31st December 2023.

We would humbly request you all to stick to these financials and refrain from asking any questions related to the full year performance. Also, let me remind you that this discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It may be viewed in conjunction with our business risks that could cause future results, performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

Now, I would like to hand over the call to Mr. Krishnakumar for his opening remarks, post which we will open the floor for an interactive Q&A session. Thank you and over to you sir.

Krishnakumar Srinivasan: Thank you Riddhant. Thank you and good afternoon everyone. On behalf of the company, I would like to express our sincere gratitude to each one of you joining our Maiden Investor Call today. Being it our first interaction with the investor and analyst community at large, I would like to take some time to establish who we are and what we do for those who might be new to our company.

The company was incorporated in 1963 in the name of Shama Pistons & Rings Limited and was taken over by our founder Dr. Charat Ram in 1972 and renamed to Shriram Pistons & Rings Limited or SPRL as we call it today. Dr. Charat Ram played a significant role in shaping the Indian industry, was a pillar and the face of the Indian industry for a long time. He made history by bringing the Honda Genset and Honda cars to India under joint ventures and also built SPRL into the leading manufacturer of pistons, piston rings, piston pins and engine valves.

This success is attributed to our rich heritage spanning over five decades marked by numerous achievements including technology collaborations with international leaders and establishment Shriram Pistons & Rings Limited

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of our advanced technology center. Before delving into these aspects, let me provide an overview of our business model.

We manufacture pistons, piston pins, piston rings and engine valves for almost all the leading OEMs and aftermarket distribution in India as well as for exports.

Our products are marketed and distributed under our well-known renowned brands SPR and Usha. Both the brands are

very well recognized both domestically and globally. We manufacture

our products in four facilities, two located in Uttar Pradesh in Ghaziabad and Bulandshahr, one in Rajasthan in Patna and one in Madhya Pradesh in Pithampur.

Our manufacturing lines are fungible which means that we can produce the respective products on ear-marked lines based on changes in demand for a specific segment of the auto industry.

This gives us the added advantage to be able to cater to demand effectively and optimize our operations. Please also note that our Madhya Pradesh unit comes under our wholly owned subsidiary SPR Ingenious Limited, we call it SEL.

Apart from these, under SEL we also have two more facilities which I will be talking about later.

To cater to our major OEM customers and to ensure that we meet the just-in-time demands of our customers efficiently, we have set up five assembly units in Haryana, Uttar Pradesh, Maharashtra, Tamil Nadu, and Gujarat where most of the OEMs have their manufacturing setups. As a company, innovation is in our DNA, and we have always focused on improving our products and being able to provide complete and comprehensive solutions for the high technology new generation engines.

We accomplished this feat via our ultra-modern state-of-art technology center established in 2014 which serves as a comprehensive product development facility. Our technology center holds recognition from the Department of Scientific and Industrial Research, Government of

India. Within this facility, we have also developed solutions for green hydrogen, flex fuel and natural gas engines positioning us well to adapt to evolving industry trends. At this facility, we even do engine testing for our customers.

Our access to cutting-edge technology is complemented by four long-standing technology collaborations with prominent global leaders in the automotive components sector. Our longest-standing partnership dates back to 1972 with the Kolbenschmidt Group, focusing on piston manufacturing.

Additionally, since 1989, we have maintained a partnership with Honda Foundry Japan for pistons specific to Honda requirements globally. Our collaboration with Riken Corporation from Japan, established in 1978, pertains to rings production. And the one with Fuji Japan, established in 1993, revolves around engine valve technology.

These strategic partnerships over decades, combined with our extensive manufacturing acumen and expertise, have really propelled us to our current position of prominence.

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Now moving to the segments we cater to. A large chunk, approximately 81%, of our stand alone revenue in FY23, was from the domestic market, including business from OEMs and aftermarket, where we cater to a diverse range of product segments like commercial vehicles, passenger vehicles, tractors, two- and three-wheelers, off-highway vehicles, industrial engines, railway engines, and for various defence applications.

We have a solid market presence across all these product segments and have enduring relationships with all the prominent players of these segments. Our list of marquee clientele includes the giants of the auto industry, namely Tata, Maruti Suzuki, Mahindra, Bajaj, Hero, Eicher, John Deere, Escorts, Kubota, Cummins, Honda, TVS, Ashok Leyland, Bharat Benz, Hyundai, Renault, Nissan, ITL, TAFE, and CNH, among others.

Regarding our export activities which contribute 19% of the stand alone revenue in FY23, we hold a leading position as exporters of our products with a presence in over 45 countries spanning five continents.

We maintain enduring supply agreements with our key customers who are prominent OEMs on a global scale with Volkswagen, Jaguar, Land Rover, BMW, Honda, Fiat, Fuso, Caterpillar, Wabco, Renault, Agco, Suzuki, Kubota, Cummins, Yanmar, and Perkins are some of the lead

ing

global OEMs that are our key customers and have been there for a long time.

Now that we have established ourselves as a leading manufacturer of pistons, rings, pins, and engine valves globally, you may think if we are doing anything to augment our growth further, and I am happy to share that we definitely are. We are diversifying our product portfolio and moving into newer segments which would ensure that we continue growing in the long term and continue to de-risk our business model.

Through our wholly owned subsidiary SPR Engenious Limited, SEL, we have recently made two acquisitions. The first one is the acquisition of a 66% stake in EMF Innovations Private Limited. We call it as EMFi. EMFi is a young technology company operating in the electric vehicle space, EV space. We leverage Singapore's strong power electronics research base and India's extensive manufacturing ecosystem to deliver cost-effective and reliable electric motors and controllers for green mobility applications.

Through our R&D and manufacturing facility in Coimbatore, Tamil Nadu, we manufacture electric motors and controllers which have applications across passenger vehicles, two and three wheelers, commercial vehicles like buses and trucks, and also for various other applications.

Through this acquisition, we have marked our foray into the EV component segment. We will be among the top few companies supplying electric motors and controllers together, sized for specific applications for our customers.

We have capabilities and capacities to manufacture motors and controllers for applications ranging right from 250 watts to 300 kilowatts across all segments. We are in the process of building a state-of-the-art manufacturing facility near to our existing facility in Coimbatore.

Moreover, to further augment our technical capabilities, we also have technical collaboration Shriram Pistons & Rings Limited

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agreements with GLE Motors and Lingbo Controllers, helping us in developing certain India-related applications and in line with the Government of India drive towards Atma Nirbharta.

Another acquisition that we have done recently is a 62% stake in Takahata Precision India Private Limited, we call it as TPI, in October 2023 for high-precision plastic injection molded parts for automotive applications. TPI has technical collaboration with Takahata Japan, which is a leading high-precision injection molded parts manufacturing company globally.

TPI has a state-of-the-art manufacturing facility in Neemrana, Rajasthan, which enables TPI to conduct end-to-end operations, right from design to manufacturing to inspection, all under one roof. These acquisitions of EMFI and Takahata mark our foray into ICE agnostic products.

As an outcome of all our efforts over the years to ensure that we provide only the best quality products to our customers, the company has received several awards from various industry bodies.

The Sword of Honour from the British Safety Council, the Gold Award in Exports from the Federation of Indian Exports Organisation (FIEO), the Lakshman Rao Kirloskar Award for Best Foundry of the Year by the Institute of Indian Foundrymen and various other awards from CII, ACMA, Engineering Export Promotion Council and others.

Other than this, we have also received several awards from OEMs from across different segments like passenger vehicles, two and three wheelers, commercial vehicles and other areas. In 2022, we were amongst the top companies to have received the Golden Peacock Award for Excellence in Corporate Governance from IOD in a function held in London.

Also in 2022, we challenged the TPM award again for the third time and ensured that we cleared the TPM certification, which was won by us from Japan Institute of Plant Maintenance, JIPM.

At the heart of our organisation lies the conviction that our team is our greatest strength.

Anchored by a robust leadership team, we benefit from seasoned professionals, some of whom have been with us for over 30 years, fostering a deep-rooted commitment to our mission and values.

We have implemented a meticulous system to identify and nurture the top talent, ensuring a continuous influx of skilled individuals who align with our vision. Moreover, our investment in cultivating a strong leadership pipeline ensures a sustainable succession plan and fosters innovation. Providing invaluable oversight and guidance, our expert board of directors enriches our strategic decisions, propelling us towards excellence and enduring success with speed.

We are also committed to being a responsible corporate citizen and have embedded sustainability in every realm of our value chain. We have achieved several milestones in our ESG journey, like three of our plants having the status of zero liquid discharge and state-of-the-art ETP and STP. Further, we have achieved a 20% reduction in scope II emissions, a 20% increase in the mix of renewable energy, solar power and wind power, and a 30% increase in the use of recycled material.

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We are also very active in CSR and run various campaigns which have positively impacted more than 90,000 beneficiaries collectively. In terms of governance, we are stringent and have strong corporate governance frameworks in place, duly demonstrated by the Golden Peacock Award that I stated earlier. That is more or less all about our business.

I hope you all have a better understanding about it than before joining this call.

Now allow me to spend some time on taking you through the industry and where it is headed.

India's auto components sector plays a pivotal role in driving the growth of the automotive industry, both domestically and globally.

With a rich ecosystem of manufacturers, suppliers and innovators, India has emerged as a key player in the global automotive supply chain as global OEMs seek to de-risk their supply chain. According to the industry reports, the Indian auto components industry is expected to grow at a 15% CAGR to reach approximately \$200 billion by 2026. The engine components, the segment we operate in, will continue to hold a major chunk in this in the future as well.

Our country boasts a robust network of auto components manufacturers renowned for their quality, reliability and cost-effectiveness. From pistons, engine valves, to electronic components and safety systems, Indian companies produce a diverse range of components that are integral to vehicles. The push of the government, like tightening norms to get the industry in sync with global standards and their focus on schemes like Make in India, bodes well for our industry.

I would also like to draw attention to the electric vehicles industry since we have marked our foray to EV as well. The EV industry is experiencing a transformative shift driven by the urgent need to mitigate air pollution and embrace sustainable mobility solutions. With a growing emphasis on clean energy, the adoption of electric vehicles has emerged as a key priority for policymakers, industry stakeholders and consumers alike.

We anticipate a continued rise in the penetration of electric vehicles supported by the ambitious targets set by the government. Proactive measures including incentives, subsidies and investments in charging infrastructure are being undertaken to expedite the EV adoption, fostering an ecosystem conducive to widespread integration. While we project a long-term growth in the EV sector, there are certain challenges which would impede vertical growth. These challenges encompass high battery costs and addressing of the power infrastructure limitations. Moreover, from a sustainability standpoint, the impact on the environment has to be

understood from a well-to-wheel perspective.

The significant surge in demand, especially with a fleet of over 150 million vehicle park across categories, underscores the necessity for substantial power generation infrastructural development from sustainable sources, a process that will unfold gradually in line with the government push.

Additionally, I would also like to highlight that the emergence of EV imports from China and the adoption for Indian applications poses unique considerations as the Indian market demands larger vehicles tailored to accommodate families. Recognizing this, our investment in EMF i reflects our commitment to developing customized solutions grounds-up aligned with India's demographic realities.

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Amidst these developments, the conventional Internal Combustion Engine and the industrial engines in its various forms are looking towards greener solutions like Hybrid, CNG, LNG, hydrogen-powered vehicles, H-CNG, where hydrogen is blended with CNG, and other flex fuels.

And we believe that these engines, along with EV, are poised to coexist to meet the inherent demand of the growing market.

Now, I will just quickly take you through the key stand alone SPRL financial highlights. I would like to highlight that we will only be discussing about the released financials and will not be giving any guidance on future performance on this call.

In the last few years, we have worked with a huge amount of focus on increasing the productivity in all our business functions, improving the quality of our products, while also working and improving efficiencies in terms of the speed and execution of our operations. All these factors have enabled us to achieve positive results in the last few years that are sustainable and give us the confidence to continue to perform well in the future as well. Let me give you some highlights on the historical financial performance so far.

You can also refer to all our financial performance results in the presentations that are uploaded already on our website. Revenue from operations have grown from INR 16,068 million in FY20 to INR 26,050 million in FY23, a CAGR of 17.5%. During the same period, EBITDA grew at a strong CAGR of 36.2% from INR 2,018 million in FY20 to INR 5,097 million in FY23 and EBITDA margins expanded from 12.4% in FY20 to 19.2% in FY23.

Our PAT for FY20 was at INR 730 million and for FY23 was at INR 2,956 million, a robust CAGR of 59.4%. Our PAT margin has also expanded significantly from 4.5% in FY20 to 11.1% in FY23.

Now moving on to the highlights for the 9M FY24 as compared to 9M FY23. Our revenue grew by 13.8% to reach INR 21,724 million from INR 19,083 million in the corresponding period of the previous fiscal.

Profitability has recorded a strong growth in the 9 M period this year. EBITDA was up by 46.2% YoY was at INR 5,208 million as compared to INR 3,563 million in the 9 M FY23. Our EBITDA margin expanded by 495 basis points to 23.3% in the 9 M FY24 which stood at 18.4% in the 9 M FY23. Our PAT recorded a robust growth of 60.7% reaching INR 3,262 million in the 9 M FY24 as against INR 2,030 million in the 9 M FY23.

Our PAT margin stood at 14.6% as against 10.5% in the 9 M FY23 an expansion of 438 basis points. Our ROE and ROCE as at the end of FY23 stood at 19.3% and 23.8% respectively. Our Debt to Equity remains low at 0.24 times as at the end of FY23. The company is generating positive cash from operations to a tune of INR3,992 million as at the end of FY23. We also maintain a robust credit profile with a credit rating of AA Stable from India Ratings & Research. We have always been focused to creating value for our shareholders and have been doing so for various years by giving out dividend and bonuses regularly. In this financial year, we have done

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a bonus issue of shares i

n June 2023 in the ratio of 1:1. To stress on the fact that we care about all our stakeholders and shareholders, let me give you a quick fact.

If we account for all the bonus issues since 1991, a shareholder holding one equity share of our company in 1991 would now have 96 equity shares due to the bonuses we have given so far to all our shareholders. Till date for FY24, we have announced an interim dividend of INR5 per equity share.

Now, to conclude, I would like to state that we have the right business strategies in place to ensure a long-term success and growth of the franchise. Central to our approach are meticulously

crafted growth strategies that align with our objectives and market demands. Recognizing the importance of diversification risk mitigation, we strategically engage in mergers and acquisitions to expand our portfolio and safeguard against market volatility like our acquisitions of EMF i and Takahata.

By continuously refining our strategies, we strategically navigate the business landscape poised for sustainable growth and resilience. As we chart our path forward, our primary focus remains on sustaining the growth momentum, not only in terms of the top line but also bolstering the bottom line. Amidst our pursuit of growth and success, we persistently uphold the principles of integrity, conducting every aspect of our business with an ethical resolve.

With this, I would like to come to the end of my talk, and I would request the moderator to open the floor for questions.

Moderator: Thank you, we will now begin the question -and-answer session . The first question is from the line of Sunil M. Kothari from Unique PMS. Please go ahead.

Sunil Kothari: Thanks for the opportunity, sir. Congratulations for such a wonderful journey during the last so many years and starting investor relations and communication. Commendable job you have done. My first question is on the way you have taken efforts during the last 10 years of so many collaborations, technical capabilities, challenges from ICE to EV and all these things happened global level. And you also mentioned during your talk that the change in supply realignment, supply chain realignment is also a big opportunity. So, if you can talk a little bit more about this supply chain realignment in terms of acceptance of global players from the Indian players like you, a component supplier . So that will be really very helpful.

Krishnakumar Srinivasan: Thanks, Sunilji. Yes, of course. When I say supply chain realignment, it is basically many of the global suppliers are looking for competitive solutions from, I would say low -cost countries.

And we have been pitching ourselves with the kind of technology backing that we have from all our suppliers, from all our partners. We have all the possibilities of meeting the global demands. And that is the reason why we have been able to now export to over 45 countries globally.

And you already heard about all the big names that are already there as our customers and the kind of portfolio that we are already supplying to them. So basically, it is a matter by which most of the customers globally are looking for good solutions and good partners who will partner with Shriram Pistons & Rings Limited

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them and service the last ICE engine that is made globally. And we have committed ourselves to that journey.

Sunil Kothari: So, now it is a little speedier acceptance of companies like Shriram Pistons and Indian component manufacturers at a global level because of all these challenges from China and second, of their cost, which is changing. The global players have taken more resources towards EV research and EV development. Some of the reasons should be like this or anything else you can add to our understanding?

Krishnakumar Srinivasan: No, we have been, I think the major reason for us to get business is the technology leadership

that we have. Unless you have the right technology leadership, you will not be in a position to, be able to supply it globally . So that is the first important reason.

The second important part is we have been supplying to global customers for the last now many years, over 15 to 17 years, even before the China issue and China plus one strategy came into place. So we have been always, tied up with most of our partners and we have been doing quite well with them. And there are some customers with whom we are tied up for the last over three decades globally.

So, it is the combination of partnership and a combination of really ensuring that we are able to give just -in-time supplies to all our customers globally. And we do a number of things to make this happen. So that is the reason why we have such a strong partnership with customers abroad.

Sunil Kothari: And the last question is, you have done a commendable job in terms of distributing very good and reasonable high dividend , bonuses. You have created shareholders value. What do you want, in your opinion, or what's your thought process by starting now this investor communication and relationship? What is your thought process? How will it add value to all the stakeholders' wealth?

Krishnakumar Srinivasan: So, as I, as you would have known that we had earlier hardly less than 3,000 investors, primarily because the float was very low. And subsequently, now over the last, over six months now, we have seen that the float has increased due to various reasons. And we do have a lot of our investors as king inputs from us.

So it has become necessary for us to communicate with all the investors and ensure that everybody is on the same page. And that is the reason why we have started the investor calls. And we'll continue to do so. And we expect to, on a timely basis, give inputs to all our investors in terms of the performance of the company as well as in terms of some of the important strategic directions the company is taking from time -to-time.

Sunil Kothari: Great, sir. Thanks a lot. And congratulations again for the good work you are doing. Thanks a

lot.

Krishnakumar Srinivasan: Thanks a lot, Sunil Ji.

Moderator: Thank you. The next question is from the line of Dhruv Agarwal from Niveshaay Investment Advisors. Please go ahead.

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Dhruv Agarwal: Yes, hi, sir. Congratulations on the very good set of numbers over the years, sir. So my first question would be that what would be the industry size of the EV segment that you have recently acquired, sir?

Krishnakumar Srinivasan: Yes, Dhruv Ji, you are asking about the EV segment market?

Dhruv Agarwal: Yes, sir. Yes, sir.

Krishnakumar Srinivasan: Let me highlight this. You know, the unique part about EMF Innovations is that we have done a ground-up activity to manufacture the markets required for the Indian requirements. So, we now manufacture products right from 250 watts right up to 300 kilowatts. As a result, what happens is we are in a position now to supply to all segments of the market. We supply to the two-wheelers, three-wheelers. We supply to passenger cars. We supply to, LCV, HCV applications and also to MCV applications today. And many of our products are under testing. It's under validation.

And a lot of activities are going on to grow the business there. So, the whole segment of the market that is available for electrification is also the market that is available for us to manufacture both electric motors and controllers. Now, the unique part is we will be probably one of the top few companies who will be manufacturing the controllers and the electric motors locally and supplying it, thereby meeting all the Atma Nirbharta and at the same time meeting the requirements of our customers.

Dhruv Agarwal: Understood, sir. Right. So what will be the industry size, sir,

if you can quantify? And like out

of that industry size, what would be your quantification or what would be your share in that?

Krishnakumar Srinivasan: Well, industry is evolving. So it will be very wrong to say the industry size is limited to this. I think the industry is evolving, as you know. And EV industry, the penetration today of EV is around 1% of the overall market. And we expect this penetration to keep on increasing. And as it keeps on increasing, our growth also in the EV side will keep on increasing. So I think that is the best that we can at this stage inform you.

Dhruv Agarwal: Right. And, sir, what would be the peak revenue from this recently acquired firm that you can add on to the firm, sir? Can you quantify that as well, sir, over the years, like in coming years, sir?

Krishnakumar Srinivasan: You mean the revenue of the EV segment?

Dhruv Agarwal: Yes, definitely. Yes, sir.

Krishnakumar Srinivasan: So, as you know, it's already there in the public domain. We have done a business of almost INR 23 crores last year. And we are growing. So, there are a lot of huge opportunities that we are working on. And looking at all the new FAME II requirements as well as the new requirements put forth by the government, we are probably one of the top few companies who are satisfying all those requirements in terms of localization as well as local homologations. So business is bound to grow.

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Dhruv Agarwal: Right. Okay, sir. And, sir, like, where do you see your company, like, in, like, coming three years, where do you see your company there? In terms of sales and as well as EBITDA or profit, sir?

Krishnakumar Srinivasan: Well, as far as SPRL is concerned, we expect it to continue doing well. And there is no reason why we should look at anything lower. And we are also working on other segments like the EV segment and also the plastic injection molded segment. And hence, we think that we will continue our growth story in the auto industry.

Dhruv Agarwal: Very nice, sir. Okay. Thank you.

Krishnakumar Srinivasan: Thank you so much, Dhruv Ji.

Moderator: Thank you. The next question is from the line of Hrishit Urvis Jhaveri from Pi Squ are Investments. Please go ahead.

Hrishit Urvis Jhaveri: I just wanted to understand, sir, if we see the margins which you have presented, there has been exceptional expansion from around 12% to around 19%. And if we compare with the industry peers, we are obviously the leaders, but the growth here has been phenomenal. Can you highlight some major contributors here, sir?

Krishnakumar Srinivasan: Yes, sure. Basically, we have, as I said, we have been working on a number of areas, and it included improving our capacity utilization, ensuring that we are able to work on multiple

multimodal systems of power supplies in terms of using also the sustainable solutions, bringing in a lot of operational efficiencies and improving productivities, and also looking at our bleeders and ensuring that we are constantly working on improving the overall margin.

So multiple actions have been taking place right from supply chain to our markets, which have really helped us to grow our top line as well as the bottom line. And I think most of these – the good part is all of these actions are very sustainable, and we expect that it will really help us in the going years.

Hrishit Urvis Jhaveri: Yes, sir. And one more question, sir. What's our vision as a management for the next three to five years as a company? Where do we see ourselves in the next three to five years?

Krishnakumar Srinivasan: Well, looking at the growth rate or the CAGR that we have achieved so far, so my expectation is to improve further on the CAGR. So, there is no reason why we shouldn't be able to do that.

And we are looking at various ways of improving our top line, bottom line as a

group, because

with multiple actions taking place on acquisitions, mergers, there is no limitation with the kind of money that we are generating.

So, it would be wrong to put a target. Our targets are very, very steep, and we expect that based on the market demand, we will continue to grow the business, and it is going to be a positive story.

Hrishit Urvis Jhaveri: Yes, sir. And this is the last question, yes. The recent acquisitions of EMF i and Takahata, are we expecting any new capex in the coming years in these acquisitions?

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Krishnakumar Srinivasan: Well, we as management always believe that we have to continue to grow the business, grow the franchise, whether it is, you know, as I said in my talk, that we expect many of the technologies to coexist, which means the EV will coexist, the IC engines will coexist in various forms, whether it is in hybrid or in, flex fuels or in hydrogen blended CNG, et c.

So, there is going to be multiple areas on which we will continue to work to improve our technology and improve our offerings to our customers. So, it will become necessary for us to ensure that all our businesses, where necessary to put capex to grow the business. So, there will certainly be capex infusions that will happen, and it will continue to happen in all the businesses to grow the business.

Hrishit Urvis Jhaveri: That's correct, sir. But do we have any planned figure for FY '25, like, in terms of quantified number?

Krishnakumar Srinivasan: Yes, we do have, but we, that number is still getting, for the year '24 -'25, we have a couple of new projects. See, what happens in a growing industry like electrification is there are new acquisitions of businesses that are happening almost on a daily basis. So this figure is continuing to grow, and we are improving our capacity. As I said, we have just taken a new piece of land in Coimbatore. We are building up a state-of-art, modern facility there, and we'll be putting in a lot of money there.

Hrishit Urvis Jhaveri: And, sir, just the last question to conclude, what would be our current utilization level around 70%-75% or more than that?

Krishnakumar Srinivasan: We continue to work with a very, tight way of managing our capacity utilization. So we are seeing, on an average, it is all 75 -plus kind of a situation that we see in the businesses that we have invested so far.

Hrishit Urvis Jhaveri: Thank you, sir, and all the best.

Krishnakumar Srinivasan: Thank you so much. Thank you.

Moderator: Thank you. The next question is from the line of Navin Matta from Mahindra Manulife. Please go ahead.

Navin Matta: Hi, sir. Thanks for the opportunity. The question was on domestic revenue mix. Can you just kind of break that out into, how much is to the two -wheeler, four -wheeler segment?

Krishnakumar Srinivasan: Yes. So, as I said, if you go through our presentation, which is uploaded in our portal, you'll see that our more than slightly over 50% is coming from our OE segment, and we do have a good mix of aftermarket and exports. Now, what happens in aftermarket exports is also there is a bifurcation of two -wheelers and, the passenger car business.

So, the mix keeps on changing a little bit. So, we don't really publish these numbers, but I can tell you for sure that no one segment of the market, whether it is two -wheeler, whether it is three -wheeler, or whether it is passenger car, is over maybe 17%, 18% of our overall business.

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Navin Matta: Okay. That's good. And, sir, you mentioned about, the drivers for margin improvement. I was just trying to get a sense of, we've already hit about 23% margins in the third quarter. I'm just trying to understand, where do we see, do we see any upside to this or, do you think we would

sustain?

Krishnakumar Srin

ivasan: Well, as you would have seen from the record of the last four years, we have always outperformed the market. So, we are hoping that we can do more. So, let's keep our fingers crossed.

Navin Matta: Okay. And, sir, can you talk about, you mentioned about EV orders. Can you speak about order wins or any major customers where you might have backed some orders?

Krishnakumar Srinivasan: Yes, we have bagged a number of orders. And since most of these orders are under validation phase, homologation phase, of course, CV supplies are also going on. So, it will be wrong on my part to give the names at this stage because most of the customers are wanting us to hold it confidential and we've signed non-disclosure / confidentiality agreements. So, we can't have the disclosures of those names at this stage.

Navin Matta: But can you highlight any kind of loss of order book that you might have or, you know, potentially you could win in the next 12 months or anything that you can kind of indicate?

Krishnakumar Srinivasan: We don't give those figures, but you can be rest assured that we will grow the business. We are not going to invest such a huge piece of money, for buying a new piece of land and building a new modern ultra-facility if we don't have business, right or business commitments.

Navin Matta: Sorry, sir, I missed out. What is the investment? I mean, what is the quantum of investment?

Krishnakumar Srinivasan: It's already there in the public domain. I think it's over INR 700 million.

Navin Matta: Okay. And just one last one, sir. How should we think about, your growth in, especially in the domestic OEMs? we have most of the ancillary companies highlighting that, whatever the market growth is, they would grow about, anywhere between 3%, 5%, 7% above that?

Krishnakumar Srinivasan: So, basically, Matta Ji, that we continue to, as I said, even the domestic business, we are continuing to outgrow the market. And this comes from various possibilities of penetrations into markets which we have not penetrated earlier, getting into new customers, and also trying to ensure that we completely support our existing customers on all their new programs. So, this will continue, this drive will continue to grow the business share.

Moderator: Thank you, sir. We'll take the next question from the line of Chirag Uttam Jain from Emkay Global. Please go ahead.

Chirag Jain: Good afternoon, sir. Thank you for the opportunity. Sir, can you share some thought process in terms of the new product categories or segments that you would like to enter, both organic and inorganic? I mean, you may not give specific categories, but the overall thought process as to what all segments would be relevant to us in the overall scheme of things?

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Krishnakumar Srinivasan: Yes, Chirag Ji. So, certainly, you know, we are looking at various segments. And as I said, with all the work that we did over the last now in less than three years, we have closed two mergers and acquisitions. And if you see the product portfolio, we have tried to maintain it to be within the automotive realm because we are experts in that field and we know that we have a good reach with all our customers and we would prefer to be within this field.

So, with that in mind, I think our direction is more towards – since we are very well impregnated into the IC engine space, which includes also the hybrids and the non-EV applications like the flex fuels as well as others, we would like to certainly look at areas which are agnostic to the IC engines, which means any product or any portfolio – product portfolio which is not – which is going to be there both in IC engine as well as EV vehicles is an area that we would be looking at.

We have done some high degree of work on this, and we are continuously working to see how we can progress on this. For ex

ample, in Takahata, the products that we make goes into steering applications, it goes into seat belt applications, it goes into body parts, it goes into trim applications, it goes into rooftop applications. So, there are a number of applications that it is going into. So, similarly, we are looking for products which can go into multiple areas within the automotive realm.

Chirag Jain: Thank you, sir. One more question on the aftermarket side because that's a fairly big part of your revenue, almost 26% as you shared in the presentation. Any thoughts over here as to what kind of initiatives we are doing on the aftermarket business and in terms of the growth outlook for that piece in particular?

Krishnakumar Srinivasan: Yes. Aftermarket is all about reach. So, we have focused over the last many years now to ensure that we have all the right touch points across the country. I'm very happy to state that we have over 1,200 touch points across the country today and we have multiple distribution network only in India. And we are also supplying to over 45 countries which includes both for OEMs as well as for aftermarket applications, and we supply to many of them with our partners across various countries.

So, it's all about getting the reach and I think I'm very happy to state that we have a very, very good reach and we can use this network very usefully. And this network is also trained for doing a lot of service -related issues in case the issue comes up and this network will also be used for all our EV applications.

Moderator: Thank you, sir. We'll take the next question from the line of Piyush Parag from Nuvama Wealth and Investment Limited. Please go ahead.

Piyush Parag: Hi, sir. And congratulations for a very good presentation. So, a few questions I have. First, if you can just throw some light on, customer concentration that you have for both of your domestic and, of course, maybe top three, to top five customers, how they look?

The other questions would be like more how do you see this in any of your new businesses, either from the product or maybe from the customer? How do you target for, say, suppose FY '24 or maybe FY '25, and '26? How do you see this new business will contribute going forward?

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And what is kind of the trend that you're seeing? So, if you can put some, some color on that? And for me, your capex, how do you look the capex to be? What is your growing capex? What is your maintenance capex? So, these are two questions from my side. Thank you, sir.

Krishnakumar Srinivasan: Yes, Piyushji, basically, as I said, we supply to almost all the OEMs in the country, and then at different segments, point in time, different customers become our top three, it moves up and down based on the segment of the industry that we work on. Sometimes a two-wheeler manufacturer become -- will come in the top three and sometimes he may drop from the top three. So, that's why we don't really spell out our top three customers.

But you can be rest assured, as I said, all the top names, which I read out in my message just now, are there in the top bracket, which includes Maruti Suzuki, Mahindra, Tata, Bajaj, Hero, Escorts and others and Cummins.

Piyush Parag: Yes. So, we just wanted to understand that a new business contribution would be how much? I mean, just what do you like target to have, like, for this year from the your promises, how would be your new business contribution? On something on that's, that you have?

Krishnakumar Srinivasan: Yes, Piyush Ji, you see, when the market is going at a CAGR of 3% to 5% and we are growing at a rate of around 15% or 14%, you can be rest assured that we are breaking into newer markets, newer segments of the business and trying to outgrow the business. So, we'll continue to invest in all the technologies and capacities always ahead of the market.

So, we

believe in growing our business that way and ensuring that we have sustainable businesses from all our customers. So, we have continued to do that and we'll continue to do that.

Piyush Parag: Okay. That's great. And just some sense on the capex, how do you look at the capex?

Krishnakumar Srinivasan: As I said, you can see the capex figures that are already there in our, in the public domain. And we plan to invest similar numbers. There are also very specific areas where we want to, we have to, where we are trying to grow the business with new businesses coming in. And that's the, the INR 700 million that we talked about putting it in Coimbatore for growing our electric vehicle portfolio along with MOU that has been signed with the Tamil Nadu government with a new plant coming up in Coimbatore.

All that is the capex that we'll be putting in for growing the EV business, including the way that we'll be growing all our existing business. The existing business also we are continuing to put our money regularly and keeping investing in on newer technologies. For example, we have to continuously work on, newer technologies like the hydrogen pistons, piston for hydrogen applications, pistons with hydrogen blended CNG applications. All this undergoes, the piston undergoes a massive change with the change in the fuel and we have to continue to invest in these capex.

Piyush Parag: Okay. Thanks a lot, sir. Thanks a lot.

Krishnakumar Srinivasan: Thanks, Piyush. Thanks a lot.

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Krishnakumar Srinivasan: Sure.

Moderator: Thank you. The next question is from the line of NGN Puranik from ENAM Asset Management. Please go ahead.

NGN Puranik: Thanks for a wonderful presentation. I have a question on your technology group because you seem to be making some complex engineering product. It's not easy for everyone to make this.

And you have two collaborations, plus you have a robust R&D and you have done a couple of acquisitions. So all this brings a lot of process technology to the table.

So I want to understand what are these two technologies where the formal agreements you have

are contributing to your process today, plus also your own R&D. If you can give a complete view of your technology focus and processes, that will be wonderful?

Krishnakumar Srinivasan: Surely. Surely. So basically, if you really see our technology agreements that we have, we have technology agreements with four of our partners. One is for manufacturing of pistons and piston-related technologies. And the second one is for manufacturing of piston rings and its technologies. And the third one is with Fuji Oozx for manufacturing of engine valves. We also have the fourth technology agreement with Honda Foundry, which again requires a very unique piston manufacturing technology, which is applicable only for Honda cars across the globe. And we can, once we have started supplies to Honda, we can supply anywhere in the globe with that technology. So those are the technology partnerships that we have, which have ensured that we have grown our business with, especially on our legacy business with these partners.

Similarly, we plan to grow our business, the newly acquired business of Takahata. We plan to, that's why we have the Takahata Japan still holding around 38% of the ownership of the company, because we believe in partnership, and we believe in sitting on the same side of the table to work on strategies for the business. And that is how we have been able to ensure that we are able to get into newer businesses as far as Takahata is also concerned.

And the same way, even with EMF International, we have EMF i partners who are sitting in Singapore, working, sitting with us with a 32%, 34% stake, and continuing to grow the business is EMFi. So this is our strategy, ensure that we have the right technology partners, ensure t

hat

we are able to put in the capex and grow t he business.

NGN Puranik: My question is when you have technology partnerships, they provide certain processes, and then you observe those processes. Do you see every year an incremental value add coming from these technology guys or they are there just for a decorative value?

Krishnakumar Srinivasan: No, no. They actually, when we sit with a technology partner, we actually, it actually gives us an example of what not we should do to be able to survive in India.

NGN Puranik: Excellent. That's a greater advice.

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Krishnakumar Srinivasan: Let me give you an example. For example, if you see an electric motor, I know I used to live in China for almost five years. Okay. And if you see in China, most of the electric vehicles are single owner driven. You will hardly see a Chinese two-wheeler going with four people sitting on the motorcycle or on the vehicle. Now, if you bring the motor and controller from that Chinese manufacturer and try to put it in a vehicle here, you have seen the result what is happening. Everything is burning and you are getting hundreds of heating issues and this and that, so many things happening, right. But whereas in what we have done is we have done grounds up. We have ensured that make the product which is ideal for Indian conditions. We have done engineering on it.

We have ensured that it is able to take the required torque and speed levels and able to require required kilowatt ratings to ensure that we give the best efficiency of the motor, thereby reducing the drain on the battery. We also, in some applications, we also have given motors coupled with a, step up transformer, step up gear boxes to ensure that we get very high efficiencies of the motors.

Now, these are the work that needs to be done locally because the engine conditions are very, very typical to India. These are not where you can just blindly bring a product or a process from abroad and fit it. But we know for sure that whatever has been tried, we don't want to go through the route w here, we go through multiple iterations on issues which have been time tested elsewhere in the globe. So that, we spend more time in development as per the requirement of the country and not wasting our time on developments which should not be in the count ry.

NGN Puranik: So, they help you to localize technology or a design to the market condition here.

Krishnakumar Srinivasan: Exactly, exactly.

NGN Puranik: Thank you.

Moderator: Thank you, sir. We'll take the next question from the line of Ashish Uppanlawar from InvesQ. Please go ahead.

Ashish Uppanlawar: Yes, thank you so much for this. Sir, broadly from whatever we discussed now, it seems to be the strategy that the acquisitions would be there on the non -ICE side and we are trying to get more and more diversification on the plate. So, one would assume that further acquisitions would be in the pipeline.

So, if you could give us your thought process on to which areas you would be looking at?

Because I think a couple of acquisitions are on a different wicket basically into injection moulding and into control systems, etc. So, what all would come under this and are we right in understanding that more acquisitions probably would come?

Krishnakumar Srinivasan: For s ure. We are sitting on cash; we are ensuring that we are deploying our cash quite well and

we will continue to invest into more mergers and acquisitions. But as I said, even the ones that we have done so far, they are all related to automotive applications. So, our strength is in the automotive area and we want to ensure that we continue to grow in that particular area.

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Areas where we will continue to invest for our mergers and acquisitions will be any area which is agnostic to

to the ICE engine. That is what we have set ourselves a target. There could be small applications into the ICE engine along with the kind of products for other areas of the car that could also be a possible acquisition area. So, we are looking at all the possibilities, but primarily at areas which are agnostic to the ICE engines, to the powertrain.

Ashish Uppanlawar: Okay. And the two subsidiaries that you have, what is the contribution to consolidated revenues and profits right now? And how should we look at the Japanese acquisition that you have done to grow? What are the plans with that company?

Krishnakumar Srinivasan: What I would suggest is you can look at the nine-month results. All the figures are there. You can easily expand it for the overall things as far as the domestic market is concerned.

Ashish Uppanlawar: I was inquiring about the Takahata. What is the growth plan maybe for the next couple of years for that company? How are you planning to expand the revenues for that company?

Krishnakumar Srinivasan: Yes. So, we will continue. The continuation of outgrowing the market is there for all our subsidiaries. They have targets which have been very clearly set for this year, which will ensure that we will outgrow the overall automotive market today. The market is growing at the range of around 5% to 6% CAGR. We want to outgrow this market.

So, we will continue to do that in Takahata also and we will continue to do that in EMFi, and we will continue to do that in SPRL and SEL. So, we have accordingly set targets for ourselves, and you will see it on a quarter-to-quarter basis how we perform.

Ashish Uppanlawar: Okay, sure. I have more questions, but the time permits now.

Krishnakumar Srinivasan: Yes. Thank you so much.

Moderator: Thank you, sir. We will take the next question from Rehan Lalji from Equitree Capital. Please go ahead.

Rehan Lalji: Hi. Thank you for taking my question. I do not know if I missed the same, but I just wanted to understand the segmental revenue distribution between your – on your standalone front between piston pins and piston rings and engine valves if you have the data of the same?

Krishnakumar Srinivasan: Hi, Rehan. Basically, as I said, we sell assemblies. Most of the customers buy assemblies. They take the piston -- we assemble the piston, the piston pin, and the piston rings along with, in some cases, even with the conrods and give it. So, it is very difficult for us to bifurcate the revenue that way.

Rehan Lalji: Okay. So, you cannot even give any ballpark estimate of where you get your most revenue from?

Krishnakumar Srinivasan: Well, it is fairly, well broken down between all the segments of the product portfolio that we have today. So, even in SPRL, the pistons, the piston rings, engine valves, depending on the kind of product that we have, of course, there is a small variation in the overall turnover, but more or less it is well equated.

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Rehan Lalji: Understood. And at your, I am talking about your standalone entity, what is the peak potential revenue you assume you can do from your current, I think, five manufacturing plants? What is the peak kind of number do you think you can do from the current five?

Krishnakumar Srinivasan: Again, that is a very typical crystal ball gazing that we will have to do, but for us, we have committed ourselves to service the last IC engine that will be there made globally. So, for us, the markets are global. We have outreach up to almost 45 countries today and there is no reason why we should not do more.

And as many of the customers, you know, today, the overall penetration of EVs in the market, though initially it was very buoyant, but people have now become more and more realistic to the numbers that are happening, including the hybridization that is happening globally, even including

Europe and Japan, and any hybrid business also requires a lot of IC engines and we are working on programs with customers which are going to probably see the light of day in the 2030s. So there is no reason why we should, you know, in any way discount the legacy business. So we expect that we will grow in all segments of the business.

Moderator: Thank you, sir. We will take the next question from Shiva from Purnartha Investment Advisors. Please go ahead.

Shiva: Good evening, management. Thank you for the opportunity. My question is with respect to the

gross margin. If I look at your gross margin for the last 10 years, in the initial first five years, it was at least 69%. And in the next half of the five years, it went down to 62 -odd-percent. During this time, I understand the raw material has been fluctuating, but on a larger scale, it has been stagnant at this point. So, could you just tell us why this shift in the gross margin in the last 10 years?

Krishnakumar Srinivasan: Yes. Mr. Shiva, good question. And let me answer it this way that, what has happened is, as the BS6 came into picture, you know, from sometime in 2018 -2019, we were among the top runners in terms of providing solutions to almost all the customers in India. And we took a tremendous lead in ensuring that we are able to supply the newer designs required for BS6 applications, and thereby changing completely some of our mix that we had.

And over the period of time, we have also continuously also worked on improving our bleeders and ensuring that we are able to improve the overall mix within the portfolio that we have. At the same time, we have seen that the customer mix, as well as the segment mix, in terms of the products, have continuously also been looked at to ensure that we are able to improve our gross margins.

So, I think we have worked on multiple areas. It's very difficult to pinpoint one area giving a certain percentage. It's a combination of various exercises that we have done over a period of time.

Shiva: So are you saying that it fell down, right, from 69 -odd to more than 1,000 bps gone.

Krishnakumar Srinivasan: No, it also -- see, you will have to look at the material margins and other things also. So, basically, it's a combination of multiple activities.

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Shiva: Okay. Thank you. And the second is with respect to your royalty expenses. If I see, so you have been ranging from 2.1% to 1.8% roughly. So my first part is, how are those royalty expenses calculated? Is it a percentage? Who are the players that we pay to? And the second part is, KS Kolben has said that he will exit our stock. So, is the partnership still hold and the royalty still hold? It's only the exit of stock? Or how does that change the royalty expenses?

Krishnakumar Srinivasan: Yes, again, a good question. Let me answer the second part first. As far as KS exiting our stocks are concerned, it was primarily done by their parent company called Rheinmetall. Because Rheinmetall took a strategic decision of moving more into, post the Ukraine war, they wanted to actually invest more into defence applications in Germany. So they wanted to actually move out of some of the other areas that they were in.

It is not only the Kolbenschmidt that they have hived off, but there are many other companies also that they have looked into. So, Kolbenschmidt that way came out of Rheinmetall. And that's the reason why Rheinmetall, which was a parent company holding the share, they decided to sell their shares. But as far as Kolbenschmidt is concerned, we continue to have a technical collaboration agreement. In fact, we renewed it just recently. And it's renewed for the next seven years.

So, there is no reason why we will get out of it. Because we have had a very longstanding partnership with Kolbenschmidt over the last five decades now and we are

very, very close as

partners. And as far as the royalty is concerned, most of the royalty that we pay is as per mostly international levels. And it is as per what is done by technology agreements all across the globe. So we are within those norms. Thank you.

Moderator: Thank you. We'll take the next question from NGN Puranik from Enam Asset Management. Please go ahead.

NGN Puranik: I have one question about how will you manage disruption in the IC engine space? And what are your plans for that? Are you technologically secured in terms of collaborations and all that?

Or do you need to add more technology collaborators into the space? How do you -- how will you manage it? How will the revenue scenario look like in the next few years?

Krishnakumar Srinivasan: Yes. As far as the technology scenario is concerned, we started working on building our own technology center some way back in -- almost a decade back. And post that, we have trained our people and we have our own patents also. And we have done a lot of work wherein we can be sure that we can develop many of the parts ourselves. But at the same time, we are working with our technology partners to continue to develop newer solutions as is required by the industry. Now, what is exactly -- what are the disruptions that are happening in the industry? I already talked about in my speech. The disruptions that are happening is that the IC engines are getting broken up into a number of other, fuel solutions, like going in for hydrogen applications -- hydrogen as a fuel application. Second is going for ethanol blending. We have moved up from 20%. We are working on products up to 85% blending.

Then it has gone into flex fuels. It has gone into LNG applications, CNG applications. It has gone into hydrogen blending with CNG. So there are a number of areas that we are working on.

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And I'm very happy to state that we are absolutely leading most of these disruptions along with our customers. So we are working on a number of solutions with our customers and multiple things on the test bed.

Luckily, we have our own test benches. And in fact, many of our customers do their testing on our test bench. So, it is to world standards. So, we are well equipped to face this disruption.

NGN Puranik: So you will see -- you don't see any sudden shocks from the ICE, non-ICE space?

Krishnakumar Srinivasan: As I said, we are present in the ICE space as well as non-ICE space. We are also present in EV motors and controllers. So, there is no reason why we should be affected. We will continue to grow in both areas.

NGN Puranik: And that's a significant portion of your business, motors and controllers?

Krishnakumar Srinivasan: Yes, it is going to be.

NGN Puranik: Oh, so that will...

Krishnakumar Srinivasan: It's a 1% of the market. We'll also grow.

Krishnakumar Srinivasan: I think we have already crossed our time. But I think we'll take another five or seven minutes to try to answer as much as possible.

Moderator: Sure, sir. Thank you. We'll take the next question from Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Am I audible?

Moderator: Yes.

Deepak Poddar: Thank you very much, sir, for this opportunity. Sir, just wanted -- just have a thought. We have a gross margin of 60%, right? And we have been vocal that we look to maintain or improve upon the CAGR we have been doing, which if I have to see last maybe two years, we are growing at about 25% CAGR.

If I have to assume a similar CAGR going forward with a gross margin of 60%, ideally your -- because of your leverage only, I feel that your EBITDA margin can see a substantial jump. So just wanted to have your thought on this.

Krishnakumar Srinivasan: Well, that's one of the scenarios.

Deepak Poddar: Yes. So ideally there -- so is there any aspiration in margins that

from a current trajectory of

maybe about 21%, we want to look at a trajectory maybe towards 25%, 24%, 25% over the next three to five years?

Krishnakumar Srinivasan: Well, our way of working is we try to outgrow the business, outgrow the markets, and do all the right things for the business. So when we are doing all the right things, I think the EBITDA and Shriram Pistons & Rings Limited

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the PAT and PBT are all the end results that will come. So we believe that the end results will be certainly coming in line with all the actions that we are taking. But we focus on the actions and doing all the right things for the business.

Deepak Poddar: Fair enough. Correct, correct. And my second question is on your capacity. You said we currently are running at about 75% capacity utilization. So about Coimbatore, I think new facility which we are working on, so how much capacity that will contribute and how much capacity increase will happen because of that investment?

Krishnakumar Srinivasan: Well, see, there again it is a combination of motors, controllers, and we are also going to make a combination of assemblies and other things. So, it is as per the requirements of the customers and, the number is there -- one of the statements that I did earlier in my speech was also, we have to ensure that we are putting the capital ahead of the market because if we don't do that in a business like EV, then you will miss a very good potential possibility of supplying to major customers. And that's not something that we want to do.

Now, based on all the recent working that we have done and all the various areas that we are working with our customers, knowing that we are going to win those businesses, it is necessary for us to grow the capacity ahead of the market. And that's exactly what we are doing. And it will be very difficult for me to tell exact numbers because the lines are fairly fungible and even in our existing business lines are fungible. So, we can -- if one segment of the business goes down, we can always make the other segment of the business on those lines. So in the same way, we are also doing for the other products.

Deepak Poddar: Okay. But what's the optimum capacity utilization?

Deepak Poddar: Yes. So what's the maximum optimization -- optimized capacity utilization we can reach? I mean, is it 100%?

Krishnakumar Srinivasan: We are looking at more than 0.5 million.

Deepak Poddar: What, 0.5 million?

Krishnakumar Srinivasan: 0.5 million motors and controllers immediately.

Deepak Poddar: No, I was asking in terms of percentage. I mean 75%, which is your current utilization level. So is it possible to reach 100%?

Krishnakumar Srinivasan: Why not? Certainly. And not that the capacity is, by small additions of certain bottleneck areas and all that, we can further increase the capacity. So there is no big problem. We have enough piece of land. We have always believed in ensuring that we have good areas for growth, good physical land area available also for growing the business. And we have enough land in our Pithampur facility. If we have to put up another factory and put up few lines, we will certainly do that.

Deepak Poddar: Fair enough. All the very best to you, sir. That's it from my side. Thank you so much.

Krishnakumar Srinivasan: Thank you so much.

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Moderator: Thank you. The next question is from the line of Chitresh Modi from Unicity Capital Management. Please go ahead.

Chitresh Modi: Yes. Hi. Thank you, sir, for the opportunity. Congratulations for a great set of numbers. But two questions. In your presentation, you did -- you have shown that the revenue mix from non - automotive applications is about 3%. And I do understand that you made some acquisitions. So going forward, I don't want any guidance, but what do you think this pa

rticular number should

reach at? Would it be 5%, 10% kind of number? Or this is more like a steady state number that we are looking at?

Krishnakumar Srinivasan: No, the non -automotive that you see in the presentation is primarily for SPRL, which is a stand alone business. That is the stand alone business of our pistons, rings, and engine valves and others. Okay. So that non -automotive applications are primarily applications like compressors, applications like marine engines, applications like snowmobile applications, like skaters driving on the snow and all that. For all those applications, we supply the pistons globally. So those are the non -automotive applications that we are talking about in the presentation. But if I were to look at the consolidated non -automotive applications, I think it should be well crossing to the high 20s.

Chitresh Modi: Okay. All right. Okay. And, sir, second question was, obviously, like post -COVID, when I look at your operating profit margins, and you have shown a fantastic growth in that, like almost close to 500 or 600 basis points in the last three years. What do you think is the key attribute for such a great margin improvement? Would you say is it a newer technology, newer product, or you would say more it is because of the operational efficiency that the company has?

Krishnakumar Srinivasan: I think I answered this question earlier. The same question was asked earlier, and I have already answered it. But I said it's multiple activities across the entire supply chain, including improving capacities, improving efficiencies, improving productivity, etc,

Moderator: Thank you, sir. We'll take the next question from Senthil Manikandan K. from Ithought PMS. Please go ahead.

Senthil Manikandan K.: Thanks for the opportunity. My first question is with respect to our core business. As the powertrain moves from ICE to hybrids and CNG or LNG, so what could be our content per vehicle? And with respect to as technology is getting upgraded, will we also see a higher realization per vehicle? That's my first question.

Krishnakumar Srinivasan: Yes, certainly we see a higher realization as the technology moves up. For example, the hydrogen piston requires multiple areas to be attacked, including hydrogen embrittlement and others. So there are a number of areas that we have to work on. And we expect higher realization as the technology moves up. So we have always ensured that we get that.

Senthil Manikandan K.: Can you please quantify it?

Krishnakumar Srinivasan: Quantification is a little difficult at this stage because many of these are under drawing board stage at this stage. So it will be very difficult to quantify at this stage. But you can be rest assured that it will only go on the positive direction and not go on the southward direction.

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Senthil Manikandan K.: Second question is broadly on the capital allocation strategy. So the company will be placed in the cash flow generated from the core business to do an M&A on the emerging powertrain. So that could be broadly the capital allocation strategy going forward, right?

Krishnakumar Srinivasan: Well, it all depends on the kind of M&A targets that we have. And it could be a mix of many, many things. So we can't at this stage say that this is what is going to happen. It's going to be a combination of many, many things. So very difficult to answer it purely on one side.

Senthil Manikandan K.: Okay. Thanks, sir.

Moderator: Thank you, sir. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Krishnakumar for closing comments. Over to you, sir.

Krishnakumar Srinivasan: Yes, thank you once again. I would like to express once again my sincere gratitude to everyone who joined on our maiden investor call today and contributing to this really

very engaging

discussion. We remain committed to pursuing our business strategies and doing everything that is right and continuing to deliver positive results.

If you have any questions or require any additional information, please do not hesitate to reach out to our Investor Relations team. Once again, on behalf of the company, I would like to extend my heartfelt thanks for your time and participation. Please do take good care and thank you very much. Goodbye.

Moderator: Thank you members of the management. Ladies and gentlemen, on behalf of Shriram Pistons & Rings Ltd., that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. Some minor editing may have been done for better readability. In case of discrepancy, the audio recording uploaded on the stock exchange on April 06 , 2024, will prevail.

Call: May 2024

May 21, 2024

Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
ISIN No. INE526E01018

Company Symbol: SHRIPISTON

Sub: Transcript of the "Earnings Conference Call" - Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations")

Dear Madam/Sir,
With reference to the captioned matter and in furtherance to our earlier intimation letters dated May 10, 2024, and May 16, 2024, regarding the schedule, investor presentation, and Audio Recordings of the "Earnings Conference Call" of Shriram Pistons & Rings Limited (Company) and in compliance with Regulation 30(6) read with Schedule III and other applicable provisions of the SEBI Listing Regulations, please find enclosed the transcript of the Earnings Conference Call held on Thursday, May 16, 2024.
The above information is also available on the website of the Company and can be accessed at <https://shrirampistons.com>.
Kindly take the above information on record and treat this as compliance with SEBI Listing Regulations.

Thanking you.

Yours faithfully,

For Shriram Pistons & Rings Limited

(Pankaj Gupta)
Company Secretary & Compliance Officer
Membership No.: F4647
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"Shriram Pistons & Rings Limited
Q4 & FY24 Earnings Conference Call"
May 16, 2024

MANAGEMENT : MR. KRISHNAKUMAR SRINIVASAN – MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. PREM RATHI – EXECUTIVE DIRECTOR AND CHIEF
FINANCIAL OFFICER
MR. PANKAJ GUPTA – HEAD LEGAL AND COMPANY
SECRETARY

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Moderator: Ladies and gentlemen, good day and welcome to Shriram Pistons & Rings Limited Q4 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Today from the management we have with us Mr. Krishnakumar Srinivasan , Managing Director and Chief Executive Officer, Mr. Prem Rathi, Executive Director and Chief Financial Officer and Mr. Pankaj Gupta , Head Legal and Company Secretary. Before we begin, let me remind you that this discussion may contain forward -looking statements and may involve known or unknown risks, uncertainties and other factors.

It may be viewed in conjunction with the business risk that could cause future results, performance or achievements to differ significantly from what is being expressed or implied by such forward -looking statements.

I now hand the conference over to Mr. Krishnakumar for his opening remarks, post which we will open the floor for an interactive Q&A session. Thank you and over to you, sir.

Krishnakumar S. : Thank you and good afternoon, everyone. On behalf of the company, I would like to express our sincere gratitude to each one of you joining our Q4 and FY '24 Earnings Call today. Our investor presentation and press release has been uploaded on the company's website and the stock exchanges and we hope you all have had the opportunity to go through the same.

FY '24 has been a remarkable year for the company as we delivered our highest ever financial performance by crossing the INR30,000 million milestone in terms of the total income as well as delivered the highest ever profitability of the company to date. Our standing as the leading manufacturer and exporter of our products in India, backed by our cutting -edge technology and technological collaborations with global leaders, has actually enabled us to achieve these feats. We have outgrown the domestic automobile market, which actually grew by a weighted average of around 7%, whereas we achieved a growth of almost 14.5% in total income, which is almost double of the market growth. The domestic passenger vehicle industry, which you would have seen, recorded its highest ever sales of 4.2 million vehicles as far as the passenger vehicles are concerned, along with a robust growth in the two -wheeler and three -wheeler sales of 18.67 million vehicles collectively.

We have also provided the company with the necessary tailwinds as we recorded a 15% growth in domestic sales, which reached INR23,901 million in FY '24 and a 7% growth in exports, which was INR5,182 million in FY '24 . I am really happy to share with you all that during this quarter, we have commenced the manufacturing operations at our plant in Pitampur in Madhya Pradesh.

Further, the process of building a state -of-art manufacturing facility near to our existing facility in Coimbatore is also on track. This facility will be focused on growing our EV portfolio, including electric motors controllers, for passenger vehicles, two -wheelers, three -wheelers, as well as the commercial vehicles. While we will continue to focus on developing and

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manufacturing the high-quality products for ICE engines and its alternate fuel solutions like the hybrid, the hydrogen, the CNG, the HCNG, the flex, etc etc , we are also strategically diversifying our product portfolio for future readiness.

With the acquisitions of majority stakes in SPR EMFI and SPR Takahata Precision India , we are positioning ourselves to capitalise on the growing market

for electric vehicles, EV mobility

solutions, and plastic injection moulded parts. I believe with our meticulously crafted business strategies, we will resiliently navigate the business landscape with our primary focus remaining on achieving an all -round growth in the business, which will ensure long -term sustainability of the business overall.

Guided by an experienced team and visionary leaders, SPRL is well -equipped to deliver precision -quality products to its clients, embracing new and cutting -edge technologies in the auto-component industry.

Let me quickly take you through the key standalone SPRL financial highlights for the quarter and the full year. Let me give some highlights of the quarterly financial performance first. Our total income for the quarter stood at INR8,029 million in Q4 FY '24 against INR7,128 million in Q4 FY '23, thereby registering a growth of almost 12.6% year -on-year. Our operating profit EBITDA was at INR1,906 million, which expanded by 24.2% year -on-year.

Our EBITDA margin expanded by 222 basis points to 23.7% for the quarter from 21.5% in Q4 FY '23 . Further, profit after tax for the quarter was at INR1,206 million against INR926 million in Q4 FY '23 , reporting a significant growth of 30.2% year -on-year. We reported a PAT margin at 15% for the quarter, which has improved by 203 basis points from 13% in Q4 FY '23 . So, overall there has been a stupendous growth in all-round sales as well as EBITDA and the profitability after tax.

Now, moving on to the highlights for FY '24 , our company achieved a 14.5% year -on-year growth in total income to INR30,351 million in FY '24 as compared to INR26,513 million in FY '23 . Moreover, our consolidated total income recorded a growth of 19.5% in FY '24 , growing

to INR31,746 million from INR26,560 million in FY '23 . Our EBITDA expanded to INR7,114 million, witnessing a growth of 39.6% on a year -on-year basis. The EBITDA margin improved 421 basis points from 19.2% in FY '23 to 23.4% in FY '24 . On a consolidated basis, FY '24 EBITDA stood at INR7,273 million, recording a strong growth of 43.4% from the previous fiscal. Consolidated EBITDA margin stood at 22.9%, expanding by 382 ba sis points from 19.1% in FY '23 . Similarly, our PAT for FY '24 stood at INR4,468 million, which grew by 51.2% on a year -on-year basis against INR2,956 million in FY '23 . The PAT margin has also expanded from 11.1% in FY '23 to 14.7% in FY '24 . On a consolidated basis, PAT stood at INR4,387 million, surging by 49.3% in FY '24 from INR2,939 million in FY '23 . The consolidated PAT margin was at 13.8%, expanding by 275 basis points from 11.1% in FY '23 . Our ROE and ROCE as at the end of FY '24 stood at 22.9% and 29.2% respectively. The company is generating positive cash from operations with tune of INR4,742 million during FY '24 . We have been maintaining a robust credit profile with the credit rating of AA stable.

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I am really happy to share with you all that our esteemed Board has recommended a final dividend of INR5 per equity share for FY '24 in addition to the interim dividend of INR5 per equity share already paid. This is post the 1 :1 bonus issue that was given in FY '24 . I am also delighted t o announce that our Board has recommended and approved the listing of the company's equity shares at the Bombay Stock Exchange, which is subject to necessary approvals and clearances.

With this, I would like to end my opening speech and I would request th e moderator to open the floor for questions.

Moderator: The question is from the line of Rucheeta Kadge from iWealth Management. Please go ahead.

Rucheeta Kadge : Hello, sir. Good evening. So my question was mainly on the side of this compan y that we have a partnership or technology partnership with KS Kolbenschmidt . So just wanted to understand, so what is the technology

through which they are producing their pistons and what is their market share overall?

Krishnakumar S.: Yes, so Kolbenschm idt actually is our technology partner and as you know that they have been in this field for a pretty long time and we have had a ssociations with Kolbenschmidt for the last five decades. So practically all our piston designs have been based on the technology that we have learned from Kolbenschmidt and as on date going forward also, there are a lot of changes that are happening in the piston design.

From a techn ology standpoint because of the high-power density and to p density requirements that are coming in the market especially for the commercial vehicle side which requires a complete change in the design of the pistons and we are working with them to bring tho se pistons into the market, number one.

And number two, as you know we are working on our technology center which is set up in Ghaziabad. It is one of the premier technology centers which does end -to-end design right from design and al l the various analys is like FMEA and others and PFMEA and also the various analysis. We are able to deliver the products to our customers duly designed in -house in Ghaziabad.

This design center is presently working on forward -looking technologies for CNG requirements for ethanol blending right up to 85% and also hydrogen pistons. We have delivered some samples. We have already worked with our customers and we are working with them for further developing the same.

And for all that we also closely collaborate with our partn ers Kolbenschmidt . So that's one part of the question. Second part, as far as the market share is concerned I think we are the leading manufacturers in the country and our market share is certainly on the higher side. So I am unable to give the exact figur es due to UPSI information.

Rucheeta Kadge : Sorry, sir. So actually, let me reframe the question. My question was mainl y on the side of Kolbenschmidt . So what is their market share and the kind of pistons that they make like let's

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say there are three to four technology in pistons, so w hich kind of technology are they using and what is their market share in that?

Krishnakumar S.: They also use the same t echnology as what we use today a nd they also manufacture aluminium pistons, steel pistons and others. And depending on the markets, the product requirements are different.

Now, that's what I said for the European market is already a high -torque, high -power density market where they make even forged pistons and steel pistons and others where they have a very high market share. And in aluminium pistons in certain markets where they supply, say, to the Czech Republic as well as to the U S even in U S markets they are selling quite a good amount of steel pistons and aluminium pistons, forged aluminium pistons which we also make in the country today.

Rucheeta Kadge : But is there any market share that you can talk about that they have?

Krishnakumar S.: They are among the top two manufacturers, apart from Federal Mogul, MAHLE and Kolbenschmidt are the only three top manufacturers globally that are present across the globe.

So, they have a fairly good market share.

Rucheeta Kadge : Okay. So, on this point only, sir I was just reading an article wherein I heard that they are kind of shutting down this operation of theirs. So, since we have a technical partnership with them, so in case that unit of theirs closes down, do we have an opportunity to produce it through that technology and grab whatever market share they have and then drastically our exports would increase. Is that a way to look at it? If you could just help me with that?

Krishnakumar S.: Let me highlight first and foremost I don't think Kolbenschmidt is closing down let me re -clarify this. Actually, what has hap

pened , the owner of Kolbenschmidt which is Rheinmetall they have decided to focus all their attention on their defence business and they have decided to move their focus from the piston business that they were in which was actually done under the name of Kolbenschmidt . And hence, they have actually sold out the piston business which has been now acquired by Comitans Capital and it has been run as Kolbenschmidt specifically all over the globe.

So, they are not closing down. They are still operational completely and we still continue to have our technology collaboration with them. That's point number one. Point number two, as far as our independence and self -sufficiency is concerned with regards to our own development I think our engineering center over the last more than a decade that it's operating is very well -equipped today in all aspects including testing and analysis, to be able to design its own the pistons as per the requirement of our customers here in India as well as other parts of the globe and be able to deliver the products as per their requirement. So, we do have that self -sufficiency today, but at the same time we value our partnership with Kolbenschmidt and on some of the new technologies we are even working together.

Rucheeta Kadge: Okay. Understood, sir. Thank you for your detailed answer. I have a few more questions, but I'll join the queue . Thank you.

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Krishnakumar S.: Thank you so much.

Moderator: Thank you so much. Next question is from the land of Chirag Jain from Emkay Global. Please go ahead.

Chirag Jain: Hi. Good afternoon, sir, and thank you for the opportunity. Just wanted your thoughts on FY25 outlook. Some of the OEMs have highlighted especially on the passenger vehicle side growth to moderate to about mid -single digit. Even outlook for the CV industry has been more or less flat for FY25. Any thoughts you would like to share on the domestic auto industry outlook in our business and also probably if you can touch base on aftermarket business and international business in terms of the overall growth outlook?

Krishnakumar S.: Hi, Chirag. Yes . First and foremost let me highlight how the market is moving as far as the domestic market is concerned. What is happening is we see excellent pull in both the passenger vehicle as well as the two -wheeler industry.

And except for the cyclical changes that happens normally in the month of April we are seeing excellent scheduling coming in from most of our customers, especially for the passenger vehicles as well as the two -wheeler markets. You rightly said I think the election did have its small impact on the commercial vehicle industry.

Commercial vehicle industry has been slightly flat. But post -elections and post the new government coming in, there are expectations of, funds getting released and the newer investments taking off in full swing. And we expect the market to pick up very drastically there. And the commercial vehicle industry, especially in Q3, Q4, is expected to actually rise up from the current levels that it is in today. So that's as far as the domestic market is concerned. And in fact, as far as our exports and aftermarket is concerned, I think we are growing at a fairly steady rate. Our focus has been on penetration and we have been able to do that in quite a good way. And which has actually given us the improved benefits both on top line and bottom line.

Chirag Jain: Okay. Thank you. That's very helpful. So another question in terms of the EV powertrain business, any development or progress that you would like to share in terms of new auto bins over there? Some details?

Krishnakumar S.: You mean EV powertrain? Yes, we have, as I said, I think I said this in the last call also that we have been able to start off in a very good way as far as our EV business is concerned.

And we

are working with many of our customers on newer developments. Many of the products are under testing.

And looking at the current, business scenario and the kind of volume growth that we are expecting to happen in the EV markets, we realize that we'll have to immediately go for, building up, our capacities. And we are putting up a completely, even though we have a fairly good capacity and that capacity seems to be getting booked now soon, we have bought recently a new piece of land in Coimbatore and we are building up a new factory there in Coimbatore for making the EV motors and further, adding more lines. So, unfortunately, I can't give the numbers and figures of the customers, but I certainly think that the volumes are looking very, very healthy.

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Chirag Jain: Okay. Just last thing and then I'll come back in the queue. Anything on the M&A opportunities that you would like to highlight?

Krishnakumar S.: Well, we are looking at it like a hawk and I'm hoping that we will be able to close a couple of deals soon. Okay.

Chirag Jain: Okay. Thank you so much. That's it from my side.

Krishnakumar S.: Thank you, Chirag.

Moderator: Next question is from the line of Sanjay Kular from ACME Private Limited. Please go ahead.

Sanjay Kular: Compliments to you, sir, for delivering good results. I have two questions. One is, what is the vision target in terms of sales over next three to five years? And what is the capex for one or two years down the line?

Krishnakumar S.: Hi, Sanjay.

Sanjay Kular: Hi, how are you sir.

Krishnakumar S.: Yes. So, first and foremost, again, future looking, vision numbers, we don't normally give in the thing, but we are looking to, continue our focus on outgrowing the market. We expect the market to grow, as you would have seen last year.

We expect similarly this, current year as well as next year. If, of course, post the elections, we are hoping that everything goes well. We are hoping that the markets will rebound very strongly and we will be looking at a figure of around close to 6% to 8% growth in the market as far as the volumes are concerned.

And we have a fairly good position with all our customers and we expect that our growth should be better than that, primarily not only the improved sales coming from the domestic businesses, but also with the focus that we have with regards to penetrating newer markets in the aftermarket and exports. So, we expect to still continue to outgrow that figure of 6% to 8%. Now, coming to the capex need, as I have said, that we will be the last man standing as far as the IC engine is concerned.

We will still service all the last engine that is made globally. And with that aim in view, we have to ensure that we are able to meet our customer requirements on a regular basis. And based on their programs and their outlook, we have to continue to invest into our current business.

But we are doing it cautiously and we are trying to bring in a lot of operational efficiencies and also ensuring that we are bringing in a good amount of, success with our automation and other digitization progress that we have done, thereby helping us to improve our output as much as possible. And regulate our capex to the extent that is possible in our legacy business. So, we have been able to do that quite well and we hope to continue to do that in the coming future.

Sanjay Kular: Okay. Thank you very much, Sanjay.

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Krishnakumar S.: Thanks a lot, Sanjay.

Moderator: Thank you. Next question is from Varun Arora from B&K Securities. Ltd. Please go ahead.

Varun Arora: Sir, just one question. Since I am very new to this company, I just want to ask you. So, what sort of capex you are doing for this green field expansion for this EV in Coimbatore? I

if you can give any number.

Krishnakumar S.: Yes. On the EV side, as you would have seen, it's a figure which is already available. We have invested almost INR70 crores further beyond our investment to the company where we are putting in for new capex and new, lines that we are putting up there, including building up a

brand -new plant in Coimbatore .

Varun Arora: That's only for Coimbatore, right, sir?

Krishnakumar S.: Yes.

Varun Arora: And all together, if you are putting capex for FY25, what will be the ballpark numbers for FY25 all together?

Krishnakumar S.: The INR70 crores will be mostly spent in FY25, as I see. Okay.

Varun Arora: That will be the Coimbatore.

Krishnakumar S.: Yes.

Varun Arora: Okay, sir. Okay. That's it from my side, sir. Thank you.

Moderator: Thank you . Next question is from the line of Dhruv from BP Wealth Management. Please go ahead.

Dhruv : Congratulations on the great numbers for FY24. Your claim has been that the company is confident about growing twice the industry growth rate. How confident are you, sir, considering the moderate outlook as mentioned earlier in the coming year?

Krishnakumar S.: I think, Dhruv, I already answered this, that, last year we were able to almost double than the market growth. the market was almost like 7 % weighted average. And we were able to register a growth of almost 14.5 % as far as our top line was concerned. But going forward, of course, it depends on the market, depends on the customers. But we expect that the passenger car industry will still continue to grow at around 7 % -7.5%. And the, commercial vehicle is expected to be a little flattish.

The two -wheeler markets are also expected to grow between 5 % to 7%. So, we expect to outgrow this market, primarily coming with our push on improving our, sales into the export and aftermarket. So we will continue to outgrow this number.

Dhruv : So my only concern was the 2X industry growth number that we were targeting. It is feeling a bit out of reach at this point. Is that how you would look at this?

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Krishnakumar S.: No. When I say outgrow, it could be 2X also.

Dhruv : Right. Okay. My next question is on the Pitampur plant, sir. These commenced commercial production. Can you give me some number on the revenue potential of this entire plant when it is up to capacity?

Krishnakumar S.: Yes. See, basically, the Pitampur plant started in March. And we have already done our billing in March as well as we continue to do our billing in April and May. And we are ramping up production there. And you know, we have put in almost close to, with regards to the overall business, we have put in almost close to INR80 crores of rupees in terms of building the new plant. And it is a state -of-the-art plant, fully integrated.

And it's one of the most modern plants that you will see in terms of industry 4.0 requirements and interconnected machineries and everything. So we expect to really get a fairly good potential out of this investment.

Dhruv : Based on the current capacity, sir, you wouldn't happen to have a number for the peak revenue from this plant?

Krishnakumar S.: No, all the, capacities that have been put up is backed by forward -looking customer businesses that have been awarded already to us. So we expect that plant to get booked up very soon. And we'll continue to grow that business and grow that plant. So I can't give the numbers, unfortunately, but we hope that we will certainly be able to release the figures hopefully by the next quarter.

Dhruv : Sir, my last question is on your EMFi collaboration and the production that you're doing on the motor controllers. So can you give me some numbers on the market, the share of two wheelers and PVs and CVs? That will be really helpful for us to understand.

Krishnakumar S.: Well, we don't give our market

share figures normally, obviously, because this has all been tracked by our competition also. And we have to be a little careful on this. But at the same time, we want to inform you that we have put in lines which will make hub motors right from 250 watts right up to 30 kilowatts and mid-drive motor lines which can make right from 7 kilowatt right up to 300 kilowatts.

Now when we put this kind of a range, it caters to, including small bicycles with a small motor of 250 watts, we can cater right up to 300 kilowatts, which goes into commercial vehicles. So you can be rest assured that we are not going to sit here only making for two wheelers or this thing. So as the market grows, we are going to cater to all the segments of the industry.

Dhruv : Okay, great. I'll share my part and then we can add on to it if you want. Can I assume that right now since two-wheeler penetration is much higher, it would be somewhere around 60 %, 70% two-wheelers and the rest would be passenger vehicles and commercial vehicles? Or the mix is even more deeper?

Krishnakumar S.: The market is more two-wheeler today as far as the EV industry is concerned. And so two-wheeler is prominent at this stage. But there are a number of programs on which we are
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already doing, multiple trials are going on and the various testings are going on. The reliability trials are going on. There's a lot of work which is going on, on the other segments of the market.

Dhruv : Okay, great.

Krishnakumar S.: Thank you.

Moderator: Next question is from the line of Anubhav from Prescient Capital Advisors. Please go ahead.

Anubhav : Sir, I'm new to the company so please forgive me if some of my questions are very basic. So the first question I have is if I look over like last four, five years, there have been a significant improvement in margin and it seems to be coming from lowering of like manufacturing costs.

So is this improvement because of some change in product mix due to change in emission norms or is it cost control? Sir, if you can explain this, it will be very helpful.

Krishnakumar S.: Yes. So Anubhav, you are right in your observation that last four or five years there have been massive changes in the operational efficiencies. We did go for big changes with regards to modernizing our lines and ensuring that we are able to bring in more automation and digitization.

And at the same time, focusing very heavily on operational efficiencies and all that has helped.

Number one.

And number two, there have been also number of other areas that we have worked beyond this to be able to improve our products. Then at the same time, our lines are fortunately for us, our lines are fairly fungible and based on the market needs, we are able to really cater to those needs by switching on the products into different lines and thereby meeting the market demand.

So we have been able to meet our customer requirements well and we have been able to thereby utilize our capacity quite well. So those are the areas that have really helped us to improve, number one. And number two, going forward, we continue this journey and we are hopeful that we will have the ages of all our customers to be able to continue this journey. And the market also remains in a good state in the coming next two to three years.

Anubhav : Sir, in your core product range of pistons and valves, how has your market share moved in the last four, five years? Has it increased compared to your competitors?

Krishnakumar S.: Well, I think I replied to this question earlier. We have been constantly working with almost all the customers. And when you outgrow the market, especially when the market has grown by 7% and we have grown by 14.5%, it's but natural that we have actually improved our market share.

So we have worked on improving our market share and we have

worked on continuing to take

more businesses across different segments of the market.

So there's not only a segment mix change, there is a product mix change, there is also improvements in the segments of the market. For example, you started supplying pistons for marine engines, rings for marine engines, pistons for snowmobile applications, etcetera, etcetera.

So there are many new applications that we have added, which has also helped us to grow the business.

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Anubhav : And sir, in the aftermarket segment, what are the key growth drivers for us? Like, is it like we are increasing our distribution or like we are taking share away from any unorganized players?

If you could explain that that would be helpful.

Krishnakumar S.: No, aftermarket business is a slightly different business, and we have to ensure that our brand continues to have its value. We have been focusing on improving our product quality to such an extent that the brand has been pulled by the market. So we see a huge pull for our brands.

Basically, there are two major brands within our portfolio. One is called the USHA brand and the second one is called the SPR brand. And both the brands in different segments of the markets are actually doing very, very well and they have been able to create a huge pull from the customers. So that's the primary reason that we have a fairly good penetration.

Second point is that we have worked heavily on ensuring that we are able to penetrate the market and ensure that we have the products lined up with all segments of the market. So in aftermarket it is very important for us to be present in all nook and corner of the country. I am happy to state that we have over 1,200 touchpoints in the country and we have field staff which are servicing these touchpoints on a regular basis, almost on a daily basis. So it's all about the service levels and it's all about the penetration levels that we are able to achieve.

Anubhav : And so in the aftermarket, is there any like share that is with the unorganized segment or is it

entirely with branded products like yours?

Krishnakumar S.: No, we don't fight with unorganized players. We have our own standing in the market. There's a huge pull for the products that we make and a huge pull, primarily coming out of the quality and the supply situation that we have and that creates the pull in the market and we don't normally fight with the unorganized sector.

Anubhav : And sir, is there a typical replacement factory kind for your products because the aftermarket seems to be quite large for you?

Krishnakumar S.: No, there is also a good huge park of vehicles in the market. As the park is over 100 million vehicles. So obviously, the vehicles need to undergo different lifecycle of the respective products. They have to undergo different refurbishment requirements. And those refurbishment requirements requires that once the engine is opened, it has to undergo a lot of change with regards to changing the liner. And once the liner is changed, then you have to change the piston and rings and everything. So it's a regular cycle that happens in the market.

Anubhav : Okay, thank you. And sir, last question. In the EV segment, sir, like for the motor controllers, are you, for the new projects or like, is it for development for new models of OEMs or is it for existing models also, you are in the consideration, how is that?

Krishnakumar S.: Yes, for both, for existing as well as for the new models. New models have to as per the new requirements of the government and the new rules that have been put in, every sub-product has to be validated and tested and ARAI certified. So we have to get all that done before the launch of the vehicle. So all that is being done as we speak.

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Anu

bhav : No, sir, my question was, suppose existing EV models that are already in the market, they already have, because engines are like key components, so they would already have some vendor tie up or manufacture it in-house. So what is the driver for them to consider our product?

Krishnakumar S.: No, it depends on their volumes. There are still customers who are able to increase their volumes in the market. They have to look for alternate sources because they can't depend on one source or two sources. In some cases, there are also three sources. So it all depends on how the requirement of the market demand is. And then accordingly, they choose their suppliers. And we are certain that with our current name and with the reach that we have, thanks to Sriram Pistons, we have a fairly good position with almost all the customers in the market today.

Moderator: Next follow-up question is from the line of Rucheeta Kadge from iWealth Management. Please go ahead.

Rucheeta Kadge: Thank you so much. So some question was mainly on the side of export. So if I look at your export versus what it was last year, we've just grown by like 7%. So can you point out what are the reasons and how do we see this going ahead?

Krishnakumar S.: Yes, so Rucheeta, it's very important to understand that last year we have had multiple effects on the market. And with the Ukraine war continuing, and then subsequently the onset of the Israel in the Gaza Strip and the related issues that happened subsequently, the markets have got affected in various parts of the globe. And Europe is badly affected. The markets are down. The UK markets were completely down. It's just tending to be a little bit coming out of the bottom now.

And the US market was slightly up as compared to the previous year. So if you really understand this market and see the growth rate in these markets, if you take a weighted average, it has been less than 1% as compared to the previous year. And when we grow in our components 7%, it means we have outgrown the market by 7 times. It's really a huge outgrowth for the kind of markets that we are catering to because the export markets are very badly affected.

Rucheeta Kadge: Okay. And next year, what is the outlook, sir?

Krishnakumar S.: Next year, the current situation in the market still continues to be bad as far as the export market is concerned. So our focus is to see how we can still outgrow the market. And we'll continue that, our focus on this particular area.

Rucheeta Kadge: Okay. And so on one of the, so basically accounting questions. So in the annual report, I see this miscellaneous expenses that we have. Every year it's around INR80 crores, INR90 crores. So what is this exactly?

Krishnakumar S.: Miscellaneous expenses?

Rucheeta Kadge: Yes. So in FY23, it was around INR71 crores.

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Prem Rathi : There are different heads of expenses, actually. So there's a list of expenses which are there,

which are not specifically given in the annual report. Mainly it's admin -related expenses, actually.

Rucheeta Kadge: Okay. Understood. Thank you.

Krishnakumar S.: Thanks, Rucheeta .

Moderator: Thank you. Next question is from the line of Piyush from Acquaint Bee Ventures . Please go ahead.

Piyush: Hello, sir. Congratulations on good numbers.

Krishnakumar S.: Thanks, Piyush.

Piyush: Sir, wanted to understand more on the content per vehicle side. So with increasing emission regulations increasing emission standards, as well as flex fuels or even, say, increased ethanol blending with petrol, will our content per vehicle for the same product increase? So for every newer vehicle, will it be some percentage higher compared to what you're already supplying for IC engines? And do we see a trend here?

Krishnakumar S.: Yes. It's a very nice question, Piyush. Very good question. Se

e, what happens is, as the technology changes, if you're moving towards, let's say, ethanol blending or if you're moving towards pistons for hydrogen as a fuel, you will observe that it requires a massive change in the overall design. It requires a complete different approach and you might see that the technology that needs to be done in some cases, you need it to be, we call it as case light pistons. It could be case light pistons with a very unique bowl shape, which needs to be done to ensure that we get the best efficiency of firing inside the cylinder.

And this requires a huge amount of design work that needs to be done. And so with every technology change, there is in terms of depending on, of course, the number of cylinders, the content could change. But at the same time, but from a product perspective single product, because of the technology that goes into it with regards to coating and other requirements, the content for the vehicle always goes up and we are expecting it to continue to grow up as we go along.

So, it's a very good question and I think we can't, there is no fixed trend, because it depends again on the kind of technology. For example, when we migrated to Euro 6 from Euro 4, at that time there was a content improvement from a value perspective. But it was not very high, but with regards to hydrogen and ethanol, we expect it to be higher.

Piyush: Yes, sir. So, while hydrogen could be a while away, what you would closely see is ethanol blending percentages improving. So, they're already in closer to 10% and with regards to targets, you would see them move higher upwards of 20 %-25% in the near term?

Krishnakumar S.: Yes. The government is already working on E85. In other parts of the globe, in Brazil, people have blended 85%. And so we have, we already have solutions for that and we are already

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working on, it requires different kind of coatings on our rings and others. So, all that is already been done and that requires a different level of technology, which needs to be applied and naturally the content will go up.

Piyush: Yes. So, while you may have already seen some benefit, even with the increasing proportion from 10 to 20, your content will continue to improve. So, it is a significant shift for you guys, in terms of the technology.

Krishnakumar S.: Absolutely.

Piyush: Okay, sir. Thank you. Thank you so much.

Moderator: Thank you. Next question is from Rajnish Mehan from Master Capital. Please go ahead.

Rajnish Mehan: Yes, good evening, sir.

Krishnakumar S.: Hi, Rajnish .

Rajnish Mehan: Hi, I just wanted to know these two acquisitions that you have done, what is the revenue contribution to them in this quarter?

Krishnakumar S.: You mean in the last, this thing, last financial year, you are saying, right?

Rajnish Mehan: Yes, last financial year.

Krishnakumar S.: We closed the deal in between of the year, so we did not have the full benefit of the full year.

But if we expect the annualized benefit, based on the last year's performance to be somewhere close to INR270 crores for Takahata , and INR15 crores or INR20 odd crores for EMFI. But going forward, as I said, EMFI is just it is the volume of business that we are doing, and the kind of capacity that we are setting up is huge. The increase in revenue is going to be quite vertical. And that is going to really help us to increase the scale.

Rajnish Mehan: So, if I can ask, three years down the line, what percentage of, I mean, the total revenue do you think these two new businesses will give you?

Krishnakumar S.: Well, I can't give you a forward -looking statement but it is going to be significant. It is already significant, as we see, and we expect it to be even more significant as we go along. So, what is

very important, Rajnish, is to see the fact that we have been able to de

-risk our business model,
we have done it in two ways.

One is our legacy products have got de-risked by different applications, like what I said, earlier, the marine applications and the snowmobile applications and others. As a result, those segments of the market are going to have its life for the next 30 years, 40 years. So, we do n't expect any big issue there.

And at the same time, we have invested into newer areas, which are agnostic to the power train , and as a result, we will have a much better, life of those products existing in the market. So, we don't see any major issue now with all the investments that we have done and the directions that

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we are taking for the next 30 years, 40 years, 50 years for the company to really continue to grow.

Rajnish Mehan: And the margins will also be more in this, right?

Krishnakumar S.: That's a good point. Yes, I hope so.

Rajnish Mehan: And, sir, the other question was, in your presentation, now because this was like, whatever this not fully years so, next year, next quarter onwards, can you give the breakup of, in your consolidated of the segment-wise breakup? The business revenue coming from the new businesses and the old Pistons?

Krishnakumar S.: See, what happens is, these are segments of the business, which is a part of our overall consolidated sales. And we prefer to ensure that we are giving, fairly good insight into the kind of businesses that we are in and how we are going to grow those businesses. But, in terms of giving any forward-looking statements with regards to the, percentages or how much percentage it will be, it will be very difficult for us to do that.

Rajnish Mehan: No, not forward-looking. I'm just asking the segment-wise, so that for our excel sheet it makes, the growth and also we can project better like what segments each are giving.

Krishnakumar S.: That will be available.

Rajnish Mehan: It's new EV, the EV and the piston, if that's it.

Krishnakumar S.: It should be available in the public domain, those kind of figures.

Rajnish Mehan: Okay, thank you.

Krishnakumar S.: Yes, thank you, Rajnish.

Moderator: Next question is from the line of Ashish Kavara. Individual investor, please go ahead.

Ashish Kavara: Hello.

Krishnakumar S.: Hello, Ashish. Yes.

Ashish Kavara: Sir, congratulations on a good set of numbers. I just wanted to ask, like, for the next three to five years, what will be the portion of this EV in the total sales of Shriram? And are you also looking for other segments like that are not related to the present stream of revenues?

Krishnakumar S.: Yes. So, Ashishji, it is, as I answered this question earlier also, that we have now products which are not dependent on the powertrain. So, they are agnostic to the IC engine. So, those products, obviously, we want to grow those businesses and at the same time, there are some portion of the legacy business which we don't expect the markets to go away and the markets will continue for the next 35 years, 40 years.

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So, we are hoping that we will be able to still cater to the demands of the legacy products as well as the demands of the newer businesses that we are entering into. EV will be a significant portion as we go forward because the scale, it is going to multiply quite heavily and as the volume grows up, the penetration goes up, I think our penetration also into the EV segment will increase because we are now well positioned with many of our customers.

So, hopefully, that will continue and even the other areas, we have already invested into areas of very high precision plastic injection molded parts which also has its own growth profile and we are seeing very good opportunities there. Apart from that, we are continuing to look to deploy our ca

sh that we have on our balance sheet in a useful way and thereby able to increase the product portfolio and of course, we are looking at areas which are agnostic to the IC engines.

Ashish Kavara: And secondly, sir, you said that you are also looking for any mergers and any takeover of companies. So, can you give a ballpark number like what can be the range of that, like what can be the size of the deal in that case?

Krishna kumar S.: I am pushing my team to maximize as much as possible. I can't give any numbers at this stage because it all depends on what we will be able to fructify. So, as and when that happens, obviously, we will inform the market immediately.

Ashish Kavara : And sir, in which segments that will be?

Krishnakumar S.: We are continuing to focus on the auto segment. I think our strength lies in the auto segment. We are well positioned with all our customers and we will continue to grow the business in the auto segment. But it will be in areas which are agnostic to IC engines and hopefully it will be into various other products that are required in an automobile.

Moderator: As there are no further questions, I will now hand the conference over to Mr. Krishnakumar for closing comments.

Krishnakumar S.: Yes, thank you. So, first and foremost, good interest in all the questions and I am really seeing fantastic questions from almost all the people who participated in this. I really extend my sincere gratitude to all who joined our earnings and investor call today, contributing to this very engaging discussion.

We are committed to our business strategies, aiming to deliver positive results continually. For any further questions or information, please contact our investor relations team at EY. On behalf of the company, I thank you all once again for your time and participation. Do please take care of yourselves and goodbye. Thank you very much.

Moderator: On behalf of Shriram Pistons & Rings Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

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This is a transcription and may contain transcription errors. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. Some minor editing may have been done for better readability. In case of discrepancy, the audio recordings uploaded on the stock exchange on May 16, 2024, will prevail.

Call: Aug 2024

August 1, 2024

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400051

ISIN: INE526E01018

Company Symbol: SHRIPISTON

Subject: Transcripts of "Earnings Conference Call" - Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations")

Dear Sir/Madam,

With reference to the captioned matter and in furtherance to our earlier intimation letters dated 22.7.2024, 27.7.2024 & 29.7.2024 regarding the schedule, press release, investor presentation, and Audio Recordings of the Earnings Conference Call with Analysts/Investors and in compliance with Regulation 30(6) read with Schedule III and other applicable provisions of the SEBI Listing Regulations, 2015, enclosed please find the transcripts of the "Earnings Conference Call" on Un-audited Financial Results for the Quarter ended on June 30, 2024, held on Monday, July 29, 2024, at 4:00 P.M. (IST).

The above information is also available on the website of the Company and can be accessed at <https://shrirampistons.com>.

Kindly take the above information on record and treat this as compliance with SEBI Listing Regulations, 2015.

Thanking you.
For Shriram Pistons & Rings Limited
Yours faithfully,

(Pankaj Gupta)
Company Secretary & Compliance Officer
Membership No.: F4647

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"Shriram Pistons & Rings Limited
Q1FY25 Earnings Conference Call"

July 29, 2024

MANAGEMENT : MR. KRISHNAKUMAR SRINIVASAN – MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. PREM RATHI – EXECUTIVE DIRECTOR AND CHIEF
FINANCIAL OFFICER
MR. PANKAJ GUPTA – DEPUTY EXECUTIVE DIRECTOR,
HEAD LEGAL AND COMPANY SECRETARY

Shriram Pistons & Rings Limited
July 29, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Shriram Pistons & Rings Limited Q1FY25 Earnings Conference Call.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this call is being recorded.

Today, from the management, we have with us Mr. Krishnakumar Srinivasan – Managing Director and Chief Executive Officer, Mr. Prem Rathi – Executive Director and Chief Financial Officer and Mr. Pankaj Gupta – Deputy Executive Director, Head (Legal) and Company Secretary.

Before we begin, let me remind you that this discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties, and other factors. It may be viewed in conjunction with the business risk that could cause future results, performance, or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

I now hand the conference over to Mr. Krishnakumar for his opening remarks, post which we will open the floor for an interactive question and answer session. Thank you, and over to you, sir.

Krishnakumar Srinivasan: Thank you, Deepika. Good afternoon, everyone. On behalf of the Company, I would like to express our sincere gratitude to each one of you joining our Q1FY25 Earnings Call today. Our investor presentation and press release have been uploaded on the Company's website and the stock exchanges, and we hope you all have had the opportunity to go through the same. We have started the Financial Year 2025 on a very positive note as we deliver a strong consolidated financial performance both in terms of the top line and profitability in this quarter. Our revenue from operations witnessed a 17% year-on-year increase and profit after tax grew by 15% year-on-year. Owing to improvements in operational efficiencies and productivities across various business functions, we have been able to maintain our margins in this quarter.

Same has been the case with our standalone business also, considering that it's a cyclically lean quarter for the auto industry. On a weighted average basis, the industry reported a 3% growth in sales volume in Q1FY25 as compared to Q1FY24, whereas our growth was around 7% on the standalone basis. Thus, we have continued to outgrow the end markets.

This was mainly supported by the positive consumer sentiments in the two-wheeler and the three-wheeler sales, which increased by 20.4% and 14.3% respectively. However, the passenger vehicles and commercial vehicles saw an average growth during this period. This Shriram Pistons & Rings Limited

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growth is normally very typical in the first quarter of any financial year for the passenger vehicle segment.

We are now taking various strategic initiatives to expand our product portfolio into ICE agnostic products and alternate fuel solutions like hybrid, hydrogen, CNG, Flex, H-CNG, etc. to ensure that we continue to grow in the long-term and also continue to de-risk our business model, which includes the diversification into EV mobility solutions and high precision injection molded parts through our recent acquisitions.

I would also like to share that both SPR Takahata and SPR EMFI have been very successful in winning new businesses and are taking good strides in their respective businesses. I am also happy to state that our ICE products also continue to grow with all the various different alternate solutions that we have provided to our customers and also for various applications into hybrid vehicles.

As you are aware, we are in the process of building a state-of-the-art manufacturing facility for SPR

EMFI in Coimbatore near to our existing facility. We are also happy to inform that we have started construction of the new plant near Coimbatore. We are also in the process of acquiring a land-parcel adjacent to our SPR Takahata factory in Neemrana. Both these strategic CAPEX will help us to maintain our growth trajectory in the years to come. You might already be aware that our existing facility in Pithampur has already started operations last year itself and we are progressing well to grow the business there.

With reference to the recently announced Union Budget, I would like to highlight that the Government's proposal of exempting customs duty on import of critical minerals like Lithium and Cobalt and the extension of concessional duties on lithium-ion cells will further boost the demand for EV. In addition to this, the Government's push on manufacturing infrastructure development would only propel overall economic growth, which would further help in

continuing the automobile sector's growth trajectory.

While the outlook on the industry remains optimistic, backed by above-normal monsoon and the upcoming festive season, we believe we have the right business strategies in place to secure the enterprises' long-term success. We expect all our segments, including exports and aftermarket, to continue to remain firm in quarters to come. We will leverage our deep-rooted industry experience and the positioning as the leading manufacturer and exporter of pistons, piston rings, piston pins and engine valves in India to navigate the evolving market landscape and remain focused on maintaining a sustainable growth trajectory.

While we continue to have a good business scenario, I would also like to inform all of you that our focus on sustainability and all sub-parts of ESG requirements will continue. We have made very good progress year-on-year on all these initiatives. By end March '25, we expect 35% of our power requirements at Ghaziabad to be met with solar, 5% at Pathredi and almost 40% in our new Pithampur plant.

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I am also happy to state that other initiatives like zero liquid discharge, 100% water positive, heat recovery projects and other Scope-I initiatives are progressing very well.

Now, I will just quickly take you through the key financial highlights for the quarter beginning with our consolidated performance.

Our company registered a growth of 17.4% on a year-on-year basis to report Rs. 8,634 million in total income during the quarter as compared to Rs. 7,355 million in Q1FY24.

Our EBITDA expanded by 16.1% year-on-year to Rs. 1,918 million in Q1FY25. The EBITDA margins stood at 22.2% as compared to 22.5% in the corresponding quarter.

Our profit after tax, for the quarter increased by 15.5% on a year-on-year basis to Rs. 1,172 million during Q1FY25 from Rs. 1,015 million in Q1FY24. The PAT margin stood at 13.6% as compared to 13.8% in the same quarter of the previous fiscal.

On a standalone basis, we achieved a 7.3% year-on-year growth in total income to register Rs. 7,855 million in Q1FY25 as compared to Rs 7,322 million in Q1FY24.

EBITDA expanded to Rs. 1,807 million in this quarter registering a growth of 8.9% on a year-on-year basis from Rs. 1,659 million reported in Q1FY24. EBITDA margins improved by 35 basis points from 22.7% in Q1FY24 to 23.0% in Q1FY25.

Our PAT for Q1FY25 stood at Rs. 1,143 million, which grew by 10.5% on a year-on-year basis as compared to Rs. 1,034 million in Q1FY24. Our PAT margin also expanded from 14.1% in Q1FY24 to 14.6% in Q1FY25, witnessing an improvement of almost 43 basis points.

I am sure we will continue to have this run in the coming quarters, and we look forward to growing our business and margins in the quarters to come this year.

Thank you very much. That's all from my side at this stage. I request the moderator to open the floor for questions.

Mo

derator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Jaimin Desai from Emkay Global. Please go ahead.

Jaimin Desai: So, my first question pertains to the subsidiaries. We have seen very healthy growth in revenues as well as margins even on Q-o-Q basis. Could you point out reasons for the same?

Any order wins in EMFI or any other possible factors that you would like to call out?

Krishnakumar Srinivasan: Yes, thank you, Mr. Desai. First and foremost, you are right in your observation that our subsidiaries have done well in this quarter, and I must highlight here that we have been winning new businesses both at SPR Takahata and SPR EMFI. And in SPR Takahata, we have ensured that the new businesses that we have won are also productionized soon and in SPR EMFI also we have been able to do that. As a result of which, thanks to the localization

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initiatives given by the government, SPR EMFI has been able to win some good businesses and we have been able to also deliver on those starting in this quarter. So, we hope to continue. We don't normally give the names of our customers to whom we have won the new businesses because there are still a lot of validations and other things going on and our supplies have just started. So, we do not want, at this stage give the details of that, but at the right time we will open up with the names of some of the customers, but I can tell you that we have got really good customers in our pipeline.

Jaimin Desai: That is very encouraging to hear. Just any color possible in terms of the end use segments, not specific to customer names?

Krishnakumar Srinivasan: Yes, as far as the end use is concerned and as far as SPR EMFI is concerned, we have won businesses for two-wheeler applications as well as four-wheeler applications. In the four-

wheeler applications, we have won businesses for both passenger cars as well as commercial vehicles.

Now as far as SPR Takahata is concerned, we have been able to win businesses for various applications. We have won businesses for some of the new programs including some electric vehicles' requirements from a plastic injection molding standpoint, we have been able to win businesses with some of our tier 1 customers who then supply to the end markets for electric vehicles.

Jaimin Desai: And sir, in your prepared remarks, you mentioned about looking for land in Neemrana adjacent to the existing facility. So, what would be your outlook in terms of CAPEX for this year and next year?

Krishnakumar Srinivasan: Well, as far as SPR Takahata is concerned, it was very necessary for us, looking at some of the new businesses that we are winning and some of the pipelines that we have in terms of finalization with our customers. We felt that we would be falling short of brick-and-mortar space, and it was very necessary for us to first find land. And luckily for us, the adjacent land which was presently being owned by somebody was already given back to the industrial body and we were able to clinch it and we have been able to strike the deal. So, we are just closing that, and we should be able to start some kind of an operation soon. But as of now, immediately our priority is to ensure that our capacity is completely taken care of, existing capacities that we have, and we are in a good way to fill that capacity.

Jaimin Desai: Sir, finally from my side, anything on M&A that you would like to highlight, kind of candidates we are still looking for and financial parameters, etc. that we look at, anything that you would like to highlight?

Krishnakumar Srinivasan: We would like to highlight that, our focus on M&A is very, very strong and we are continuing to look at various options. We are in the midst of doing a couple of due diligence and other things. So, we will continue our drive for that, b

ut we don't want to compromise and just go

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behind any businesses. We want to ensure that the business that we go behind is, number one, accretive to our EBITDA requirements and EBITDA standards and at the same time, we want to ensure that we are able to look at future technology businesses and technologies that will be looked at by the overall business fraternity and our customers.

Moderator: Thank you. The next question is from the line of Akshay Sam, Sam Capital. Please go ahead.

Akshay Sam: My first question is regarding flex fuel applications. For example, Bajaj launched recently a Freedom bike, which is CNG powered. So, is my understanding correct? If it gains more popularity, the value of products supplied by us for more flex fuel products will go up because it's more complicated?

Krishnakumar Srinivasan: Yes, you are right. First and foremost, I am happy to state that we are the only source as far as the pistons and engine valves are concerned for the CNG applications for Freedom 125 to Bajaj. And we are working on a number of initiatives with other OEMs also with regards to applications in CNG bikes as well as CNG other two-wheelers.

So, we feel that from an Indian perspective, the other flex fuels have to gain a lot of market share and it will continue to grow and we feel that our presence there is going to really help us in growing the volumes.

One of the reasons why we feel this is primarily because from a technology standpoint, we have a very good advantage, thanks to our R&D center, and our capabilities of doing our own in-house testing in the various test benches that we have in our plant. In fact, we are also doing testing for some of our customers in advance so that we are able to fast-forward some of these projects. So, that way, I think we are well positioned. Thank you.

Akshay Sam: Sir, my second question is regarding our two new subsidiaries, SPR EMFI and SPR Takahata.

So, SPR Takahata, obviously, we have room for expansion. Is it more related to more applications that will go forward as far as building our customers? I just wanted to know what is our right to win in this business because obviously we are not the first company supplying the motors and controllers and we are a bit, I won't say late to the party, but we are not the first in the EV business?

Krishnakumar Srinivasan: Let me address this one by one. As far as Takahata is concerned, there is room for expansion as you rightly said, but room for expansion not only in products which are agnostic to ICE engines, but completely in different arenas. So, for example, into seat belt applications, into steering column applications and so many other applications, various precision parts which are required for these applications.

We are also addressing a lot of new customers who are coming into the fray. Thanks to the non-Japanese customers that we are able to bring on the table with the strength of SPRL. So, all that is really helping Takahata to grow the business and we will continue to do that as far as SPR Takahata is concerned.

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Now coming to SPR EMFI, you are absolutely right. We were not the first to come into this business, but the strategy that we adopted of doing a grounds-up engineering on this and be able to develop products locally and develop engineering solutions for our customers on a totality basis which is including the motors and controllers together, we are probably one of the top companies in the country today to be able to address that.

So, many of the other competitors they supply motors separately and controllers come from some other party, as a result of which the tuning and other things becomes a problem and we do have a lot of failures reported in the end markets, whereas here we are able to get everything time tested in our inte

rnal R&D and we are able to give them full solutions with regards to all the performance curves, stock characteristics and everything, thereby giving a lot of strength to the customers and being grounds-up localized in the country, I think we are also very well-positioned with regards to our commercial strategy.

Moderator: Thank you very much. Now, the next question is from the line of Rajit Aggarwal from Atharva Investment Managers. Please go ahead.

Rajit Aggarwal: I am a shareholder of the company as well and I have known this company for more than 15 years. Now, over the 15 years, the company has gained a lot of respect across segments.

Having said that, there was an announcement, and I am going to ask a couple of quick questions regarding that. Regarding the facility of Rs. 15 crores being extended to the MD CEO, now this question is to Mr. Gupta. There is a clause in Companies Act, Section 186 and Clause 7, which says no loan shall be given under this section at a rate of interest lower than the prevailing yield of one-year, three-year, five-year or ten-year government security closest to the tenor of the loan. So, is that not applicable in this case?

Pankaj Gupta: No, in fact we reviewed this in detail, and this is not applicable, and we complied the law as loan to directors. We've come out with the scheme, and we complied the law not only at Board level but at audit committee level also.

Rajit Aggarwal: So, this would be applicable to all the directors in that case?

Pankaj Gupta: No, this is the special scheme only applicable to MD and CEO.

Rajit Aggarwal: And there were no observations from the Independent Directors on this?

Pankaj Gupta: In fact, Independent Directors reviewed the scheme at audit committee and even at the Board level and they approved this.

Rajit Aggarwal: Thanks for the clarification, sir, and one last question. There was a mention of listing on BSE sometime back. I think the process was initiated. Is that process still on? Are there any timelines around it?

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Pankaj Gupta: So, before answering this question, I would like to just explain that the scheme what the Board and Audit Committee approved, was basically based on the performance. So, the past performance of last many years basically. So, basis that the four years, the Board approved this. So, it's a kind of advance basically what Board approved and it's a kind of repayable advance, retention.

Rajit Aggarwal: That's fair enough, sir. So, I didn't want to follow up with that question, but the fact that you are calling it as an advance, I mean advance would ideally, theoretically speaking would be against rendering of some services or goods, but there is no additional service or goods which is being rendered against this additional advance, right?

Pankaj Gupta: It's normal services and basically the growth part what he will look after to the company.

Rajit Aggarwal: Okay. Just wanted the clarifications. As I said, I have followed your company, worked with your company and your management. So, no further questions on that, sir.

Pankaj Gupta: Coming to your second question, the BSE listing part, so this is to inform you that we already submitted our application with the Bombay Stock Exchange. So, now they are in the process of reviewing the same. So, we are waiting for their revert.

Rajit Aggarwal: Usually it would take a quarter, two quarters. I am not aware of that process. I am just, just to know it could take up to six months or up to one year.

Pankaj Gupta: No, I don't think it will take that much time and what we got to know from our consultants who are helping us in this process, it may take a span of almost two to three months.

Moderator: Thank you very much. The next question is from the line of Sanjay Kular, ACME Private Limited. Please go ahead.

Sanjay Kular: Sir, what is the quantum of

sales do we expect from the subsidiaries in the year one, year two, year three? Since we already we started winning the businesses. So, would you like to say some quantum of sales at this point in time, sir?

Krishnakumar Srinivasan: Yes, basically we have already reported the sales of our subsidiaries. So, I expect that we will continue to only further grow. As far as the percentage of business is concerned, we are anywhere between 12% to 14%, and we expect this growth story to continue with all the new projects that I just highlighted to a question from another participant where I talked about the new businesses that we have won both at SPR Takahata and SPR EMFI.

So, we will continue to grow the business but while we do this, our growth story in SPR is also continuing and I think it's a good competition between all the companies to ensure that they are able to really deliver good results on a totality basis. So, I think this story is going to continue.

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So, at this stage, it's very difficult to say how much one company will grow as a percentage to other and all is very difficult to say at this stage, but we will continue to maintain this and I think you will be able to also see that in our results in terms of the quantum of mix that we have from these newer businesses to the legacy business that we have. So, that's already in the public domain.

Now coming to your second part of the question, whether we will demerge, I think it's too early at this stage. We just started the overall acquisition story, and we don't have immediately any plans of demerger because we feel that we will need to grow these businesses and create more value and we will look at it at the right time.

Sanjay Kular: Sir, where do you see these two companies going in next five years, combined sales of these two companies? What's your vision like?

Krishnakumar Srinivasan: Well, we have some vision, but we don't really give these numbers in the public domain at this stage.

Moderator: Thank you very much. The next question is from Abhishek Shah from Ambit. Please go ahead.

Abhishek Shah: So, just in continuation of the previous question, just wanted to get a sense of how you are looking at FY25 on a consolidated basis? Any colour that you can share in terms of revenue growth, even relative to, the auto industry? And in terms of this 22% EBITDA margin, how should we think about that in terms of sustainability or expansion going forward?

Krishnakumar Srinivasan: So, one good thing that has happened is I think we have a very positive Union Budget, which will probably ensure that the growth story will continue. We see a good improvement in the numbers on the commercial vehicle side, tractor side and the two-wheelers continue to also have a fairly robust double-digit increase in their sales.

And as far as passenger car is concerned, we do see a small dip, but we hope that it is a very temporary dip, because this dip is normally seen in the first quarter. So, we are not getting too concerned about it and most of the OEMs also take a lot of shutdowns, to do their annual shutdown maintenance and other things. So, we do see the first quarter always on a slightly lower side.

So, now with the festival season coming in, we expect the numbers to really pick up and coupled with a good budget, we see both rural and urban demand picking up actually. So, we think that there will be a fairly good growth and we will continue to outgrow the end markets because our aim is always to outgrow the end markets and we have shown that also in the first quarter, even though it was a lean quarter, but we have outgrown the market. And that happens with a lot of penetration and other exercises that we do to maintain our market lead positions. Now coming to your second part of the question, So, we had a 22% EBITDA levels and all the actions that we have done in th

e company has been always to make it highly sustainable kind

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of action and we don't expect our actions to in any way not be sustainable. So, we are looking forward to these numbers or even bettering it.

Moderator: Thank you very much. The next question is from the line of Jaimin Desai, Emkay Global. Please go ahead.

Jaimin Desai: Sir, in terms of the Q1FY25 gross margins if I look at, there was good improvement on sequential basis. Any reason for the same?

Krishnakumar Srinivasan: You are talking about gross margins on a consolidated basis or standalone?

Jaimin Desai: Consolidated.

Krishnakumar Srinivasan: Consolidated has been fairly good primarily because of market mix. You know, our customer end-market mix has been quite good for us on an overall consolidated basis.

Jaimin Desai: And, sir, what is the outlook in terms of exports and aftermarket? Are we continuing to see

good inquiries and orders related to the core products specially because of businesses moving from China and Europe and other parts of the world to India? Anything you would like to share on that front?

Krishnakumar Srinivasan: We would only like to state that the markets in Europe as well as in the U.S. and others have actually had a very big impact coming out of these geopolitical situations existing there. And the markets in Europe are down and we do see impacts of that in the overall off take. But thanks to our penetration into various countries, we have been able to actually do better than the first quarter of last year, even in our exports in this year. And we will continue to do that. As far as fresh inquiries are concerned, we have a lot of inquiries on which we are working to see how we can convert it to business. You know, as you rightly said, businesses are getting transferred from other parts of the globe.

Moderator: Thank you very much. The next question is from the line of Prateek Bhandari, AART Ventures. Please go ahead.

Prateek Bhandari: Just wanted to understand as to what's the kind of CAPEX plans are we having for FY25?

Krishnakumar Srinivasan: You wanted the CAPEX plan?

Prateek Bhandari: Yes.

Krishnakumar Srinivasan: We normally do not give the exact numbers of the CAPEX and all that. But we ensure that we are continuing to invest into our businesses as required in various segments of our businesses. So, as you might be aware already that we have put up a completely new plant for engine valves in Pithampur. We are now growing that business there in Pithampur.

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We are also continuing to invest in some of the areas where we see the need in terms of de-bottlenecking the operations or even doing a lot of automation. So, there is a lot of CAPEX that has been spent on these areas. And as far as our subsidiaries are concerned with all the new businesses and the new lines that we are getting in, we need to continue to invest, and we are continuing to do that investment.

Prateek Bhandari: And you also mentioned that you are in the process of acquiring land parcel in Neemrana.

Krishnakumar Srinivasan: Yes.

Prateek Bhandari: So, have we done that completely or are we still in the process of the same?

Krishnakumar Srinivasan: Yes, we have already locked the land with the local authorities with RIICO, and we are in the process of paying the money and getting the land registered.

Prateek Bhandari: And this is for SPR Takahata, right?

Krishnakumar Srinivasan: Yes, that's right. That's for SPR Takahata. For SPR EMFI, I had told you last time that we have already acquired the land. Now I have said in this quarter that we have already started building the plant. So, you can see the speed at which we are going.

Prateek Bhandari: Right. And when we can expect the same to ramp up?

Krishnakumar Srinivasan: The plant expansion will be

ready sometime by the last quarter of this year.

Prateek Bhandari: Last quarter of this year?

Krishnakumar Srinivasan: Yes.

Moderator: Thank you very much. The next question is from the line of Piyush from Acquaint. Please go ahead.

Piyush: Sir, wanted to know more on the non-automotive component supplies or industrial engine gensets etc. So, what proportion of your revenues does this business form? And do you see this alternative business growing at a faster pace relative to your auto business?

Krishnakumar Srinivasan: Yes, it's a very good question, and I would like to highlight here that we supply to various non-auto applications. So, we supply to gensets, railways, defense, snowmobile applications, lawnmowers, compressor applications, braking applications etc. So, if I really club all that, it's a fairly good size business which is already, de-risked completely and we expect this business to continue to grow and we are also on a lookout for further improving and increasing our share in these kind of businesses. So, we will continue to do that, and I think we are progressing quite well.

Piyush: Sir, roughly still would this still be closer to like say 15% of your business?

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Krishnakumar Srinivasan: We normally do not give the percentages, Piyush, because that is a segmentation of the market and there are also lot of competitors listening to us. So, we have to be careful.

Moderator: Thank you very much. The next question is from the line of Akshay Sam, Sam Capital. Please go ahead.

Akshay Sam: Regarding SPR EMFI, you said in the last quarter of this year, the new plant will be operational, is that correct?

Krishnakumar Srinivasan: Yes, that's right.

Akshay Sam: When can we expect optimum utilization of the facility, I mean if you have a rough timeline, if possible?

Krishnakumar Srinivasan: So, we do have timelines. It's a very detailed timeline and we have quarter-on-quarter kind of with all the commitments given by customers. But all this depends also on the end market and as you know, the end markets are at this stage as far as EV is concerned, there is still some of the areas to be improved in terms of utilization as well as volumes. The volumes are still muted, and we expect the volumes to pick up. As and when they do that, I think we have been able to set up this facility with a fairly good optimum volume. And I think at fair utilization level we will still be able to do quite well there. And we have still a lot of space. It's an 8-acre land. We are presently building at half of that size and even less than that and we will be able to easily expand as and when the volumes pick up.

Akshay Sam: So, are there future plans to move into adjacent categories other than motors and controllers?

Krishnakumar Srinivasan: Well, at this stage, we are focusing on motors and controllers because I think this space is very big. Just to give you some numbers, while people don't realize it and there are still a lot of players and all that. But at the same time, we are talking about 20 million motors to be made for the two-wheeler applications, 4 million to 4.5 million motors and controllers to be made for the car applications and many more such for various other applications.

So, the kind of continuous growth and investment that is required in this segment is quite huge. And our focus we want to keep, since we are the only company, which is giving motors and controllers together, manufacturing controllers right from the base level, I think we have to keep a lot of focus rather than trying to break this into other areas. So, we are focusing on maintaining this and ensuring that we are able to grow this business very well.

Moderator: Thank you so much. The next question is from the line of Pradeep Chaudhary from Saamarthya Capital. Please go ahead.

Pradeep Chaudhary: I want to ask regarding y

our aftermarket operations. What is our current market share and where do we see us in the next two to three years in the aftermarket?

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Krishnakumar Srinivasan: Hi, Pradeep. Yes, aftermarket is a very important portion of our overall business, and it really helps us to penetrate the market and grow quite well even during lean periods as far as OEMs are concerned. So, it really helps us. We are looking at various additions of products also into this category and we are growing this business quite well. Even last year we did quite well in our aftermarket category, and we expect to continue this growth in this year.

Pradeep Chaudhary: Any color on the market shares currently?

Krishnakumar Srinivasan: We don't give that breakup.

Moderator: Thank you very much. The next question is from the line of Vamsi Adella, individual investor. Please go ahead.

Vamsi Adella: I have a question on the non-automotive segment. I believe that you make some components for the marine industry. How do you see that segment is doing and will grow with all the defense business coming from the government?

Krishnakumar Srinivasan: You are talking about the non-automotive businesses, right, Vamsiji?

Vamsi Adella: Yes. I mean, marine, like ship building.

Krishnakumar Srinivasan: We are actually into various applications, defense, marine, snowmobile applications, etc. So, initially, our focus on those areas was a little bit less, but over the last 1.5 to 2 years, we have actually been able to win good businesses. As a result, now that segment of the business, since we have just started that, that segment of the business is actually growing for us. So, we think that it's a good segment and we will continue to grow there.

Vamsi Adella: And will it be better margins, will it be better EBITDA?

Krishnakumar Srinivasan: It is comparable to the kind of business that we do elsewhere. So, that's what, it is certainly not destroying my EBITDA. It's always an EBITDA accretive.

Moderator: Thank you very much. Next question is from the line of Prateek Bhandari, AART Ventures.

Please go ahead.

Prateek Bhandari: Just wanted to understand that you mentioned that in terms of our exports, we are facing some issues when it comes to the queries from Europe due to the geopolitical tensions. So, I wanted to understand as to which other parts of the world are we getting the enquiries from?

Krishnakumar Srinivasan: Well, I didn't say that we are having issues with the enquiries. I said that we are having more enquiries coming because of the geopolitical situation elsewhere in the globe and also because of the local supply issues there. So, we are actually having more enquiries and we are working on them.

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Now, as far as parts of the globe are concerned, we are exporting to 45 countries. So, we have requirements from almost lot of companies abroad. And we also see this trend of many of the companies trying to vacate capacities. So, we are ready to take these capacities and these businesses and fill our capacities.

Prateek Bhandari: So, Europe stays the largest market in terms of our exports?

Krishnakumar Srinivasan: Well, if you include some of the markets of England and others, then that will be the largest market, yes.

Prateek Bhandari: And in terms of the non-automotive applications, you stated that we are catering to many industries as well. So, how much percentage of it flows to PSU and private, if you can give a bifurcation of the same?

Krishnakumar Srinivasan: Well, very difficult to give this bifurcation because there are also some supplies which happens through vendors because they do the cylinder head assemblies and things like that for some of these applications for defense. So, it's very difficult to say what kind of percentage, but it's a fair-sized business

s which has remained more or less steady for us for the last many years.

Moderator: Thank you very much. The next question is from the line of Bharat Sheth from Quest Investment. Please go ahead.

Bharat Sheth: Sir, my only question is that in the piston rings and engine valves, what is our capacity utilization? That is first. And second, with the advent of now hybrid vehicles, so how we are really placed to address that market?

Krishnakumar Srinivasan: Yes, very good question again, Bharatji. But let me first answer your second question first, if you don't mind. As far as the hybrid business is concerned, many of the customers are today going in for hybrid solutions because number one, they are able to meet the Bharat Stage V requirements also using these hybrid engines. Now, with hybrid engines, most of our customers are under sizing the engine a little bit. And it could be a parallel hybrid, or it could be a series hybrid depending on various applications. The good part is that hybrid engine requires ICE engines, and it will continue to require it. And we are working with a number of customers and number of programs to be able to support them on that. And this will continue because I think the growth of hybrid vehicles in the country is going to grow and it is going to continue. So, this is going to be a good growth story for us in the future.

Now, coming to the capacity utilization part, I must only say that we don't give the exact figures, but our capacity utilization is quite good, and we continue to maintain it at a high level. But at the same time, I must also say that we continue to also work continuously on automation and other things to de-bottleneck capacities at various places to be able to continue to grow our capacity.

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Bharat Sheth: And sir, second question related to hybrid vehicle. So, is it fair understanding that it also provides us to improve our piston and ring business as well as motor and controller also?

Krishnakumar Srinivasan: Yes, that's right. This requires, this gives us opportunity to sell pistons, rings and engine valves, at the same time also look at the motors and controllers.

Bharat Sheth: To how much a value per content hybrid vehicle increases?

Krishnakumar Srinivasan: It increases quite well. I can't give you the numbers but yes, it's a straight increase of the motor and controller, but what happens is, the customers cannot straight away take the increase of both these ICE engines along with the motors and controllers as the end product cost goes up. So, they normally tend to resize the engine. So, for many places we are also seeing the possibility of customers under-sizing the engine as per the requirement and then supplementing it by the motor.

Moderator: Thank you very much. The next question is from the line of Avim Shah, individual investor. Please go ahead.

Avim Shah: Quick question. So, I think in your opening remarks you mentioned the new plant and all coming in. So, plus the new motors facility also coming up in a subsidiary. So, everything when coming in line, so broadly can we expect that the margin should also increase from the current levels?

Krishnakumar Srinivasan: Yes, Avimji, thanks for the question. See, what happens is most of these businesses are all the newer businesses and we expect, at every stage we want to ensure that our margins are accretive. But it is always important to see from a business perspective with regards to the overall projections and the future projections that we have. So, we don't normally give the margin projections, but I can only tell you that both our expectations from all our business and product lines are that they will not reduce our EBITDA margins and they will be EBITDA accretive. We don't compromise on that. We, in fact, many businesses we walk out if they are bleeders for us.

Avim Shah: But can our mar

gins increase from these levels? Can our margins increase? Can we assume that the margins can increase from this quarter to, let's say, by the year end or something like that?

Krishnakumar Srinivasan: If you really analyze our results, you will realize that we are among the top performing companies as far as margins are concerned in the auto component segment. So, I don't think we can keep on increasing it, but yes, we continue to outgrow the markets and we ensure that we do amongst the best in the auto component space.

Avim Shah: And how much would be the contribution of our subsidiaries at this point of time?

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Krishnakumar Srinivasan: We are varying between 10% to 14% depending on quarter-on-quarter, month-on-month, but it will continue to grow. But luckily for us, our existing business is also growing quite well. So, as a result, I think we will be able to maintain this, and it's not that we are going to end here, and we are going to continue to look at other M&A possibilities that is going to take place. So, this segment of the overall pie will keep increasing.

Moderator: Thank you very much. The last question is from the line of Mr. Manas, individual investor. Please go ahead.

Manas: Sir, on consolidated basis, there was around 17% growth Y-on-Y in sales. So, was that because of good end market mix or was there any other reason also?

Krishnakumar Srinivasan: It was a combination of end market mix as well as volume growth. So, in SPR Takahata we had volume growth. In SPR EMFI also new volume growth because of new businesses and in standalone SPR, we had both combination of volume and mix.

Moderator: Thank you very much. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Mr. Krishnakumar for closing comments.

Krishnakumar Srinivasan: Thank you, Deepika. Thank you everyone once again for joining our Earnings Call today. It has been really very good interacting with you and with the kind of questions that you have asked, it really shows the amount of engagement you have with our company. Your participation made the discussions very engaging. We are dedicated to our business plans and aim to keep achieving positive results. For any further questions or information, please do reach out to our Investor Relations team at EY. On behalf of the company, I would like to thank you all once again and highly appreciate your time and involvement. Take care and goodbye. Thank you very much.

Moderator: On behalf of Shriram Pistons & Rings Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer:

This is a transcription and may contain transcription errors. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. Some minor editing may have been done for better readability. In case of discrepancy, the audio recordings uploaded on the stock exchange on July 29, 2024, will prevail.

Call: Nov 2024

November 3, 2024

Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
ISIN No. INE526E01018

Company Symbol: SHRIPISTON

Sub: Transcripts of the “Earnings Conference Call” - Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“SEBI Listing Regulations”)

Dear Madam/Sir,
With reference to the captioned matter and in furtherance to our earlier intimation letters dated October 23, 2024, and October 28, 2024, regarding the schedule, investor presentation, press release and Audio Recordings of the “Earnings Conference Call” of Shriram Pistons & Rings Limited (Company) and in compliance with Regulation 30(6) read with Schedule III and other applicable provisions of the SEBI Listing Regulations, please find enclosed the transcripts of the “Earnings Conference Call” on Unaudited Financial Results for the quarter and half year ended September 30, 2024, held on Monday, October 28, 2024 at 6:00 p.m. (IST).

The above information is also available on the website of the Company and can be accessed at <https://shrirampistons.com>.

Kindly take the above information on record and treat this as compliance with SEBI Listing Regulations.

Thanking you.

Yours faithfully,

For Shriram Pistons & Rings Limited

(Pankaj Gupta)
Company Secretary & Compliance Officer
ICSI M. No.: F4647

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“Shriram Pistons & Rings Limited
Q2 & H1 FY25 Earnings Conference Call”

October 28, 2024

MANAGEMENT : MR. KRISHNAKUMAR SRINIVASAN – MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. PREM RATHI – EXECUTIVE DIRECTOR AND CHIEF

FINANCIAL OFFICER
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Moderator: Ladies and gentlemen, good day and welcome to the Shriram Pistons & Rings Limited Q2 & H1 FY25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

Today, from the Management , we have with us Mr. Krishnakumar Srinivasan – Managing Director and Chief Executive Officer, Mr. Prem Rathi – Executive Director and Chief Financial Officer and Mr. Pankaj Gupta – Deputy Executive Director, Head Legal and Company Secretary.

Before we begin, let me remind you that this discussion may contain forward -looking statements that may involve risk or unknown risks, and uncertainties, and other factors. It may be viewed in conjunction with the business risk that could cause future results, performance, or achievements to differ significantly from what is expressed or implied by such forward -looking statements.

I now hand the conference over to Mr. Krishnakumar for his "Opening Remarks ", post which we will open the floor for an interactive Q&A session. Thank you, and over to you, sir.

Krishnakumar Srinivasan: Thank you , Siddhant . A very good evening everyone. On behalf of the Company , I would like to express our sincere gratitude to each one of you joining our Q2 and H1 FY25 Earnings Call today . Our "Investor Presentation " and the "Press Release " have been uploaded on the Company 's website and the stock exchanges, and we hope you all had an opportunity to go through the same.

I am very happy to state that we have continued to deliver a strong overall, consolidated performance, as our total income recorded at 17% year-on-year quarterly growth with EBITDA and PAT growing by 15% and 11% respectively. This growth is a testament to the robust demand for our high quality products and our relentless pursuit of operational excellence. The first half of the financial year has also been very positive for us, marked by growth in the top line as well as the bottom line. Here again, the year-on-year growth is around 17% on the total income and 16% on the EBITDA . We have also delivered a strong sequential performance, with consolidated top line growing by 5% quarter -on-quarter, and EBITDA and PAT growing by 9% and 7% respectively .

We have been able to deliver growth in the business despite the challenging market conditions that the entire automotive industry has been facing for the past few quarters . While the passenger vehicle and commercial vehicle segments face d pressure during this quarter, posting a low single digit growth , the three and two-wheeler segments continue to grow amid strong rural demand as well as a steady replacement demand. The global automotive market has also reported muted numbers driven by a significant downturn in EU production volume s. The continuing war

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situation in Ukraine and Israel is still making the situation quite non conducive for the business growth in Europe . Due to the geopolitical situation, while we see pressures on our export sales, the Company has really done well to identify newer markets and service it so as to offset the drop in the export volumes .

We are also actively pursuing a range of strategic initiatives aimed at broadening our product offerings to include technology backed components suitable for internal combustion engine (ICE) and alternate fuel solutions such as hybrid , hydrogen, compressed natural gas, the HCNG , LNG, flex fuels and biofuel systems. This approach is designed to ensure sustained long-term growth and to mitigate

risks arising out of the changing business landscape.

As part of our diversification strategy, we have expanded into electric vehicles mobility solutions and the production of high precision injection molded parts , through our acquisition of SPR Takahata and SPR EMFi . Which have both started making significant progress within their respective domains and sectors. The construction of our plant at Coimbatore for SPR EMFi is going on in full swing, and I am very happy to state that the plant will be operational by April 2025 .

Going ahead, we anticipate that our business segments, including aftermarket s segment , will

sustain a decent performance in the coming quarters. We also expect the industry demand to recoup driven by the festival season currently underway. We intend to capitalize on our extensive industry expertise and our distinguished position as a leading manufacturer of our products in India. We will continue to remain focused on adeptly steering through the challenging market dynamics while trying to deliver a sustained positive performance.

Now let me quickly take you through the key "Financial Highlights" for the Quarter:

Beginning with the consolidated performance:

Our Company registered a year-on-year growth of 17.1% culminating in a total income of Rs. 9,069 million for the quarter and increased from Rs. 7,746 million reported in Q2 FY24. Our EBITDA witnessed a growth of 15.3% year-on-year reaching Rs. 2,083 million in Q2 FY25. EBITDA margin stood at 23.0% levels even with the changing market dynamics. The profit after tax for the quarter saw an 11.4% year-on-year increase amounting to Rs. 1,259 million during Q2 FY25 compared to Rs. 1,130 million in Q2 FY24.

We also delivered a strong sequential performance, with total income increasing by 5.0% quarter-on-quarter, EBITDA up by 8.6% and PAT growing by 7.4%.

For the H1 period in the consolidated performance, our total income grew by 17.2% to Rs. 17,703 million from Rs. 15,101 million in the same period of last year. EBITDA for the period was at Rs. 4,001 million, up 15.7% year-on-year from Rs. 3,458 million in H1 of FY 24. Our EBITA margin for H1 FY25 was at 22.6% and PAT was reported at Rs. 2,430 million in H1 of Shriram Pistons & Rings Limited

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FY25 as against Rs. 2,145 million in H1 of FY 24. This again has registered at 13.3% growth year-on-year.

Now coming to the standalone performance of SPRL.

Our Company registered a year-on-year growth of 6.5% culminating in the total income of Rs. 8,230 million for the quarter, an increase from Rs. 7,728 million reported in Q2 of FY24. The EBITA witnessed a growth of 8.0% year-on-year reaching Rs. 1,958 million in Q2 FY25. EBITDA margin stood at 23.8% slightly higher than 23.5% in the corresponding quarter of the previous year. The profit after tax for the quarter saw an 8.7% year-on-year increase amounting to Rs. 1,246 million during Q2 of FY 25 as compared to Rs. 1,147 million in Q2 of FY24. The PAT margin also stood at a 15.1% as compared to 14.8% in the same quarter of the previous fiscal, a slight improvement of 31 basis points.

Just to highlight, even with the tough market situation, our Company has registered a very positive growth quarter-on-quarter with Q2 total income growing by 4.8%, EBITDA growing by 8.4% and PAT growing by 9.0%.

For the H1 period, the total income grew by 6.9% to Rs. 16,085 million from Rs. 15,050 million in the same period of last year. EBITDA for the period was at Rs. 3,765 million, up 8.4% year-on-year from Rs. 3,472 million in H1 of FY 24. EBITDA margin for H1 FY25 was at 23.4% as against 23.1% of H1 FY24. PAT was reported at Rs. 2,390 million in H1 of FY 25 as against Rs. 2,181 million in H1 of FY 24 registering a growth of 9.6% year-on-year. PAT margin in H1 FY25 was at 14.9% as compared to 14.5% in H1 of FY 24.

All this was on a backdrop of a very

ry, very tough market situation and a very tough export market situation due to the current geopolitical situation in the export market. So, under these circumstances, overall our Company has continued to register a very robust performance in all respects.

So, with this, I end my initial talk, and I request the moderator, Mr. Siddhant, to open the floor for questions. We will be happy to answer your questions.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. Our first question is front line of Nandan Pradhan from Emkay Global Financial Services. Please go ahead.

Nandan Pradhan: So, my question is around the second half expectations that we have put out in the press release.

So, from the channel checks, we understand that the retail as on date have been flat for the PVs, for the two-wheelers as well, they are doing relatively better, but not so great. So, going forward, there are a lot of comments around the OEMs also cutting down the production. So, I just wanted to understand, how do you see that panning out for you as a Company in the second half of the year. Thank you.

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Krishnakumar Srinivasan: So, Nandan what you said is absolutely right. We do see our OEMs a little concerned on their overall numbers, but they are still projecting at least low single digit growth numbers. We have been also quite successful in improving at least in some cases with our constant strategy of

supporting the ICE segment markets, we have been able to also get some new businesses, which is really helping us out. And at the same time, we expect a slight improvement to happen in the export business, coming primarily out of into newer domains that we have been trying to develop the markets, which is going to help us in the second quarter. So, we still expect to do better than the market, we want to outgrow the market. This time also, if you really see while the markets have been roughly in the region of around the weighted average growth is over 3%, 3.5%. The Company has actually delivered a 7% improvement in its numbers, which is outgrowing the market by almost 100%. So, we want to continue to do that, and that will be done by different, penetration levels, number one and number two doing a lot of outreach programs that we have for our aftermarket business.

Nandan Pradhan: So, if I may squeeze in another question.

Krishnakumar Srinivasan: Yes, go ahead Nandan.

Nandan Pradhan: So, the Bajaj two-wheeler CNG, if I am not wrong, we would be the suppliers right for the Bajaj Freedom 125?

Krishnakumar Srinivasan: Yes, we have the single source.

Nandan Pradhan: You are the sole supplier, correct. So, I just wanted to understand how has the response been to that product particularly, because from what we see, the retailers have not been picking up as much as probably the Company wanted to. So, how is the outlook for that in the second half again?

Krishnakumar Srinivasan: No, the outlook is extremely good. In fact, you might have seen the commentary from Bajaj, where they are saying that their sales, the growth of sales in the Freedom 125 has been quite good, and they expect it to continue. So, our schedules have been quite good, and the offtake has been quite impressive.

Moderator: Thank you. Our next question is from the line of Priyam from IND Value Capital. Please go ahead.

Priyam: So, this is something related to the industry. Where we see passenger vehicles and commercial vehicles, these two segments have been facing a bit of pressure while we are seeing on the other hand, two-wheelers and three wheelers are doing good. So, what are your views, how the industry would be shaping up in the coming quarters?

Krishnakumar Srinivasan: Yes, Priyam. See, basically it's a lot of crystal ball gazing that is going on around the overall situation now.

But to tell you frankly, as you rightly said, the passenger vehicles and the commercial vehicles have low single digit numbers growth as far as what we see now in terms of volumes and with the current situation of the stocks and other things across the country, we

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don't expect it to drastically change over the coming months. But the good part is that the two-wheelers are growing quite well, and we are present in all segments. As you already know, the tractors are doing well. And we are also seeing some increased numbers coming for commercial vehicles, the medium commercial vehicles, and the small commercial vehicles are showing some improvement. So, we are getting some improved numbers from our customers now, which is going to really help us to perform better in our coming quarters. And at the same time, we are also focusing heavily to improve our sales in the aftermarket segment, which is also growing quite heavily for us. And we are also quite hopeful that some of the export markets, which had slowed down in the last two quarters, have actually exhausted most of their stock, and they are coming back to us for improved stocking. So, we are sure that that market is also going to help us in the coming quarters.

Priyam: So, on a, just to add it up, as you mentioned the export one also. So, the quarterly run rate, what we are doing is +800. So, do you feel that that, that run rate would be able to be maintained for the coming quarters?

Krishnakumar Srinivasan: Yes, we are hoping to maintain that.

Priyam: Okay. And if I am allowed, can I take one more question with regards to the industry again?

Krishnakumar Srinivasan: Yes, fine. Priyam go ahead.

Priyam: Sure. And this is with regards to the current shift what we are seeing in the passenger vehicles.

So, earlier we were seeing electric EVs, picking up. But now there is a concept of hybrid engines.

So, just wanted to understand whether we are present in that segment also hybrid, and we have made some investment towards that segment also?

Krishnakumar Srinivasan: See hybrid actually, what happens with hybrid is that, most of the customers downsize the engine a little bit and also add the electric motors. So, for us, since we are present in both the ICE as well as the electric motor industry, is the best of both the worlds, so for us, it's like getting the business for hybrids also, and for electric motors also. And luckily for us, with major hybrid engines that are being manufactured today in the country we are already present. And we are also talking and doing multiple validations with multiple customers. Unfortunately, I can't give the names, but we are very well present in the hybrid engines all across the country and also globally. And I am happy to state that even on the motors, we are getting a very good traction.

So, that's how we are actually trying to grow the business.

Priyam: Okay . So, would it be a safer assumption that in the coming quarters, or in the coming period , let not define quarters , in the coming period that we may see that the hybrid share also inching up?

Krishnakumar Srinivasan: What share ?

Priyam: The hybrid thing also?

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Krishnakumar Srinivasan: The hybrid sales are already quite , we already have a good hybrid sales today.

Moderator: Thank you. Our next question is from the line of Pradyumna Choudhary from JM Financial Family Office. Please go ahead.

Pradyumna Choudhary: So, my first question was, if we look at our performance versus industry, clearly we have really, really outperformed the industry, especially if we compare it to the passenger vehicle growth numbers. The industry was, flattish during the quarter Y-o-Y. So, what would be the bigger factors leading to this outperformance , could it be due to growth in

other segments, like the two-

wheelers or would it be some market share gains happening in passenger vehicles or maybe just that, some of the OEMs we are present in within passenger vehicles have done better than the industry, if you can just give two, three bigger factors which would have led to this outperformance ?

Krishnakumar Srinivasan: So, primarily Pradyumna , the major factor for our outgrowth is coming out of the fact that we are present in multiple segments. So, we have performed quite well , also in the two-wheeler segment we have a fairly good presence there and our aftermarket performance has also been quite good, and some of the entries into different segments of business, which we had actually done in the previous year, where we had got the businesses, have actually given us slightly better volumes, like snowmobile applications , compressor applications and others, which has actually given us improved results. So, a combination of multiple things has actually resulted in this outperformance .

Pradyumna Choudhary: And sir, so this side of our venue grew by 17% against flattish volumes in EV, if this was supposed to continue the volume trend in the industry. So, how confident are we that we will still be able to , maybe a bit different is fine, but we will be able to sustain such kind of outperformance , are we fairly confident we can continue on this trajectory?

Krishnakumar Srinivasan: No, what happens is , luckily on the consolidated basis, we have other businesses which are also performing quite well, and they are into other segments of the product , the product lines are into different segments of market, like for example Takahata also supplies other than the automotive industry also outside. And we also have some business in the auto industry going into different applications. So, as a result, our push is to grow in those businesses and ensure that on a consolidated basis we are able to deliver better numbers. So, while I cannot directly say that we will grow by 17% next quarter also and in the next half also, but we certainly see that we will try to perform , give a robust performance .

Pradyumna Choudhary: Understood . And one question was, I see that we do not really share the segment wise revenue split in terms of two-wheeler contribution, in terms of passenger vehicles and all. So, could you give a very broad level sense on the revenue segment base for us ?

Krishnakumar Srinivasan: It is more or less in line with the respective segment growth. You will see that the kind of figures that you see in two-wheeler growth, two-wheeler is growing by almost 15%, 16% so that's a
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representative number for us as far as the two-wheeler supplies are concerned . So, naturally, it is in related to the respective segment growth .

Pradyumna Choudhary: No, the revenue split sir, not the growth number , more on the revenue contribution by different segments. Revenue contribution for us, from two-wheeler s, from passenger vehicles, from commercial vehicles.

Krishnakumar Srinivasan: Normally we don't give those numbers Pradyumna , so you will have to bear with me that our contribution numbers are fairly representative of our overall growth numbers .

Pradyumna Choudhary: All right and last question from my side could be, if some sense on the realization for our product across maybe two-wheeler s and four wheelers, very, very rough sense ?

Krishnakumar Srinivasan: I couldn't get your question properly , the line is not very clear.

Pradyumna Choudhary: I am just saying, if you can give a very rough sense on the kind of realization our product commands in the two wheeler industry and in the four wheel industry, just some very rough range of realization , not even the numbers ?

Krishnakumar Srinivasan: You can easily derive that by the overall, you know the suppliers who are

there in the industry, and the kind of turnover we do, and the kind of turnover others do. You can get a rough idea of what is our share of the business that we have. So, we command a fairly good presence in almost all segments of the business, whether it is two-wheeler s, whether it's passenger car, whether it's commercial vehicles, tractors almost everywhere. So, we also, luckily for us we made a very concerted choice or a very clear choice of entering into different segments of the business which are very different to the automotive segment. So, which is like, the co mpressor business, the snow mobile applications, the lawnmower applications, etc., which has also given us a fairly good volume.

Moderator: Thank you. Our next question is from the line of Sahil S anghvi from Monarch Networth Capital. Please go ahead.

Sahil Sanghvi: Just wanted to understand sir, would you be able to give us the revenue split, which you have given on slide number #10 for this quarter, like in terms of after market s, exports, OEMs, non - automotive application ?

Krishnakumar Srinivasan: So, normally we don't give those breakups because it's very business sensitive information and it can really affect us in the coming months, so we have to be very careful, so we are unable to give that number.

Sahil Sanghvi: Okay. But any kind of growth you can give on the aftermarket or exports front, or that also you can't?

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Krishnakumar Srinivasan: No, we can't, because I can only say that our presence in the aftermarket is, we have been able to cover the entire country, but still there's a huge possibility to grow the business. So, it's all about how we can penetrate and reach every city and every small place that sells the products into the aftermarket. So, we have to continue to outreach and grow our reach across the country and we have been continuously doing that.

Sahil Sanghvi: Right sir, and you have commented on the export market that the demand appears weak on one of the slides. So, if you can, just throw a bit more light over there. Would that impact our, growth or revenue numbers ?

Krishnakumar Srinivasan: No, as I said the Company is well positioned to offset some of the losses that it has in one segment by outperforming the other segment. So, we have continuously, always tried to deliver that way and as you can see, while the last two quarters also the export has been badly affected primarily because of the geopolitical situation. The teams have actually done well in the other segments and have been able to recover a good amount of sales and outgrow the business.

Moderator: Thank you. Our next question is from the line of Abhishek Shah from Ambit Capital. Please go ahead.

Abhishek Shah: I had a couple of questions, firstly on the margin, so as I can see standalone our margins seem to have improved. However, on a consol basis, we have seen a slight margin contraction. So, any insight or any color that you can give on that. And my second question is on the debt, so we do still carry a reasonable amount of debt on the balance sheet, and we also have, a larger cash balance. So, any plans on repayment or how are you thinking about that. Thank you.

Krishnakumar Srinivasan: Abhishek, basically as far as margin is concerned, don't compare the 0.3%, 0.5% difference. But, on the standalone basis, as well as a consolidated basis, we are amongst the top performing companies in the country in the auto component industry, with regards to the overall, our EBITDA margins. So, even on a consolidated basis, when any Company, when it does a consolidation of multiple companies across segments, you will see some small variations in the same. Even last year if you had compared you would see that the variation was there in the consolidated basis, but it is all at the fairly good level of EBITDA margins on a consoli

dated

basis across the country. So, we are only improving there, and there is no reason to be very concerned, number one.

Number two, as far as your second question is concerned, related to the loan s, as you realize it is important for us to ensure that we make the best use case of all the working credits and other things that we get from the banks, and we try to maintain that. And that is how you will see that year end figure of March 24 to now also, there is hardly any change a small addition is there, there is more based on the current situation. So, we are not too concerned about the overall debt. The debt -equity ratio remains almost the same level of 0.17x, so we want to ensure that we are not missing out on any opportunity of getting debt at the right interest rates.

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Moderator: Thank you. Our next question is from the line of Prateek Sen from Dexter Capital Advisors Private Limited. Please go ahead.

Prateek: Sir, can you provide me insights into the current demand trajectory and market size for EV

motors and controller systems . And what growth are you expecting in coming years from this segment that is EMFi?

Krishnakumar Srinivasan: That's again a very interesting question. As you know when you hear that the hybrids are going up, and the overall your numbers in ICE vehicles will continue to grow for some time.

Obviously, the other affected party is going to be the EV segment. But luckily for us, it's again as you know it's a sunrise industry and we do see the overall demand continuing to grow continuously in more than big double digit numbers, primarily because the base is small. Now, if you really analyze, the country will demand let's only talk about two-wheelers. The country will require almost close to, let's say 20 million , manufacturing 20 million two -wheelers , of which, let's say 10 million vehicles will become electrified over a period of next, maybe seven, eight years , 10 years' time , and 10 million motors will be required. The whole country today manufactures not even more than one million motors. So, there is a 10x demand that is standing in front of us. So, we have to continue to grow the electric motor industry which will continue to grow on a low base. So, we see lot of opportunities for us to grow in this segment. We are doing all the right investments to be ready , as you know that we are putting in a lot of investment in the Coimbatore factory. We have put up a brand new facility there , we have very sophisticated lines , we have test centers which does multiple testing during efficiency of the motors right up to and all the toxic curves. So, it is very good investments that we are doing for the future of that business. And it has to grow , there is no other way. It can only go Northwards rather than Southwards.

Prateek: Okay . And are we initially focusing more on two-wheeler and three -wheelers ?

Krishnakumar Srinivasan: Yes, the whole industry is focusing on that area. So, we naturally will focus there only .

Moderator: Thank you. Our next question is from the line of Neil from Value Quest Advisors. Please go ahead.

Neil: I have questions on both the subsidiaries that we have. So, firstly, on the motor side, so the new plant that we are setting up, what kind of capacities can we expect , so what capacities we have now, what is the utilization , what is the expansion plan and do we have any orders from four wheeler players and just additionally on the same subsidiary, since we are seeing a lot of players enter this category of two-wheeler motors, three wheeler motors, what would be our right to win in this segment?

Krishnakumar Srinivasan: See, let me explain this , it is very important for us to understand this two-wheeler business. The two-wheeler market is going to be quite huge, as I explained just now. And the players who will play

in this segment are the players who will be able to produce quality products. Now we have focused on ensuring that we are able to really deliver the right results to all our customers. Now, Shriram Pistons & Rings Limited
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if you really see, because of the push by the PM Schemes including the subsidies, it has become necessary for people to ensure that they get all the ICAT approvals, to be able to deliver the right and ensure that the localization content and everything gets ratified, to be able to get the subsidies for the customers for the end customers, otherwise you don't get subsidies. So, because of all this, there are number of players there are , you rightly said the number of players are there, but they are all operating on a very, not on a organized segment , rather they are operating on the unorganized segment and on the organized segment you really see very few numbers now because of these guys spilling over, primarily because they are just trying to import most of the products from other countries and just as seemble and give it here, which is not going to work with the kind of content requirements that the government has laid out . As a result now it has become necessary that only those who have actually done good amount of localization can survive. And we have always focused on localization. So, luckily for us, we are over 90% localized. So , we don't see any reason why we should not be actually winning more businesses, and improving our share of business in this segment. So, we are continuing to do that almost every day we are doing this, and we will see all those numbers improving as the overall market starts picking up for the EV segment. And I think it's going to be very soon .

Neil: So, what would be our rough capacity that we have annual basis and utilization that we are doing right now ?

Krishnakumar Srinivasan: We don't give those numbers Neil, I am very sorry , we don't want to give these numbers because obviously it is all been tracked by competition. And you rightly said, that is a very competitive field.

Neil: Okay , understood. So, the new capacity that we are setting up would increase our capacity by what percentage can you give me that number?

Krishnakumar Srinivasan: 100% .

Neil: Similarly in the second subsidiary Takahata , the kind of space that we are in is kind of a unique space , very few players have at least witness in this space . So, if you can just roughly tell me what kind of size this is domestically, in terms of industry size, how many players, and what is

the kind of size we think we can build in this category over the next, let's say two to three years ?

Krishnakumar Srinivasan: Good question again, the precision injection molding market is a very, very niche market. But when I say niche market, it doesn't mean it's not a big market. It is a niche big market . So, the overall market size, as we have done, whatever internal study we have done, is anywhere between Rs. 3,000 to Rs. 4,000 crores. And with all the businesses we are doing early, you can easily make out anywhere between 7% to 10% is the kind of supplies that we do. And there's a huge market available in front of us to grow that business. So, we have already, bought another piece of land just next to our current existing plant, and we are planning to grow that business also and continuously invest in the right areas to be able to cater to those new businesses that are coming up. So, we see an excellent possibility there.

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Neil: Okay, understood . And the kind of cash that we have, we were going to look for M&As mostly in the non -ICE auto category. So, any development on that, any area that we have locked in on , any update you can give us on that ?

Krishnakumar Srinivasan: Neil, we are continuously working on it, so you will hear about i

t very soon. So, hopefully we

should continue our appetite is quite good, and we are also in a good position to invest . So, you will hear about it very soon.

Moderator: So, the next question is from the line of Amit who is an I ndividual Investor . Please go ahead.

Amit: I just had a specific question on the services proportion of your revenue. Just wanted to understand, are there any specific targets where you want to move from let's say 26 % or 27% currently, to maybe mid 30 %, one. And the second follow up there would be, if you can help us understand what is the profitability of the service business versus, the original equipment business , that will be helpful. Any directional aspect would definitely be helpful. Thanks.

Krishnakumar Srinivasan: Unfortunately, number one is very difficult for me to give any breakup of our margins between segments, because number one as I rightly told you it's very sensitive information, and we have to track it very, very closely, and it is kept under very close tracking by the management team here in the Company . But however, in our growth in the aftermarket has all been good. Over the last five years, we have more than doubled our business. And I did say in the beginning of the call to some other question, where I said that all this is dependent upon how we are able to extend our reach across the country. We are trying multiple means to do that, and it requires also setting up multiple levels of service requirements in terms of the reach , in terms of service levels, In terms of the various other requirements of this s egment, which will define how we are able to service it. And we have done multiple things to be able to improve our reach and the levels of sales.

Amit: Thank you for that additional information. Maybe just a small, if you can just help us with any form of directional aspects in terms of touch points that you would have for the services business, which would kind of help us understand what kind of growth could be looked into. So, any small snippets would be kind of helpful. Thank you.

Krishnakumar Srinivasan: Well, I can only tell you that, we have over 1 ,400 touch points across the country, which is helping us to now g row the segment, and it is extremely important for us to be well interconnected with each one of them, and it's a challenge as well as an opportunity.

Moderator: Thank you. Our next follow up is from the line of Nandan Pradhan from Emkay Global Financial Services. Please go ahead.

Nandan Pradhan: So, I just had a couple of questions if I could squeeze in , one would be the CAPEX for the current year and if you could just broadly highlight the areas that we are going to invest in.

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Krishnakumar Srinivasan: So, Nandan I did input that, we are trying to grow all segments of the business. So, while we invest into newer segments like the EV segment and others. We also continue to invest in our current existing business to ensure that we are able to cater to the demand and the growth that we see in this segment in the coming years. So, multiple levels of CAPEX are being done in all the segments of our business, whether it is piston, rings or whether it is engine valve continuously, for example just recently we have inaugurated our , last March we inaugurated our brand new plant in Pithampur , manufacturing engine valves and also multiple other products. So, we are continuing to invest in these areas, and we will continue to do so till the time we see a good possibility of business and a good return on our investments.

Nandan Pradhan: Okay . And sir s econdly, we had highlighted that we are also looking at non -Japanese customers for Takahata . So, any breakthrough on that side in the current quarter?

Krishnakumar Srinivasan: Yes, we already have some good breakthroughs, and we have already, in fact some cases we have

even started supplies. No w I cannot give the names at this stage, but we have already started that.

Nandan Pradhan: Okay. And sir lastly would be on the EMFI side, any new order wins that you would like to call out?

Krishnakumar Srinivasan: Multiple orders we have won, but I can't give the names at this stage.

Nandan Pradhan: Okay . And how would the execution pan out for these orders , if you could give a broader idea?

Krishnakumar Srinivasan: The whole, the EV business is also equally tough in the sense that we have to get all the multiple validations and everything done. Now the requirement requires ICAT approvals and others. So, we are already in the process of getting all those approvals, and we are in very good shape and thanks to our high localization content, it is really helping us.

Moderator: Thank you. Our next question is from the line of Rajiv Bhansali from Boring AMC . Please go ahead.

Rajiv Bhansali : So, sir since we mentioned about the EV, we are getting into EV. So, what parts particularly we are looking into?

Krishnakumar Srinivasan: What ?

Rajiv Bhansali : We mentioned investing in EV components right?

Krishnakumar Srinivasan: Yes.

Rajiv Bhansali : So, what are the particular parts we are looking into EV like ?

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Krishnakumar Srinivasan: No, as you know that we make motors as well as controllers. We are the only Company giving motors and controllers together. We size it together , we also give controllers separately , we also give motors separately. So, we have multiple business models to be able to service this market. And as far as our focus area is concerned, we are investing in all the areas, primarily into motors and controllers .

Moderator: Thank you. As there are no further questions , I would now like to hand the conference over to Mr. Krishnakumar for closing comments.

Krishnakumar Srinivasan: Thank you, Siddhant . We extend our deepest gratitude to all our participants today for attending today's earnings call. Your participation made the discussion really very engaging. We remain dedicated in our commitment to our strategic business objectives and will continue to strive for sustained, positive outcomes. For any further questions or information, please reach o ut to our Investor Relations team at Ernst and Young . On behalf of the Company , we thank you once again, and high ly appreciate your time and involvement. It was really very good discussions today. Take care and goodbye, and I take this opportunity of wishing each one of you are very, very Happy Diwali and a great year ahead. Thank you.

Moderator: On behalf of Shriram Pistons & Rings Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. Some minor editing may have been done for better readability. In case of di screpancy, the audio recordings uploaded on the stock exchange on October 28 2024 will prevail.

Call: Dec 2024

December 24, 2024
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5
th Floor
Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
ISIN No. INE526E01018

Company Symbol: SHRIPISTON

Sub: Transcript s of the “Update on Acquisition of TGPEL Precision Engineering Limited by SPRL through SPR Engenious Limited (WOS)” - Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“SEBI Listing Regulations”)

Dear Madam/Sir,
With reference to the captioned matter and in furtherance to our earlier intimation letters dated December 13, 2024 and December 18, 2024, regarding the schedule and Audio Recordings of the “Update on Acquisition of TGPEL Precision Engineering Limited by SPRL through SPR Engenious Limited (WOS)” of Shriram Pistons & Rings Limited (SPRL/ Company) and in compliance with Regulation 30(6) read with Schedule III and other applicable provisions of the SEBI Listing Regulations, please find enclosed the t ranscript s of the “Update on Acquisition of TGPEL Precision Engineering Limited by SPRL through SPR Engeni ous Limited (WOS)” , held on Wednesday, December 18, 2024 at 4:00 p.m. (IST) .
The above information is also available on the website of the Company and can be accessed at <https://shrirampistons.com> .
Kindly take the above information on record and treat this as compliance with SEBI List ing Regulations.

Thanking you.

Yours faithfully,
For Shriram Pistons & Rings Limited

(Pankaj Gupta)
Company Secretary & Compliance Officer
ICSI M. No.: F4647

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“Update on Shriram Pistons & Rings Limite d
Acquisition of TGPEL Precision Engineering Limited”

December 18, 202 4

MANAGEMENT : MR. KRISHNAKUMAR SRINIVASAN – MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. PREM RATHI – EXECUTIVE DIRECTOR & CHIEF
FINANCIAL OFFICER
MR. PANKAJ GUPTA – DEPUTY EXECUTIVE DIRECTOR ,
HEAD LEGAL AND COMPANY SECRETARY

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Moderator: Ladies and gentlemen, good day and welcome to the update call for SPRL's acquisition of TGPEL Precision Engineering Limited hosted by Shriram Pistons & Rings Limited. As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Krishnakumar Srinivasan from Shriram Pistons & Rings Limited. Thank you and over to you, sir.

Krishnakumar Srinivasan: Yes, thank you, Ryan. I hope you can all hear me well. A very good evening to everybody. On behalf of Shriram Pistons & Rings, I welcome you all to this Investor Call to update you on the proposed acquisition of TGPEL Precision Engineering Limited by Shriram Pistons & Rings through its wholly owned subsidiary. We had intimated the Stock Exchange with the necessary disclosures as well as the press release on the 10th of December. However, we felt that we should also give an update to you all via this call.

So, thank you all for attending the same. Let me begin.

Shriram Pistons & Rings Limited through its wholly owned subsidiary, SPR Engenious Limited, has entered into a definitive agreement for the acquisition of 100% shareholding in TGPEL Precision Engineering Limited, which is engaged in the manufacturing of high precision injection moulds and injection moulded components.

TGPEL Precision Engineering Limited, formerly known as Timex Group Precision Engineering Limited, is a leading player in the field of precision mould making and injection moulded parts, particularly known for its diverse product offerings in the automotive industry. Additionally, TGPEL Precision Engineering Limited has a presence in the electrical, consumer goods, and medical sectors, and its markets also extend beyond our domestic borders.

Established in 2008, TGPEL Precision Engineering Limited boasts two state-of-the-art manufacturing facilities in Noida, Uttar Pradesh, that are outfitted with advanced capabilities for the design, development, and production of high-tech precision moulds, as well as in-house tooling and the manufacture of intricate injection moulding parts.

TGPEL Precision Engineering Limited primarily supplies injection moulded parts, products, and moulds to OEMs and other automotive companies. Its diverse product range includes many precision automotive components like speaker grills, air vents, flange covers, manifolds, bobbins, door handles, EV fuse box covers, CRB housings, clamps, connectors, and also many non-automotive components like the electrical terminal blocks, the MCB parts, the plastic gears, canister brackets, and small medical devices. Some of the clientele of TGPEL include Denso, Asahi India Glass Limited, Continental, Motherson, Havells, Dabur, Kohler, Gillette, Schaeffler, Nidec, and many more.

TGPEL has shown a positive financial trajectory with revenues climbing to INR 1,183 million in FY '24, up from INR 726 million in FY '21, growing at a CAGR of 18% between FY '21 to December 18, 2024

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'24. Along with that, EBITDA margins have been ranging from 23% to 26% during this period. It has not only reflected a strong growth in the top line, but also in the profitability.

TGPEL Limited, with its healthy profitability matrix, has demonstrated strong capabilities and operational efficiencies on a day-to-day basis. The acquisition of TGPEL is extremely strategic to us, not only from a point of view of diversification into non-ICE components, but also into areas beyond automotive, with light-weighting a

as a concept across various industries. TGPEL's robust financials are expected to contribute significantly to the overall consolidated financial strength of Shriram Pistons & Rings Limited.

Let me quickly talk you through the transaction.

SPR Engenious Limited will acquire a 100% shareholding in TGPEL at an enterprise value of INR 2,200 million on a debt-free, cash-free basis, with adjustments of debt and debt-like items to be considered as on the date of the closing. The transaction is expected to be completed by 31st December 2024, subject to satisfactory completion of all the conditions precedent.

SPR Engenious Limited will acquire 30% shares from Asahi India Glass Limited (listed company), 30% from Padmini VNA Mechatronics Limited, and 40% from three other private investors. There are totally five investors in this company and SPR Engineers will acquire 100% of the shares from these five investors at the above enterprise value.

The proposed acquisition is part of Shriram Pistons & Rings Limited's overall long-term strategy to invest, diversify, and grow its product portfolio in the areas agnostic to ICE powertrain, thereby cementing its leadership position in the automotive sector. This deal will mark one more step towards Shriram Pistons & Rings' focus to consolidate and strengthen its position into the manufacturing of high precision injection moulded components.

Leveraging TGPEL's cutting -edge mould development capabilities and its infrastructure for producing high -precision injection moulded parts, we are well positioned to meet the needs of both local and international clients seeking meticulously crafted moulded components for automotive and other industrial applications, including medical. Integrating Shriram Pistons & Rings' robust manufacturing engineering prowess with its extensive customer network presents numerous opportunities for synergies.

This acquisition is poised to reinforce SPRL 's footprint in the specialised area of high -precision plastic injection moulded area, as well as the overall weight reduction strategy, along with its previous acquisition of SPR Takahata.

This acquisition aligns with SPRL 's strategic emphasis on broadening its footprint in the Non-ICE product segment and thereby creating long -term value for its stakeholders by being accretive to our EPS right from the first day.

So, I am sure you will find this quite interesting and I now request the moderator to open the floor for any questions that you may have. Thank you.

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Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. The first question comes from the line of Akshay Sam from Sam Capital. Please go ahead.

Akshay Sam: Sir, firstly, congrats on the acquisition. It is heartening to see very high margins of TGP EL. I had a few questions. Can you just tell us about what are the synergies you will have with another acquisition you did, Takahata, last year? And also, since we have seen very high margins for this company in particular, I wanted to in particular know why are margins for Takahata very low, despite them being around for 15 years already in India? Is it because of low capacity utilization or there are some other factors or the margins will eventually catch up with TGPEL ?

That is my first question.

Krishnakumar Srinivasan: Yes. So, Sam, let me answer the first part of the question. First and foremost, as far as the synergies are concerned, we see a lot of synergies in the sense that we bring the depth in terms of the reach with all the customers, all the OE customers as well as the Tier -1s, and because of that reach, we are in a better position to really help TGPEL also and also the Takahata team get more business. We have already started doing that in Takahata. And so, we see that basically with t

he product range that presently TGPEL is able to cater to the industry and as well as Takahata, you will find that as far as the precision injection moulded components are there, most of the OEMs, since it requires for a very heavy amount of moulding cost to be put on the moulded parts, we find that most of the customers normally have only one supply for one part. So in terms of the product overlap, there is almost zero overlap. That is a good part between TGPEL and between Takahata.

Now, as far as the customer overlap is concerned, there are some customer overlaps, but that is not too much. And we really found this acquisition leading us to a very good kind of a situation with regards to finding the synergies as well as seeing this whole acquisition being very complementary in terms of its overall positioning, both on the top line as well as the bottom line.

So having said that, I would say that with regards to the margins, I would like to clarify that first and foremost, the margins of Takahata are not very low. So, you might have seen in the last two quarters, we have already shown the margins in our consolidated statements, that margins are in the high 20s and we are very hopeful that the margins of Takahata and margins of TGPEL will really help us to get a fantastic and a very accretive EBITDA business for SPRL on the whole.

Akshay Sam: Sure, sir. So, my second question is regarding further acquisitions if you have planned in the pipeline. Obviously, you have said in the past that all of you are very active and looking out like a hawk for more potential investments.

Can I know, is the strategy of the companies to like get into more use case applications since automotive industry is generally very cyclical? For example, if I may name a peer of yours, similar to what tube investment is doing, because there's so much potential for India's manufacturing sector in general. So looking at just say automotive with a narrow lens may not be the best strategy for future if we want to build more like an industrial hub in India.

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So in terms of just diversifying your use case applications, what is the strategy of management so that we are not just look from the lens of automotive in general and look more like an industrial company? Thanks.

Krishnakumar Srinivasan: Yes. So first and foremost, let me clarify. While I agree that the automotive industry is fairly cyclical, but at the same time, with the penetration of newer models and newer areas, especially the EVs, I think overall if the company really does strategic investments, it will continue to have

a continuous growth path. So I don't see any reason why that should not be achieved. It's a question of how we are able to leverage our strengths in the areas of automotive. That's point number one.

Point number two is as far as these two acquisitions are concerned, both Takahata and this, you might have seen that they have exposures in the market as far as market is concerned to areas beyond automotive. And on an average, both the companies are doing quite well in industrial sectors as well as medical sectors and other areas. So as a result, we feel that our exposure into these areas are slowly improving and increasing.

But it's coming more from the acquisition and I don't think we have a very clear, let me put it this way, a very strategic intent to go into areas other than automotive. Our focus, our strengths are in the automotive and will continue to be in the automotive as a dominant player. But at the same time, we will also explore other areas in industrial as well as medical and other areas so that we slowly de-risk the overall business model.

We have already done that with both the companies put together. We'll have a sizable turnover as far as the plastic injection moulded components are concerned. And we'll have both

on the

top line and bottom line a fairly good presence from the plastics side.

So fundamentally, if you really understand the overall strategy of the company is more to ensure that we are able to keep the lead and the position that we have in automotive and then leverage it to be able to focus into other areas of automotive that also very niche areas. We just don't want to just put money into very normal items which will not give us the required margins because our focus has always been on margins. And we are trying to see that whatever we do is EBITDA accretive to us.

So that is the way that we are focusing. And going forward, to answer your first part of the second question, whether we are looking for other acquisitions, yes, you're right. Though we are looking like a hawk, but we are looking at like a hawk in a very closed zone to ensure that we zero-in on the right companies.

Which will be able to give us the both the top line and the bottom line, rather than just throwing money into very, let me put it this way, irresponsible acquisitions.

Akshay Sam: Thank you so much. I'll get back in the queue.

Krishnakumar Srinivasan: Thank you so much.

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Moderator: Thank you. The next question comes from the line of Gourab Paul, from Techselligence Financial Research. Please go ahead.

Gourab Paul: Good afternoon, sir. So, my first question is a bit technical. So, what is the sort of the lead time or the product development cycle for a precision mould? Could you kind of explain me? And the second part is that last call you had mentioned that the TAM for Takahata is around, I think, INR 3,000 to INR 4,000 crores in domestic market. So, with the addition of TGPEL, how big will this, I mean, how big the market becomes? And where do you see this entire plastic business in, say, three to five years of time?

Krishnakumar Srinivasan: See, basically, let me answer the second question first, to make it easier for you to understand.

The TAM, the total addressable market for Takahata, from a precision injection moulded parts standpoint, what I stated at that point in time was more limited to all the current scale of the industry as far as automotive is concerned. Now, if you really scale it up to areas beyond automotive, let us say, the medical industry and industrial components, there again, the precision component industry is quite big.

And then the TAM continuously keeps on increasing. Our focus between the two companies put together would always remain to have at least anywhere between 20% to 30% of the market being addressed beyond automotive, and at least 70% of the market being addressed by automotive to retain our margins as well as retain our lead positions that we have with the synergies that we can bring on the table. So, strategically, it will always be a combination of all these factors to enable us to not only maintain our positions, but also grow the business across both the companies.

Now, both the companies put together will have a sizable market share as we go along with this, and precision injection moulded parts always requires a lot of technology. And we have to keep upgrading our technologies also continuously. And that's where our partner Takahata has really been able to do that across various segments of the industry. So, we are very confident that our overall strategy is very well falling into place, and it will really help us to scale this business quite heavily.

Gourab Paul: Understood. So, I generally wanted to understand, say, for example, an OEM comes with an RFI or an RFQ for a precision mould, not an OEM, sorry, a Tier 1 or Tier 2. How much time does it take to...?

Krishnakumar Srinivasan: Yes, so I'm coming to the first part of your question, especially the lead time required for any

new development. Now, this again depends on size to size . If yo

u go on to the TGPEL 's website,
you will see all kinds of components that they make . They make right from small connectors
right up to big fuse boxes and various precision components. So, sometimes the lead time could
be as low as anywhere between three months, between 8 to 12 weeks, or in some cases even as
high as eight months, if wherever it requires a huge amount of validation.

Now, for many of the automotive components, we have to also do a lot of validation. But there
are components which can go only through the PPAP route, and then that doesn't really require
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a very huge validation. So, we have multiple combinations, which work on this side, and it's
very difficult to pinpoint, say, that takes minimum this time.

Rather, it is better to say that the growth that you see on a yearly ba sis is a clear indicator in
terms of how they are able to convert their new enquiries into business. On an average, they
have been achieving a CAGR of around 18%. And that's a very fairly good growth that we see
on a year-to-year basis. And that's been one of the major reasons why we said that we should
invest in this company.

Gourab Paul: I had a question on the aftermarket side. Will this call be appropriate for that question, or maybe
I'll take up in the earnings call?

Krishnakumar Srinivasan: No, the af termarket, as far as this particular product is concerned, is certainly there. But most of
this aftermarket gets serviced by the OEMs directly, because there's been a precision component
goes inside most of the assemblies. And the assemblies either are add ressed b y the tier ones or
by the OEMs.

So, we don't aftermarket for these parts, that is the plastic injection mould ed parts and the
precision plastic, we don't expect to have a separate line of aftermarket, because we have to
service it through the tier ones. Bu t at the same time, at any given point in time, if we find that
there is a good possibility for us to enter the market with the excellent network of aftermarket
that we have across the country, I think it is not going to be a very tough task.

Gourab Paul: Thank you for the answer.

Krishnakumar Srinivasan: Thanks a lot, Gourab . Thanks.

Moderator: Thank you. The next question comes from the line of Vikram Rawat from East Lane Capital.
Please go ahead.

Vikram Rawat: Hi, sir. Good evening. Sir, my question is g iven these two acquisitions , how should we look for
the scaling up of this plastic injection mould ing business? And second is on the interior side,
what kind of capacity utilization level are we running at? And current capacity, basically, how
much potential revenue can we reach from the existing asset base? And is there any plan for the
scaling up like a capex we are doing in the Takahata? Is there any further capex plans for this
business?

Krishnakumar Srinivasan: Yes. Good question, Vikram. And le t me answer this. This market, as far as precision injection
mould ed parts are concerned, is a growing market. Now, the reason why it's a very growing
market is because people have realized that you can leverage a lot of possibilities by using plastic
injection mould ed parts as compared to a mechanical part or a steel part, and thereby get almost
the same strength and get the output that is required. So, that's why people have started
applying this into a number of areas in the vehicle also, because that helps them in the overall
light weighting concept that they have for the vehicle.

As a result, you'll see that these companies have been growing at this rate. 18% CAGR is really
a very good growth rate that they have been able to achieve over the last fiv e years. Then there
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is no reason why we should not look at applying the same kind of growth rates in the future
years. And both

the companies together should be able to give us that kind of business growth
that we are looking for.

And going from a capacit y utilization standpoint, while we don't normally give these numbers
directly, but I can only say injection mould ing, if you see as a business, normally we put the
machines with a certain mould ing capacity, let's say a 350 ton machine if we put, normally t he
capacity is quite good and it requires a good amount of orders to really fill up that capacity.
And between the two companies put together, we have I think over 250 to 300 machines. And
as a result, we have fantastic flexibility that we can bring in , in terms of capacity and also be
able to work out strategies with regards to high volume lines and low volume lines and be able
to mix and match a lot of possibilities for the end markets.

So as a result, I feel that there are a lot of possibilities that then comes along this way, because we have a fairly good mix of machines available, thereby catering to bigger segments of the market.

Vikram Rawat: Thank you, sir. That's it.

Moderator: Thank you. The next question comes from the line of Mitul Shah from DAM Capital Advisors. Please go ahead.

Mitul Shah: Yes, sir. Congratulations and thank you for the opportunity. Sir, two questions. In this acquisition s, out of overall revenue, how much would be roughly from the mould s and how much would be from the mould ings? And would that be entirely injection mould ing or would the mould s include the injection mould as well as blow mould and all?

Krishnakumar Srinivasan: Okay. Yes. So, Mitul, thanks for the question. You know, first and foremost, as far as precision injection mould ing, I keep saying this that, the area that we are trying to attack is only precision injection mould ing, because that's where we are able to get the technology. We need a lot of technology with regards to vacuuming, with regards to insert mould ing, with regards to temperature stability and a lot of other things, because that way then we can give very thin sections and be able to reduce the weight of the components .

And that is fundamentally the technology that goes behind this. And in this, there is absolutely no blow mould ing, because blow mould ing and all are very low technology items and very beaten up on costs and prices.

Whereas, where the technology is involved, it 's a very high precision component and there is a huge amount of technology as well as a huge amount of efforts that needs to be put up to manufacture the mould s. So, in almost all the cases, when we make the mould s, while the mould s are owned by the tier -1s or the OEMs, the mould s are made for the respective, part that we have, that we get awarded from the business.

So, in very rare cases, the customer gives the mould and we have to give the mould ed parts. In 90% of cases, we have to make our own mould s for the parts that we get awarded in terms of Shriram Pistons & Rings Limited

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the business. And we have to design the mould s to suit the technology that is required to achieve the end result. The end results are the ones which I said, in terms of low thickness, 1 mm, 0.5 mm thickness and all that to maintain stability.

So, most of the mould s that you will see is, has to be manufactured for the products that we make. There are also a stream of business that we do, where in both the companies, Takahata as well as this, where we do the moulds for specific to customer applications, we give it to the customer, customer does the mould ing himself. So, that, those cases are also there.

So, so it's a good mix and match. But overall, as a percentage of the business, the mould business will be fairly, let me put it this way, anywhere ranging between 15 % to 20%.

Mitul Shah: So, about 80% is mould ings, right?

Krishnakumar Srinivasan: Mould ed parts .

Mitul Shah: Mould ed parts

ts, correct.

Krishnakumar Srinivasan: But even mould s that we make, maybe for the mould ed parts, for the same mould ed parts, but retained by us, but manufactured for the customer.

Mitul Shah: And just follow up on this, in terms of margin, generally mould making margins are much higher than the mould ing, right? So, what would be a difference roughly in terms of the percentage?

Krishnakumar Srinivasan: We don't, we don't normally categorize that way, because when we make the mould s for the parts that we make, so we focus on the part cost, so, and the mould is owned by the customer.

So, it's not that on the margins on the mould s is bigger than the margins on this thing. So, it's a mix and match kind of a situation.

Mitul Shah: Lastly, on, again, mould s, how much would be the captive consumed mould s out of that 20% revenue? How much is the third party for which mould s are manufactured?

Krishnakumar Srinivasan: That again varies from year -to-year, it will vary. So, you can't fix it up to a certain number, because it depends on the kind of business that we get. And we don't do a normal run of the mill kind of a mould , because there are many inquiries for that. But we don't do all that, because our capacities are limited. And we want to focus on very specific areas where we can bring technology.

And so, that way, we can't exactly pinpoint and say that this will remain like this in the future also. So, I don't think that number will make any much relevance.

Mitul Shah: Okay, sir. And so, on the utilization, how much is and how much it can go up with minimal capex on de-bottlenecking?

Krishnakumar Srinivasan: I think I answered the previous question. So, we expect, we have, know, as I said, the different grades of machines have different capacity levels, and different utilization. So, we normally categorize it by the availability of the kind of machines, the tonnage of the machines that is there.

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And we categorize it across 80 to 100 tons, 100 to 150 tons, 150 to 200 tons, 200 to 300 tons, and 300 tons and above.

This is how the whole categorization happens in the precision injection moulded parts. There are, of course, many other plastic parts where it is even above 300 tons, 350 tons. So, it varies from tonnage to tonnage. But we have a fairly good capacity available. Let me clarify that between the two companies put together, where we can mix and match and get efficiencies out by the volumes.

So, we are able to then, easily have a fantastically good capacity available.

Moderator: The next question comes from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities.

Mumuksh Mandlesha: Just, sir, firstly, if you can help us, how the Timex Group was, I mean, just in the landscape of this thing, what are the capabilities they have? And today we have the two partners, different, Timex and the Takahata. So, how the technology will be then shaped up for the future, sir?

I mean, it would be different for different businesses, or they would also combine effort.

Krishnakumar Srinivasan: Yes, let me answer this question first because it's a very good question, a very important question. First and foremost, TGPEL does not have any partners today. It was actually formed as a Timex Group. Timex was a US-based company and you might be knowing that Timex initially formed the company with the Tata's collaboration.

And this was founded in 1992, as when Timex used to primarily focus on making the moulds and plastic injection moulding for watches. But that's how it started. And then subsequently it was carved out as a Timex Group Precision Engineering Limited in 2008, when the relationship between Timex and Tata's broke and Timex went off.

And the injection moulded parts remain in the country as a standalone company. And it became Timex Group Precision Engineering Limited.

And this company actually started with a new facility in 2009 in Noida. And they had roughly one plant, I think it was close to 45,000 square feet that they had constructed at that point in time.

But then they were acquired in 2019, they were acquired by five different shareholders from different companies. And this included Ashi India. And then Padmini VNA, they both had 30%-30%. Then there was private investors, three of them from Hong Kong, all having, 20-10-10, that kind of a shareholding.

So it was a very mixed kind of a shareholding, more like a financial investor. And none of them were able to consolidate the financials of this company. And it was standing as a standalone company. And now, with our acquisition, we find that, they also find that it makes a lot of sense, we are able to then give it more strategic direction, more directions in terms of growth.

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And, there is then a clear focus with regards to how we want to grow this light-weighting segment of ours in terms of the plastic injection moulding. So that is how this whole acquisition made sense. And I think it is a very apt acquisition with regards to our overall strategy.

Mumuksh Mandlesha: And now, sir, it will be played to both of the partners, I mean, both of companies will be separately, it will be played out in the market.

Krishnakumar Srinivasan: So when they don't have any partners from outside, it is only Takahata as a partner whom we have under the Takahata wing, which will continue. And between us and Takahata, we have a clear understanding of how we'll run this whole overall plastics business.

Mumuksh Mandlesha: And, sir, just on the, how is the ROCE profile can help us understand for this business as of now? And I mean, is there any other incrementally margin triggers you see that can support better margins for this acquisition, sir?

Krishnakumar Srinivasan: See, the past figures are all available on the ROC sites. So you will be able to get the financials down and on an average their return on capital so far has been in the region of around 24%. So 23% EBITDA is what we have been maintaining. So, their return on capital etc. is all available for the previous year's figures. So I think that you will be able to get from there.

Mumuksh Mandlesha: Got it, sir. Thank you so much for this opportunity, sir.

Krishnakumar Srinivasan: Wonderful. Thank you.

Moderator: Thank you. The next question comes from the line of Gourab Paul from Techselligence Financial Research. Please go ahead.

Gourab Paul: Sir, I just wanted to understand this tooling that you do for mould. It's usually paid upfront by the customer, isn't it or what is...

Krishnakumar Srinivasan: No, we have both the models. There are some models where it's paid upfront, there are some models where we apportion it from the cost to the part.

Gourab Paul: Okay. And my second question is for medical devices you mentioned that there are some medical

devices under TGPEL. So are there any components which have gone through FDA approval or something like that, any idea?

Krishnakumar Srinivasan: Yes, they are already supplying. They are already supplying to Tier 1s directly.

Gourab Paul: Okay. The second question was in the last call you said that in export business, you're seeing green shoots coming up and more business is coming for your base business, not the plastic, but for pistons from Europe and America. So, I mean, overall this quarter are you still seeing that or I mean, it's still subdued and...

Krishnakumar Srinivasan: No, as I said I think I mentioned it in the last call that our exports business has got affected because of the war situation at both in the Middle East as well as in Ukraine. So, the whole of Europe is under a lot of slowdown. The whole of US is under slowdown. So, the

primary markets

for us are in the Middle East and Europe. And naturally, the exports markets are affected.

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But notwithstanding that we have all continued to grow and will continue to grow primarily because of newer areas that we are attacking in terms of new business and also in terms of ensuring that we are able to cater to some of the urgent requirements that some of the companies have abroad which is happening primarily because of some of the big players vacating capacities. So, we are able to cater to that because with our clear strategy of growing in all the areas that we are invested in, we want to ensure that we are able to cater to the end markets in a manner which is going to be very seamless for the customers. So, that way we are able to actually grow the business.

Gourab Paul: Sir, also in the CV and tractor overall, I mean, the aftermarket segment. So, I understood that there are around INR 10 crores of CVs in the Indian domestic market on road. So, typically, what is the overall cycle of that? I mean, say in life of say 10 years to 15 years, how many times do they go for piston replacement?

Krishnakumar Srinivasan: I think I explained this in the last call. Normally, in the life cycle of CV industry, there are normally anywhere between five to six times that it undergoes overall engine overhauls and that is not a sacrosanct figure, the whole industry works in a very uncoordinated manner. There is no coordinated figures available, thereby you can conclude and say that this is how it will move, but in an approximate manner, anywhere between five to six times in a CV, that it undergoes major overhauls.

Gourab Paul: Understood, sir. And my last question I wanted to understand regarding the ethanol based blending. So, I understand that in Brazil you supply for components where the blending is around 60% to 80%. Please correct me if I'm wrong?

Krishnakumar Srinivasan: Even 100%. See what happens ethanol blending happens from 10% to 100%. So, in Brazil, they have reached not today, they have reached almost close to 5 years, 6 years back 100% blended ethanol usage. And they have realized that with 100% usage, they have the wear and tear on the engine components are very, very high.

As a result of which it has now been blended down and they on an average use between 80% to 85% as the standard ethanol blending. Now, with 80% to 85% blending what happens is you will still there is a big drop in the power density as a result of which you have to go for higher ratios and other things.

And you have to completely redesign the product because the carbon should be in on the higher side, you have to redesign the product to be able to maintain all the scavenging that is required on the engine blocks and that requires a huge amount of technology with regards to the coating of the rings, coating of the pistons and other things.

So, that is the technology that we have developed. And we are leading the entire race by giving product components which goes into CNG and ethanol applications in a very big way, both in India as well as in abroad.

Gourab Paul: Yes, so just to give a sense so say, for example, we have a VH 6 piston and compared to that say your Freedom 125 piston of similar vehicles, so the machining content for the Freedom 125 or

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a CNG based or an ethanol based ones, would it be more high like the top crown surfaces and all?

Krishnakumar Srinivasan: Yes, everything not only the machining, machining plus coating everything changes completely.

Gourab Paul: Okay. That's very clear. Thank you so much.

Moderator: Thank you. The next question comes from the line of Akshay Sam from Sam Capital. Please go ahead.

Akshay Sam: Hi, sir. Thanks for the follow-up. Can you throw some light

on the competitive landscape and

the precision plastic moulding segment in India? Because I've seen a lot of competitors abroad who are market leaders. They do very niche stuff such as plastic and metal fusion moulding as well?

Krishnakumar Srinivasan: That is one of the major areas that we do we call it as insert moulding. And it's a metal insertion moulding that we do and do it in both companies. Well, the competitor for Takahata was Timex. Competitor for Timex was Takahata. So, we do have other competitors, but then I think we have a good position now.

Akshay Sam: Are we the biggest in India, sir?

Krishnakumar Srinivasan: No, I don't think so. From the landscape of the market that is available, I think you can easily make out we cater to around 15% of the market now and we want to grow to a much bigger segment. Our aim is to become the biggest. What it required was a group which will actually bring a lot of synergies with regards to the market and the front-end situation that we have with so many tier ones that we are able to consolidate all that and bring it all together.

And that is where we see the synergies coming from SPRL. So, SPRL will play that part with regards to getting those synergies and growing the business for both these companies.

Akshay Sam: So, we have 15% market share at the moment and you think the market leader has around say 20%? Is that sir?

Krishnakumar Srinivasan: No, I am not saying that. There are very distributed kind of suppliers. As a result there is one guy owning more than double-digit figures in terms of the market share because this happens when you have a very niche market the customers cannot invest in multiple suppliers for the moulds because otherwise the overall cost goes up.

So, they tend to develop their own partners in small segments and they want the partner companies to then invest in the mould. So, that is how it happens. So, most of these companies will not find any product overlaps, but you normally have overall group overlap happening because of it being a plastic injection moulded part.

Akshay Sam: Understood, sir. Thank you so much.

Krishnakumar Srinivasan: Yes.

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Moderator: Thank you. As there are no further questions, I would now hand the conference over to Mr.

Krishnakumar Srinivasan for closing comments.

Krishnakumar Srinivasan: I think these are all great questions today and I think we have been able to answer it to the best of our abilities. In case anybody has any further questions, please do reach out to us anytime.

You have the numbers available of Mr. Pankaj Gupta who is our Company Secretary and Legal Counsel. He will ensure that he will then reach out to the right person to get the answers and be able to give the answers back to you.

We extend our gratitude to all the participants for attending today's Investor Call. Your participation has made this discussion extremely engaging. We remain dedicated in our commitment to our strategic business objectives and we will continue to strive for sustained positive outcomes.

For any further questions or any information that you may have, please reach out to our Investor Relation Team at Ernst & Young. And on behalf of the company again, thank you once again and appreciate your time and involvement in these discussions. Thanks a lot. Take care and goodbye. And I do take this opportunity to wish you all a very Happy New Year. Thank you.

Moderator: Thank you, sir. On behalf of Shriram Pistons & Rings Limited, that concludes this conference.

Thank you for joining us and you may now disconnect your lines.

Krishnakumar Srinivasan: Thanks, everybody.

Disclaimer: This is a transcription and may contain transcription errors. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

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editing may have been done for better readability. In case of discrepancy, the audio recordings uploaded on the stock exchange on December 18, 2024 will prevail.

Call: Mar 2025

February 7, 2025

National Stock Exchange of India Limited
"Exchange Plaza", 5th Floor,
Plot No.C/1, G Block
Bandra-Kurla Complex
Bandra (East), Mumbai 400051
NSE Symbol : SHRIPISTON BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400001

BSE Scrip code : 544344

Sub: Transcripts of the "Earnings Conference Call" - Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations")

Dear Madam/Sir,

With reference to the captioned matter and in furtherance to our earlier intimation letters dated January 27, 2025, and February 3, 2025, regarding the schedule, investor presentation, press release and Audio Recordings of the "Earnings Conference Call" of Shriram Pistons & Rings Limited ("Company") and in compliance with Regulation 30(6) read with Schedule III and other applicable provisions of the SEBI Listing Regulations, please find enclosed the transcripts of the "Earnings Conference Call" on Unaudited Financial Results for the quarter and nine months ended December 31, 2024, held on Monday, February 3, 2025 at 5:45 p.m. (IST).

The above information is also available on the Company's website and can be accessed at <https://shrirampistons.com>.

Kindly take the above information on record and treat this as compliance with SEBI Listing Regulations.

Thanking you.

Yours faithfully,

For Shriram Pistons & Rings Limited

(Pankaj Gupta)
Company Secretary & Compliance Officer
ICSI M. No.: F4647
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"Shriram Pistons & Rings Limited
Q3 & 9M FY25 Earnings Conference Call"
February 03, 2025

MANAGEMENT : MR. KRISHNAKUMAR SRINIVASAN – MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER
M R. PREM RATHI – EXECUTIVE DIRECTOR AND CHIEF
FINANCIAL OFFICER
M R. PANKAJ GUPTA – DEPUTY EXECUTIVE DIRECTOR,
HEAD, LEGAL AND COMPANY SECRETARY

Moderator: Ladies and gentlemen, good day, and welcome to the Shriram Pistons & Rings Limited Q3 & 9M FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

Today from the management, we have with us Mr. Krishnakumar Srinivasan, Managing Director and Chief Executive Officer; Mr. Prem Rath, Executive Director and Chief Financial Officer; and Mr. Pankaj Gupta, Deputy Executive Director, Head Legal and Company Secretary.

Before we begin, let me remind you that this discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It may be viewed in conjunction with the business risks that could cause future results, performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

I now hand the conference over to Mr. Krishnakumar Srinivasan for his opening remarks, post which we will open the floor for an interactive Q&A session.

Thank you, and over to you, sir.

Krishnakumar Srinivasan: A very good evening to everyone. On behalf of the Company, I would like to thank each one of you for joining our Q3 & 9M FY '25 Earnings Call. Our financial results, investor presentation and press release have been uploaded on the Company's website and the Stock Exchange, and we hope you have all had the opportunity to go through the same.

Q3 & 9M FY '25 have again been a milestone quarter and nine-month period for the Company as we delivered our highest ever numbers as compared to the previous third quarter and the nine-month periods of the previous years. Our consolidated total income grew by 11.5% year-on-year in Q3FY '25 to reach INR 8,751 million and 15.3% year-on-year in 9MFY '25 to reach INR 26,454 million. We have continued to outperform the industry, which grew by low single-digit figure this quarter on an overall basis.

The EBITDA and PAT too have recorded the highest ever numbers in Q3 and the 9M FY '25 period. Our performance is a testament to our leading market position as well as our team's consistent efforts towards achieving long-term success and ever outgrowing the market. In terms of the industry in the 9 month period, passenger vehicles has recorded a muted performance despite attractive year-end discounts offered by the OEMs. The highest volume segment, which is the two-wheeler segment continued to grow in double digits. The commercial vehicles and the three-wheeler industry remained flat as compared to the previous year.

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Thus, we are continuing to outperform all the end segments of the auto industry in this quarter as well. Furthermore, during the quarter, the EV penetration has also not been very good. We have been consistently communicating with you about our overall strategy to further diversify our business model, and we have taken a very positive step in this regard. During this quarter, as we had talked in the investor call that we did immediately after the acquisition of TGPEL. We acquired a 100% stake in TGPEL Precision Engineering Limited, which is into the business of manufacturing precision plastic injection molds and precision molded components for the automotive, electrical, consumer goods and medical sector, and has two state-of-the-art manufacturing facilities in Noida in Uttar Pradesh.

They have advanced capabilities for design, development and production of high-tech precision molds and components. Some of the clientele of TGPEL includes Continental, Motherson

, Denso, Asahi India Glass, Havells, Dabur, Kohler, Gillette, Schaeffler, Nidec and many more.

And as you can see from the customer list, this acquisition will completely complement our previous acquisition of SPR Takahata very well, which is also into the manufacturing of precision injection molded parts and molds for the automobile sector.

Coming back to our standalone business, our exports continue to face some pressure given the geopolitical tensions, high volatility in the freight rates, high energy costs especially in Europe, leading to slowdown in the European markets and other Middle East and South American markets. However, notwithstanding the above, we expect these markets to recover and come back to their original levels in the medium term soon.

Even in the domestic market, we are positive of the long-term direction of the Indian industry and are confident that the short-term situation will correct in the near term given the push from the government as well as the major transition towards greener alternatives like the electric vehicles and alternate fuel solutions like hybrid, hydrogen, Compressed Natural Gas, HCNG applications, LNG applications, flex fuel applications and biofuel applications.

Indian government has created momentum through Faster Adoption and Manufacturing of Hybrid and Electric Vehicles scheme, which is the FAME scheme as it is shortly called and keeping a very aggressive target of 30% new electric vehicles sales contribution by 2030 with a push from infrastructure and manufacturing expansion. This approach is expected to achieve cost improvements over the long term and create a broader market spectrum, wherein all the powertrain technologies will co-exist with a greater push towards the greener solutions.

This drive will push the component manufacturers to give further enhanced solutions to meet the above environmental norms, thereby pushing the boundaries of the existing technology solution. So as we say every time, we expect all the powertrain technologies to coexist because even if we take a muted 6% to 7% average CAGR growth of the auto industry in the next 5 years till 2030, we expect a growth of almost close to 40%, whereas the penetration of EV is 30%, which means there will be more IC engines made in 2030 as compared to what it's made today.

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While the industry continues to grow, we are confident that our Company is well positioned to capitalize on all the growth opportunities that we foresee across all segments of the business. The broadening of product offering enables us not only to strengthen the tech-backed components for all powertrain solutions for automotive and also for various nonautomotive solutions like gensets, railway applications, defence applications, snowmobile applications mainly for our exports, lawn mower applications also for exports, compressor applications, braking applications, etcetera. We will continue to work on crafting business strategies to navigate through the dynamic market conditions. We are focused on delivering sustained growth in both the top line and bottom line as we have been delivering over the last many years.

Now I will just quickly take you through the key financial highlights for the quarter, beginning with our consolidated performance.

Our Company has registered a year-on-year growth of 11.5% in total income to INR 8,751 million for the quarter from INR 7,850 million reported in Q3FY '24. Similarly, our EBITDA increased by 9.6% year-on-year to INR 1,978 million in Q3FY '25 from INR 1,806 million reported in Q3FY '24. Our EBITDA margin stood at 22.6% during Q3 FY '25.

The profit after tax for Q3 FY '25 witnessed 12.3% year-on-year increase, amounting to INR 1,210 million as against INR 1,078 million in Q3FY '24. Our cash PAT for Q3FY '25 stood at INR 1,518 million as compared to INR 1,367 million in Q3 FY '24, representing a

growth of

11.0% year-on-year.

For the 9MFY '25 period, total income registered a growth of 15.3% to INR 26,454 million from INR 22,951 million in 9MFY'24. EBITDA during this period stood at INR 5,979 million, registering a year-on-year growth of 13.6% over INR 5,264 million reported in the 9MFY '24. Our EBITDA margins during the 9M FY '25 was at 22.6%.

Profit after tax grew by 13% year-on-year to INR 3,640 million from INR 3,222 million in the 9MFY '24. Similarly, the total cash PAT for 9MFY '25 witnessed a growth of 14.9% year-on-year to INR 4,554 million as against INR 3,964 million in the 9MFY '24 period.

So standalone performance basis of SPRL. The total income recorded a year-on-year growth of 9.4% during the quarter to INR 7,956 million from INR 7,271 million reported in Q3FY '24 and on the backdrop of the market growth of an average of around somewhere close to 6%. EBITDA saw 8.8% year-on-year growth to INR 1,889 million in Q3FY '25 as compared to INR 1,736 million in Q3FY '24. The EBITDA margin stood at 23.7% during the quarter. The profit after tax witnessed a growth of 11.3% year-on-year, reaching INR 1,204 million during Q3FY '25 from INR 1,082 million reported in Q3FY '24. Our PAT margins improved by 25 basis points to 15.1% as compared to 14.9% in the same period of the previous fiscal. And similarly, our cash PAT for Q3FY '25 stood at INR 1,421 million compared to INR 1,310 million in Q3FY '24, representing a growth of 8.5% year-on-year.

So, for the total 9M period, the total income witnessed a growth of 7.7% to INR 24,041 million from INR 22,321 million during the 9M FY '24.

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EBITDA was reported at INR 5,654 million in 9MFY '25 as against INR 5,208 million in the same period last year. The EBITDA margins for the 9M FY '25 is slightly higher at 23.5% as against the 23.3% of 9M FY '24 last year. Profit after tax for the period was at INR 3,593 million, up by 10.1% year-on-year from INR 3,262 million in the 9M FY '24. And profit after tax margin for the 9MFY '25 improved by 33 basis points at 14.9% as against 14.6% in 9MFY '24. The cash PAT stood at INR 4,236 million as compared to INR 3,912 million, again, registering an 8.3% year-on-year growth.

So, as you would see from both the results, the consolidated as well as the standalone results, overall, our Company continues to register a very robust performance in all aspects across all segments.

Also, I am happy to state that looking at the improved performance of the company, the Board has continued with its policy to reward all our esteemed shareholders with an interim dividend of 50% of the face value of INR10 per share, that is INR5 per equity share.

With this, I come to the end of my talk, and I would request Alaric to open the floor for any questions that you may have. I thank you once again for taking out the time during this evening and coming into this call. Really appreciate that. Thank you.

Moderator: The first question is from the line of Rushabh Shah from Buglerock PMS.

Rushabh Shah: I have two questions. Your focus on improved sales was penetrating into newer markets in the aftermarket and exports. So how have you progressed on those lines?

Krishnakumar Srinivasan: Okay. So yes. So see, we have always continued to penetrate the aftermarkets. And as I said, exports, it has been a little tough, primarily because exports markets have got affected because of the geopolitical situation. But as far as the domestic market is concerned, we have actually grown our domestic aftermarket, and we have been able to improve on our touch points that we have.

And across the country, we have over 1,200 touch points now and all the touch points have actually improved our visibility in the market. And we have been able to actually penetrate very well in the aftermarket. So that is continuing. And I think as an overall progress, aftermarket has been

one of the good stories this year so far.

Rushabh Shah: Just a follow-up on this one. You said that you have penetrating into newer markets. So could you please tell me which newer markets you have entered in the past few years?

Krishnakumar Srinivasan: There are two ways of looking at the newer markets. One is from a market perspective overall and one is from a product perspective in the aftermarket. In the aftermarket, we have introduced some of the very important products, which complement our overall piston, rings and valve business because now, for example, the connecting rods that are required because every time the engine is open, the connecting rod has to be changed if the piston requires a change or if the whole this thing has to be changed to ensure that the performance is really good as original.

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So we have started combining all those and trying to give this as a package. And so we have started supplying the con rods. We have started supplying a couple of other related products like the valve seats, the valve guides and other things along with this thing with a very clear focus on growing the overall, what should I say, the packaged business of bringing all these parts together. So that's really helping us, number one.

Number two, as far as the newer business areas are concerned, we are looking at within the country, we have multiple areas. It runs into figures that we have gone into different cities, newer contact points and other things, right starting from Assam to all the way down right up to Kerala, almost at every places, including both geographically as well as ensuring that we are able to cater to those businesses in those markets. The supply chain is extremely important in such a case. So we have actually strengthened our supply chain distribution channel, and we are able to cater to those demands that are coming from these markets.

Rushabh Shah: Okay. My second question is, since you don't give a breakup of your revenue, could you please mention the names of your competitor in this business as well as your EV business like for hydrogen pistons, who else are there in your business?

Krishnakumar Srinivasan: Yes. So hydrogen pistons, as I said, is a new development. There are at least 3 customers with whom our product is under advanced field trials. It's a huge development, and it will take a lot of time with regards to the development fructifying into overall business case. Because that the OEM has to do a lot of other things to be able to make it successful, like ensuring that the hydrogen, most of the customers now realized that they have to keep the hydrogen at the high pressure. So the safety requirements of the vehicle really has to be looked into multiple times. And then we have to have at least three redundancy factors in the safety aspect, and at the same time, there are factors like the hydrogen embrittlement and other things that comes into play, which has to be tackled. So there are a lot of developments that are happening across

these areas based on all the field trials and other areas that we are working on. So I think it will be a huge development, but it is progressing quite very well with all the customers. And I think as compared to some based on our discussion with our partners, as compared to other countries, I think India has taken a big lead on the development of hydrogen as a fuel. And I think we are progressing very well, thanks to the Reliance Network as well as all the customers working with Reliance.

Rushabh Shah: Could it be your competitors also?

Krishnakumar Srinivasan: Pardon me?

Rushabh Shah: Would you name your competitors?

Krishnakumar Srinivasan: No, we don't name our competitors, sorry.

Moderator: The next question comes from the line of Chirag Jain from Emkay Global.

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Chirag Jain:

So just wanted to know, in this quarter, the gap between our standalone and consol revenue growth has actually narrowed down to just about 2% compared to about 8% to 10% that we did in the first 2 quarters. So how do we see the EV powertrain and the plastic injection molding business shaping up over the next 2, 3 years? If you can share some thoughts, that would be very useful?

Krishnakumar Srinivasan: Yes. So basically, the reason for this is not because the other group companies have not done the business. Last quarter, we had the beginning of the Takahata business, which was fructified in the October of last year. So we got the advantage of the quarter-on-quarter this thing. But otherwise, from this quarter to the next quarter, you will not see that massive change because that was already recorded in '24. So that's why it's only a base effect that is leading to this.

But coming back to your second part of the question in terms of how our other businesses are doing, they are actually progressing quite well. They're in line with their budgets, and all the businesses are outgrowing their markets in terms of the growth. And if we have an average growth of about 3% to 5%, we are on an average, outgrowing the 100% in all our businesses.

Chirag Jain: Okay. And very specifically on the EV powertrain business, would you share some update with respect to the new plant? And how, let's say, the new order wins are shaping up over there?

Krishnakumar Srinivasan: Yes, certainly. There are massive actions that have happened in this quarter as far as the EV plant is concerned. One is that we are probably one of the very few suppliers in India to get the ICAT approval and the PM E-drive approval on both our motors and controllers, which required a minimum level of localization. So we are probably the only one who have been able to demonstrate the complete localization to the ICAT authorities and being able to get the approval from them so that all our customers will be able to get the same subsidy. That's point number one.

Point number two, we have already, as you might have seen in the market, the new vehicle that was launched by Ampere is with our hub motors and controllers. And that's one of the reasons how Ampere has been able to meet the targets in terms of the target levels of costs and price at which they have launched the vehicle. And we have many other customers which are in the fold, which the moment the vehicles are released, I think I'll be in a position to release the names of those customers. But to tell you very frankly, I think we have to start looking at further expanding our facilities. That much I can tell you.

Chirag Jain: Okay. If you can share some thoughts, how much would be the revenue potential in the EV powertrain business that we are setting up in the current phase?

Krishnakumar Srinivasan: Well, it's again a forward-looking statement, very difficult to give, Chirag, but I can only give you an answer in a manner that if you are looking at just the motorcycles and we are looking at 3 million or 4 million vehicles to be made and less than 2 million motors that can be supplied as of today with regards to all the capacities that are available, we have a huge potential for growth as far as the value is concerned.

Moderator: The next question is from the line of Vaibhav Shah from DSP Mutual Fund.

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Vaibhav Shah: Congratulations, sir, on a decent set of numbers. My first question is generally from a medium-term perspective. We hear light weighting as a key trend within the automotive space. And given that now we have focused a lot in terms of plastic precision in injection molding as a segment, could you talk about some of the products or the offerings that you have in terms of substitution, which is happening from metal to a plastic components?

How are you looking in terms of this segment? We have the T

akahata addition and the TGPEL

addition -- any sort of revenue potential that you are looking combined with these 2 businesses.

Krishnakumar Srinivasan: Yes. So thanks for the question, Vaibhav. So basically, let me explain our plastic injection molding business. Our plastic injection molding business is basically precision plastic injection molding components. We don't go behind run-of-the-mill items or items which goes into major, positions in the front bonnets the front-end portions of the vehicle car segments and other things. The products that we make are products which go into Tier 1 suppliers, and it goes as more as the components for internals fitments, like, for example, the steering gear that is required inside of steering gear pump and the steering column.

Now this is a gear which requires precision metal injection molding along with insert molding. And it requires a lot of stabilization of the teeth of the gears and other things to maintain stability of the thickness and stability of the overall performance. Now, those kind of products are the ones that we make. We make products for specific injection requirements.

We make products for seat belt requirements. We make products for airbag requirements. We make products for braking requirements. We make products for trim components. There are also some 2K components that are required for A pillar, B pillar parts, which also we make in very specific sizes.

We make products which goes into chain drive systems and things like that, which requires very high precision and stability of profile maintenance. Now all this requires a very special kind of engineering and technology, and that's what we get from both the Timex Group as well as the Takahata business. And that positions us well to be in a very specific area. We don't really go behind mass weight segment reduction, weight reduction components, like replacing some steel into plastic or aluminum parts into plastic.

We are not normally going into that because our components are all very small components, which goes inside some of the subassemblies and parts. So that's point number one. But notwithstanding that, we certainly make certain parts, which also goes into EV applications, for example, stability of the overall, what should I call it as the ECU housing, which requires not only cooling as well as it requires a lot of stability of the wall thickness.

Now that is a big component, which is replacing many of the steel. The steel parts that were being used gets replaced now with these parts if we are able to deliver those stable conditions. And we have already demonstrated that our parts have been applicated already. We are already working with some customers to work on this and give them the positions.

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So there are many, many such components which goes into these kind of applications. So that's where we stand as far as -- so that is why we are able to command a very high technology cost for these components, and we are able to maintain our margins.

Vaibhav Shah: Sure, sir. This is very helpful. Could you also talk about some specific details in this plastic injection molding business that we have in terms of overall market share that we currently -- in the alternative offering side? What's the average?

Krishnakumar Srinivasan: We don't normally give our market share figures, but I can only tell you that with two of the major companies, which are now under our fold and making the precision plastic engine parts, our market share is really very good in the market today.

Vaibhav Shah: Sure, sir. And would you also be able to share some details in terms of average content that the battery give with each standard two-wheeler or four-wheeler thing? Is it a material sizable opportunity over next, say, 3 to 5 years, the average ASP value offerings that we can give to Takahata plus TGPEL, could it be substant

ially higher case value offerings that can grow

faster over a number whatever growth we are anticipating from this business?

Krishnakumar Srinivasan: Yes. See, basically, the way I look at it is these components as newer vehicles are coming into picture, as new EV vehicles are coming into picture, there are many areas which require very high amount of precision injection molded parts. And many of these parts earlier have been made with metal parts because of the maintenance of the stability and maintaining the tolerances. Now as we are able to make it through injection molding and also give the required life, it is getting replaced by these parts.

And most of these parts are actually -- we are working on multiple areas of replacements of such components. And these are all getting developed for various customers, including many, many, many EV components, EV manufacturers, in terms of the kind of fuse boxes, the kind of components that goes into the fuse boxes, even components, which are going into the shadow more chargers and others, there are a lot of intricate parts, which are going into those chargers, which are getting applicated with very precision high injection molding parts. So those are the areas that we are working on.

There are also many 2K, 3K components, as we call it, 2K, 3K injection molding components that is required by our customers on which the Company is working on today. So that's the

kind of picture I can give you at this stage. To give you exact content per vehicle will become very difficult because we ourselves have not done a very detailed exercise because many of these things are still work in progress today.

Vaibhav Shah: Sure, sir. I appreciate that update on this division. My second question is regarding exports. And this is a little bit premature to ask. But as of FY '24, our North America exposure was somewhere around 12% to 15%. Has any of the customers found it out any impact due to this types related segment issue, which can come up? And would we be open to say, investing into some manufacturing presence from that geography? Or do we continue to export to some areas? Any view on this update?

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Krishnakumar Srinivasan: Well, the view on this is our exports to America will continue and our customers are clear on this that it's not easy for some of those parts which have been developed to again get it developed in those regions and then get it approved through a very detailed validation that is required. The validation programs itself run for over one year on the engine component. So it requires a lot of development and validation and it requires a lot of money to be invested upfront.

And I don't think all this is going to happen. And India, the exports from India are going to continue, and I don't think that will get affected in a big way. In fact, if at all, it helps I think the exports are only going to increase because of all the other actions that are being taken geopolitically by the governments there. And we expect that to be actually incremental to us in some way or the other. We are already discussing this. And the overall U.S. NCA rules that were formulated is already in a kind of a flux because of the tariffs that have been applied by U.S. on Mexico and Canada.

Vaibhav Shah: Sure, sir. I have a third and final question very quickly on our revenue by customer segment.

So 2 parts to the question. Any outlook in terms of our nonautomotive revenue share, which was close to 3 odd percent as of FY '24. How should we think this contribution going up in the next 1 to 2 years, given that now we also have TGPEL, which has a lot of nonautomotive exposure again over here. So any perspective in terms of our revenue share contribution from non-auto?

And second is, I just want to understand from a pistons and piston rings perspective, the aftermarket share in this business is signif

icantly higher, right, close to 27% or 30 odd percent

of our revenue. Now when I compare to other automotive products like say, suspension or other engine products, the aftermarket segment is not that very high. So could you give some perspective in terms of how the aftermarket is placed out of here some insight into how this market is growing.

And I understand that profitability will be good in this aftermarket segment as well. So if the segment's contribution continues to go up, any view in terms of EBITDA margins that we do has that more scope of our improvement going forward as well?

Krishnakumar Srinivasan: Well, basically, our aftermarket will continue to grow, primarily because the requirements of whenever the engine goes for an overhaul, piston, the piston pin, the piston rings, the valves everything has got to be changed during the overhaul. And that requires is a good amount of this thing. And there are a number of overhauling exercises that happen across India. And we are having a fairly good position in terms of the market fill rates, as we call it, in terms of the requirements across all touch points in the country.

And we have really grown that touch points, and we have invested heavily over the last many years, and that's giving us good results in terms of ensuring that our products are all available across multiple markets in the country and across each and every corner in terms of the overall requirement.

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Now what normally happens is whenever an engine gets overhauled, all this gets changed. And along with that, there are a couple of other parts also that require a change like the con rods, like the crankshafts and other things. These are some of the components that through our supplier partners, we have been able to develop for specific markets, and we are also trying to sell it through our network using the advantage of our network, and that's really helping us to grow that business.

And we will continue to do that across the market. And we have also, as far as the export part is concerned, as I told you earlier, the business has been affected primarily because of the geopolitical situation and the energy costs and other things, which is leading to a heavy -- very disoriented kind of a price increase across segments in those markets, thereby leading to

customers not taking the risk of doing any aftermarket changes. So they continue to run the product with their vehicles and other things for some more time rather than going in for any major overhauls.

So I think this situation will change very soon once there is more stability in the market and geopolitical situation improves. And I think this will happen very soon, hopefully.

Vaibhav Shah: And sir, and on non-automotive, sales business do have anything?

Krishnakumar Srinivasan: See, just to give you a perspective on that, as I said, our business that way, if I take only the SPRL business, that way is now more than 50% derisked because we supply the components to railways, marine engines to various applications, where it is going to be very difficult to electrify, like also some genset applications and also some off-highway applications, harvester applications, etcetera, etcetera. So there are many applications which are not going to get electrified very soon.

So those are all derisked business already, and that component is over 50% now. And on top of it, we have all the new businesses that we have acquired over the last 3, 4 years which as a contribution to our overall turnover is slowly increasing. As I said, the plastics business itself will be almost close to INR500 crores. And in INR3,000-odd crores or INR3,000 plus odd crores overall turnover, INR3,500-odd crores plus turnover. So naturally, it will be a sizable business. And with the 50% derisked business, I think we are in a very, very safe situation today as a Company.

Vaibhav

Shah: Sure, sir. And just last -- very quickly one last question if I can squeeze in. If I look at overall the Coimbatore plant, if I remember, you said, it was supposed to be starting in Q4 of this financial year. Are we on track in terms of commissioning and starting or when should we expect a ramp-up from that plant?

Krishnakumar Srinivasan: We have dot on track and happy to state that the plant is coming up really very well. And we are looking at starting by the end of March.

Vaibhav Shah: Perfect. And capex number for this year and next year, if you can share?

Krishnakumar Srinivasan: No, capex numbers, we don't share, but I can tell you, we continue -- as I have always said that we'll continue to invest in both our legacy business for newer products like the hydrogen

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pistons for very different kind of applications like the 100% ethanol. There are a lot of investments to be done for the rings required for these applications. A lot of investment required to be done for pistons for these applications, including steel pistons.

So we are working on investing in those areas for our legacy business. And also, we'll continue to invest into newer areas in the acquired businesses, both for motors and controllers as well as for the plastic injection molding.

So while we continue all this, the Company is also continuing to look out for further investments and further M&A opportunities, which we are working on. And we will inform the market at the right time.

Moderator: The next question is from the line of Maulik Gandhi from Val-Q Investment Advisors.

Maulik Gandhi: Congratulations on a good set of numbers. My first question was on something you had mentioned in the previous call that the export markets have been slow in the last 2 quarters but majority of the companies have exhausted their stock and are coming back for like improved stocking? So are you still holding on to the view for the next quarter and the subsequent quarters on this? Like I know this quarter wasn't because of the geopolitical situation, but are you holding the view still?

Krishnakumar Srinivasan: No, the view is slightly different now that the markets have come back the coming quarters, we are seeing a slight uptick in the requirement from the customers. As a result, we are hoping that our exports business may not go back to the original level immediately, but it is rising up as compared to the previous 2 quarters. The last 2 quarters were affected, but I think we have been able to cover it up with all our other businesses. And this quarter, we are seeing this increasing. So we are actually looking for a healthy quarter this coming quarter.

Maulik Gandhi: Okay. That's helpful. And my second question was on the fact that considering that you had mentioned that TGPEL and Takahata would be actually synergistic to each other. So like on -- from a growth perspective, how do you see those 2 playing out? Because I think they cater to different segments in the precision injection molding parts. So like how do you see -- this is the first quarter we are consolidating TGPEL into our financials. So going forward, how do you see TGPEL playing out, like the growth of TGPEL?

Krishnakumar Srinivasan: Yes. The good part is both TGPEL and Takahata, they produce parts which are from a product perspective, complementary to each other. So from an overall basket of the plastic injection molded parts, precision plastic injection molded parts. There are not too many common parts that they make for different customers. So between customers also, even if you see the customer base, we find that the customer list is fairly different in both the companies, thereby

giving us a very complementary kind of a situation in both these companies. And secondly, in terms of the product, there is hardly any overlap with all the products because even if they go to the same cus

tomers, the products, the customer does not pay a mold cost for both the companies to really produce both the parts, so the same part. So it normally happens that they give one part to one customer and one supplier and the other part to the other supplier. So that way, from a product perspective also, it becomes very complementary.

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So with that, what is happening is we are seeing a lot of -- and as I said earlier -- alluded to in the earlier comments that we are looking at many of the components getting into precision plastic injection molded parts, which requires a good amount of change and investments. And we are working in such a way that both the companies will be really full as far as their requirements are concerned in terms of the overall new growth programs.

Maulik Gandhi: Okay. Just a follow-up to this question, like as you had mentioned that the precision injection molding business is margin accretive, especially the TGPEL business. So I know you don't provide guidance, but like would you like on a, let's say, 1-year, 2-year view, would you -- seeing that it would like from some part of our turnover, would you say that the margins would improve going ahead?

Krishnakumar Srinivasan: Yes, they already have a fairly good margin. I think at least the initial figures are already known to the market. So we expect to maintain those margins and -- or if possible, improve it. It's not -- for automotive parts and components, it is not very easy to keep increasing margins continuously, but maintaining the margins in itself is a kind of increase that we can maintain. So I think overall, looking at the synergies and the kind of capacities available, if we are able to not -- if we are able to even defer capex on these parts and use the capacity that is available between these 2 companies, I think we'll have a very marked improvement in our utilization.

Moderator: The next question is from the line of Chinmay Nema from Prescient Capital.

Chinmay Nema: Sir, just wanted some color on the demand in the aftermarket segment. Is there a 1:1 correlation in terms of what we see on the primary sales for the automotive player? Is that segment able to hold on to its own demand? Just some subjective color on what you're seeing?

Krishnakumar Srinivasan: There is absolutely no correlation between the OE sales to the aftermarket requirement. So it's extremely difficult to work out. I think for times and for years together, people have tried getting some kind of correlation, but this year could be x percentage, next year could be y percentage, next year could be z percent. So it's very difficult to really make that out. The best way of answering this is there is going to be always a continuous work, at least in India to see that a vehicle gets used for a pretty long time. And that's what gives us the confidence that the aftermarket will continue for a very long time.

Now when I say even after EV penetration, even if 100% EV penetration takes place, I think the aftermarket will continue for the next at least 15 to 20 years to cater to the existing park that is available of vehicles. Now the park that is available -- the vehicle park that is available today in terms of at least the numbers is over 120 million to 130 million vehicles, both two-wheeler, four-wheelers put together. And on an average, anywhere between 3 to 4 years the vehicle goes for a major overhaul. So there is always -- even if you do a rough math, there's always a continuous -- going to be a continuous demand of overhauling that is going to happen across the country.

The only problem is that it will happen at various points in the country, in various parts of the country, and you need to ensure that your product is available across those parts and those segments of the market. And that is where the fill ratio is very important to ensure that your

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parts are available. And that's how the touch points are important. So we have been continuously focusing on developing those touch points and growing that aftermarket business.

Chinmay Nema: Understood, sir. So from a -- I mean, not asking for specific numbers, but from a medium- to long-term perspective, is this a double-digit growth business or a single-digit business growth? How do you look at it from a business planning standpoint? If you could share that.

Krishnakumar Srinivasan: No. Normally, it depends purely on the park. So as the vehicle -- see, earlier, we used to make 1 million vehicles, let's say. Today, over the last 10 years, we have grown to 4 million and 5 million and then two-wheelers have grown from 16 million to 20 million. So the park keeps on increasing. As the park keeps on increasing, the aftermarket requirement also keeps on increasing because then the vehicles accordingly after every 4 years or 5 years they come for

an overhaul.

So, this trend will not change. I think from an engineering standpoint, the trend will not change, trend will continue. And depending on the usage and other things, it varies, of course, a little bit here and there. But overall, we are able to see a fairly good growth.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to Mr. Krishnakumar Srinivasan: for the closing comments.

Krishnakumar Srinivasan: Yes. Thanks, Alaric. Once again, I think there are a set of really good questions that we got just now. And I think all the members present here today could get a fairly good view of what we are talking about. I once again take this opportunity extending my deepest gratitude to all the participants for attending today's earnings call, even though it's late in the evening. Your participation made the discussion extremely engaging. We remain dedicated in our commitment to growing our business and to our strategic business objectives that we have, and we'll continue to strive for sustained positive outcomes. And I'm very positive that this will -- that we will grow the franchise as we go along.

For any further questions or information, please reach out to our Investor Relations team at Ernst & Young. And on behalf of the Company, I again take this opportunity of thanking you once again and highly appreciate your time and involvement. Please take care, and goodbye. Thank you very much.

Moderator: Ladies and gentlemen, on behalf of Shriram Pistons & Rings Limited, that concludes this conference. You may now disconnect your lines. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. Some minor editing may have been done for better readability. In case of discrepancy, the audio recordings uploaded on the stock exchange on 3rd February 2025 will prevail.

Call: May 2025

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National Stock Exchange of India Limited

"Exchange Plaza", 5th Floor,

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Bandra (East), Mumbai 400051

NSE Symbol : SHRIPISTON BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai 400001

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SE Scrip code : 544344

Sub: Transcript s of the "Earnings Conference Call" - Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations")

Dear M adam/Sir,

With reference to the captioned matter and in furtherance to our earlier intima tion letters dated May 1 , 2025, and May 8, 2025, regarding the schedule, investor presentation , press release and Audio Recordings of the "Earnings Conference C all" of Shriram Pistons & Rings Limited ("Company") and in compliance with Regulation 30(6) read with Schedule III and other applicable provisions of the SEBI Listing Regulations, please find enclosed the transcripts of the "Earnings Conference Call" on the Audited Financial Results (Standalone and Consolidated) for the quarter and financial year ended Ma rch 31, 2025, held on Thursday, May 8, 2025 at 4:0 0 p.m. (IST).

The abov e information i s also available on t he Company's websit e and c an b e accessed at <https://shrirampistons.com> .

Kindly t ake the a bove informatio n on record an d treat t his as compliance with SE BI List ing Regulations.

Thanking you .

Yours fa ithfully,

For Shriram Pistons & Ring s Limited

(Pankaj Gupta)

Company S ecretary & Compliance Officer

ICSI M . No.: F4647

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"Shriram Pistons & Rings Limited
Q4 & FY25 Earnings Conference Call "

May 08, 2025

MANAGEMENT : MR. KRISHNAKUMAR SRINIVASAN - MANAGING
DIRECTOR & CHIEF EXECUTIVE OFFICER

MR. PREM RATHI - EXECUTIVE DIRECTOR & CHIEF
FINANCIAL OFFICER

MR. PANKAJ GUPTA - DEPUTY EXECUTIVE DIRECTOR ,
HEAD (LEGAL) & COMPANY SECRETARY

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Moderator : Ladies and gentlemen, good day and welcome to Shriram Pistons & Rings Limited Q4 & FY'25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and '0' on your touchtone phone. Please note that this call is being recorded.

Today from the management, we have with us Mr. Krishnakumar Srinivasan – Managing Director & Chief Executive Officer ; Mr. Prem Rathi – Executive Director & Chief Financial Officer, and Mr. Pankaj Gupta – Deputy Executive Director, Head (Legal) & Company Secretary .

Before we begin, let me remind you that this discussion may contain forward-looking statements that may involve known or unknown risk, uncertainties, and other factors. It may be viewed in conjunction with the business risks that could cause future results, performance, or achievements to differ significantly from what is expressed or implied by such forward looking statements.

I now hand the conference over to Mr. Krishnakumar for his opening remarks post which we will open the floor for an interactive Q&A session. Thank you and over to you, sir.

Krishnakumar Srinivasan: Thank you, Avirath. A very good evening, everyone, and thank you for joining us on the Q4 & FY'25 Earnings Call for Shriram Pistons & Rings Limited.

Our Financial Results, Investor Presentation , and Press Release were all published on the Stock Exchanges and the Company's Website , and I hope you have had an opportunity to go through the same.

I am delighted to share that we concluded FY '25 with a robust performance again as our consolidated total income grew by 15.3% year-on-year while EBITDA and PAT recorded a notable 14.9% and 17.5 % year-on-year growth respectively.

We have achieved this performance, despite the year '24 -'25 being a very challenging year for the auto industry , as it recorded only a moderate 3 % growth on a weighted average value basis , with two wheelers growing at around 9% while passenger vehicles growing at around 2%, commercial vehicles de-growing by 1 %. This performance of ours under these circumstances is a testament to our leading market position and strategic approach towards navigating the market complexities, enabling us to continuously outgrow the industry. This success reflects the effectiveness of the strategies and the systems we have implemented to strengthen the SPRL fundamentals.

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During the year, we implemented various initiatives to strengthen our core business while exploring new opportunities for sustainable and profitable growth. This success is also a result of our team's collective efforts to create a lasting value for the organization. Our Company has consistently upheld a strong commitment to excellence, innovation, and integrity. These core values have not only propelled us forward, but have also solidified our position as the leading manufacturer of pistons, piston pins, piston rings, and engine valves in India and abroad. As we continue to evolve and adapt to market trends, we remain dedicated to delivering high quality products that set new industry standards for our customers.

Over the past year, we have taken several initiatives to strengthen our core business while venturing into new opportunities, thereby ensuring sustainable and profitable growth trajectory. Our teams are focused on developing technology-driven components for future needs, including those compatible with alternative fuel solutions like the hybrid, the hydrogen platforms, the CNG, the H-CNG, hydrogen blended CNG as we call it, the LNG, flex fuels and biofuel systems.

ms. We believe and we think that all these powertrain technologies along with the traditional ICE and the new age electric powertrain solution will coexist in the long term with an increasing emphasis on the greener alternatives.

With our comprehensive portfolio spanning ICE powertrains, biofuel powertrains and EV powertrains , we are now strategically positioned to navigate across evolving landscapes of the automotive industry, thereby mitigating risks and capitalizing on the emerging technologies. As it stands, about 50% of our business is derived from the aftermarkets, the exports and the non-automotive segments , which are not likely to be affected by change in the powertrain technologies. We include the truck business also in this segment and if we do that then in the non-automotive space, we build products for applications such as gensets, railways, defense, compressors and specialized products for the export markets including snowmobile and lawnmower applications.

We have reached this situation of more than 50% of this business, primarily over the last 5 to 6

years, with deeper focus on getting into businesses which will have much longer length of stay as far as the overall ICE powertrain is concerned.

Moreover, we are actively working to diversify our business model by acquiring companies with solid fundamentals and promising growth prospects. Following our previous acquisitions of SPR Takahata and SPR EMFI, we have now acquired a 100 % stake in SPR TG PEL Precision Engineering Limited. This strategic move will enhance our capabilities in the precision molded plastic component segment thereby growing that segment of our business. As a Company, we have a huge focus on sustainability and environmental responsibility. In line with this, we have increased the solar power consumption in all our factories, with 35% of the total being consumed at the Ghaziabad and Buland shahr plants through the solar. And we have also had almost close to 5 % of the power requirement met by solar at the Pathredi plant.

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This year, we have also received several prestigious awards, including the recognition in the Dun & Bradstreet Top 500 Value Creators in ESG. We have also won the Gold Award by ACMA in ESG and Safety Categories and significant achievement in Corporate Excellence from CII. While these are few that I've highlighted, we have also won multiple awards from various OEMs, both domestic and global, for our technology, quality, and delivery excellence.

Now I would like to give you a very quick snapshot of our consolidated Q4 & FY'25 performance just to showcase how these efforts are translating into performance:

In Q4 FY '25, our Company achieved year-on-year growth of 15% in total income to Rs. 10,158 million, whereas EBITDA rose by 18% year-on-year to Rs. 2,378 million. This translates into an EBITDA margin of 23.4% as compared to 22.8% in Q4 of FY '24. Profit after tax, PAT, surged by 30 % year-on-year to Rs. 1,515 million with a margin of 14.9% which has expanded by 168 basis points.

I am really pleased with these results, and I am confident that we will perform to similar kind of figures in the future also.

I am also pleased to share that SPR EMFI is also progressing very well with regards to new product development, operations and setting up of the new facility in Coimbatore.

Moreover, our overall plastics business is also showing a very good promise with regards to new products being developed and the overall growth trajectory that it has been able to achieve in the short term that it has been with us.

For FY '25, our total income grew by 15% year-on-year, reaching to Rs. 36,612 million. The domestic markets led the growth for the Company due to persistent challenges in key export markets, primarily due to the global geopolitical tension. Our EBITDA has

also increased by

15% to Rs. 8,357 million with a margin of 22.8% and PAT rose by 18% year-on-year to Rs. 5,156 million with a PAT margin of 14.1%.

So, overall the results have been really fantastic. Despite a turbulent year for the industry both domestically and globally, we have successfully achieved growth and delivered a very strong overall performance. Hence in recognition of this success, the Board yesterday has declared a final dividend of Rs. 10 per share, which is a 100% of the face value, including the interim dividend of Rs. 5 per share announced earlier and that too on a bigger base due to the bonus share issue last year.

Going forward, we will continue to focus on operational efficiencies through digitization and low-cost automation. We are pursuing backward integration, exemplified by our recent acquisition of Karna Intertech, a key supplier of gravity die casting molds used in our piston casting manufacturing. We are also eyeing up multiple opportunities to acquire more businesses which would synergize well with our current business and with our customers.

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needs. We are pleased to announce that our new facility in Pitampur will be expanding to double its existing capacity. Moreover, the new facility in Coimbatore for SPR EMFI is also expected to be commissioned very shortly. Owing to all these initiatives and strategies that we have put in place, we expect to continue our growth momentum while delivering the best result for all our stakeholders.

Now to conclude, I would like to express my deepest gratitude to our teams and all our stakeholders for their continued support. There are numerous growth indicators which instill confidence in an upward trajectory for our Company, the industry, and India as a whole. We are excited about the journey ahead as we pursue profitability with purpose, innovate in mobility technologies, and create sustainable value for all our stakeholders. Thank you very much for your time and thank you very much for attending this conference.

With this, I request the moderator to open the floor for any questions. Thank you very much.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. The first question is from the line of Chirag Jain from Emkay Global. Please go ahead.

Chirag Jain: Yes, good afternoon everyone and congratulations on very strong performance. Sir, just wanted your thoughts on few things. Obviously last year we have grown closer to about 9% in terms of standalone operations. How do we see this year in terms of the growth for the standalone business particularly considering the industry environment which is still somewhat subdued? So that would be one. And second, in terms of standalone business itself, what could be the potential revenues that we could do from the current infrastructure or facility and the profitability scale up that we can happen obviously last couple of years, particularly last year has been subdued and yet you have been able to maintain very strong margin profiles. So I am sure there could be a scope for operating leverage which can play out as the revenue growth comes back in line with let's say industry and probably your outperformance. So maybe some thoughts around that.

Krishnakumar Srinivasan: Hi, Chirag. Yes, certainly the way we look at it, Chirag, is that the market is expected to be a little subdued for sure, as you rightly said, because of both the geopolitical tensions, globally as well as domestically. So, but at the same time, we also see a lot of opportunities in this because globally, we do have also a lot of standard players or lot of regular players vacating some capacities, thereby enabling some of these global players or global customers to reach out to us with regards to possibilities for growing the business. So I do see a lot of opportunities, while there are tough situations existing in the marketplace, we also see a good opportunity shaping up which could help us in the future years. But as we go along, it is very important to understand that at some point in time, we will of course get scale and the margins coming out of the scale will certainly be something that will be accretive. But we always believe that whatever business we do, we do it profitably. And that has been our motto always and we expect that we will continue in that direction. So from a standpoint of our capacities

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and the situation as it stands today, we feel that it is certainly possible for us to scale up to the requirements of some of the customers globally and be able to deliver to their requirements. So we are looking at those opportunities and we are working on this.

Chirag Jain: So just wanted your thoughts on the subsidiaries as well. I think the EMFI business or the EV power train business, I think the new plant has already started. So some thoughts in terms of how the business is ramping up, especially some order wins over there? And also on the plastic business now with two businesses that we have acquired, how do we see that scale up happening over the next 2-3 years on these 2 businesses as well?

Krishnakumar Srinivasan: To answer in one line, think both the businesses are doing very well. The EMFI business has also, we have been able to pick up some good customers and we have been able to ramp up our manufacturing there. The new plant is not as yet functional, but it will be functional by end of June. As soon as the new plant is functional, we are also going to also have lot of our mid-drive motors and others getting manufactured there. But many of the customer programs are under validations and approvals. So at this stage, we are very excited with all the possibilities that we have for that EMFI business. Similarly, in our plastics business also we are doing very well with both the companies are actually complementing each other and the wide array and range of programs that we can do for our customers has really increased, thanks to the M&A that we have done with TGP EL and as a result we are now able to cover a wider range of product portfolio and at different levels of performance, I will put it this way, because some plastic precision components require certain kind of technologies to be used and certain technologies not to be used. And we have both the companies masters in their own respective game.

Chirag Jain: Sure. Thank you so much. I will come back in the queue.

Krishnakumar Srinivasan: Yes. Thank you, Chirag.

Moderator: Thank you. The next question is from the line of Aman Soni from N vest Analytics Advisory LLP. Please go ahead.

Aman Soni: I just want to know the current revenue contribution from electric vehicle segment. And can you please provide an update on its progress and shed some light on the development in this area?

Krishnakumar Srinivasan: Yes, I just replied. As you can see from last year, we did around roughly around Rs. 12 crores in our EMFI business. This time we have more or less doubled it. Even after, even though we had a lot of issues with regards to the delays because of the government's new rule of getting all the ICAT approvals and other things done, we had to get all this cleared and I am very happy to say that we are amongst the top companies to have cleared the PM E-Drive requirements as well as get all the ICAT approvals in both our motors and controllers. We are making our own controllers right from weight soldering and everything that we do in-house.

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As a result, we are able to give a good amount of localization benefits to our customers. And all this has really helped us to win new bu

sinesses. And we think that we will continue to grow in this segment and also be able to penetrate different product segments that are required in this area.

Aman Soni: Thank you, sir. Understood.

Moderator: Thank you. The next question is from the line of Resham Jain from DSP Asset Manager. Please go ahead.

Resham Jain: I have just one question. On the export piece, I think which is close to 600 odd crores right now for you on a yearly basis, what kind of customers are you seeing the inquiry coming from? And typically, what is the size of the business on the export side you typically look for? So if you can just give some sense because I think last few years you have been talking about export. Obviously, market has been a little patchy there. But if you can share your thoughts around that, that would be ...?

Krishnakumar Srinivasan: Yes. So as far as the export market is concerned, Resham, we are actually supplying to both OEs as well as to the aftermarket. OEs we have big customers, big names like all the big names that you can think of. So we have one program or the other with them. But unfortunately, what has happened is most of the OEs have a drop of over 20% in their volumes as far as Europe is concerned. And in some segments of the market in the UK as well as in the US, we do see a drop of over 10% to 15% on an average. So overall export markets, we see a drop of over 20% -22% as far as the current volumes are concerned, primarily because of the geopolitical situation. But thanks to our other efforts in terms of entering into newer segments of the business, like snowmobile applications, marine applications, compressor applications, and also some of the lawnmower applications, we have been able to get newer businesses which we have capitalized on. And even though the end markets dropped drastically, our sales just dropped by around 4% or 5%. And that also because we had to do a lot of coverup in terms of initially giving the samples and getting the validations done, etc. So now, having done all that, this year we expect that to pick up and our volumes to come back to normal and probably exceed our expectations. So we are quite confident that our export business will continue to grow as we have seen it earlier.

Resham Jain: Okay, understood. Sorry, one more question is on the domestic OEM business, you mentioned that you have 65% odd market share in India but incrementally the new models and all do you have higher market share? Is that what is happening in the industry right now?

Krishnakumar Srinivasan: Well, Reshamji, we don't give our market share figures. I don't think we have ever given the market share figure of 65% and all. But we certainly have a very dominant market share. We continue to grow with all our businesses, including all individual product lines, like engine valves or pistons or piston rings and piston pins. Individually also, we have been doing quite well to penetrate more and more with all our customers. So we are looking at newer platforms, Shriram Pistons & Rings Limited

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we are looking at some of the new business areas that we have been able to start our supplies, including compressor applications and things like that. So all that has really helped us to improve our overall growth situation. And our market share has always continued to be quite dominant.

Resham Jain: Okay, understood. Thank you so much and all the best.

Krishnakumar Srinivasan: Thank you.

Moderator: Thank you. The next question is from the line of Vijay Pandey from Nuvama. Please go ahead.

Vijay Pandey: Thanks for taking my questions and congratulations for a good set of numbers in fourth quarter. So now have one question, I just wanted to check if you can give us a little bit details about the upcoming projects, like what are the upcoming new products or upcoming new projects that you

are working on that will drive the sales growth in FY'26 as well as in '27.

You can just give us a brief overview when these projects are expected to start and what will be the ramp up phase?

Krishnakumar Srinivasan: Yes. So Vijay, most of these projects are confidential projects with our customers. And it is not possible for me to divulge any details at this stage regarding those projects. But the point I can tell is, as I said, we will continue to dominate the market with our market share and at the same time we are continuing to work on various strategies for entry into different product segments, including, as I said, including areas like snowmobile applications, marine applications, etc. So

we are continuously working in those areas and we feel that all the activities that we are doing will only be very accretive to our current line of business and be able to support us to continue our growth story.

Vijay Pandey: Okay. And I just wanted to check on the gross margin. Our gross margin got weakened, like declined quarter-on-quarter for both standalone and consolidated. Any particular reason for this decline? And do we expect the steel prices as the commodity prices have declined from April, when do we expect this benefit to reflect into our P&L?

Krishnakumar Srinivasan: Well, I don't know how, you might be seeing it only at a sales minus material cost level, but that's not the way to look at it. Overall, you have to look at the margins which is growing. If you see our EBITDA, PBT and PAT levels, because the product mix can make a big difference in this gross margin situation. So you should never look only at that because as I said, our product mix is changing with regards to the different new products that we are introducing. But overall profitability we are in fact improving as you can see in our EBITDA margins. You know, in fact, over the last five years, we have continuously registered over 8%-9% growth, 800 basis points growth. So that's a very massive growth on the EBITDA level. So you shouldn't look at it from that point of view because it's a mixed story.

Vijay Pandey: Okay. And if you can share which are the main customers ...

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Krishnakumar Srinivasan: All the names that can come to you in your mind with regards to all the vehicle manufacturers, everybody is our customer. Everybody. I don't think we have anybody in India who is manufacturing a vehicle and is not our customer. Does that answer your question?

Vijay Pandey: Yes.

Krishnakumar Srinivasan: Thank you.

Moderator: Thank you. The next question is from the line of Vivek Gautam from GS Investment. Please go ahead.

Vivek Gautam: First of all congratulations on good set of numbers. Sir, let me begin by saying that I have recently started tracking the Company. So if you find the question a bit elementary, please have patience. Number one, is this, actually what is the opportunity size for our Company, in the sector we are operating in and the expected growth rate? And is our IT engine segment a sunset sector or that is an excessive pessimistic view and any steps we are taking to mitigate the same?

Krishnakumar Srinivasan: I will have to give you a very long answer to completely make you understand, just I will try my best to give you a very kind of a quick answer looking at the queue of questions that I have. Frankly, this Company is primarily into multiple segments, like we call ourselves as a solution provider for powertrain solution provider. We give powertrain solutions for the various kinds of ICE engines. These ICE engines could be basically gasoline and diesel, also other solutions like LNG, CNG, HCNG, hydrogen and also biofuels and various other applications. So various power train solutions, we give the solutions for that. And at the same time, we also have electric po

wer train solution where we make our motors and controllers.

And we also have plastic injection molded parts which goes into various usages into various areas of the automotive. It could be in belt applications, it could be in steering gear applications, could be in braking applications, seat applications, etc. So we make multiple products, multiple areas. So the name unfortunately gives only a kind of a feeling that we are only into ICE. That is not the only thing. We are into multiple areas now. And as far as our business status is concerned, I think you have already heard it. We are dominant player in the country and we are associated with every OE customers that is available in the country and abroad.

Vivek Gautam: What is the growth rate you are saying? What is the expected growth rate?

Krishnakumar Srinivasan: Well, our aim is always to outgrow the industry. So if the industry growth is around 3% -3.5%, last year the industry growth is around roughly, weighted average value basis is around 3.5%. We have actually outgrown it by around almost 100%. So our growth rate has been over 7% - 8%.

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Vivek Gautam: The second thing was about while researching the Company, I was pleasantly surprised to know that the DCM data products, Company which evolved, so many Indian IT companies evolved from it, whether it is HCL, Wipro or Mindtree from Shiv Nadar and Subroto Bagchi, Ashok Sootaji, they came out from our Company. So a few were from Lala Charat Ramji who was the founder of our Company. If you can highlight three points if that culture is still prevalent over here and we are sort of taking advantage of that legacy sir and how and what

manner ? Thank you.

Krishnakumar Srinivasan: Yes. So, we are basically belonging to the same legacy and we belong to the Lala Charat Ram wing and the overall companies got divided between the brothers and all. But as a group we all belong to the Lala Charat Ram overall industry that was formed at that point in time. And as you know that Dr. Bharat Ram and Lala Charat Ram were brothers and DCM was given to Dr. Bharat Ram. And Dr. Bharat Ram's wing has been instrumental in many other areas that they have grown, which is today the DCM, overall portfolio that they have. Similarly, under Dr. Charat Ram, all the various wings like the Honda SIEL cars and all that started and subsequently Shriram Pistons and many other companies that are there under the Charat Ram wing is being run today. So we belong to that wing and the legacy and the culture has continuously grown and it has become more and more, I would say, better at this stage. So we are continuing all those cultures and legacy.

Vivek Gautam: Dr. Charat Ram was the key person behind DCM Data Products also, I believe, as per the interview of Shiv Nadar and Ashok Sootaji and so many other people.

Krishnakumar Srinivasan: They were all working together at that point in time.

Vivek Gautam: Alright, sir. Thank you.

Moderator: Thank you. The next question is from the line of Raman K. V. from Sequent Investments. Please go ahead.

Raman K. V.: Hello sir. Thank you for answering my questions. My first question is with respect to the impact of UK free trade. I know the exports of, the overall export contribution towards the revenue is around 15% to 17% at the Company level. Now we have, India signed a free trade agreement with UK. Can this boost our exports growth as well as at the same time there has been a little bit uncertainty with the US tariff. So will that hurt our exports in the US market and with the free trade agreement signed, will this be beneficial to fill up the gap between both the countries?

Krishnakumar Srinivasan: Yes, so that's a very good question and let me highlight that the UK free trade is going to be very beneficial for us and it is a very positive story and

I think the Government of India has done a great job in signing this off and auto segment has been very clearly defined as one of the growth segments for them and also for the industry that is identified in UK and we think that we are already exporting lot of our products to UK and that will only help our customers Shriram Pistons & Rings Limited
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and help our growth story. As far as US is concerned, I think we are not very far away from signing of the trade agreement and once we sign it off, I think we look at it very positively. I think it's going to open up a lot of opportunities for us and it's going to give us more areas to grow and more bandwidth with regards to focusing on some of the customers that we have probably not touched in USA so far. So all this will be only accretive to our current level of business. Thank you.

Raman K. V.: Okay. My last question is with respect to, sir, what is the maximum potential revenue with the existing factory and what is the current order book? I know you don't give guidance, but I just wanted to understand the...

Krishnakumar Srinivasan: Frankly speaking, as I said, we have, we ensured that we always keep our capacities ahead of the market and at no point in time we have fallen short of the capacities in terms of our market, in terms of our customer requirements. So we continue to invest in our legacy business as well as into a newer business as you can see from our overall CAPEX investments that we have done in the past 5-6 years. So that will continue and we don't see any major areas where we will have failures with any of our customers due to capacity.

Raman K. V.: And sir, current order book position?

Krishnakumar Srinivasan: Yes, so certainly I am looking at continuous growth and there is no reason why our order book will be in any way lower than that.

Raman K. V.: Okay, thank you.

Moderator: Thank you. The next question is from the line of Himanshu Upadhyay from BugleRock PMS. Please go ahead.

Himanshu Upadhyay: Yes, hi. Good afternoon. My first question is, the royalty we pay is for what purpose? Because last year we paid a royalty of Rs. 48 crores. It was 1.6% of revenue. So will that remain at similar percentages in future? And is it paid to only Kolbenschmidt or for other technology tie ups and how does it get decided? Is it based on what technology we take or on certain products we pay this? So some color if you give on the royalty and how it gets paid and ...?

Krishnakumar Srinivasan: Royalty is paid only for the technology input that we get from our technology partners. And as you rightly said, the average is around 1.6%, which is very normal in the industry. And we have the technology partners, Kolbenschmidt is primarily for pistons. We also have Honda Foundry for pistons for Honda specific requirements. We have Fuji Oozx for our engine wells and we are also having a technology agreement with, now as you can see with Riken

Corporation for piston rings. Now we also have the technology agreement with Takahata Corporation for the business that we do on our plastics injection moldings, these are very specific businesses in regards to technology requirements there. So for all the newer technologies, this always helps us to be ahead of the market and we are able to bring the newer
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technologies well in time. Like in the case of Euro 6 introduction, we were amongst the top companies to have brought the solutions to our customers well in time or even ahead of time and be able to give them. So all this helps us with the technology requirements. So that's the reason why we pay the technology fee and I think it's very normal, the kind of payout that we have is very normal compared to the industry standards.

Hima nshu Upadhyay: And we have this technology tie up with global

companies. Does it mean to go to a particular geography or to approach a particular customer? We need to take their permissions because

they may be already operating in certain geographies. So what does that mean? Any idea?

Krishnakumar Srinivasan: No, no. We export to 45 countries today. And there is no reason why we cannot continue to export there, although things are addressed in our technology agreements and we work in as a partner with all our technology collaborators.

Hima nshu Upadhyay: Okay, so even if they are in a particular geography, we can also operate with in that particular geography or with that customer.

Krishnakumar Srinivasan: All that is addressed in our agreement. So it is, there are certain ways of doing the business and we get the business done that way.

Hima nshu Upadhyay: One last thing, we have two brands USHA and SPR in the aftermarket. Can you tell which segments they cater to and how are they different in terms of positioning or placement or whatever it is?

Krishnakumar Srinivasan: Both are in the same segments of businesses that we have and there are certain segments of the market which from a product standpoint nothing is different between the two brands, both the brands are very well accepted in the market. But there are certain Geographies where SPR is more well recognized or well traded, it is purely a perception of the customers, so we prefer to keep both our brands alive Both the brands are equally good.

Hima nshu Upadhyay: Thank you.

Krishnakumar Srinivasan: Thank you.

Moderator: Thank you. The next question is from the line of Lakshmi Narayan from Tunga Investments. Please go ahead.

Lakshmi Narayan: Two questions. When you started the year in terms of the auto business, you would have had certain budgets, certain aspirations as the year ended. I just want to understand what has actually positively surprised you and what has actually negatively surprised you? For example, as there's been some competition realignment which actually got you some business which you didn't anticipate. Just want to hear your thoughts on that.

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Krishnakumar Srinivasan: Well, if I understood your question right, you're asking what was good for us and what was bad for us in last year.

Lakshmi Narayan: Yes, and what did you anticipate and which actually did much better than your anticipation and why?

Krishnakumar Srinivasan: Okay, we anticipated a much better market but we did not do well. So market actually we expected at least a 10% growth in the market but the market fell down to almost as low as 3% on an average, which was very unexpected from our standpoint but even after that the team actually rose to the situation and were able to get other businesses which has really helped us to grow our market and we were almost close to our target of around 8%-9% that we wanted to grow. Overall, as a group we have grown 15%.

Lakshmi Narayan: Got it. Sir, there has been a tie up of NPR and Riken globally and NPR is also working with one of our competitors as well. Now how that realignment is going to affect your market, is that something which you can share?

Krishnakumar Srinivasan: So here in this case Riken and NPR have come together and it's called the now the NPR-Riken Incorporative or Incorporation. So as a result it is very clearly one Company now. And there are, both, as I said Riken has an investment in SPR and, you know, NPR has a very, very small investment in a small, a much smaller Company, which is a competitor. So at this stage, we don't see any major issues between them.

Lakshmi Narayan: Thank you. I will get back in the queue. Thank you.

Moderator: Thank you. The next question is from the line of the Divyansh Gupta from Latent Advisors. Please go ahead.

Divyansh Gupta: Couple of questions regarding the subsidiaries. So

how much of our plastics businesses is ICE

focus ed? Because on Takahata products , it mentions some FI controllers and stuff which I am guessing is more in ICE business?

Krishnakumar Srinivasan: Can you ask the question once again please, Divyansh?

Divyansh Gupta: So, Takahata, in the slide presentation or if I look at the Takahata 's website and I look at the products that are there offered by Takahata, right? So it mentions something known as engine cooling part or a fuel pump. Now just by reading the word it seems more like an ICE product.

So while it is still plastics for us, but it is still linked to the ICE life cycle, right? Will the headwind come or not is a different thing, b ut it's still an ICE business. I wanted to understand of overall plastic business that we are doing right now in the subsidiaries , how much is still ICE only products?

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Krishnakumar Srinivasan: Yes, so if I include both Taka hata and TGP EL put together, think our overall ratio will be less than 15%.

Moderator: Thank you. The next question is from the line of Prateek Bhandari from AART Ventures.

Please go ahead.

Prateek Bhandari: Thanks for the oppor tunity. You mentioned that we are setting up a plant in Coimbatore for SPR EMFI. So what would be the CAPEX amount for this plant and what would be the CAPEX amount for FY '26?

Krishnakumar Srinivasan: Yes, so we had already given all these numbers in the previous listings, all there in the public domain. So we are putting up this plant around, almost over Rs. 70 crores have been invested apart from the other investments that we have made in the Company . So we continue to grow the business there. And FY '26 also we have a fair amount of CAPEX there, but we don 't divulge these figures in advance.

Prateek Bhandari: Just one more question if I can squeeze in?

Krishnakumar Srinivasan: Yes, go ahead.

Prateek Bhandari: So, just wanted to understand you mentioned in your previous call that we have some new products introduced in the aftermarket. So just wanted to understand as to how those products are doing currently both connecting the odds and the well components, how they are?

Krishnakumar Srinivasan: They are doing very well actually. Th at is one of the reasons which has helped us also to cover up some of our other businesses. So we are multiplying in those areas and we are continuing to look at other opportunities where we can introduce our products or products from our subsidiary companies within the overall network that we have created over these many years.

Prateek Bhandari: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Moksh Ranka fr om Aurum capital . Please go ahead.

Moksh Ranka: One question I wanted to ask , recently we acquired Karna Inter tech. I wanted to understand the opportunity there and also the opportunity in the die casting space . Are we trying to make more components for light weighting of components in the EV segment?

Krishnakumar Srinivasan: Yes. So basically , for all our piston manufacturing, there is a huge amount of dyes that need to be made. We make something like close to 2,000 odd variants and at any given point in time, including all the variants that we manufactured in pistons, rings, engine valves, it's over 15,000 to 18,000 variants. And, so there 's a huge amount of work needs to be done in the manufacturing of dyes, et c. and there's a huge amount of cost allocated to that. So to be able to

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have a very seamless kind of a working for all our tool availability and to ensure that the supply chain is not getting affected, it was very necessary for us to have a complete align ment and a complete manufacturing setup which will help us to grow our tooling manufacturing and that's why Karna was identified an

d we actually bought over this Company because it has the right skill sets and the right machines that will help us to actually manufacture those dyes that are required by us and that 's the only reason that we have gone for a backward integration and it has it will really help us going forward with regards to our overall output that we can improve with the number of dyes t hat we can make, improve and make extra because of this facility.

Moksh Ranka: That is it from me.

Krishnakumar Srinivasan: Thank you.

Moderator: Thank you. The next question is from the line of Nandan Pradhan from Emkay Global. Please

go ahead.

Nandan Pradhan: If you could just help us understand the split between standalone EMFI, Takahata, TGPEL and Karna?

Krishnakumar Srinivasan: So it's all there in our website. You can go through the release, it gives a complete break up of all our sales and everything. So you can get that.

Nandan Pradhan: Okay, so F Y'25, we would have the split?

Krishnakumar Srinivasan: Yes, it is there.

Nandan Pradhan: Okay, alright. Thank you so much. That 's it from me. Thank you.

Moderator: Thank you. The next question is from the line of Manik Bansal from Master Capital. Please go ahead.

Manik Bansal: Hi, sir. Thank you for taking my questions. So I am having one question. Like as you mentioned, you have dominant position in this space, right? So then you must be having so me pricing power as well . If we look at the COGS as a percentage of sales for past five years, it has increased from 33 %-34% in March '20 to 39% last year. So, can you paint some color over this?

Krishnakumar Srinivasan: Yes, I already answered this question. It was asked in a different way from a gross margin perspective. You should not look at it from that standpoint because as I explained, t he product mix plays a major role. The profitability targets are different for product segments, different mix of the products and the mix of the overall because we are making over 20,000 variants as I Shriram Pistons & Rings Limited

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just said that as a result it can completely make a complete change in the COGS position , so you should not look at it from that way look at it from an overall EBI TDA standpoint .

Manik Bansal: Okay, one last question. What is the current capacity utilization and how it has emerged in the past 3 to 4 years?

Krishnakumar Srinivasan: Yes, we continue to always, it's a very dynamically moving number, capacity utilization , because we continue to invest into our existing business. I have told it in the past that we continue to invest to the extent of our depreciation. So we continue to expand our capacities, even in our legacy business, at that rate, as a result of which this is a very moving number and difficult to say at this stage.

Manik Bansal: Is it a good understanding like in one of the concalls you mentioned 70% to 75 % was the capacity utilization at that time. So it may be around 80 %-82%. Is that a good understanding?

Krishnakumar Srinivasan: It's that direction between 75 % to 80 % is what it is today.

Manik Bansal: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Himanshu Upadhyay from BugleRock PMS. Please go ahead.

Himanshu Upadhyay: Yes, thanks for giving me another opportunity. I had a question on the export business. In the exports business aftermarket, how big can that be an opportunity and do we have our own distribution network in some of these markets? Because many of our products have large... it's a repetitive business for pistons and piston rings. So are we doing a branded business there or how is it and some thoughts on that?

Krishnakumar Srinivasan: No, no, it is a completely branded business and we have our own distributors. We also have some distributors through our technology partners. So there are number of routes to the market and we conti

nue to use all those routes. But more importantly, we also supply to lot of OEMs in the export market and the re are businesses that we do directly with the OEM. So all that continues. All the marketing channels are being used today to export the products that we can make.

Himanshu Upadhyay: And inorganic opportunities means would we be only focusing in India or o outside India als o? Some thoughts on that. How do you again select the companies and where we don't ...?

Krishnakumar Srinivasan: We continue to look at opportunities both in India as well as abroad and there is no reason if some good opportunity comes to us, which is within the gamut of our laid out deliverables, we will certainly do the M&A outside India also.

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Moderator: Thank you. The next question is from the line of Anand Shenoy from AS Capital. Please go ahead.

Anand Shenoy: Good afternoon. M y question was on the Takaha ta business. So, time back you had mentioned about increase of the capacity. Just wanted to understand what kind of capacity increase has been done and is it ready and like what kind of customer additions we are seeing in Taka hata business ?

Krishnakumar Srinivasan: Yes, as I said in the last call also that we have actually put up a capacity in Takahata to go for

slightly bigger components, that is, we are going for higher tonnage machines. And we have recently also bought the next piece of land that was available in the Neemrana estate. And with that, we have paid a good sum of money to acquire that land and we have already started some expansion activities there.

Anand Shenoy: And on the customer addition part, like...

Moderator: Mr. Anand, may we request that you return to the question queue for a followup question as there are several participants waiting for their turn?

Krishnakumar Srinivasan: There are many customer addition including medical applications and also music applications and other things, so there are many customers. We don't give the names of the customers at this stage.

Moderator: Thank you. The next question is from the line of the Divyansh Gupta from Latent Advisors. Please go ahead.

Divyansh Gupta: Hi, sir. Again, thanks for taking my question. So the question is on the export numbers. If I look at our pie chart given in the presentation, it says exports is around 17%. And if I look at the bar graph, it says Rs. 484 crores. Now, if I do 484 by 17, the number comes to around Rs. 2,800 crores of revenue which is less than either the standalone or consol revenue. So how should I understand this difference?

Krishnakumar Srinivasan: No, because that's you might be looking at the overall consol figures and the standalone business for exports will be somewhere around 17%.

Divyansh Gupta: So, the 484 that is given in the presentation is standalone export or consol export?

Krishnakumar Srinivasan: Standalone.

Divyansh Gupta: So, even if I divide and the 17% is given on consol on slide #10, exports at 17%. So should I then consider that okay on standalone 17% is exports.

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Krishnakumar Srinivasan: That is right. There could be a possibility that we have also done some exports of some of subsidiary companies which has been added there.

Divyansh Gupta: Understood and you have mentioned that exports includes aftermarket as well. So this 26% is not included. This is domestic aftermarket.

Krishnakumar Srinivasan: It is purely domestic aftermarket.

Divyansh Gupta: Got it. Understood.

Krishnakumar Srinivasan: And in exports have a breakup of both OE and exports and within for the standalone business 17% even slight if you include the subsidiary some of the exports that we have been able to do it will be higher which is a figure that you're seeing.

Divyansh Gupta: Got it. And just

one request. It's not a question. In the presentation, can you just add the revenue breakup by the different standalone and subsidiary companies, it becomes easier to understand how the business is moving, that will be really helpful.

Krishnakumar Srinivasan: Yes, in the Board report you will see that already. It is already mentioned.

Divyansh Gupta: Understood. Thank you.

Krishnakumar Srinivasan: Thank you.

Moderator: Thank you. The next question is from the line of Vijay Pandey from Nuvama. Please go ahead.

Vijay Pandey: Thank you for taking on one more question from my side. Just I wanted to understand what will be the margin profile between our products? So like the powertrain product, plastic molding product and other products. If you can just briefly tell us which has a higher margin profile, that will be very helpful.

Krishnakumar Srinivasan: If you study our P&L, you will see that our business, that is our legacy business is doing at x% of EBITDA and all our other businesses are doing at , the consolidated is doing at almost a near about the same percentage of EBITDA. So we are doing M&As of businesses which are really accretive to our overall business otherwise there will be a big drop in our EBITDA margin. So we are looking at various opportunities which will help us to be accretive on the EBITDA range.

Vijay Pandey: Thank you.

Krishnakumar Srinivasan: Thank you.

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Moderator: Thank you. The next question is from the line of Keshav from RakSan Investors. Please go ahead.

Keshav: If I look at the scale of our subsidiary business, this quarter it has come to almost 130 plus crore and even on the margin front blended basis it looks like it's a 15% EBITDA. So is this scale and margin here to stay?

Krishnakumar Srinivasan: Well, none of my subsidiary business is at 15% margin, You are talking net margin or you are

talking EBITDA?

Keshav: Sir, it's a net consol with the standalone figures. I get a Rs. 20 crore EBITDA on a Rs. 133 crore revenue in this quarter. I am talking about this quarter.

Krishnakumar Srinivasan: You are talking about TGPEL? Can you repeat your question, Keshav? I think there 's some misunderstanding.

Keshav: Yes, sir. I am just netting the consol figures with the standalone figures.

Krishnakumar Srinivasan: Are you asking for the full year or for the quarter -on-quarter ?

Keshav: Quarter.

Krishnakumar Srinivasan: Yes, you said on quarter. Okay. Go ahead. Please ask the question.

Keshav: The scale this quarter has been, if net consol and standalone figures, the scale has risen sequentially year -on-year, quarter -on-quarter in every way. And the margin is also coming about. I mean, it 's expanding. So I just wanted to know if this overall scale of our subsidiaries is here to stay, if they are scaling up, if they 're in the process and or if there is any one off in this quarter.

Krishnakumar Srinivasan: Yes. All our businesses, whether it is our legacy business as well as our plastics business and our motors business, ev erything has done well in the last quarter and they have actually grown year-over -year. So as a result, we expect that it will continue and the overall markets are already developed and this thing, there 's no one time business in these kind of products tha t we make. Once we get into that business, we have a long -term business there. So we don't expect any drop in the scale of activity in any of the subsidiaries.

Keshav: Great, sir. Thank you and all the best.

Krishnakumar Srinivasan: Thank you.

Moderator: Thank you. The next question is from the line of Darshan D eora from In dvest Group. Please go ahead.

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Darshan Deora: Hi. Thank you for the opportunity. So I am actually a little bit new to your Company . Ag

ain,

please show some patience in case the question is elementary. But I wanted to know that on the export side, when we talk about OEMs or we talk about the aftermarket, who is our major competitor? Which country is our major competitor? Is it China or is it any other country?

Krishnakumar Srinivasan: Well , if you ask me countries that are for our legacy products, the legacy products are made in Brazil, in US, in China, in India, in Thailand. So there are many such places where it 's made.

But frankly, I would put it this way that for the businesses that we do, we do have very cherished customer list who are very committed to us and we are committed to them and that that is growing that relationship is growing and we are growing our volumes with them.

Darshan Deora: Goit it. Thank you.

Moderator: Thank you. T he next question is from the line of La kshmi Narayan from Tunga Investments. Please go ahead.

Lakshmi Narayan: If I look at your business, I just want to understand , there are 2 -3 things involved, Piston and Rings . How much of your business comes from places where you supply everything as one assembly and how much is coming from selling one or the other?

Krishnakumar Srinivasan: That is very difficult to say, Mr. Lakshmi Narayan, because what happens is there are many customers whom we give as a full set. There are also customers where we pay, where we do the assembly and give them. , we even do in some cases assembly with conrods. So there are multiple things that are done to individual customers. So it 's all different by different. So we don't track it that way. We track it more from product range standpoint.

Lakshmi Narayan: We also make this one -dollar piston, sir, which is essentially very -very lower realization? Do you also make it ?

Krishnakumar Srinivasan: No. We don't make the one -dollar piston. That 's made by some of the companies which operate on very low margins. S o it's different you know. Those are different products. Those goes into air conditioning applications and things like that , the reciprocating compressors go into air conditioners, ai rcon or some steel corporation and things like that. We don't make those.

Lakshmi Narayan: Got it. Thank you, sir .

Moderator: Thank you. The last question is from the line of Divyansh Gupta from Latent Advisors. Please go ahead.

Divyansh Gupta: Hi, sir. Ju st one quick question on the Coimbatore plant . So while we have done the Rs. 70 crores CAPEX and let 's say we at least had the, we had mentioned that Ampere is already our

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client . So how much of capacity would let 's say Ampere take and how much would be the

spare capacity for any other future business that comes in or will we need to do increment?

Krishnakumar Srinivasan: No, all our capacities have been grown for our customer requirements for all the customers that we have already developed. There are many customers on whom it's not only Ampere, but many customers with whom we have already started and all that will be a public information soon. So as and when those approvals are there and it's all under validation, many other things are going on, but the capacities are all in place already. So we have enough capacities now.

Divyansh Gupta: Sorry, so does it mean that any new, if we had Ampere plus 5 other customers and the 6 customer comes, we would need to do additional CAPEX?

Krishnakumar Srinivasan: No, we have sufficient CAPEX already put.

Divyansh Gupta: We have spare capacity, right?

Krishnakumar Srinivasan: Yes.

Divyansh Gupta: Got it. Understood. Thank you.

Krishnakumar Srinivasan: Thank you, Divyansh.

Moderator: Thank you. Thank you very much. I would now like to hand the conference over to Mr.

Krishnakumar for closing comments.

Krishnakumar Srinivasan: Thank you very much. Very interesting lot of questions that

we have seen today and we hope

that we have been able to give a fair amount of answer. In case you have any questions left out or you feel that there are any queries to be given, please do reach out to us. We sincerely thank everyone who joined today's Earning Call. Your active participation has greatly enriched the discussion today. Our focus will continue to remain on achieving our strategic goals and we are committed to driving the continued and sustained positive results. Once again, if you have any further queries or need any additional information, please do contact the investor relations team at Ernst & Young. On behalf of the Company, we again deeply appreciate your time and engagement. Thank you once again. Take care and goodbye.

Moderator: Thank you. On behalf of Shriram Pistons & Rings Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. Some minor editing may have been done for better readability. In case of Shriram Pistons & Rings Limited
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discrepancy, the audio recordings uploaded on the stock exchange on 8th May 2025 will prevail.

Call: Aug 2025

August 7, 2025

National Stock Exchange of India Limited
"Exchange Plaza", 5th Floor,
Plot No.C/1, G Block
Bandra- Kurla Complex
Bandra (East), Mumbai 400051
NSE Symbol : SHRIPISTON BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400001
BSE Scrip code : 544344

Sub: Transcript s of the "Earnings Conference Call" - Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations")

Dear Madam/Sir,

With reference to the captioned matter and in furtherance to our earlier intima tion letters dated July 29 , 2025, August 1, 2025 and August 4, 2025, regarding the schedule, investor presentation , press release and Audio Recordings of the "Earnings Conference Call" of Shriram Pistons & Rings Limited ("Company") and in compliance with Regulation 30(6) read with Schedule III and other applicable provisions of the SEBI Listing Regulations, please find enclosed the t ranscript s of the " Earnings Conference Call " on the Un-Audited Financial Results for the quarter ended Jun e 30 , 2025, held on Monday, August 4, 2025 at 4: 00 p.m. (IST).

The above information is also available on the Company's website and can be accessed at <https://shrirampistons.com> .

Kindly take the above information on record and treat this as compliance with SEBI List ing Regulations.

Thanking you.

Yours faithfully,

For Shriram Pistons & Rings Limited

(Pankaj Gupta)
Company Secretary & Compliance Officer
ICSI M. No.: F4647

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"Shriram Pistons & Rings Limited
Q1 FY '26 Earnings Conference Call"

August 0 4, 2025

M
ANAGEMENT : MR. KRISHNAKUMAR SRINIVASAN – MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. PREM RATHI – EXECUTIVE DIRECTOR AND CHIEF
FINANCIAL OFFICER
MR. PANKAJ GUPTA – DEPUTY EXECUTIVE DIRECTOR
AND HEAD LEGAL COMPANY SECRETARY

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Moderator : Ladies and gentlemen, good day and welcome to Shriram Pistons & Rings Limited Q1 FY26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing *, then 0 on your touchtone phone. Please note that this conference is being recorded.

Today, from the management, we have with us Mr. Krishna Kumar Srinivasan - Managing Director & Chief Executive Officer; Mr. Prem Rathi - Executive Director & Chief Financial Officer and Mr. Pankaj Gupta - Deputy Executive Director, Head Legal & Company Secretary. Before we begin, let me remind you that this discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It may be viewed in conjunction with the business risks that could cause future results, performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

I now hand the conference over to Mr. Krishna Kumar Srinivasan for his opening remarks, post which we will open the floor for an interactive Q&A session. Thank you and over to you, sir.

Krishnakumar Srinivasan: Good evening, everyone. Thank you for joining us today for the Q1 FY '26 Earnings Call for Shriram Pistons & Rings Limited. It is really a pleasure to connect with all of you as we share our progress and achievements over the past quarter.

I am pleased to report that the Company has commenced the Fiscal Year 2026 with a very strong performance in the 1st Quarter. Building on our performances over the last few years, the Company has maintained double-digit growth across all key financial metrics this quarter. I am happy to state that the Company has outgrown the end markets by a wide margin.

As you are aware, the automotive industry is cyclical in nature and tends to be loaded in the Quarter 2 and Quarter 4 and is generally soft in the Quarter 1 and Quarter 3. Hence, normally in Q1, most of the OEMs have their plant maintenance block shutdowns for preventive maintenance and their production is normally on the lower side as compared to the previous quarter, Q4 of last year. So, normally, we compare year-on-year rather than comparing quarter-on-quarter and I am very happy to state that year-on-year, the Company has maintained a very strong growth as compared to quarter 1 of last year.

Under these circumstances, the consolidated total income grew by 14.9% year-on-year to Rs. 9,917 million, which is attributed to the Company's resilient business model and its strategic focus and further supported by SPRL's leading position in the industry along with the strong and long-lasting relationships with all its customers. These factors have also enabled us to

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continue to outperform the industry, which is going through a rather challenging time. We have been consistently speaking about our dedicated focus on efficiency and operational improvements, which have enabled us to deliver a 16.5% year-on-year growth in consolidated EBITDA to Rs. 2,234 million as well as enabled us to expand our EBITDA margins to 22.5% in Q1 of FY '26.

Our consolidated PAT grew by 15.1% year-on-year to Rs. 1,348 million while PAT margins were maintained at 13.6% in the quarter. Apart from working on various operational improvements, automation and digitization, we have been focusing on increasing our reach to the end markets globally like newer market segments like the marine engines, the defence engines, the railway applications, lawn mower applications and many other unique areas. We have also been dedi

catedly working on other fronts like streamlining of supply chain, productivity improvements and cost optimization across all our products. We are confident that these initiatives will continue to drive our profitability but will also ensure that we uphold the superior product quality that SPRL is renowned for.

The auto industry is going through a turbulent time and this quarter presented challenges across all segments. While the passenger vehicles, commercial vehicles and the three-wheeler segments reported near-flat production volumes, the two-wheeler segment was the most affected, degrowing by almost 1% year-on-year from a production standpoint. While we recognize that the near-term outlook presents a cautious phase for the industry, we believe that with our diversified presence across various segments in automotive applications, across commercial vehicles, passenger vehicles, two-wheelers, tractors as well as non-automotive applications like the railways, defence, industrial engines, off-highway engines, marine engines and snowmobile applications will enable us to continue growing and outperforming the industry as we have done in the past.

Our presence across ICE components, EV motors and controllers and high-precision injection moulded components further adds to the strength of our business model. A positive factor this quarter for the industry was growth in exports across all segments after a few quarters of pressure due to the geopolitical situation. With our strong presence across key global markets, we believe that this further adds to the resilience of our model. Even with the geopolitical tensions coming out of the tariff wars and supply situations, we feel that being present in over 45 countries helps us to mitigate risks in one region by better sales in the other. Going forward, our strategic focus remains on strengthening our core business while exploring the new avenues for growth. We are committed to enhancing our product offerings and expanding our market presence through innovation and technology. As a part of our commitment to innovation and sustainability, we are actively developing components for alternative fuel solutions like CNG, LNG applications, PNG applications, hybrid engines, flex engines, hydrogen engines, H-CNG engines which are hydrogen blended CNG engines and electric engines that complement the internal combustion engines. We

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firmly believe that all the powertrain solutions will continue to co-exist for quite some time in the future given the various challenges with regards to infrastructure and availability of mature technology solutions for only EV vehicles.

While we work on all the technologies, we are happy to state that our progress on EV motors and controllers is very satisfactory, and the onboarding of many new customers has been going on for quite some time.

We have also been able to mitigate the non-availability of rare earth magnets by alternate sourcing methodologies and maintaining our production run. The progress of commissioning of our new facility at Coimbatore for the EV motor and controller plant is progressing quite well and we expect to start production there by the end of September. Moreover, we continue to pursue strategic partnerships and M&A's that will bolster our capabilities, broaden our product portfolio and will be accretive to our business.

Our focus on sustainability and environmental responsibility remains unwavering as we continue to implement various initiatives that reduce our carbon footprint and promote the use of renewable energy across all our operations.

Before concluding, I would like to express my gratitude to our dedicated employees and all our other stakeholders for their unwavering support. Together, we will continue to grow our business profitably and also work on making SPR a multi-product

franchise.

Thank you once again for each one of you for having joined this call today. I would now request the moderator to open the floor for questions and answers.

Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question comes from the line of Vaibhav Shah from BNP Mutual Fund. Please go ahead.

Vaibhav Shah : So, my first question was on standalone revenue growth, which we have reported against the average industry volume growth that we have given in our presentation. So, what led to this outperformance versus underlying industry growth and what is your expectation for say FY '26 against our industry volume growth expectation? How should our revenue growth be on a standalone basis?

Krishnakumar Srinivasan: Yes, thank you Vaibhav and thanks for this question. First and foremost, I think our standalone revenue has grown by 9.8%. And it has far outgrown the overall market volumes. The market has more or less from a production standpoint, sales standpoint and production standpoint is slightly different. We track more production standpoint because that is more relevant for us when we are selling the pistons, rings and engine valves and our other products. So, our production standpoint growth has been just over around 1% and we are tracking around 9.8%. That is almost outgrowth which is more than 9 times. Now, primarily, this has come out of the work that we started almost 4 or 5 years back with regards to getting into newer businesses, Shriram Pistons & Rings Limited

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newer areas, newer segments of businesses like, the marine engines, engines for defense, the defense applications, the railway engines, etc. There are multiple areas on which we have focused on in the last many years now and that all the businesses that we have won in the past and all the actions that we have taken to grow the business in a manner where it is not dependent on one particular segment or one particular automotive field, we wanted to ensure that we de-risk it with all the other businesses that we can get and where, pistons rings and valves are used. So, we have been able to win that and that has really helped us to do this.

Vaibhav Shah : Understood, sir. Would you also call, we have gained some market share in the pistons

business in this quarter also over the last 1 year?

Krishnakumar Srinivasan: Yes, we have been continuously working on our market share and I am happy to state that some of the new businesses that we have won with the customers and the launch of those new programs that the customers have done has really helped us to actually improve our market share in the country as well as improve the market share outside the country also. We supply to many customers outside India also.

Vaibhav Shah : Understood, sir. My second question is on our exports business. So, as I understand, roughly 10% of our exports also go to North America as a region. So, I just want to understand one, is there any duty impact on our exports today to any particular geography? What was that impact in the quarter which has gone by and what is your expectation for the export business overall in terms of growth for the coming year?

Krishnakumar Srinivasan: Yes. See, our exports has classically been around 20% of our sales, but our sales have also grown and obviously on a larger base, they are wavering between 18 %-20% and it will be growing continuously. And even in exports, we have won new businesses as I already told you in the previous call also, even this quarter also we have won some new businesses. So, this will continue, and I don't think there is any one specific region where we are selling around 10% of our products into that region. I don't think we have given that number anywhere. But I can tell you for sure that yes, tariffs are there. It is a reality, and we are hopeful that the tariff will

change in the near future. But even otherwise, our tariffs today as it compares relatively to the other countries that are there, which are, let us say, in the reckoning with regards to supply of those products, we feel that we are still better off than the other countries. As a result, we still stand to gain, and we don't see any major reduction in volumes or anything from our customers as yet. So, we don't foresee any major issue as such.

Vaibhav Shah : Understood. I referred to the FY ' 25 exports mix that is given on presentation slide 16, where North America is roughly 10% of our export mix. That was the number I was referring to, but understood. We continue to remain .

Krishnakumar Srinivasan: Again, it is a mix of all the countries in the region, it is America plus all the other countries. So, we have not any way specified that it is only America.

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Vaibhav Shah : Understood, sir. Understood. Thanks for that. My next question is on our subsidiaries that we have now announced. It is very good to see the ramp up in all the 3 subsidiaries that we have. Can you highlight in terms of utilizations or absolute revenue size for the subsidiaries, where are we today as of Q1? And in the EV motors business, I understand we had a facility which was supposed to start from this current financial year. So, where are we in terms of our capacity ramp up plans for the EV motors business as well?

Krishnakumar Srinivasan: Yes. So, basically, we don't normally give any breakups of our capacities primarily because capacities are constantly changing, because we are putting in a lot of capex in almost all the businesses. Even in our legacy business, we continue to put capex and also in all the new areas, all the new companies that we have taken over, we have ensured that we are continuously putting in capex to increase the output of those companies. So, it is constantly changing. So, that capex figure will not be very relevant at this stage. But I can tell you that we are focusing on keeping the capacity utilization at a good level, ensuring that we are able to build capacities ahead of the market, because we see the markets also growing quite well. So, as a result, across all the companies that we are operating on today, we are continuing to put in a lot of capex, number one.

Number two, as far as EMFI is concerned, as I said in the opening remarks, our plant, we are operating from one facility at this stage, which is supplying to all the customers. We have put in a new facility, which, if you remember, we had started sometime in March of this year and in September, we are thinking of starting the plant and we should be in a position to start operations out of that new plant by the first week of October. So, we are really growing the volumes there. So, we think that that is the right way that we should complement the existing volumes and it is a state-of-the-art plant for both the motors and controllers. We will make all kinds of motors, including the mid-drive and the hub motors, and we will make motors right from 250 watts right up to 350 kilowatts.

Vaibhav Shah : Understood, sir. Thank you. I have more questions. I will come back in queue. Thank you so much, sir.

Krishnakumar Srinivasan : Thank you, Vaibhav. Thanks a lot.

Moderator : Thank you. The next question comes from the line of Rushabh Shah from BugleRock PMS. Please go ahead.

Rushabh Shah: Hi. Thanks for the opportunity. Sir, in the plastic business, what is the potential for aftermarket?

Krishnakumar Srinivasan: Hi, Rushabhji. Good evening. Thanks for coming into the call and thanks for the question. Yes,

there are aftermarket businesses for our plastic injection moulded parts also. Mostly, as you realize that the plastic injection moulded parts are precision plastic injection moulded parts, which

goes primarily as into assemblies and sub-assemblies. There are also some sub -
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assemblies which we deliver directly to the customers. There are also some OEM requirements which we supply directly. So, many of the OEM requirements that we supply directly does have also aftermarket requirements, which is networked through our existing SPRL aftermarket, which is really very complementary to the business that we have in all the other subsidiaries. So, we have a combination of both direct supplies to OEM as well as the aftermarket requirements.

Rushabh Shah: Like, going ahead, how big could this aftermarket business be?

Krishnakumar Srinivasan: Well, all the initial requirements that we have seen is quite demanding and that is a good requirement. So, we think that this segment of the business will certainly grow. But keep in mind that these are only the precision injection moulded parts. These are not the normal big plastic parts that are going. So, it is, for example, the steering gears that we make, it goes only into steering application. So, there is a very specific requirement in the aftermarket for steering gears as and when steering breaks down or there is an accident or things like that. And that requirement is already fed by the aftermarket teams that we have. That is how it operates.

Rushabh Shah: Fine. Thank you, sir.

Krishnakumar Srinivasan: Thanks, Rushabhji.

Moderator: Thank you. The next question comes from the line of Viraj from SIMPL. Please go ahead.

Viraj: Yes. Hi. Thanks for the opportunity. Just a couple of questions. First is on the EV product offering. If you can just give some more historical perspective, how we kind of gone about acquiring technology, both in terms of motors and controllers? So, that is one. And just to extend that, traditionally, we have been present more in hub motors kind of offering. But I think you are also in the process of launching big giant motors as well. So, can you just give some more perspective how we have gone about acquiring the tech? And just to add to that, what are the kinds of presence we have currently, any color you can give in terms of end segment application and CV, L CV, PV or two-wheeler and similarly, in terms of the customer concentration or profile? And third is, if you look at space, you have seen a very high rate of change in technology, especially in motors. So, then how are we going about competing in the market place when the end offering itself is seeing a lot of changes in terms of tech?

Krishnakumar Srinivasan: Yes. First and foremost, as far as the EV motors are concerned, you are right that initially when we started, we started with the hub motors, which was the model of most of the motor companies. But then subsequently, we have gone into all the kinds of motors, including the mid-drive motors and also various profiling of motors. It could be a switch reluctance motor or synchronous motors. There are also some motors that we make without magnets also. So, those combinations are also there. So, there are multiple areas on which we are working. And we will continue to work in all the areas because ultimately, we want to ensure that we are able to cater to the industry requirements as per our customers' needs. So, most of that is dictated by Shriram Pistons & Rings Limited

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our customers and the end product that it is going in. So, you will observe that we have been continuously growing. And as I said, our real growth has started in full swing. And that is why we are putting up a new plant also in Coimbatore. And that plant will also be operational from coming September end. So, that is just around one to one and a half months away. So, with that, we will scale up in all the motors that we are manufacturing today. From a technology standpoint, we

have always believed in getting the right technologies. There are a couple of important points here that I should mention. First is, we are probably one of the very few

motor manufacturers who combine the motors and controllers together. We size it together in our thing, we test it along with the controller, we test it on our test bench, our 100% of the final test happens only along with our controller and that is then supplied to the customer so that customer does not have any problem with regards to sizing the motor and the controller together. That is one of the major changes that we do with regards to the others. Second, most of our technologies have been with the help of, as far as control is concerned, we have a collaboration with Lingbo, as you know, and with, as far as the mid-drive motors are concerned, do it with Greatland Electronics. So, we have the technology movement coming there. They are all up to date with regard to all the newer technologies that are coming in, including

hairpin bending and everything. All those technologies are available with us and we are almost in line with all the newer requirements of the customers.

Viraj : So, just two questions. Can you give some deeper perspective, given the kind of spread we would have in terms of different tech, different product offerings in motors and motor controllers? What is the kind of similarity or differences you see in terms of manufacturing setup? Why I am asking this is typically, say, if I look at core products of piston, piston rings

or other engine valves, we have a very defined benchmark in terms of, what kind of minimum threshold we would want to see either in terms of returns or margins before adding any capacity. But here, given there is so much variability, and the rate of change is high, what is the kind of similarity or difference you see in the manufacturing setup between different offerings? So, that is one. And second is, if you can give some more deeper perspective in terms of the mix in terms of end segments, whether it be LCV, PV or two-wheeler, and similarly in terms of customer offerings?

Krishnakumar Srinivasan: We generally don't give any breakup of these customers, but we are present in all, that is why I said that we range our motors right from 250 watts right up to 350 kilowatts. 350 kilowatts are the ones which go into big buses and other things, other applications, including for truck applications, including mining. So, there are a number of applications. Volumes are, of course, low, as you all know, that it is all, we have to be present in all this, we have to size it, we have to ensure that those motors are in for various testings and other things that are going on. And multiple levels of validations are going on across various customers. I can only say that we are now among the top 3 motor and controller manufacturers. We are the only ones who are giving motor and controller sized together. There are a couple of others who are smaller players, but in terms of recognized big players, we are the only ones. And secondly, we are among the top

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3 as far as motor manufacturing is concerned. So, I think we are on a very good way to establish our position as a major motor and controller supplier in the country.

Viraj : And in terms of customer concentration, say top 5, top 10 customers, how would that be?

Krishnakumar Srinivasan: This is a very growing field and it is very important to realize that many players are trying to enter many of these customers and it is not ideal at this stage to give any of the customer names because even the customers are keeping it very confidential, and they don't want us to disclose any of the names. So, unfortunately, I will not be in a position to disclose any names at this stage.

Viraj : Just one last question on this and I have a few questions on

other parts of the business. One

trend also you are seeing is, OEM is going for more integrated offerings that are being three in one or five in one kind of offering where you just don't have a motor or MCU, but you have other drive part, value chains also embedded in one system. From your interaction, is that a limitation for us or if I have to look at as doing more?

Krishnakumar Srinivasan: No, we are already making a three-in-one also, two-in-one also. Depending on the customer requirements, we make everything. We can make along integrated with the controller, with the gearbox, we can give without, we can give with motor and gearbox together. So, multiple combinations are there. It depends on the customer's requirements and the way he has designed his vehicle. So, it all changes with the configuration of the vehicle. So, we are completely geared up for all kinds of supplies.

Viraj : Just a few more questions on the precision engineered products. Can you give some perspective, where is the product more concentrated in terms of application? If I look at the business profile of the two subsidiaries, is it more towards fuel injection or the engine applications or is it more towards the transmission or the driveline? Any color you can give in that sense, it will help understand?

Krishnakumar Srinivasan: Well, it is spread all over the place. We are supplying for steering applications, we are supplying for gearing applications, we are supplying for braking applications, we are supplying for seatbelt applications, we are supplying for trimming applications in the vehicle. Multiple applications are there. There are not one concentration of any particular application. These are all precision plastic injections moulded. They are agnostic to the kind of vehicles that are made, powertrains. And we do have some components which goes specifically into injection-related components, which are very small in nature.

Viraj : So, to put it differently, if I look at product applications, where do you see most complexity and how are we positioned in that space?

Krishnakumar Srinivasan: No, it is quite complex. Some of the components that we make for steering gear applications, some of them which we make for headlamp adjustment applications, etc., are very complex in

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terms of its accuracies in this. And we are well placed, and we are already supplying to many of the Tier-1 manufacturers.

Viraj : Just last question, I will come back in queue. If I look at the subsidiaries, right, can you explain what drives the high margins? Because if you look at other players like Kingfa and others, they make mid-teens kind of margins, even though they are being global players. So, just trying to understand the margin drivers for the subsidiary?

Krishnakumar Srinivasan: Yes. So, Viraj, you want me to give away such secrets in an open call? So, we are into niche segment. See, what is very important for you to understand is our products are going into very niche applications. It requires very high accuracy and precision. We put the capex ahead of time. We put capex, which are very specific and very, let me say, high accuracy output kind of an equipment. And that requires high precision. That is why we call high precision components. These components are finish-to-finish dimensions in one stroke. And so it requires a very high amount of accuracy. So, those kind of components, not many people in the country make it. And that is the reason why we call it precision components. And the mix of business and a mix of customers actually helps us to maintain our margins. It is not that one particular set of customers is giving us the margins. It is not like that. It is a mix of customers. We also supply to music industry. We supply to many other industries, which is different than automoti

ve industry also. And those products also are being supplied by our injection moulding facilities.

Moderator : Thank you. The next question comes from the line of Pradyumna Choudhary from JM Financial Family Office. Please go ahead.

Pradyumna Choudhary : Yes, hi, sir. Congratulations on the good set of numbers. I just had 2-3 questions. First one, sorry, I missed, I got disconnected at the time of when you spoke about tariffs. So, can you just tell how much of revenue is coming from US and what could be the impact of the tariffs on our business? That is one. Second is, how do we, like, of course, we have been outperforming the industry growth due to the factors you mentioned. Is there some sense on how we expect this growth to continue going forward, like, can we sustain such outperformance and what could be the drivers for the same? And lastly, as some of our other acquired entities scale up in business, do we expect our consol profitability to come down a bit from our current levels?

Krishnakumar Srinivasan: Yes, our consol profitability has grown here. It has not come down. There is no reason why it should come down, number one. Number two is, as far as our mix of customers in the export is concerned, as that is given already in our slide, you will see that, we have slide number 16 gives that. But at the same time, it is important for me to state there that it is not concentrated. It is very well spread across the globe. And that really helps us to de-risk our business model, because any one region, if it is getting affected, we can always complement it by supplying to the other region. And we have a fairly good presence across OEMs as well as aftermarkets across the world. And another big advantage is, even within North America also, you will see Shriram Pistons & Rings Limited

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that we supply to not only the American region, but also to countries like Mexico, Brazil, and others, which is in a quite big manner. So, there is no reason why we should get worried at all by the tariff situation, number one. Number two, as it is also within the tariff situation, we don't see any major big impact coming to us relative to our other competition. So, that is the most important point. And that really helps us to maintain our customers and all our customers have reposed total faith in us in terms of our supplies.

Pradyumna Choudhary : Understood. And how do we expect the growth going forward? Can we continue the kind of outperformance we have been doing?

Krishnakumar Srinivasan: We are hoping to, and we are taking all the necessary steps to ensure that we are able to do that. So, I know, you can see the performance over the last 5 years, every quarter we have delivered to the numbers and done at least better than the market. Our aim is to ensure that we are able to outgrow the end markets.

Pradyumna Choudhary : Understood. Thank you and all the best.

Krishnakumar Srinivasan: Thank you, Pradyumna.

Moderator : Thank you. The next question comes from the line of Abhishek Kumar Jain from Alpha Capital. Please go ahead.

Abhishek Kumar Jain : Thanks for the opportunity and congrats for the strong set of numbers. My question on the cash in the balance sheet of the Company, we are looking for some acquisition as well. So, if you can throw some more light on these parts, sir?

Krishnakumar Srinivasan: Thank you, Abhishek for the question. And yes, we do have, as you see, the balance sheet is quite strong and we want to ensure that we are doing quite well. We are working on number of areas to improve our leverage on the balance sheet. And I can tell you that we will continue our drive towards making SPRL a more multi-product franchise. And I think we are on a good

way to that. So, our drive towards M&A will continue and we are looking at more opportunities.

Abhishek Kumar Jain : So, you are looking f

or opportunity in the auto or the non-auto side?

Krishnakumar Srinivasan: Well, it is like this. We are looking for automotive side. But if we get a partner who is also having non-auto business, so why not take that .

Abhishek Kumar Jain : And what would be the size, sir ?

Krishnakumar Srinivasan: Well, we can't crystal gaze that at this stage. You can see what kind of leverage we have from the balance sheet and we will certainly see to it that we are able to leverage it quite well.

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Abhishek Kumar Jain : And in the EMFI side, so do you supply motors in CV only or will you enter into the two-wheeler and four -wheeler space as well? And how much is that current capacity and what would be the incremental value for the new plant to start from September onwards?

Krishnakumar Srinivasan : Yes, we supply to all the applications. There is nothing stopping us from any of the applications. The kind of machinery we have put in, the CAPEX that we have put in the new plant is primarily to cater to all segments of the market because we can't stay only with one segment of the market. We have to ensure that we are able to supply to all segments of the market. There are many customers of ours who are wanting the product to be sold within their product portfolio to ensure that we are supplying to all segments of the market that they market in. So, we want to be present in all of them. So, that is how we have built the new plant.

Abhishek Kumar Jain : So, once this plant will start from the September onwards, so what would be the peak revenue if the plant runs at a 100% capacity utilization ?

Krishnakumar Srinivasan: Yes, so we are not giving out these figures at this stage. But at the relevant time, we will certainly be diverging those numbers.

Abhishek Kumar Jain : Thank you, sir. That is all for me.

Krishnakumar Srinivasan: Thanks a lot.

Moderator : Thank you. The next question comes from the line of Nandan Pradhan from Emkay Global Financial Services. Please go ahead.

Nandan Pradhan : Yes. So, we had initially called out that the plant would start by the end of Q4 and now it has been pushed to October. So, one is why has this delay been caused? And the second is once the plant ramps up, how long do you think it will take for it to reach its full capacity or optimal utilization?

Krishnakumar Srinivasan: Earlier, we had stated this, where we had said that we will start our operations in the new plant by the end of July. And now we have decided to combine our existing facility also into the new plant because we think that there will be synergies with regards to having our entire management bandwidth and everything. So, we are combining everything into a new plant as a result of which we ensure that we are able to build up the required area and bring both the existing plant and the new plant together in one location. That is the reason why it has got pushed to end September. But I think we are on a good way in terms of the existing facility is still operational and we will be ensuring that we shift at the right time once the multiple lines

that we are putting up in the new facility are operational and up to speed, duly validated by the customers. So, it is important to state here that we are probably amongst the top few to have got the ICAT approval and the PM E-drive approval. So, it is important that all this work is done with all the due approvals so that customers are able to use the product very seamlessly and be able to get all the benefits that they are aiming to get for their end customers.

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Nandan Pradhan : Thank you, sir. And just a small follow -up, do you expect any one -offs during this transition where you halt operations at the old plant and everything gets shifted to the new Coimbatore plant?

Krishn

akumar Srinivasan: No. Absolutely not. That is what I explained. That is why we have had to do it in such a way that it is able to complement each other.

Nandan Pradhan : So, that answers my question. Thank you and all the very best.

Krishnakumar Srinivasan: Thank you, Nandan.

Moderator : The next question comes from the line of Manik Bansal , an Individual Investor. Please go ahead.

Manik Bansal : Hi, sir. Thank you for the opportunity. So, I just have a single question. Can you please share the trend of the piston prices over the past 2 -3 years and how do you expect the piston prices to move in the near future?

Krishnakumar Srinivasan: Yes. So, piston, see what happens is piston prices are all linked to the overall prices of aluminum and metal prices, the way it moves, and mostly linked via the LME model. And what happens is we get compensation from our customers as the metal moves up or down, or we have to increase or decrease the prices based on that. So, it is all back-ended by that and there is no this thing. Only thing is we are able to recover our margins, and we are able to ensure that we are able to maintain our margins. That is what is most important here. So, I think, I hope I could at least give you some idea about this.

Manik Bansal : But is there any product or segment they are passing on? Is there more of a challenge?

Krishnakumar Srinivasan: No, there is nothing. Nothing like that. Because most of the contracts are all back-ended.

Manik Bansal : And just last question, like if you can just give some light or color on the industrial growth that you are expecting on segment, like PV and CV mainly ?

Krishnakumar Srinivasan: No, see, if you really see, the end markets have grown only by around 1% in this quarter, right? And we have been able to grow by 9.8% to be exact. And this comes from ensuring that we are able to get into newer markets, newer segments of the business that I talked about in my speech that I gave earlier. And we have been able to enter into those segments and be able to supply to those. So, that is what has really brought in the growth.

Manik Bansal : Thank you so much.

Krishnakumar Srinivasan: Thanks, Manik.

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Moderator : Thank you. The next question comes from the line of Harsh, an Individual Investor. Please go ahead.

Harsh : Yes. So, thank you for taking my question. I just wanted a clarification on the working capital.

So, we employ roughly Rs. 1,000 odd crores in working capital. So, how much of that goes to aftermarket, particularly in terms of our receivables? And my second question is, you listed marine, railways and defense as sort of your automotive verticals. So, if you could just throw some light on what kind of opportunities are we seeing in these verticals?

Krishnakumar Srinivasan: Yes. So, first and foremost, I don't know where you got the figure of Rs. 1,000 crores as a working capital. You are talking about cash and bank?

Harsh : No, so roughly Rs. 900-1000 odd crores of inventories and receivables, right, combined?

Krishnakumar Srinivasan: You have to reduce the payables also, no?

Harsh : Yes, I was just talking about the asset side. If you could just tell, particularly in terms of receivables, how much of those are originating from aftermarket?

Krishnakumar Srinivasan: Well, we don't give those kind of figures, but it is as per our norms. We have very clear norms in terms of our working capital, including finished goods and the kind of credit terms that we give to our customers. And it is all completely within norms. So, we don't see any major issue there. You can see it over the years, it has moved in the same band.

Harsh : Yes, it has been largely in line of revenues. And on the marine and railways and defense, what sort of opportunities are you seeing?

Krishnakumar Srinivasan: These are newer en-

try points for us. And those are areas where, it has multiple applications and we ensure that we are able to supply to the customers accordingly.

Harsh : Thank you so much and congratulations on another good quarter.

Krishnakumar Srinivasan: Yes, thank you, Harsh.

Moderator : Thank you. As there are no further questions, I would now like to hand the conference over to

Mr. Krishnakumar Srinivasan for closing remarks. Thank you and over to you, sir.

Krishnakumar Srinivasan: Once again, thank you to everybody. Thanks a lot for joining and actively participating in the call today. We have had a very interesting questions today and I hope that we have been able to answer most of the questions. In case, you have any further queries, please do feel free to reach out to us. You can get in touch with our Investor Relation partners at Ernst & Young. On behalf of the Company, we again deeply appreciate your time and engagement. Thank you once again. Please take care and goodbye. Thanks a lot.

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Moderator : Thank you. On behalf of Shriram Pistons & Rings Limited, that concludes this conference.

Thank you for joining with us and you may now disconnect your lines. Thank you.

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Call: Nov 2025

November 12, 2025

National Stock Exchange of India Limited
"Exchange Plaza", 5th Floor,
Plot No.C/1, G Block
Bandra- Kurla Complex
Bandra (East), Mumbai 400051
NSE Symbol : SHRIPSTON BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400001
BSE Scrip code : 544344

Sub: Transcript s of the "Earnings Conference Call" - Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations")

Dear Madam/Sir,

With reference to the captioned matter and in furtherance to our earlier intima tion letters dated November 3 , 2025, November 4, 2025 and November 7 , 2025, regarding the schedule, investor presentation , press release and Audio Recordings of the "Earnings Conference Call" of Shriram Pistons & Rings Limited ("Company") and in compliance with Regulation 30(6) read with Schedule III and other applicable provisions of the SEBI Listing Regulations, please find enclosed the t ranscript s of the " Earnings Conference Call " on the Un-Audited Financial Results for the quarter and half year ended September 30, 2025, held on Friday, November 7, 2025 at 4: 00 p.m. (IST).

The above information is also available on the Company's website and can be accessed at <https://shrirampistons.com> .

Kindly take the above information on record and treat this as compliance with SEBI List ing Regulations.

Thanking you.

Yours faithfully,

For Shriram Pistons & Rings Limited

(Pankaj Gupta)
Company Secretary & Compliance Officer

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"Shriram Pistons & Rings Limited
Q2 & H1 FY '26 Earnings Conference Call "
November 07 , 202 5

MANAGEMENT : MR. KRISHNAKUMAR SRINIVASAN – MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. PREM RATHI – EXECUTIVE DIRECTOR AND CHIEF
FINANCIAL OFFICER
MR. PANKAJ GUPTA – DEPUTY EXECUTIVE DIRECTOR ,
HEAD, LEGAL AND COMPANY SECRETARY

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Moderator: Ladies and gentlemen, good day, and welcome to Shriram Pistons & Rings Limited Q2 and H1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Today from the management, we have with us Mr. Krishnakumar Srinivasan, Managing Director and Chief Executive Officer; Mr. Prem Rathi, Executive Director and Chief Financial Officer; and Mr. Pankaj Gupta, Deputy Executive Director, Head Legal and Company Secretary.

Before we begin, we would like to remind you that this discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It may be viewed in conjunction with the business risks that could cause future results, performance or achievement to differ significantly from what is expressed or implied by such forward-looking statements.

I now hand the conference over to Mr. Krishnakumar for his opening remarks, post which we will open the floor for question-and-answer session. Thank you, and over to you, sir.

Krishnakumar Srinivasan: Yes. Thank you, Shruti. Ladies and gentlemen, a very good evening. Thank you for joining us on the Q2 and H1 FY '26 Earnings Call for Shriram Pistons & Rings Limited. Our financial results, the investor presentation and press release were all published on the stock exchange and the company's website, and I hope you have had an opportunity to go through the same. The company has continued to show resilience during the first half of FY '26 as we have achieved a growth of 14.9% year-on-year in consolidated total income and 14.2% year-on-year

on the consolidated EBITDA, despite very challenging market conditions in the auto industry, owing to the geopolitical situations as well as the muted growth in the domestic end markets. During the quarter, the company's consolidated total income grew by 15% year-on-year, maintaining a consolidated EBITDA margin of 22.4% and a consolidated PAT margin of 13.6%. The domestic automotive industry showed a mixed performance during the quarter with passenger vehicles declining by 1%, while 2-wheeler volumes registered a healthy 7% growth.

However, it is important to state here that the GST reforms were put into effect from 22nd September 2025, post the announcement on 15th August 2025, thereby giving an impact of only one week for the sales volume in this quarter to get the effect. Due to this, the month of August and September saw an impact on the overall sales mix across the group, which was impacting the business to some extent. The auto industry has emerged as one of the biggest early beneficiaries under the reforms, reflected by improved demand for all our products from the OEMs. Hence, post GST reduction and what we call it as GST 2.0, the demand is showing signs of improvement.

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During the festive season continuing in October, the passenger vehicles, 2-wheelers, 3-wheelers and commercial vehicle segments all recorded double-digit sales growth, rekindling the hopes for good volumes for the third quarter onwards.

Within the challenging environment in the first half, the company continued to outperform the industry, driven by presence in diverse markets and product segments, with healthy performance from all our subsidiaries, including EV and high-precision injection molded components business.

We also continue to win new businesses across our legacy business and also all our new subsidiaries. All the product segments supported by our

process efficiency initiatives and cost optimization programs contributed positively to our top line and bottom-line growth. Our international operations remained resilient despite ongoing tariff uncertainties and geopolitical headwinds. With a presence across more than 45 countries, we continue to navigate regional demand fluctuations through product localization, market diversification and long-term customer relationships. While certain export regions did witness temporary softness, we expect improved tractions in the coming quarters as global supply chain trade conditions stabilize.

We are committed to strengthening our leadership position through operational excellence and innovation. Our primary focus is on technological advancements, supported by our robust in-house R&D. This approach not only keeps us relevant but also empowers us to lead in the marketplace.

Our investments in automation, digital manufacturing and precision engineering are delivering the measurable improvements in productivity and quality. At the same time, we are pursuing strategic collaborations and partnerships with global technology leaders to enhance our technological capabilities and broaden our product portfolio.

Going forward, our strategic focus remains on strengthening our core business while exploring newer areas for growth. We are committed to enhancing our product offerings and expanding our market presence through innovation and technology. As a part of our commitment to innovation, we are actively developing components for alternative fuel solutions like CNG, LNG, PNG, Hybrid, Flex, Hydrogen, H-CNG and electric powertrains.

These complement the internal combustion engines and also positions us in all the powertrain solutions, which we firmly believe will continue to coexist for quite some time in the future, given the various challenges with regards to infrastructure and availability of mature technology solutions for EV vehicles.

This is also visible in the global markets with most OEMs leaning towards either the legacy solutions or the hybrid powertrains, which require IC engines, ensuring a sustainable growth for the IC engines.

While we work on all the technologies, we are happy to state that our progress on EV motors and controllers is also very satisfactory. We have also been able to mitigate the nonavailability

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of rare earth magnets by alternate sourcing methodologies and maintaining our production run and also working on various newer technologies, which will give us a substitution to the rare earth magnets.

The progress of commissioning of our new facility at Coimbatore for the EV motor and controller plant has been completed, and we expect to start commercial production during the ongoing quarter.

Further, Phase 2 expansion of our new manufacturing facility at SEL Pithampur, Indore has also been completed, and we have already started with the Phase III expansion due to the continuing excess demand from the customers.

Sustainability continues to be the cornerstone of our long-term strategy. We are happy to state that we have won again the Golden Peacock Award from the Institute of Directors in London for Excellence in Corporate Governance in 2025. We have also received a bronze rating from Ecovadis, putting us into the top 35 percentile globally on sustainability and the ESG rating 2 from Dun & Bradstreet with us being placed in the top 500 value creators globally.

In addition to the above, we continue to win awards from our prestigious customers for initiatives in the areas of innovation, quality, delivery, productivity and sustainability. All these awards and ratings act as a testament to our consistent efforts towards building a sustainable business and contributing positively to the environment.

As we move into the second half of FY '26, we remain very op

timistic yet prudent. Ongoing

market conditions are expected to support a steady growth across key vehicle segments. For SPRL, our priorities remain clear: to drive operational excellence, invest in technology-led solutions and build long-term partnerships that reinforce our position as one of the leading players in the Indian automotive components industry.

As part of our growth strategy, we also continue to pursue strategic partnerships and M&As that will bolster our capabilities, broaden our product portfolio and are value accretive to our business. We are on a good way to make SPR a multiproduct franchise and amongst one of the top auto component manufacturers in the country.

In conclusion, I would like to extend my heartfelt appreciation to all our employees for their dedication and commitment, to our customers for their continued trust, and to our shareholders

for their unwavering support. Together, we are confident of building a stronger, more innovative and sustainable SPR.

Thank you very much for your time, and I look forward to addressing any questions that you may have. Thank you once again.

Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question is from the line of Karan Gupta from Asit C Mehta Investment.

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Karan Gupta: Just one question on the EV side. What are the different alternatives that we are looking for as against the rare earth metal? Any specific technology that you worked on or you are working on?

Krishnakumar Srinivasan: Yes, we are working on a couple of solutions. We are making a ferrite-based solution and using ferrite metals and other rare earth elements which are not under any kind of sanctions, we are able to also generate the kind of electromagnetic force that is required for these PMSM motors.

Karan Gupta: Sir, just a clarification on this thing. There is also a lot of news about strontium carbonate kind of element, which can also produce same kind of magnetic effect what the ferrite magnet is. So

is it the kind of technology that you are also working on?

Krishnakumar Srinivasan: No, no, no. For all electric traction motors, we need a very strong EMF requirement. As a result, those things don't work. So, it has to be done in a very different way. So, these being synchronous motors, we have to also ensure that we are able to get the required torque and speed characteristics, which we need at the end of the product. It's a very different technology, and we are working on it.

Moderator: The next question is from the line of Shubham Sehgal from SIMPL.

Shubham Sehgal: My first question was on our standalone business. Can you give some colour on growth trends in exports, aftermarket, domestic OEM in Q2 and H1 for us?

Krishnakumar Srinivasan: Yes. So normally, we do not bifurcate between individual segments and all, though, of course, we track it. So the good point is that even with all the geopolitical situations, you can see that we have been able to maintain our sales to our export customers. And across aftermarket, we have been able to register good growth and also across our OEM segments, we have been able to outgrow the market.

As I said in my speech, if I take a weighted average growth of around 3% or 4% across all the segments that we supply, the company's growth rate has been more than double than that amount. So we have been able to actually achieve our goal of outgrowing the end markets.

Shubham Sehgal: Okay. Okay. Got it. So if we look at our gross margins, it has seen some moderation in Q2. So what explains this? And what will be the sustainable rate going forward?

Krishnakumar Srinivasan: See, what happened in Q2 is because of the announcement happening on 15th of August almost till the last week of September, we had an impact on our sales with almost everybody

saying that let's wait for the GST announcement. And the final GST started only on the 22nd of September. As a result, there was a very big mix impact, which resulted in this small impact that you see.

Shubham Sehgal: And what kind of sustainable rate can we see going forward?

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Krishnakumar Srinivasan: More or less the rate at which we are progressing now. Overall, if you see our first half results it has been, to a fair extent, modulated with regards to the overall performance of the company.

So we expect to maintain this rate.

Shubham Sehgal: Okay. Got it. Can you give some colour on what is our market share in PV, CV, 2-wheelers and also in terms of alternate fuels?

Krishnakumar Srinivasan: Well, normally, we do not give any market share figures, as I told in the earlier calls also. But we certainly are a very significant player in the products that we make. And with all the customers, we enjoy a very good market share.

Shubham Sehgal: Okay. Got it. And about subsidiaries, so we've seen a very good scale up and margin improvement in our subsidiaries. So which subsidiaries are driving these? And is this growth more from existing business or new business wins?

Krishnakumar Srinivasan: Yes, most of the subsidiaries have been working on new businesses. And the growth that you see, they are also linked very clearly to the end markets. When the end markets are around 3%, 4%, but if they are growing by around, say, 10%, it is for sure that we have been able to win new businesses.

So we have won new businesses in all our subsidiaries and our scale-up that we wanted in our EV business also has happened quite well, and we have been able to scale up quite well and deliver the results.

Shubham Sehgal: And linked to also the drivers in our subsidiaries? And what could be the margins on a steady-state basis?

Krishnakumar Srinivasan: No, all the segment of the subsidiaries that we have been operating on has been a very accretive business for us. We do not want any of our businesses to bring down our overall EBITDA targets. So we have maintained our EBITDA margins across all segments of our business.

Shubham Sehgal: Okay. Okay. Just last question. What would be our capex plans for FY '26 and '27? And any plans for our surplus cash?

Krishnakumar Srinivasan: Yes. This I addressed. See, all the normal businesses do require capex, which is in line with their business requirements. And to the extent of their depreciation, we are already investing regularly in the existing businesses.

And all the extra cash that we have is being used for M&A opportunities and for nonlinear growth and I will put it more this way that we are looking at bigger M&A opportunities. And it's already ongoing, and I can only say that various opportunities are there, and we are working on them.

Shubham Sehgal: But what would be the capex amount that we've planned on?

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Krishnakumar Srinivasan: Equal to the depreciation of the individual companies unless if we have new big businesses where we have to really invest. And in which case, that is something that I will announce at that time.

Moderator: The next question is from the line of Abhishek Kumar Jain from AlfAccurate .

Abhishek Kumar Jain: Congrats for a strong set of numbers. Sir, my first question on that, as you mentioned that you are looking for the bigger M&A opportunity. So if you can throw some light which are the areas where you are looking for? Is it in the ICE or is it in EVs? And how much capex you are looking for there? What would be the asset turnover to begin?

Krishnakumar Srinivasan: Yes. So Abhishek, those decisions are very strategic decisions. And for sure, most of the investments that we are looking at is for areas which are agnostic to ICE .

We do have

something in ICE but that is very small thing we are working on. But overall, if you really see the direction of the company over the last 5 years, we have been focussing on ICE agnostic segments . And our investments have really borne good fruit, it helped us to grow the overall franchise. So we will continue in that direction, and we'll continue to see that the overall enterprise is able to grow across various segments, both in terms of the product segments as well as the market segments.

Abhishek Kumar Jain: Question on the subsidiary side. So EMFI space, the company has already completed commission 1 plan. So what kind of the revenue target for FY '27 from this particular business?

Krishnakumar Srinivasan: Yes. So normally, as I said, it is in line with all our working. It is in line with our expectations with regards to the growth targets that we have. You are all aware that , as far as the EV business is concerned, market is a little muted today because of the infrastructural requirements, which I have been saying all through in all my calls that it is going to be a little muted. So we are progressing in a very steady manner, and we are investing to the extent of which we get the growth that is required for the company.

And to that extent, we have already invested. We are manufacturing motors right from 250 watts right up to 350 kilowatts. And we are making our own controllers. We are probably the only player in the country who manufactures the motors and the controllers together and size it and give it to the customers. And we are progressing very, very well.

Abhishek Kumar Jain: Will we be supplying to 2-wheelers, 4 -wheelers, SUV , or is it particular for the 2 -wheelers?

Krishnakumar Srinivasan: No, no, no. All segments of the market. We make hub motors, we make mid-drive motors, we make motors from all ranges. And so we have now all the lines fully operational, and we are also amongst the first ones to get the PM E -Drive certification. And so we are all set to really continue our growth on the EV side.

Abhishek Kumar Jain: So do we have any tie-up with any OEMs who supply all these motors to them?

Krishnakumar Srinivasan: Yes, yes, of course. We don't give the names of our customers at this stage in this business because we are being very closely tracked by our competition.

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Abhishek Kumar Jain: So the last year in FY '25, the total revenue was INR 26 crores in this business. So can we expect that this would be able to touch INR 100 crores plus in next 2 to 3 years?

Krishnakumar Srinivasan: Well, that is our plan. Otherwise, why do we put such a big plant .

Abhishek Kumar Jain: So if you can throw some light on the asset turnover and total investment on this particular business?

Krishnakumar Srinivasan: No. We do not normally do that, but I can safely say that it's a good asset turn, over 4x.

Abhishek Kumar Jain: Okay, sir. And the next 2 subsidiaries, TGPEL and Takahata, if you can throw some light over there, what is your growth plan over there? And what kind of the revenue and the margin we are able to see in the coming quarters?

Krishnakumar Srinivasan: Both the plants are performing to plan. They are outgrowing the end markets by more than double. And I have already told that the end market is growing just around 3% or 4% and we are growing over more than double as far as those companies are concerned. And our margins are very accretive to our business. Otherwise, overall, our consolidated margin would have fallen. So we are maintaining our margins.

Abhishek Kumar Jain: So it's a very impressive growth of around 74% in second quarter FY '26 from the subsidies number. So can we expect that this sort of the growth will continue in the couple of quarters because of the base is low?

Krishnakumar Srinivasan: No, it's not to be seen from a po

int of view of base level. It is to be seen from a point of view

of the technology that we have been able to hit and get to our customers. So customers are really finding it very useful, and we are winning more businesses. And I'm very happy to state that the last 2 quarters have been a lot of new wins that we have got in our plastics business, our legacy business as well as our EV business.

Moderator: The next question is from the line of Vivek Gautam from GS Investment s.

Vivek Gautam: Sir, so what I've come to understand that the current slowdown in the domestic market was due to this GST implementation, reduced GST, which led to the postponement of some demand and except for the last week of September and the current quarter onwards, the things are back to normal and we should expect good growth

Krishnakumar Srinivasan: Even in the second quarter, we have actually outgrown the end markets, and we have also outgrown quarter-on-quarter. So there is no reason to say that we have not grown in the second quarter, even though we had the impact. What happened with the GST part was primarily we had a change in the mix, because most of the aftermarket customers, they immediately said that let us get the material with lower GST.

And the GST was opened up only on the 22nd of September. So the material flow stopped on the aftermarket side. Whereas OEMs, they decided that they will make more stock because they will require it during the festive period. So we had to dispatch for the OEMs. So mix got impacted. That's all.

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Vivek Gautam: Got it, sir. And what is helping us in the exports, sir, and the good growth in exports, the hybrid world is now moving towards the hybrid and other than EV, which is helping us out, sir?

Krishnakumar Srinivasan: Yes. So basically, in the export market, the off-road segment has really done well, both in U.S. as well as in U.K. and Europe. And we are supplying to those segments. We have been able to really get some new businesses also tied up. And all that has really helped the off-road applications. Otherwise, on the on-road, passenger cars have really not done well in Europe. They have not done well in U.S. They have not done well in the U.K.

So there is a slowdown. There is a slowdown because of the geopolitical situation. There is a slowdown because of the tariff situation. So there are a number of impacts that is there. But certainly, for sure, our presence in almost 45 countries has really helped us to segmentize the market and be able to get some businesses which we thought which will help us in really ensuring that we are able to maintain our market growth.

Vivek Gautam: And the signing of the U.S. India tariff deal and Mr. Trump, not a very big strong advocate of renewables and other things is still going in for the conventional technologies. So things stand good for our sector and our company also, sir. That's the question?

Krishnakumar Srinivasan: See, basically, we are not basing our decisions based on any political motivations. We are basically thinking from a point of view that overall infrastructural developments across the globe will take time. And the power generation that is required for this kind of introduction of such mass scale EV transfer is going to take a lot of time.

So we personally feel that all the countries will continue to work on multiple powertrains. As you can see in Europe, it is more of hybrids. In U.S. also, it is more of hybrids and ICE. In China, it is more of electric, but even that has slowed down in China. And then across the globe, we are seeing that multiple powertrains are now coexisting.

And people are working on newer solutions with CNG, with PNG, with LNG, with hydrogen. So there are multiple activities going on. And the good part is that we have our own development centre, we have our own innovation c

entre, and we are far advanced in all those areas, and we are able to give solutions to our customers and that enables us to really be present in all the powertrains.

So we think that all the powertrains will coexist and there should not be any problem. This has been my narrative for the last 5 years literally. And I think all that I've been saying over the last 4, 5 years has started coming true now.

Vivek Gautam: Correct, sir. And lastly, any risk on China dependency import of raw material, etc., magnets and other things, sir?

Krishnakumar Srinivasan: Practically nothing. Even though we had the magnets being stopped by China, our sales actually increased, not decreased.

Moderator: The next question is from the line of Sakshi Shah from Quest Investment Managers.

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Sakshi Shah: So there have been recent announcements by these Japanese automakers, Toyota, Honda and Suzuki that they're significantly expanding their manufacturing presence in India. So how do you see this trend playing out for us, especially considering our long-standing relationships with these OEMs?

Krishnakumar Srinivasan: Yes. So we do see a very positive trend for us on these. And both our Korean customers, our Japanese customers as well as some of our other non-Japanese customers, I think we have actually made very good inroads with our presence as well as working on various newer platforms that we have been working with them right from drawing board stage.

So that has really helped us to be able to give them the right solutions, which have been tested or getting validated as we speak. And we are very confident that we'll be able to support them in all their requirements.

Moderator: The next question is from the line of Shafaat from Limra construction.

Shafaat: Sir, your ROE was 21% this financial year?

Krishnakumar Srinivasan: Yes

Shafaat: So sir, I can expect your profit doubling from 3 to 4 years. What do you think?

Krishnakumar Srinivasan: I also hope. Yes, we are working on it. And I'm very confident that with all the programs and all the things that we are doing and all the activities that we are doing, there is a good possibility. I can't say the future. I can't see the future, and I can't tell about what can happen. But all the things that we have today on the plate looks positive, and we feel that we are working in the right direction.

Shafaat: Sir, if you maintain your ROE of 21% or maybe above that, I think you can definitely going to achieve.

Krishnakumar Srinivasan: Thanks for your support.

Moderator: The next question is from the line of Harsh.

Harsh: So sir, I just wanted to better understand the piston market in India. So assuming that it's a technical product, there would not be a lot of informal production for it. But what about like imports? And what has been sort of the trend of India's piston imports over the years? And also if I could just squeeze in.

So what are our strategies going forward, like our growth drivers in our legacy business? So are we targeting this import substitution? Or are we sort of trying to consolidate our market share? Or are we depending more on the growth of auto penetration in India?

Krishnakumar Srinivasan: Yes. Good question. First and foremost, let me highlight to you that Piston is a highly technical product. It looks very simple, but it's manufactured in a few microns, and it requires a very high amount of technology because there is expansion in the material that happens at high

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temperatures. And then when the temperature cools down, the material has to come back to its original shape and all that.

And you have to really design the product for the kind of animal that it goes into, every engine is a different animal, and it requires a different kind of tec

hnology to ensure that we are able to cater to the demands of that engine.

Now what happens is it's not easy for the pistons to be just imported from anywhere and put into any engine because if you'll find that most of the OEMs work very closely with the piston manufacturers to be able to work with them very seamlessly and ensure that we are able to design. It's almost like a co-design that happens with the thing on the drawing board.

So it's not very easy for imports to just come in and take that product. At the most, the imports can come in the aftermarket for already developed products where people do a reverse engineering and get the piston to those positions.

But even there, we find that many of the pistons actually failed very badly in the engines. And most of the customers realize that just buying some Chinese-made pistons or pistons supplied by any big customer just by sourcing from China or from any other place does not really give the right results.

And within 3, 4 months, they have to again go for an engine overhaul. So most of the customers believe in then going in for genuine parts, and we are present with almost all the customers in the country, and that really gives us an edge with regards to supplying also in the aftermarket, number one.

And number two, I do not see that pistons will go out anywhere in the near future because the demand, even as we speak, we are working on a couple of projects which are going to see the light of the day maybe in '28, '29 or even '30 and then continue for the next 5, 7 years. So we do not see any issue for the next many years that all the powertrains will coexist, as I already said.

The third point is globally, in the Piston world, there is a huge demand cropping up primarily because of people vacating capacities. Now what happens is when people vacate capacities because of the fear of EV, not really understanding the market well, not really understanding the situation well, then it tends to really create a lot of vacuum with regards to the supply situation.

And then we are today experiencing that, and we have a lot of inquiries coming in with people wanting to buy from us globally. So I think we are in a good position, and we should continue with that.

Harsh: So sir, when we are exporting systems, then that means we are working developing the product along with the OEM ground up. Or are you sort of targeting the aftermarket?

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Krishnakumar Srinivasan: No, no, no, no. Most of the OEMs we supply to Jaguar, we supply to Caterpillar. We supply to so many big names. And I can tell you that we work with those customers on the drawing board.

Harsh: Fair enough, sir. And since you mentioned Jaguar, so a couple of quarters back, the India, U.K. free trade agreement happened. So are we seeing any green shoots from that so far?

Krishnakumar Srinivasan: Yes, yes, there are green shoots for that.

Harsh: Okay, sir. And lastly, in terms of our rare earth -free magnet motor like you mentioned, so recently, I think one of our competitors, Ola got some certification from Global Automotive Research Center for their ferrite motors. So what stage are we in, in our rare earth free magnets? Are we in the development stage? Have we piloted something? Or are we already supplying such motors?

Krishnakumar Srinivasan: We are in advanced stages. That's all I can say. It's all time tested, and that's what in some of the products, we have already started introducing that also, and that's really helped us during this time. And we are actually doing multiple trials and testing because all this also has to get individually also approved by PM E -Drive. So all this goes through various levels of validations.

Harsh: Okay. Fair enough. And then I'm assuming just like our normal motors, in our rare earth motors also, we'll have the complete suite from lo

wer range to higher?

Krishnakumar Srinivasan: Yes, hopefully, yes.

Moderator: The next question is from the line of Viraj from S IMPL.

Viraj: Just one question on our exports. See, if you see the construct of our exports, the majority is still driven by sales through our tech partners to major markets where they're operating. But on a very macro basis, last 2 to 3 years, our exports have largely been in that INR480 crores to INR520 crores kind of a range. Can you give some perspective what we are doing to kind of drive exports from here on?

How are we looking at it? Will it be more driven by sales to outside the tech partners network more driven by aftermarket? Or how are we approaching this?

So this one is how do we go about driving scale from here in exports? And between the two channels, one to OEMs and one to aftermarket, where we are seeing most traction?

Krishnakumar Srinivasan: Yes. So first and foremost, I don't know where you reached the conclusion that we are supplying only through our tech partners, we don't supply anything through our tech partners today. And if you really see Kolbenschmidt has already come out of the overall relationship from Rheinmetall and they are an independent company in Germany, and we don't sell anything through Kolbenschmidt. Neither do we sell anything through RIKEN.

And RIKEN directly in Japan, in some places, we do use their channel. And so mostly, it is customers with whom we are already having contacts and we are growing the business. Now

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what is important to see is from a light that the overall exports business as a market has actually tanked because of the geopolitical situations and also because of the war continuing at various places.

As a result of which, what has happened is it has been very challenging from an environment standpoint, many of the countries are even having a big forex shortage. They're not unable to pay.

So as a result, we have to be very careful, and we want to ensure that we are only doing business where we get our money well in time. So as a result, the kind of growth that we have seen in the aftermarket is actually very, very encouraging. Even maintaining the kind of business that we have been doing over the last two years with such a tough business environment in the exports market has been a very stupendous performance actually.

Viraj: I think somewhere earlier in the call, you talked about us talking with Caterpillar, JLR for the business. Can you give some color? So typically, say, OEMs take 3 to 5 years for any new business dialogues to commercialize. So where are we in that journey? Do you see a lot of those new orders getting commercialized in '26 or '27 for us?

Krishnakumar Srinivasan: Viraj, we have been supplying to OEMs all through over the last more than 6, 10 years. So there is no reason to say that we have not been supplying to OEMs. So OEMs as well as aftermarket have been our overall business model. And we are continuing to grow the re. We have got new customers.

We are supplying for snowmobile applications. We are supplying for marine applications. We are supplying for off-highway applications. So there are many, many new customers who have got added. That is what has helped us to retain our sales.

Moderator: The next question is from the line of Resham Jain from VVD Asset Managers .

Resham Jain: So sir, I have this question on inorganic opportunities. So one is like most of the acquisitions which we did in the last 3, 4 years are primarily auto-centric. But primarily, we are an engineering company.

So let's say, going forward, are we looking because a lot of other areas like whether it is railways, industrial, defence, a lot of other areas are also emerging where similar engineering capabilities are required. So would you also think to get into those areas as well beyond auto?

Kri

shnakumar Srinivasan: To be very frank, we already supply to railways. We already supply to defence. We supply our existing products to both these applications. So we do not categorize, though our front ending is clearly automotive because, our expertise lies with the automotive players. But we make our products also for industrial applications, gensets and various other requirements.

So I don't think that we are restricting ourselves from that standpoint. But in terms of future M&As, we want to remain in our core strength area. And I think our core strength is in the automotive, and we do not want to think about manufacturing, say, a very diverse product

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which is required in an industrial environment to set up a complete new facility and put big investments there.

Instead, I would prefer to be in the automotive area where our core strength lies, but still make the products which the industrial segment wants if we can make within those segments of business. So that is the way we are looking at it. And we would like to continue that way because that's where the core strength is.

Resham Jain: Okay. Understood. And the second question is, sir, generally, in the stand-alone core business, we have not seen much capex, but we have been growing. So the question is how long can we keep growing at this organic pace without doing like meaningful capex?

Krishnakumar Srinivasan: I think you'll have to look up the figures, but I can tell you that we are not at all restricting any capex to our legacy business. Frankly, over the last 5 years, including our investments in SEL, which is primarily for our engine valves and other products that we make, I think we have invested over INR 550 crores here.

Resham Jain: No, that is very efficient capex because most of your growth has been much higher than the capex is what I was trying to understand.

Krishnakumar Srinivasan: We have gone in for a huge automation and digitization and a lot of efficiency improvements exercise and all that. So that has all helped us.

Moderator: The next question is from the line of Ravi Purohit from Securities Investment Management.

Ravi Purohit: Congratulations on a good set of numbers. I just wanted to kind of delve a little more on the pistons market. I think one of the earlier participants had also asked about the piston market. If

you could just kind of share what kind of product profile do we address? Like except, of course, electric vehicles don't have pistons, but I would assume hybrids would have, biofuel vehicles would also have. So if you could just kind of share different aspects about that?

And also, each time and also the realization difference, right? So basically, if there is an increasing drive towards hybridization of vehicles rather than going completely towards EVs, for example, and which is what we are seeing in European market or, let's say, some of the other markets, how does that kind of change the game for us or whether we are very much into pistons for hybrid vehicles as well?

What kind of realization changes happen between a conventional piston versus, let's say, a hybrid piston for a hybrid vehicle versus piston for something else?

Krishnakumar Srinivasan: I get your question. Okay. Ravi, let me explain this. First and foremost, we make pistons, we make engine valves, we make piston pins, crank pins, and piston rings. So there are a number of components which all of them are engine related, go into the engine.

Now what is important here to realize is that all of them require very, very high amount of technology input to be able to withstand those kind of temperatures. And we make the products for all kinds of vehicles, right, from 2-wheelers right up to the biggest trucks, heavy

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commercial trucks and

and buses and whatever is required. What is important here is to realize that these products will continue for all kinds of ICE engines.

You require a piston, you require engine valve, you require piston pins, crank pins and all this you require for all kinds of ICE engines, whether it is for with CNG applications, whether it is for PNG applications, LNG application, biofuels, any kind of ICE engine will require these

pistons. So we are present in all the segments of the powertrain.

The third important point here is that we are also present with hybrids. Now hybrids, normally, most of the customers, what they are doing is they are sizing the hybrid engine on a slightly lower side because they also support the ICE engine, the lower sized ICE engine with the electric motor. And because of that, maybe some of the customers go with a lesser number of cylinders.

Some customers are retaining the same number of cylinders. So it all depends on how the customer plans his engine, what kind of applications and what kind of end position that he wants to plan.

So we normally tie up with the customers. And based on his requirement, if it's a 4-cylinder engine, there are certain engines which requires 2 inlet valves and 2 exhaust valves, we plan accordingly. But depending on the customer's requirement, we do the plan, and we work with them to really design the product for those end applications.

Ravi Purohit: Is there a big difference in realizations between, let's say, a hybrid and between a normal conventional ICE?

Krishnakumar Srinivasan: See, normally, what happens is if a hybrid engine is being planned today, most of it has been planned in the last 1 or 2 years. Most of them have been planned with a Euro 6 or Euro 7 kind of a requirement. Now what happens is when it goes for a Euro 6, Euro 7 requirements, the end demands are very, very high. Frictional resistance have to be very, very low. So you have to really plan with a lot of features.

So it requires different kind of features. It requires different kind of hard anodizing, requires different kind of rings, it requires different kinds of coating. So it requires a complete different technologies to develop that. And all that are featured products and accordingly, there is an improvement in prices.

Ravi Purohit: Okay. And sir, each time there is an emission norm change like we had a few years back. Now I think there is some small change that is happening on the tractor side also. So lately, if you could kind of share how does that change for companies like us?

Krishnakumar Srinivasan: With every emission change, there is a big change in the product. So it requires a lot of different features to be added and this one. And accordingly, then it becomes a more featured product. So that is the reason why we have so many varieties, so many variants and variant management has to be done to be able to cater to the market demand.

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Ravi Purohit: Okay. Okay. And sir, if you could kind of just share your thoughts on the non-auto part of this, what kind of opportunities do we have in the non-auto in this business? How big is the opportunity? I'm assuming it's not just India, it would be global as well. So if you could just share some?

Krishnakumar Srinivasan: There are huge requirements for marine applications, for industrial applications, even for different kind of compressor applications, and then for snowmobiles, off-highway segments and for various stationary machines, there are huge requirements, and we have been working on those segments, and I'm happy to state that we are catering to many of these segments, which have really helped us to really maintain the kind of growth.

Otherwise, how do we outgrow the market when the end market is growing by 3%, 4% and you are growing by 10% to 12%, - we have practically grown 15% against 4% of the

end

market. So that's only coming out of new businesses and new segments.

Ravi Purohit: Okay. Okay. Okay. And sir, what gives us confidence that we should be able to kind of maintain this gap or this kind of level of outperformance going ahead in the coming 3 to 4 years? Does the acquisitions that we have made on the plastic component side or engineering side or this battery motor side, are those the areas which will drive growth or even the conventional, if you could just share some insight as to what will drive growth for us over the next 3 years?

Krishnakumar Srinivasan: This is what I've been saying. The conventional is going to also continue to grow. See we expect a CAGR growth of around 6% - 7%. And we expect a penetration of around 15% - 20% as far as EV is concerned. Now if you see the next 5 years, if we are going to grow at around 6%, we are looking at a growth of almost 30% in the end markets and a penetration of 20%, which means even the existing legacy products are going to grow at almost 10% in the next 4 or 5 years, which is a huge, huge requirement because the base is very high. We are talking about the 3.5 million ICE engines being made. And you can imagine if that's going to have a growth of 10%, we are looking at a fairly big number. And with people looking at vacating capacities and other things because of the fear of EV, it doesn't make any sense to me actually. So, we expect very good growth for many more years to come. And we don't see any major issues. We are present in all the powertrains.

What is important is to be present in all the powertrains. You must have the technology, you must have the right features, and you should be able to deliver to the customers' requirements.

And we are present with that, and we are in a very good position with that.

Moderator: The next question is from the line of Krishnaswamy Mohan, an Investor .

Krishnaswamy Mohan: Congratulations on an excellent set of performance. In the auto industry, the kind of ROI and ROE that you are showing, I very rarely seen. I have been in the auto industry for about 15 years. Congratulations on the excellent numbers.

Coming back to this question, I mean I wanted to ask something else before, but we'll take it up 3.5 million engines , now you're saying is that growing the overall market may be growing, Shriram Pistons & Rings Limited

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say cars are growing at 8% and 2 -wheeler may be growing at maybe 10%, CV is maybe growing at 6%. There will be some EV component of that. Do you still see IC engine growth at 10%? Or would it be much less than that because of EV penetration?

Krishnakumar Srinivasan: No, no, no. Let me explain. Again, we see a compounded annual growth of around 6% to 7%, okay? Now when we say that when the market is going to grow at the rate of 6% to 7%, which is going to happen because the - car penetration in the Indian household has been less than around 4.5% - 5%.

So there is a huge market in any forward -looking economy and any growing economy, we have a penetration level which goes up to around 30% - 35%. Now so there is a market that is present. Of course, I'm expecting that the infrastructure will also grow along with that. But 6% or 7% average compounded growth, then we are looking at in the next 4 or 5 years, let's take 5 years, a total growth in numbers to the tune of around 30% to 35%.

And even on the overall basis, if you have a penetration of around 20% also, you are going to still continue to have a growth of over 10% for the next 5 years, which means a 2% to 3% or a 4% growth in the ICE segment. And with newer markets coming in because of people vacating capacities and also with newer end markets, we can easily outgrow the market. Our focus will be always to outgrow the end markets by more than double.

Krishnaswamy Mohan: Yes, I understand. I understand. I want to say top of CAG

R of GDP of 6-5% or CAGR of the

auto industry , the car, for instance, let me take car specifically, because each sector is different.

Car is different, tractors are different and so there are different, say car segment is growing at say 8%. Overall car market is growing 8%, including EV, the ICE would probably grow 6%, and ICE would be around 6%, right?

Krishnakumar Srinivasan: No, no. overall ICE market growing by around 6% to 7% and the penetration in the ICE market to the tune of around 10% -15%.

Krishnaswamy Mohan: So, the question with the GST coming down and small cars going to take off in a much bigger way than it was in the past, do you see any drop in profitability because the smaller cars obviously have smaller pistons and smaller content per car. Do you see any drop in

profitability overall volume will grow . Do you see a drop in profitability per se because of the greater sale of small cars? Or do you think that, that is not going to get impacted very much?

Krishnakumar Srinivasan: We try to maintain our profitability over product segments. And whether if small car segment is one segment, then that segment also we try to maintain our profitability. We don't undersell a product. But what actually happens is most of the price or anything gets actually fixed based

on the features that the engine requires. Even if it's a small car. But the engine has delivered to the Euro 6 requirements or, let's say, Euro 7 requirements. The features are going up. And to form the features, the price goes up.

Moderator: The next question is from the line of Chinmay from Prescient Capital.

Chinmay: I have a question on the motor and motor controller business. Just wanted to understand the market in the sense that a lot of large OEMs make this in -house. So, is the opportunity largely

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with start-ups and newer businesses? Or are you also working with established large OEMs on either side? And secondly, is this primarily a domestic opportunity? Or are you also exporting in this business?

Krishnakumar Srinivasan: Yes. So, the answer to both is, yes, we are working with top OEMs, and we are also working with some export customers. And now we are well recognized amongst most of the auto companies in the country as having state -of-the-art plant delivering all kinds of motors that is required by them.

And there are not many customers. The customers may start with 1 or 2 manufacturers, earlier , if you see, they were also they started making their own engines. So some of the customers make their own motors. But we frankly do not see that as an issue because when you go for different variants of the car vehicles, you need different motors.

And every vehicle is a different animal, and it requires a different sizing of motor. And the

kind of variants that will be required, it is not possible for the OEMs to continue. They have to focus on the end product rather than focusing on a part technology. So I think the part technology will continue to grow amongst all the supplier community, and that's what we see as a good opportunity.

Moderator: The next question is from the line of Pranay .

Pranay: Congratulations on consistent performance. I just have one question regarding the capacity utilization, regarding the Coimbatore EV plant, so have we achieved a 50% utilization or what is the utilization?

Krishnakumar Srinivasan: Yes. So normally, we don't give these figures of utilization, as I said, closely tracked by competitors. So we have enough capacity. We continue to invest in the capacity. As I said, last time also, we have invested. We have put up a brand -new plant with complete modern equipment, and it's a state -of-the-art plant with a lot of capacity, and we don't see any major issue as far as capacity is concerned.

Pranay: Okay. So the next question is coming to our recent sharehold

ing increase in one of our

subsidiaries, right? So is that already included as part of the Q2? Or will that be effective from

Q3? Change in the shareholding of EMF?

Krishnakumar Srinivasan: Yes, yes. It is already in effect . We had to raise capital primarily for further investments. So, you can see that we are continuing to invest, and we are continuing to grow that franchise. And we have good customers in the list.

Pranay: Yes. So in that front, sir, is that going forward, do you see a meaningful chunk of our revenue coming from those non- piston segments going forward? Is that how we are planning?

Krishnakumar Srinivasan: Non-piston segment as it is a very sizable size now with our 2 plastics business and also our EV segment. So it's already a very sizable business.

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Pranay: Yes, yes. So I'm talking about the future growth. Is that a high-growth sector compared to our piston segment ?

Krishnakumar Srinivasan: All the segments are really good, including our legacy business. And as I said, in all the businesses, - we have outgrown the end markets. So what is important is to continue to outgrow the end markets. Overall, as a group, consolidated, we are over 3x of the end markets.

Moderator: Due to time constraints, that was the last question. I would now like to hand the conference over to Mr. Krishnakumar for closing comments. Over to you, sir.

Krishnakumar Srinivasan: Yes. Thank you, Shruti. Again, once again, a good set of questions. I think I really appreciate you putting so much of efforts in asking the questions. there is a possibility that we have not been able to reply to all the questions.

I request you to please kindly send your questions to our secretarial department. We will ensure that we'll send you the reply personally and ensure that you are satisfied with whatever questions you have in mind. So, I understand this time constraint, but any kind of questions if you have, please do ask us directly also.

We sincerely thank once again everyone who has joined today's earnings call and your active participation has greatly enriched the whole discussion today. Our focus remains on achieving our strategic goals, and we are really committed to driving sustained positive results.

And as I said, if you have any further queries, please do reach us either through our Investor

Relations team at Ernst & Young or directly to the company. On behalf of the company, I again appreciate you taking out this time, and we deeply appreciate your engagement. Thank you. Take care and goodbye.

Moderator: Thank you. On behalf of Shriram Pistons & Rings Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. Some minor editing may have been done for better readability. In case of discrepancy, the audio recordings uploaded on the stock exchange on 07th November 2025 will prevail.

Call: Feb 2026

February 7 , 2026

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Plot No.C/1, G Block
Bandra- Kurla Complex
Bandra (East), Mumbai 400051
NSE Symbol : SHRIPISTON BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400001
BSE Scrip code : 544344

Sub: Transcript s of the "Earnings Conference Call" - Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations")

Dear Madam/Sir,

With reference to the captioned matter and in furtherance to our earlier intimation letter s dated January 27, 2026, February 2, 2026 and February 3, 2026 regarding the schedule, investor presentation , press release and Audio Recordings of the "Earnings Conference Call" of Shriram Pistons & Rings Limited ('Company') and in compliance with Regulation 30(6) read with Schedule III and other applicable provisions of the SEBI Listing Regulations, please find enclosed the t ranscript s of the "Earnings Conference Call " on the Un-Audited Financial Results for the quarter and nine months ended December 31, 2025, held on Tuesday, February 3, 2026 at 4 :00 p.m. (IST).

The above information is also available on the Company's website and can be accessed at <https://shrirampistons.com> .

Kindly take the above information on record and treat this as compliance with SEBI List ing Regulations.

Thanking you.

Yours faithfully,

For Shriram Pistons & Rings Limited

(Pankaj Gupta)
Company Secretary & Compliance Officer

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"Shriram Pistons & Rings Limited
Q3 & 9 M FY '2 6 Earnings Conference Call "
February 03, 202 6

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ANAGEMENT : MR. KRISHNAKUMAR SRINIVASAN – MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. PREM RATHI – EXECUTIVE DIRECTOR AND CHIEF
FINANCIAL OFFICER
MR. PANKAJ GUPTA – DEPUTY EXECUTIVE DIRECTOR ,
HEAD LEGAL AND COMPANY SECRETARY

Moderator: Ladies and gentlemen, good day, and welcome to Shriram Pistons & Rings Limited Q3 and 9 Months FY '26 Earnings Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

Today, from the management, we have with us: Mr. Krishnakumar Srinivasan, Managing Director and Chief Executive Officer; Mr. Prem Rathi, Executive Director and Chief Financial Officer; and Mr. Pankaj Gupta, Deputy Executive Director, Head, Legal and Company Secretary.

Before we begin, let me remind you that this discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It may be viewed in conjunction with the business risks that could cause future results, performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

I now hand the conference over to Mr. Krishnakumar for his opening remarks, post which we will open the floor for an interactive Q&A session. Thank you, and over to you, sir.

Krishnakumar Srinivasan: Thank you, Bhumi. Good evening, everyone, and thank you for joining us on this earnings call. I appreciate the time taken by you all to be with us today, and I'm pleased to walk you through our Q3 & 9M FY '26 performance, progress on our strategic initiatives and the overall direction of the company.

Q3 FY '26 has been an eventful quarter for the company as we delivered the highest ever total income in a quarter, along with the successful completion of SPRL's 100% acquisition of Grupo Antolin's three Indian entities and many other important milestones.

SPRL reported a 21% year-on-year growth in consolidated total income during Q3 FY '26, supported by a strong broad-based demand across all segments as the auto industry witnessed a very strong operating environment and reported record production and sales volumes during the quarter.

Sales in passenger vehicle and commercial vehicle segments grew by more than 20% year-on-year, while 2-wheeler segments grew by almost 17% and 3-wheeler segments grew by 14% year-on-year.

This growth has been driven by various macroeconomic factors like the implementation of GST 2.0 reforms, which improved affordability for end customers, along with successful repo rate cuts by RBI, which eased the financing costs, along with one of the strongest festive seasons this year. This broad-based growth was also observed in the production volumes as the total production grew by 17% year-on-year in Q3 FY '26.

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Consolidated EBITDA also witnessed a very strong growth of 21% year-on-year in Q3 FY '26.

This growth in profitability was driven by improved operating leverage and the company's continuous focus on productivity, cost optimization and operational efficiency.

Over the past few quarters, we have made steady progress in strengthening our manufacturing systems, enhancing automation and improving throughput, all of which are now contributing positively to our profitability. The actions taken in all the subsidiaries have also given very good results with all of them performing exceedingly well.

The consolidated PBT before exceptional items grew by 22% year-on-year. During the quarter, of course, there was a nonrecurring exceptional expense of Rs. 252 million pertaining to the statutory impact of the new Labour Codes introduced by the government in November 2025. Still, our PBT after exceptional items, grew by 6.4% year-on-year in Q3 FY '26.

Durin

g the 9M FY '26 period also, we reported a robust performance as our consolidated total income grew by 16.8% year-on-year. And despite the onetime exceptional expense, we were able to achieve a strong 10.6% year-on-year growth in the bottom line.

A key strategic milestone and an important highlight for the company is the 100% acquisition of the Grupo Antolin's three Indian entities, namely: Antolin Lighting India Private Limited, Grupo Antolin India Private Limited and Grupo Antolin Chakan Private Limited, which are the leading providers of automotive interior and electronic lighting solutions in India.

This acquisition marks a significant step in our long-term growth strategy and represents a meaningful diversification beyond the legacy business. With the successful closure of this acquisition, SPRL has become a well-diversified and a multiproduct organization, thereby

derisking its business model.

Antolin manufactures products such as headliner substrates, modular headliners, sunvisors, door panels, door trims, central floor consoles, dome lamps, ambient lighting, touch panels and

electronic capacitive pads for major OEMs across the country, including Tata Motors, Mahindra & Mahindra, Volkswagen India, Toyota, Hyundai, Renault and others.

By entering the automotive interiors and lighting space, we significantly expand our addressable market and enhance our ability to offer diversified and integrated product solutions to our customers. The transaction was completed in the first week of January 2026 at an enterprise value of EUR159 million or INR16,700 million approximately on a debt-free cash-free basis.

We believe this acquisition positions SPRL on a strong growth trajectory by complementing our existing strengths with new capabilities, technologies and customer touchpoints. The integration of these companies will enhance SPRL's financial performance and strengthen its position in the overall market.

Post the consolidation of Antolin India operations within SPRL, the overall sales revenue of the powertrain-agnostic products would increase to over 35% of the consolidated revenue, including previous acquisitions of TGPEL, Takahata and EMFI.

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Alongside this strategic expansion, we continue to invest in the legacy business of pistons, piston pins, piston rings and engine valves through capacity expansion, asset modernization and automation.

This includes the signing of an asset purchase agreement with Sunbeam Lightweighting Solutions Private Limited, a wholly-owned subsidiary of Craftsman Automation Limited, to acquire piston manufacturing lines and related machinery and assets for a total consideration of INR280 million. The first tranche of this agreement was concluded during the quarter.

To further strengthen our supply chain, we inaugurated our state-of-the-art assembly center at Bhora Kalan, Gurugram in November 2025. I'm also very happy to state that in November 2025, as committed earlier, we have inaugurated the state-of-the-art world-class facility at Coimbatore for manufacturing of motors and controllers, and the manufacturing has already started from there.

These initiatives are focused on improving efficiency, ensuring consistent quality and strengthening delivery performance to all our customers. Our diversified customer base across geographies and vehicle segments continues to provide resilience and stability to our business model.

I would now like to take a moment to highlight a significant milestone for our company. As many of you are aware, I have been discussing our strategy to diversify our business, and I'm proud to say that we have been consistently making significant strides in this direction. Being a multiproduct organization, it has also become necessary for the name of the organization to represent the multiproduct domain that it works in.

We believe that we are now at a pivotal inflection point in our journey; and as a part of this evolution, we have proposed a change of name of the company from Shriram Pistons & Rings Limited to SPR Auto Technologies Limited, subject to receipt of all necessary approvals from shareholders and government authorities.

This change clearly reflects our commitment to enhancing our business activities in the automotive domain and expanding our operations while staying true to our focus for newer technologies. This name change will also ensure that while we diversify into different areas, we will continue to stay focused on our legacy products and also grow our business in the other powertrain-agnostic products. I'm sure that this move will be very highly value-accretive to all our stakeholders.

While the company is consistently growing, it has also followed a policy of rewarding its shareholders throughout the years by the way of dividends. In line with this, the Board has approved an interim dividend at 50% of face value, that is INR 5 per equity share, during the meeting held yesterday. Going forward, we expect the overall atmosphere in the auto industry to be very buoyant, thanks to the GST reforms, and the recently announced trade agreements with Europe and US.

The Union Budget '26-'27 also strikes a very constructive and forward-looking note for India's automotive manufacturing and electric mobility ecosystem, balancing the near-term demand

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supports with long-term supply chain reforms. The focus on rare earth mining and building

infrastructure is going to further strengthen the demands in the auto industry.

Looking forward, we'll continue to maintain a strategic and growth-oriented approach. We are focused on diversifying our business model and expanding our portfolio and have a clear strategic roadmap to ensure sustained growth momentum for the company. This will be well supported by strong tailwinds in the Indian automotive industry with macroeconomic factors showing positive outlook for the industry.

From a financial standpoint, we, of course, remain focused on maintaining a strong balance sheet, prudent working capital management and healthy cash flows. We remain confident in our strategy and execution capabilities and are excited with the opportunities that lay ahead of us.

I once again extend my heartfelt appreciation to all our employees for their dedication and commitment, to our customers for their continued trust, and to all our shareholders for their unwavering support. Together, we will continue to build a strong, innovative and sustainable SPR.

Thank you once again for joining us today. We'll now be very happy to take your questions. Thank you once again.

Moderator: The first question comes from the line of Chirag Jain from Emkay Global.

Chirag Jain: Congratulations once again for a very strong quarter. Sir, just wanted your thoughts in terms of outlook for fourth quarter and probably next financial year. We have seen a sustained demand momentum and wholesale numbers in the automotive industry across categories for January, and even the outlook seems to be quite strong, based on the OEM commentary. So just your thoughts in terms of the stand-alone operations for the core business?

And also, maybe if you can touch upon the individual subsidiaries. So, now they are almost 35% of our overall revenues. How do we see those individual subsidiaries in terms of their growth outlook for, let's say, 2, 3 years' standpoint? That also would be very helpful.

Krishnakumar Srinivasan: Yes. Thanks, Chirag. First and foremost, as I said in my address just now that the overall automotive segment is seeing a very good growth last quarter, and we expect this growth momentum to continue this coming quarter. And this quarter also, all the indications are quite buoyant, and we expect

that we should be breaking records month after month.

And the same thing is there continuing in all the subsidiaries also because most of the subsidiaries are all linked to the automotive business. And so obviously, they also have excellent outlook for the next quarter.

We expect that the precision plastics business, both at Takahata as well as with TGPEL should be doing extremely well.

We have, by the way, also moved our production to the new locations in Coimbatore for our electric motor and controller manufacturing. And I'm very happy to state that we are hitting records almost every month in terms of our output there and increasing our overall sales. And Shriram Pistons & Rings Limited

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if everything goes well, we expect to continue this in the coming quarter. And in the long-term also, we expect it to be really doing well.

And also, happy to state that post closure of the Antolin M&A takeover, we have had our initial meetings and all the figures look extremely positive. And we are seeing that they also are breaking all various records that they have done earlier to be beating the numbers in this quarter. And hopefully, this will continue this quarter.

And we are also, in the long-term, also seeing many new programs on which they're working with their customers, which is a very, very healthy sign in terms of the overall growth that we see for this business. So overall, I must say that our plastics business will do extremely well. Our Interiors business will do well, the Electronics Lighting division, the capacitive touch panels doing extremely well. And lastly, of course, our legacy business doing extremely well in the coming year. So hopefully, fingers crossed, I'm hoping that - this run will continue for some time.

Chirag Jain: Thank you, sir. Sir, if you can elaborate in terms of the actions undertaken in various subsidiaries, I think you did touch upon. Just to understand as to what kind of initiatives we typically take when we acquire a company.

And also, with this reference to Antolin, while obviously it's still a bit early days, but still maybe a few plans that you plan to undertake in terms of accelerating growth and probably improving profitability, that would be quite helpful.

Krishnakumar Srinivasan: Yes. Chirag, frankly, we do a number of initiatives, thanks to the number of M&As that we have done over the last 5 years. We have a set kind of a rule book by means of which we ensure that not only we focus on the core areas; we also bring in a lot of agility in the organization in terms of execution capabilities and also build on various growth programs that most of these companies are working on.

We have continued this style with all our subsidiaries so far, and we plan to continue this also for Antolin. And frankly, all the Antolin group companies, the kind of growth initiatives that

they are working on looks extremely exciting. What it needs is speed of execution with all our customers, and that is what we are going to focus on.

While focusing, of course, on technological and digitization and other areas that we want to improve with regards to bringing in more focus in terms of improving the output and improving the agility in the organization.

Chirag Jain: Okay. Sir, just last thing and then I'll come back in the queue. In terms of the current capacity across businesses, and any expansion plans or capex plans, probably if you can share?

Krishnakumar Srinivasan: Frankly, that was one of the major reasons, looking at the kind of volumes that we were growing and looking at all the schedules that we are getting from our customers, we thought that we might be a little bit stretched on our piston manufacturing.

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And hence, one of the very important initiatives that we took was to do this asset purchase agreement with Sunbeam, and thereby getting their piston manufacturing lines. And thanks to that, we have now fairly good capacities available, and we can scale up very fast.

And most of the other places, we have put in all required capacity expansion to be able to take care of all the requirements of expansion that we see in the coming at least 2 quarters plus more.

Moderator: Our next question comes from the line of Radha from B&K Securities.

Radha: Sir, the FY '25 annual report mentions that the company has taken steps to phase out low-margin and nonstrategic product lines, reallocating resources to high-margin value-added product lines. Sir, please help us understand which products are we talking about? What changes have we made? And what kind of delta in margins was achieved through this?

Krishnakumar Srinivasan: Yes. So thank you, Radha, for this question. And frankly, I must say that this exercise we started almost 5 years back. And we started screening all our leakers and bleeders, as we call it, in the company. And we ensured that we work on 2 ways.

One is, of course, going back to the customers to see if we can get some improved prices. And for areas where we were getting priced out because of our competition being on a much lower price targets, we decided to actually exit those businesses.

And a number of businesses we have actually done that in the past to be able to ensure that we are meeting our targets on profitability. And I'm very happy to state that all the improvements that you see over the last 5 years in terms of the margin improvements have actually come that way.

Now this is not something that we'll continue to look at leakers and bleeders. But frankly, we have, more or less, now covered most of that. And you'll see that there is some kind of consistency that is coming in our profitability achievements.

And that is what is extremely good that even with all the new expansion areas that we are working on with extra efforts that we are putting on the new expansion areas, including some of the money that we are spending for due diligence and others, we are still able to maintain all our margin targets in terms of maintaining the margins. And that's a very healthy sign, and we expect to continue that way.

Radha: Sir, since you mentioned that this exercise was started 5 years back, so I believe that you're talking about the legacy business where all these exercise was taken. So there, how do you differentiate between low-margin products and high-margin products?

Krishnakumar Srinivasan: So it's a very detailed exercise that we do in terms of overall part profitability. And we have very detailed internal benchmarks. And based on that, there is a profitability working for all the SKU sizes that we manufacture. And when we compare that, we are able to easily make out which are the ones which are the bleeders for us and probably take required actions.

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Radha: And so, is it fair to understand that 2-wheelers would be considered lower margin as compared to PVs for the legacy products? Or this is not a correct understanding?

Krishnakumar Srinivasan: No, no, no, not at all. It is on the product line basis. It has got nothing to do with the 2-wheeler industry or 3-wheeler. There are some 2-wheeler industry where we probably get some of the best margins. So, there is no such thing, distinction coming out of industry segmentation. It is coming purely from a product segmentation. So what happens normally is you have to focus on the product manufacturing strategies and be able to meet the requirements of the products.

There are also some products, and believe me, in 2-wheelers, some of the best technologies we have to give today to the 2-wheeler industry in terms of meeting not only the Euro 6 norms, but also meeting the required targets in the

rms of fuel efficiency and others, like some of the

coatings on the rings, some of the coatings on both the top and the middle ring as well as the bottom ring. So there are multiple technologies which goes into this. So, we work on all those technologies.

Radha: So sir, within the legacy business, in case there is a product mix change towards 4-wheelers compared to 2-wheelers, that would have no impact on the margins?

Krishnakumar Srinivasan: Frankly, we were thinking that this is what will happen because of the introduction of EVs and 2-wheelers. But frankly, I must say that both the 2-wheeler legacy business as well as the 4-wheeler legacy business have actually grown in numbers. And even though the penetration is going on, on the EV side, we find that there is also a huge requirement in terms of the CNG vehicles and new vehicles that are coming in even in the legacy business. So legacy business is actually also growing very fantastically.

Radha: Yes, sir, I understand the growth part. But what I want to understand is, in case there is a change in product mix, within the legacy business, will there be any fluctuation in margins because of that?

Krishnakumar Srinivasan: Well, the product margins could vary, but I don't expect any major change to happen at a company level because we expect that we have brought in a lot of fungibility on our lines, and we are very confident that we can still meet all the demands based on the actions that we have taken in terms of making the 2-wheeler, 4-wheeler pistons on multiple lines.

Radha: Sir, fungibility you mean the within the same product line s, 2-wheeler?

Krishnakumar Srinivasan: Yes, yes.

Moderator: Our next question comes from the line of Anubhav from Prescient Capital.

Anubhav: Sir, my first question is that if we look at your stand-alone revenue growth, it is slightly lower than what you shared for the overall auto industry production or sales volume. So can you share some colour on that?

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Krishnakumar Srinivasan: Yes. Basically, see, you must realize this that on the legacy business, on the stand-alone numbers, the actual industry started picking up only post mid-October. In fact, I would put it only from November and December, actually. October was more or less remaining almost at the levels of August and September, primarily because there was too much of capacity build-up or there was too much of volume build-up that was done by the OEMs.

As a result, what happened was, all the sale points, the volumes were quite high. So the production was still kept at a lower level, thinking that people wanted to really understand what will happen with regards to the volumes, how it will go up.

Once it started picking up in November, that is the time when actually the OEMs actually started and October also had Diwali holidays and all that. So mid-November is what the volumes actually picked up and December also the volumes were there. But still, in December, some of the OEMs also take what is called as their annual shutdown to do all various preventive maintenance on the machines.

So as a result, what happens is, normally November and December, if you see all our previous quarters, November and December are always the lowest production, primarily because of Diwali is normally peaking and then November, December goes down. And then December, you have this thing.

But fortunately, for us, this time, that has not happened. Actually, quarter-on-quarter, we are seeing a growth and a healthy growth. And so on the production volume, the volumes have started picking up only in December. So if you take that entire effect for the quarter, we see that the effect is only slightly on a lower side as compared to the other actions being taken on all the other subsidiaries, where it is more of Tier 1 supplies.

Anubhav: Okay, sir. And sir, for

the subsidiaries in the consolidated revenue, did we see any contribution from the Grupo Antolin entities?

Krishnakumar Srinivasan: No, no, no. The Grupo Antolin entity, the whole this thing was completed only on the 8th of Jan. So nothing from Grupo Antolin is added in these numbers.

Anubhav: Okay, sir. And sir, it seems like the combined revenue of the subsidiaries has shown a very strong growth, like doubled year-on-year. So for each of these two businesses, like the electric motors and controllers and for the precision plastic molded parts, can you share some colour on what's driving such strong growth, like whether it is new client addition or increasing wallet share? That will be very helpful.

Krishnakumar Srinivasan: Yes. For our plastics business, we have had, number one, increase in volumes coming out of the OEMs. Number two, we have been able to win some new businesses in both Takahata and TGPEL, which has really helped us to increase the sales.

Number three, the overall Tier 1 requirements have actually gone up because of the requirements from the customers. So that has really helped us to increase the volumes in both these companies. In electric motors and controllers, we have won new businesses. We have

increased volumes with our existing customers, and we have done massive improvements in terms of the number of motors that we are manufacturing.

Moving on to the new plant has really helped us to scale up our output, and we achieved some of the best outputs both in November and December. So it has been a good story in electric motors and controllers also. So all these three companies put together really helped us on the subsidiary side.

Anubhav: Get that. And sir, for electric motors and controllers, are we catering to all EV segments like 2-wheelers, 3-wheelers and cars?

Krishnakumar Srinivasan: Yes. We make motors right from 1.5 kilowatts right up to 250 kilowatts. And we are also now venturing to another 300-kilowatt platform that we have recently won. So there are a number of programs on which we are working. So we make all kinds of motors. We make hub motors as well as mid-drive motors. We have both the motor lines, we have multiple motor lines now in the new plant.

And we have multiple lines for making the controllers, including a fair amount of localization has happened in the controllers side also, thereby helping us to maintain our margins as well as bring in the localization level that is required for getting the ICAT approvals.

Anubhav: Good. And sir, last question from my side is like can you share some colour on how exports have done for us in this quarter as well as for the 9 months?

Krishnakumar Srinivasan: Yes. Exports also have done quite well, even with a very tough and a very difficult geopolitical situation that was existing till around a week back. I think, up to December, it was a very, very tough kind of a market situation. But our teams have done well to get newer markets, work on newer programs, work on newer areas, thereby helping us to actually improve our sales. And frankly, we have actually increased our sales as compared to last year.

Anubhav: Okay. And sir, just a follow-up question. So North America is a small contributor to our exports compared to Europe and all. So are we focusing especially on increasing that share, especially given now? I understand it's a very temporary phenomena, but the tariffs are also conducive now.

Krishnakumar Srinivasan: In fact, in North America, we have won some very good businesses, new businesses that we have won recently. And with the tariff situation now, I think it should only help us to further go up. So the quantities will certainly increase to America.

Moderator: Our next question comes from the line of Divyansh Gupta from Latent PMS.

Divyansh Gupta: Sir, first question on the

Craftsman acquisition. Does it only bring us capacity? Or does it also bring us some products or business that we were not catering earlier?

Krishnakumar Srinivasan: Yes, it does both.

Divyansh Gupta: It does both. Got it. Understood. And sir, only from a top line perspective, is the following understanding correct that December '24 didn't include revenue contribution from TGPEL?

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Krishnakumar Srinivasan: Yes, a small part was included, but majorly, it was not included.

Divyansh Gupta: Got it. So if I build on this and - whatever has been covered in the call, so TGPEL, a very small number was done. EMFI was operating on a small base. Now this quarter, we have scaled it up and we have also increased export sales. So if I combine all these 3 points.

Krishnakumar Srinivasan: And increased sales in Takahata.

Divyansh Gupta: And Takahata as well. No, Takahata is still in December '24 base, right? So therefore, I'm trying to see that what has?

Krishnakumar Srinivasan: All of them except the TGPEL was there in the December base of last year.

Divyansh Gupta: Yes. So I'm saying that we showed a 20% revenue growth. But if I remove the EMFI scale-up, export scale-up and TGPEL, which is now in December '25, then a 20% revenue growth against a 17% production volume growth. That number seems that we might have lost some business. Am I missing something or, let's say, lower specification start to hold on it?

Krishnakumar Srinivasan: No. That's not the way to be done. In overall, even for the auto numbers, when we say the overall 17%, the 17% was primarily for the 2-wheeler and the 4-wheeler segment. If I include commercial vehicles and all, it comes down to as low as around 12% to 13%. So if we look at the overall business that we do, it is still very accretive. I don't think we have lost any business.

Moderator: Our next question comes from the line of Harsh Shah from Seven Rivers Holding.

Harsh Shah: Sir, can you give us the breakup in terms of what was the growth in OEM aftermarket and export business?

Krishnakumar Srinivasan: Yes. So, all segments of our business have actually really grown well. So we don't give individual segment-wise detail, obviously, because our competition is tracking us very, very

closely and very, very diligently. So, we have to be very careful. But at the same time, I want to highlight that our aftermarket business has done some record sales in some of the months, and it has actually done very well. Exports have grown quite well. Our domestic markets have grown quite well. And product-wise, all product segments have grown very well.

Harsh Shah: So sir, if I only have to look at your stand-alone business, the legacy business, say, for next 4 to 5 years, then should we take your growth at par with the industry growth? Whatever the OEM industry growth would be there, our growth would be similar to that?

Krishnakumar Srinivasan: Yes, we have a sizable share in the market. So there is no reason why we should not take that we will grow at the level of the market growth.

Harsh Shah: So sir, in stand-alone business, what can bring in the incremental growth? Because I mean, if we look at the industry report, the OEM industry is expected to grow at 6% to 7% for next 5 years. Then what can get us that incremental 4% or 5% growth to reach 10%, 12% growth for our legacy business?

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Krishnakumar Srinivasan: Harsh, there are multiple areas on which we can actually grow. Number one is newer products, newer product range in the exports market. We are having newer segments of the market on which we are working. As I said I think, last couple of calls, I have said that we have entered into marine applications, snowmobile applications, et cetera, et cetera, so which has really helped us get

new business.

Then we have also been very successful in penetrating the Indian aftermarket. And as I said, we are catering to hardly though we are amongst the biggest as far as the aftermarket is concerned in our category of products that we make, but we still cater to a fairly, I should say, good amount of segments which we can increase, thereby increasing our market share. So there's a huge scope for us to improve the market share there.

Harsh Shah: Okay. And sir, how do you look at this recent FTA signed by India with Europe and U.S. I mean, because export is a significant chunk of our stand-alone business, almost 18%, 20%? I think in few of your last calls, you had explicitly mentioned that while your competitors want to shy away from the ICE business, you want to double down into this segment. So with this FTA signed now or almost on the verge of being signed and tariff being conducive for us, do you look at export as a key driver for your growth?

Krishnakumar Srinivasan: Well, I didn't last time say that I will double down on this legacy business, but I did say that I will be the last man standing. So I want to continue that, and in fact, I'm happy to state that, with all the new businesses that we are winning, and you can see that we are investing into our legacy business also.

So as a result, our investments into both our legacy business as well as the new business plus the new takeovers will continue so that we can grow the franchise. Now coming to the effect of the free trade agreement between India and Europe, I think there are a lot of possibilities where we can actually support the requirements in Europe.

And this really positions us quite well with some of the Chinese manufacturers who are exporting into Europe and thereby helping us to actually win some of the businesses there. And overall, looking at the geopolitical situation, India is certainly preferred.

Harsh Shah: Okay. And sir, just one last bookkeeping question on the INR1,000 crore NCD raise, if you can clarify on that. I mean what would be the tenure of these NCDs, when you would be planning to repay it?

Krishnakumar Srinivasan: The tenure is for 2 years, and we plan to take it in 2 tranches. And we plan to pay off as soon as possible.

Moderator: Our next question comes from the line of Viraj from SI MPL.

Viraj: Just a couple of questions. First is, sir, just wanted to understand on the stand-alone piece a little bit better. You said the aftermarket, we have seen a record sales. Export also seen a healthy growth. So if I deduct that 12%, if I take a qualitative view, then somewhere the growth in the standalone seems to have lagged compared to the production run rate we've seen

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across segments in the industry. So just trying to understand, has there been any loss of share or any colour you can give?

Krishnakumar Srinivasan: No, I think, I answered this question. Number one, let me reemphasize and state it very clearly, we have lost not a single share, not even 1% share, to any of our competitors. Number two, we have, in fact, grown our market share in almost all segments of the business. Number three is, the production volumes as compared to the sales volumes are lower.

The sales volumes were higher because the stock positions were extremely high as of

beginning of October for the finished vehicles, both in the 2-wheeler as well as in the 4 - wheeler industry. As a result, the OEMs have not produced at the manner at which they would have produced if the stocks were not there. Number four is, as far as we are concerned, all segments of our business, whether it is OEM, whether it is aftermarket, whether it is exports, everything has grown as compared to the previous quarter.

Viraj : Okay. I mean, I was referring to the production numbers only for the industry, which we get from SIAM.

Krishnakumar Srin

vasan: One minute. You must also keep in mind one thing that even within the segmentation of the OEM business, while the numbers will look on the higher side, you must also keep in mind that it is actually the small cars which are doing well. And the small cars, the value is certainly going to be lower than the mix that we had earlier for the big cars.

So actually, the GST advantage is seen more on the small cars and most of the OEMs have actually shifted to making more of small cars and selling it. And as a result, the numbers are looking like this . But overall, if you see the value of the product that goes into the small car is also lower as compared to the value that goes in the big car.

Viraj : Okay. Can you give a growth trend which you have seen either for the quarter or 9 months in each of the segment in standalone?

Krishnakumar Srinivasan: No, we don't give that. Overall, you have to see that even with the change in the product mix, we have been able to maintain our margins.

Viraj: Right, which is what I was coming to. Second question was, on the gross margin in the standalone business, we've seen a trend. I think in this quarter, you've seen that it's moderating from 61% last year to around 58%. So I think in last quarter, we alluded that the aftermarket and the export piece was weak and hence, the margins moderated year -on-year basis. So even this quarter, we have seen something similar despite the aftermarket and export recovering and growing at a good rate ?

Krishnakumar Srinivasan: No, we have more or less maintained the overall mix, as I stated. And if you really see some of the businesses in aftermarket as well as in exports have actually grown. So, it is the effect of the gross margin that you see is primarily because of the mix, which I stated earlier.

Moderator: Our next question comes from the line of Raman KV from Sequent Investments.

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Raman KV : Sir, my first question is on the piston side. Pistons, including piston rings and piston pins. Can you give us a ballpark figure of what percentage of the total sale is pistons? One is that. And the follow-up on that is post-acquisition of Craftsman's piston business, how much on a percentage-wise is your piston capacity increased?

Krishnakumar Srinivasan: First and foremost, we normally do not give these percentages , but what is important to state here is that we have now sufficient capacities to meet the increased demand.

Raman KV: Understood. And second question on the Grupo Antolin business, what was the integration cost with respect to this? And how much of that has been taken during this quarter?

Krishnakumar Srinivasan: No. So again, we don't give sub- elements of our cost parametric anywhere , but whatever was there has been considered, and we have already cleared it. So the overall integration has already happened, and we have already taken over management control. And we have started working in our style, the way we normally do with all the other takeovers that we have done so far.

Raman KV: Understood, sir. And sir, last question on the part of NCDs, we have raised INR 1,000 crores. I mean, is this for the working capital? Or is it for an acquisition-related fund raise?

Krishnakumar Srinivasan: It's primarily acquisition-related. We don't require any capital. The company is self-sufficient to stand on its own leg. Company is doing extremely well. There is no reason for us to raise any more capital required for working capital, et cetera, in that company.

Raman KV : And the tenure of NCD is 2 years, right?

Krishnakumar Srinivasan: Yes, the NCD is for 2 years.

Raman KV: And at what rate have we raised these NCDs?

Krishnakumar Srinivasan: See, we have raised it at very competitive rates, and we don't normally give the percentage here.

Moderator: The next question comes from the line of Mehul Panjua

ni from 40 Cents.

Mehul Panjuani : Congratulations on a great set of numbers. Sir, I'm referring to Slide #22 in your presentation. I can see the subsidiaries are listed for our company. So can you throw some light on how have we classified the subsidiaries? I mean, is it based on business products or is it like the size of the subsidiary or? And also if you can? Yes, go ahead.

Krishnakumar Srinivasan: Yes, as you can see, it is based on the shareholding and there is no such any other specificity with which we have listed that, whether it's a 100% subsidiary on SPRL, whether it's 100% subsidiary on SEL.

Mehul Panjuani : Sir, what would be the revenue contribution from each of these subsidiaries?

Krishnakumar Srinivasan: As I said, we don't give those breakups. And you can see the annual accounts, yes.
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Mehul Panjuani : And sir, so I can see Antolin those are two new subsidiaries. But apart from that, we have SPR Engenious. So Engenious is completely dedicated to electric vehicles?

Krishnakumar Srinivasan: No. SPR Engenious Limited has got three companies under its fold. One is the SPR Takahata, we have a 62% stake there, and SPR EMFI with a 73% stake, and SPR TGPEL with a 100% stake. And apart from that, SEL in itself has its own production centre, which is at Pithampur.

Mehul Panjuani : I just want to know about the legacy business. So when we say legacy business, which are the products which come in legacy because I'm new to this company. Yes.

Krishnakumar Srinivasan: Okay. So you're new to this. Okay. It is basically our pistons, rings. If you go to our core product picture, all the pictures that we put in . See Slide number 28, we have written very clearly what is the legacy product, like pistons, piston rings, piston pins, engines, engine valves and piston rings. Now mostly, when I say legacy product, it doesn't mean the product is an old product or a design is an old design. It only means that just to give a clear classification, we call it as legacy product because those were the legacy business with which Shriram Pistons actually started.

Now frankly, technologies that we have on these products are unbelievable technologies , which are the most recent ones like the thin -walled pistons, pistons with very special coating. We do multiple coating on our pins also.

We do multiple coatings on the rings to enable that we get the least friction in the vehicle, and thereby giving the best performance for our customers, both for needs of the Euro 6 requirements as well as also for the needs of improving fuel efficiency.

Moderator: Our next question comes from the line of Ronak from Awriga Capital Advisors LLP.

Ronak : This is Ronak. Sir, my question was on exports. You really have been talking about what is happening globally in terms of capacities being getting tipped . Sir, just to know your views in the opportunity, do you see for SPR to tattoo some of these new programs, which are starting or probably are starting now? And which are the sub segments you would be most excited within that? If you could talk about that?

Krishnakumar Srinivasan: Yes. Actually, in exports, we are finding that some of the legacy players are actually vacating capacities, which is helping us. But there are many of the OE customers have to actually go through the overall validation cycles are quite long, and it takes some time. But our exports have been growing quite well.

And all the programs that we are actually working on is also quite good in terms of the number of programs and the number of new programs. So most of our program managers are really very busy managing those new programs. So that's point number one.

Point number two, as far as the kind of products that are getting interested in the market, I think we have fairly good inquiries, including inquiries for our electric motors and control

lers,

which we are working on. There are some export requirements, which we have already given
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samples, and they are under validation and testing. So it's a very interesting phase now. We are quite excited with all the opportunities that are in front of us.

Ronak: Sir, can you just quantify the amount of depreciation, which the company will take in an absolute amount for next year, given that you've made a large acquisition this year?

Krishnakumar Srinivasan: The large acquisition that we have done does not stop us from making more acquisitions. So please be clear. I think we are still fairly underleveraged, and I think we can do much more. And there is no reason for us to assume that we'll stop here.

Ronak: Understood, sir. But could you quantify the depreciation amount, sir?

Krishnakumar Srinivasan: We normally do not do that. But you can easily take that all the depreciation amounts that have been going on so far, more or less will have to be maintained to maintain the kind of growth trajectories that we are seeing ahead of us.

Moderator: Our next question comes from the line of Karan Gupta from ACMIL .

Karan Gupta : Yes. So subsidiary part, as you mentioned, 35% contributing. So that we are assuming all since you've mentioned, Takahata, TGPEL and EMFI, right, contributing 35%?

Krishnakumar Srinivasan: And Antolin also.

Karan Gupta: Antolin also. So can you share some bit on growth part that these 35% of piece over the next 1 or 2 years, any growth guidance on that? How much it is growing and what's the margin of this piece? Currently, 20 to 25 range.

Krishnakumar Srinivasan: Yes, Karan. No, no. Karan, you can easily see that all our segments are in the automotive domain, okay? So every segment will be more or less growing with regards to the kind of

automotive market that we see. And the automotive market growth is now clearly seen by most of the people. There are also good forecasts available through IHS and others, which you can take those numbers.

And what is important is, apart from that, we are also working on a number of areas to actually penetrate sales deeper into the aftermarket as well as increase our sales in the exports, which will continue. So that's going to be more accretive to the kind of growth targets that we have. Most of the times, if you have seen earlier, we have actually outgrown the segment.

Karan Gupta: Okay. So the margin expansion we have seen is largely, as of now, because of aftermarket and export side? And so, going forward, these subsidiaries will contribute?

Krishnakumar Srinivasan: No, no, no. I think this assumption is completely not correct. And the margin expansion is there across all our segments of business.

Karan Gupta: I'm saying, except ICE business

Krishnakumar Srinivasan: No. See, we have actually grown in all segments of the business.

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Moderator: Our next question is from the line of Harsh, an Individual Investor.

Harsh: So I just wanted to clarify something. In terms of our raw material prices, you mentioned that we have back-ended contracts with our customers. So the pass-through, what is the transmission of the raw material increased pass-through? Is it with a lag? Or does it happen automatically?

Krishnakumar Srinivasan: No, it has normally a lag because we also carry inventories in the pipeline. So in most of the cases, it is a lag which is of 1 quarter.

Harsh: Okay. The lag on 1 quarter? Okay. That's it. Thank you.

Moderator: Next, we have a follow-up question from Radha from B&K Securities.

Radha: Sir, in your legacy business, if we consider only the 2-wheeler and 4-wheeler market, that is excluding the marine and snowmobile, etcetera, if your current base of market share is X percentage, then how much can this be

increased in your opinion in the next few years from India?

Krishnakumar Srinivasan: Yes. But in our legacy business, we have 2-wheelers, we have 4-wheelers, we have CV businesses, we have industrial engines, that is all the industrial gensets. Then we have snowmobiles, we have marine engines, we have railway engines, all of them. And what happens is some segment of the business, if it goes down, the other segment is going up.

So we have seen, over the last 5 years, even when the market was growing at around 3%, 4%, 5%, we were actually growing at around 10%. And we have more or less maintained the trajectory, even if you see this year, I expect at least 12% and above growth and even though the industry will end up with something like around 8%. So we are outgrowing the market in all segments, including the 2-wheeler as well as the 4-wheeler.

Radha: So how much is non-auto in the legacy business?

Krishnakumar Srinivasan: Yes, it's a fairly big number, but I don't normally give those percentages, Radha.

Radha: Okay, sir. All the best to you.

Krishnakumar Srinivasan: As I said, the non-auto business consists of all the engines that I said just now, marine engines, then we are supplying to railway engines. We are supplying to gensets. We are, in fact, even supplying to compressors.

Radha: And there is a potential to increase market share everywhere in all the domains?

Krishnakumar Srinivasan: Yes, why not? Because in all segments of the business, we are only looking at not only the Indian business, but also the international business. And with people vacating capacities, we do find that there is a good possibility for us to keep increasing the business.

Moderator: Next, we have a follow-up question from Anubhav from Prescient Capital.

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Anubhav: Sir, in the aftermarket, like, what will be our market share and how large is the unorganized part? And with this GST cut, like, has that driven a large shift towards organized players like us?

Krishnakumar Srinivasan: When we say unorganized and organized, this market, as far as the aftermarket is concerned, I would put it overall as a fairly unorganized market in the sense that the market is free to buy from various areas. It can even import some of the pistons from China, which are at very throwaway prices.

But people, over a period of time, have tried all this and have tested and seen that the quality and other parameters, don't work that way. And they come back to either the original manufacturers, those who supply to OEMs or to some of the known names that are existing in the industry

So we have found that many of the people have already come back, mainly because of the

quality and the requirements on the product because piston is not a product which is very easy to just make and sell in the market, even in the aftermarket, because it has a huge amount of design parametric as well as coating parametric.

So what actually happens in the aftermarket, when you have to actually rebore the engine, you have to also have different sizes of the piston. We call it as oversize, undersize and all that. So all those segments will have to be catered to. It's not very easy. And so both in terms of manufacturing and supplying and at the same time, also in terms of fitment. So you require specialized players to work on this, to do that.

Anubhav: Get that. And sir, what I understand is that this GST rate would have been cut from 28% to 18% in the aftermarket. So is that like a big driver for us to gain market share in the aftermarket?

Krishnakumar Srinivasan: Well, see, it is not happening to one particular producer, it's happening all across. So what normally happens is the industry carries some inventory. And there is always an issue of the inventory getting liquidated and then the new product coming in. All the new products that

are

coming in are at the lower GST rate, which thereby helps to give the price advantage to the end customer.

So there has been a good amount of time lag, post the GST introduction, after which the aftermarket has started picking up. If you remember in our previous quarter call, we had stated that our aftermarket, to some extent, was affected because of the stocks that were lying and people wanted to actually get rid of those stocks which were sold at higher GST rates.

So those kind of issues we always have in business, and we have to see how we overcome that and start ensuring that we are still able to grow. And that's what we have done as a team. And I think, overall, quarter-on-quarter, with all those troubles, we have been able to grow the business.

Moderator: Our next question is from the line of Viraj from SIMPL.

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Viraj: Just two questions. Can you give some colour in terms of customer concentration and segment concentration for each of the subsidiaries? Any colour on an annual basis?

Krishnakumar Srinivasan: Yes. So frankly, Viraj, actually, our customer concentration has come down drastically. Because of all the mix that we have and the product segmentation that we have now, we are fairly well represented in almost all the OEMs. Name any OEM and we are there. Name any customer, we are there in some form or the other. So I think we are present with all of them, and we have a fairly good relationship with every one of them.

Viraj: No. So my question was specific for the subsidiaries. So say, top 5, top 10 customers or the largest customer, if you can just briefly talk about each of the subsidiaries?

Krishnakumar Srinivasan: If you really see our investor presentation, there is a clear this thing given in terms of all the customers that we have for each of the subsidiaries. If you see there, we have given all the names of all the customers.

Viraj: No, no, I understand, sir. I was just trying to understand, you have a single customer who is more than 10% or 20% of the sales in each of the subsidiaries or is the concentration or is it more diversified? Any colour you can give on the subsidiaries, sir?

Krishnakumar Srinivasan: No, which I said, there is no concentration of any one customer in any of our businesses.

Viraj: Okay. Second question was on the EV subsidiary. Any colour you can give in terms of the order book and the pipeline? So which segments you are seeing the highest traction in terms of order book and scale-up?

Krishnakumar Srinivasan: With the amount of validations that are going on with all the customers, order book will be very huge. So let us go step by step. We are growing very well. I think from last year to this year, we would grow almost like 5x to 7x. And I think, since the base is small, that growth will continue. So we expect our growth in the motor and controller segment to really grow well.

Viraj: Okay. Last question. What is the cash and debt, post the payment towards the acquisition?

Krishnakumar Srinivasan: Yes. Total, we have paid 159 million. I have,

Viraj: Yes. I'm just trying to understand what will be the cash and the debt level now, post the acquisitions?

Krishnakumar Srinivasan: Just go to our figure of what cash we had in the previous P&L to what debt we have taken now. It gives a very clear picture of what is the cash and debt we have.

Moderator: Next question comes from the line of Divyansh Gupta from Latent PMS.

Divyansh Gupta: Just one question. What would be the maintenance capex for us either last year or, let's say, going forward, what -- how should we understand maintenance capex?

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Krishnakumar Srinivasan: No, normally, what happens is we don't give any percentages. But as I said, it is well within

limits. And there is no such thing as

we are spending anything extra for our maintenance capex.

Divyansh Gupta: No, I was trying to understand that, example -wise, let's say, last year, we did about INR170-odd crores of capex. How much was, let's say, growth capex versus just for maintenance?

Krishnakumar Srinivasan: No, no, no. We don't give those breakups. But as I said, it's within the industry norms and within our planning parameters.

Moderator: Next question comes from the line of Ravi Purohit from Securities Investment Management Private Limited.

Ravi Purohit: Congratulations on a good set of numbers. Sir, just one question. Historically, we've seen running off this company at very, very good and strong ROCE levels, right? Even the acquisitions that we have made in the past like Takahata have ended up giving us reasonably good ROCEs. So how would you judge this new acquisition of the Grupo Antolin assets?

Would you aspire to bring this as set also to be at the same ROCE level at the company? I'm not talking of margin, but essentially, is it going to be ROCE dilutive? Or do you think we can, over the next 2-3-year period, bring them at par with the company-level ROCEs?

Krishnakumar Srinivasan: Well, all our initial working shows that we can make it at par.

Moderator: The next question comes from the line of Harsh, an Individual Investor.

Harsh: Obviously, now the company is different from, you know, 2 years ago or so. So what is our management structure like with respect to our subsidiaries? Is it the same core team that manages all verticals? Or do we have vertical-wise or client-wise, etcetera?

Krishnakumar Srinivasan: Yes. So the structure that we have followed and we find that, that is really working very well for us is to ensure that the existing management structures in the subsidiaries are able to work along with a core group of the central management team, which is able to give all the support

that it requires in terms of all the growth requirements and everything, thereby ensuring that we are able to be very agile and be able to make quick decisions in terms of all the requirements.

Moderator: We take that as the last question for today. I would now like to hand the conference over to

Mr. Krishnakumar for closing comments.

Krishnakumar Srinivasan: Yes. Thank you. I think really a good set of questions. The kind of questions really shows the kind of interest you have in our company. And I would like to assure you that we'll do everything to grow the organization and the franchise.

I would once again like to thank everyone who joined today's earnings call. Your active participation has greatly enriched our discussion today. Our focus remains on achieving our strategic goals, and we are committed to driving the sustained positive results that we have seen.

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If you have any further queries or any additional information that you need, please do contact our Investor Relations partners at Ernst & Young. On behalf of the company, we deeply appreciate your time and engagement. Do take care, and goodbye. Thank you.

Moderator: On behalf of Shriram Pistons & Rings Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. Some minor editing may have been done for better readability. In case of discrepancy, the audio recordings uploaded on the stock exchange on 03rd February 2026 will prevail.

Call: May 2026

May 15, 2026

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BSE Scrip code : 544344

Sub: Transcripts of the "Earnings Conference Call" - Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations")

Dear Madam/Sir,

With reference to the captioned matter and in furtherance to our earlier intimation letters dated May 5, 2026, May 11, 2026 and May 12, 2026 regarding the schedule, investor presentation, press release and Audio Recordings of the "Earnings Conference Call" of SPR Auto Technologies Limited (formerly Shriram Pistons & Rings Limited) ('Company') and in compliance with Regulation 30(6) read with Schedule III and other applicable provisions of the SEBI Listing Regulations, please find enclosed the transcripts of the "Earnings Conference Call" on the Audited Financial Results for the quarter and year ended March 31, 2026, held on Tuesday, May 12, 2026 at 4:00 p.m. (IST). The above information is also available on the Company's website and can be accessed at <https://shrirampistons.com/investor-information/investors-call-transcripts-audio-recordings/transcripts/>.

Kindly take the above information on record and treat this as compliance with SEBI Listing Regulations.

Thanking you.

Yours faithfully,

For SPR Auto Technologies Limited
(formerly Shriram Pistons & Rings Limited)

(Pankaj Gupta)
Company Secretary & Compliance Officer

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SPR Auto Technologies Limited
(formerly Shriram Pistons & Rings Limited)
Q4 & FY26 Earnings Conference Call
May 12, 2026

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MANAGEMENT : MR. KRISHNAKUMAR SRINIVASAN – MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. PREM RATHI – EXECUTIVE DIRECTOR & CHIEF
FINANCIAL OFFICER
MR. PANKAJ GUPTA – DEPUTY EXECUTIVE DIRECTOR ,

HEAD, LEGAL & COMPANY SECRETARY

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Moderator: Ladies and gentlemen, good day, and welcome to the SPR Auto Technologies Limited (formerly Shriram Pistons & Rings Limited) Q4 and Full Year FY26 Earnings Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

Today from the management, we have Mr. Krishnakumar Srinivasan, Managing Director and Chief Executive Officer; Mr. Prem Rathi, Executive Director and Chief Financial Officer; and Mr. Pankaj Gupta, Deputy Executive Director, Head, Legal and Company Secretary. Before we begin, let me remind you that this discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It may be viewed in conjunction with our business risks that could cause future results, performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

I now hand the conference over to Mr. Krishnakumar for his opening remarks, post which we will open the floor for an interactive question-and-answer session. Thank you, and over to you, sir.

Krishnakumar Srinivasan: Our apologies, the line got disconnected at the time when the transfer was taking place. So, first and foremost, good evening, everyone, and thank you for joining us on our first ever earnings call after changing the company's name to SPR Auto Technologies Limited. We sincerely thank all of you who are present here today and for your continued support throughout the year.

FY26 was truly a landmark year for SPR Auto Technologies Limited. Our performance in FY26 was exceptional with record consolidated total income of INR 4,571 crores, growing by 25% year-over-year and highest ever EBITDA at INR 989 crores, growing by around 18% year-over-year.

This strong financial performance was driven by the company's strategic endeavours and reflect the strength of our business model, the resilience of our core operations and the benefits of our continued focus on execution. All the strategic initiatives that the company has taken in the past few years are yielding good results on a sustainable basis.

This growth was also well supported by a strong recovery in automotive demand, especially in the second half of the year, reflecting the industry's highest sales across all segments despite the geopolitical tensions in the tail end of the year.

This momentum was supported by favourable macroeconomic factors domestically, including the introduction of GST 2.0, income tax reforms and reduced financing costs. During the year, SPR Auto Technologies Limited

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we have achieved several key milestones that have significantly strengthened our leadership position in the auto components industry and further aided to the foundation of sustained growth.

Our transition to SPR Auto Technologies Limited marks a significant milestone in our journey towards becoming a multiproduct, multi-domain auto component supplier in the industry. This new identity reflects our broader strategic vision to build a future-ready technology-led business franchise. As the mobility ecosystem evolves, we remain focused on strengthening our core businesses, while selectively expanding into adjacent and technology-led opportunities that support sustainable long-term growth.

A highlight of the year was our strategic expansion into the automotive interiors and lighting segment through the successful acquisition of three Indian entities of the Antolin Group. This acquisition not only diversifies our portfolio but also enhances our capabilities

in high-growth

technology-driven areas.

The acquired businesses have already demonstrated strong performance, validating the strategic rationale behind this acquisition. In addition to this, we acquired Karna Intertech at the beginning of the year to strengthen our tool manufacturing capabilities, thereby supporting the growth programs within the group.

We are actively integrating these businesses with our existing processes to unlock synergies and operational efficiencies that will drive further value creation. We remain committed to continuing our investments to grow and diversify into a multiproduct domain. Our strategy is to build a broad-based automotive technology platform that spans various product lines and powertrain technologies.

This diversification positions us to capture emerging opportunities across the evolving mobility landscape. During the year, we have invested close to INR 200 crores in capacity expansion across various business lines, reinforcing our commitment to scaling our operations and meeting the growing market demands.

Further, to take care of increasing demand from our customers, SPR Takahata is in the process of setting up a new manufacturing facility at Neemrana. And SPR TGPEL is also increasing its capacities at its Noida plant. We have also started the Phase 3 expansion at our SPL Pithampur plant apart from the capacity expansions being done at Ghaziabad and Pathredi.

The commissioning of the Sunbeam acquired assets are also progressing well, thereby improving our capacity on pistons. All these capacity expansions will only help us in further strengthening our positions with our customers and also meeting their requirements in a seamless manner.

All our businesses, the legacy business, interior and lighting solutions, the high-precision injection molded parts and EV motors and controllers are performing well and are steadily

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improving in terms of profitability. This reflects our focus on operational excellence, cost optimization and value creation across the portfolio.

Notably, powertrain agnostic businesses contributed around 35% of our consolidated total income during the quarter, underscoring our diversified and future-ready portfolio.

Furthermore, on account of our multi-market and multiproduct presence, nearly 60% of our business is now not directly impacted by powertrain impacts. This is an important development for us because it reflects the success of our diversification strategy and the strength of our multi-technology approach.

We are confident that this positive trajectory will continue as we leverage our strengths and scale our operations. There are significant opportunities for synergies across the group, and we are leveraging each other's strengths to enhance the efficiency, innovation and market reach. This collaborative approach is a key driver of our integrated growth strategy and will unlock further value for the company and its stakeholders.

To further support our growth ambitions, we continue to invest in new technologies and capacity expansion. These investments are critical to maintaining our competitive edge and meeting the increasing demand for advanced automotive components and solutions. Our commitment to innovation and capacity building remains unwavering.

We are also focusing on developing new product lines across all our businesses. This proactive approach ensures that we stay ahead of the market trends and customer requirements and thereby enabling us to offer very differentiated and future-ready solutions.

At SPR Auto Technologies, sustainability is integral to our long-term growth strategy and to the manner in which we create enduring value for all our stakeholders. The company's ESG journey continues to gain strong external validation. We have invested proactively in renewable energy through solar power, re

inforcing our commitment to reducing environmental impact.

During the year, our climate and water disclosures were awarded a CDP B rating for 2025, and our greenhouse gas emissions were independently assured in line with ISO 17029, underscoring the credibility of our sustainability data.

We also achieved a bronze medal from EcoVadis, reflecting an improvement in our sustainability ranking and positioning us amongst the top 25% globally. We also received the ESG rating of two, the highest rating in India from Dun & Bradstreet, which also recognized us among the top ESG performing companies.

Further strengthening our credentials, we are TÜV certified, received the Excellence in ESG Award Gold Award 2025 from ACMA and were recognized by CII for significant achievement in corporate sustainability. Taken together, these milestones clearly demonstrate that the company is taking the right, consistent, and well-governed steps towards long-term sustainable value creation.

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We also remain committed to rewarding our shareholders. In addition to the interim dividend of INR5 per share already paid in February 2026, the Board has recommended a final dividend of INR5 per share, subject to shareholders' approval in ensuing AGM. This reflects our confidence in the company's strong financial position and our commitment to delivering the shareholder value.

Looking ahead, we will continue to pursue a disciplined execution, strategic investments and a sharper operational focus. We are confident that SPR Auto Technologies Limited is now well positioned to capitalize on the next phase of growth in the automotive ecosystem, delivering value to our stakeholders and driving innovation in the industry. Thank you once again for your continued support, and I look forward to answering your questions. I now request the moderator to open the floor for questions. Thank you once again.

Moderator : The first question is from the line of Ram Seshan from Avendus Spark.

Ram Seshan : Congrats on a great set of numbers. Two questions. First on the subsidiary side of things. Just on Antolin, would be keen to understand the details on the current product mix between

headliners and other ambient lighting products. And also, would you like to call out revenue and margins for the three major subsidiaries, Antolin, TGPEL and Takahata for the quarter?

Krishnakumar Srinivasan: Antolin as you are aware, we acquired them on 8th Jan 2026 and then post that for one quarter, we have already seen the results. Results have been quite encouraging. I have personally visited to all the customers along with their teams, and we have got excellent contacts with all the customers, and we have been working on various programs for the customers.

Basically, as you know that we are into headliners, plastic trims, door panels, sun visors and we also supply all the lighting solutions, the interior lighting as well as touch panels and we don't normally give the mix amongst these product portfolios that we have in Antolin.

But we can say that we are well represented in almost all the companies that you can think of in the country, and we are representing them for all the product lines. And I'm happy to state that the new programs that they are presently working on for all the new models that the customers are looking at looks also very exciting and healthy.

Ram Seshan : Any update or probably would you want to call out what would be the revenue and margin for the three subsidiaries in the fourth quarter? Antolin, TGPEL Takahata just broad numbers.

Krishnakumar Srinivasan: Normally, we don't give that breakup, but I can tell you that it is in the 20s. And certainly, amongst all the companies, we are having similar kind of benchmarks in terms of the targets for our overall profitability targets. And I'm happy to state that post our takeover, even

Antolin

has started showing some good improvements, and we are confident that we will improve the margins.

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And this will all come from various synergies that we are planning within the group. And we expect that with all the actions that we are taking, the group profitability will be maintained at more or less the kind of levels that the stand-alone company is maintaining.

Ram Seshan : That's very helpful. The second question was on the standalone operations. Could you give us probably a broad mix between the PVs, CVs, 2-wheelers and non-autos? And what would you like to call out any special areas of growth in the next couple of years in the stand-alone business? Where do you see traction from here on?

Krishnakumar Srinivasan: Our legacy business also has done exceedingly well last year. And as you know, there was a fantastic growth post the GST 2.0 that was announced sometime in October. And post that, we have actually had a very healthy domestic requirement coming from almost all our customers.

Overall growth has been in the region of around 10% - 11%. And if you really see the growth has come across all segments, whether it is 2-wheelers, 3-wheelers, tractors, even standalone gensets and also all the commercial vehicles.

So, frankly, it has been a very healthy growth story. Normally, otherwise, we do have a mix of one segment going down and the other segment doing well. But luckily, this time, all the segments have actually fired on all guns. So, it has really helped us to improve our sales on the OE side.

Ram Seshan : With respect to outlook over the next 2 years, sir, any special areas of growth you would want to call out?

Krishnakumar Srinivasan: Yes. So basically, we observed that almost all our customers are working on multiple hybrid platforms. And we are present with them in multiple programs where we are supporting them for completely redesigning the engine because for a hybrid, the engine is redesigned completely.

And in many cases, it is with turbocharger and some without turbocharger applications and all that requires a different kind of solution. And we are happy to state that we are working on programs which are going to see the light of the day maybe in 2029, 2030. So, as I see it, we have a very healthy pipeline.

Moderator : The next question is from the line of Chirag Jain from Emkay Global.

Chirag Jain: Congratulations for the new identity. Sir, a couple of questions. One, in terms of the outlook, you mentioned that it is quite healthy. Can we discuss about any potential impact of commodity or FX or maybe energy costs going up and probably even labour shortages that has been happening in the industry? Would that have an impact in terms of our performance over the next few quarters?

Krishnakumar Srinivasan: Yes, as is known in the industry now, with the current geopolitical situation existing in the Middle East, there is an impact on commodities. Commodity prices have been rising up right

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from the last quarter. And we have seen that aluminium prices have gone as high as 40% higher than the base rate that was existing at that point in time.

And most of the other areas also, commodities have increased, whether it's elements or whatever is used for alloying on the aluminium side. And then on the energy also, we see a situation where the energy prices have been maintained in the country, and we hope that it will continue to maintain, but we did have some issues with regards to LPG supplies and other things, which has been normalized at this stage now. So, we do not see any major issue coming out of the energy side.

And as far as labour is concerned, we did have the impacts coming out of the labour issue that started in Noida and in Haryana. And then post that. But however, we are happy to sta

te that

our organization was not affected by that, and we were able to maintain because we have always been paying much higher than the minimum basis. So from that standpoint, we did not have any issue with the labour.

So overall, I would say that commodity prices did have an impact, but we are back-to-back covered from our commodity standpoint with our customers because 100% of the commodity changes are backed up by the customers, and we go back to our customers and claim. But of course, we do have a gap of quarter's delay that happens because of the formula that we normally use because in the pipeline, we expect all the stocks and other things to remain. And

there is always that small gap that is always there.

Chirag Jain: Understood. So by and large, energy and labour is not a major issue and commodity, even though it has gone up, but it's a pass-through for us as per the arrangements that we have with the OEMs.

Krishnakumar Srinivasan: That's right.

Chirag Jain: Okay. And also, in terms of expansion, you mentioned most of your businesses are going through expansion, be it Takahata or TGPEL. Can you elaborate in terms of what could be the extent of expansion that we are doing? Is it like we are adding 30% or 50% of the revenue potential that we have as of now? That would be quite helpful.

Krishnakumar Srinivasan: Yes. Individual businesses have individual needs. For example, you might have heard that in 2-wheeler, the anti-skid braking system has become a necessity. As a result of which there is a renewed demand in terms of technology from the brake manufacturers who are actually providing these kinds of systems where a new item has to be injection molded with a very, very specific technology.

The new businesses have been won by our plastics division. And similarly, there are many such small components which have to be developed primarily because of the change in technology that is required by our customers. So, we have been lucky enough to say that we have got recognized by our customers for the technology footprint that we bring to the table and that we are able to support their requirements very seamlessly. That's point number one.

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Now from our legacy business, I already explained the previous question that we are working on multiple programs for hybrids as well as there are also a lot of requirements with regards to some of the engine change that is happening because of the customers having realized that all this powertrain technology will coexist for some time. And because of that, there is a renewed focus on increased supplies and increased solutions, which we are providing to our customers. And thirdly, from our interiors business, I think there are multiple programs on which we are working, including also we are trying to bring in some new technologies on the table to the customers and a lot of discussions going on, on those fronts.

In our business for the plastic injection molding, we are now almost decided that we'll have to go in for an expansion in Takahata, Neemrana factory, where we'll be putting up another Phase

3 expansion that we have to plan primarily to meet the increased demands for plastic precision injection products. So, these are the number of activities that are going on, and I think it's a very exciting time ahead.

Chirag Jain: And just lastly, in terms of Antolin, would you like to give any number in terms of the margin aspiration over the next, let's say, 2, 3 years, what kind of margins that we can aspire for?

Krishnakumar Srinivasan: I think I mentioned it in the previous question that I expect all my businesses to be performing if not better, but at least close to our margins that we perform in the stand-alone company. Thought it's not possible to reach that kind of a level overnight, but we are working on a number of synergies and possibilities

to see if we are able to come to those levels of this thing.

Chirag Jain: Yes, yes. So, this aspiration is obviously individual business is moving towards standalone profitability. I thought the overall subsidiary performance moving towards standalone.

Krishnakumar Srinivasan: Yes. All the subsidiaries are more or less our other subsidiaries are already there, except motors, controllers and the interiors business. Motors controller is a new start-up, as you already know. But even then, that organization stand-alone has been now EBITDA positive and is really growing very well.

Moderator: The next question is from the line of Gokul Maheshwari from Awriga Capital.

Gokul Maheshwari: For the Antolin business, can you quantify how much were the three entities on a combined basis prior to your acquisition paying royalty or technical fees to their parent? And also, are we paying any such fees to get access to the technology post the acquisition?

Krishnakumar Srinivasan: Yes, Gokul ji, I think I answered this question in the previous call, but on the technology side, we have signed a TLA, TCA as we call it, Technology Agreement, which is giving us a seamless access to all the technologies that are there within Antolin for a nominal royalty payment that we'll be paying. Otherwise, most of the technologies are available to us from a standpoint of the usage with the customers. And very clearly for an identified area of India.

And we from a requirement of an EBITDA standpoint, as you already know, they were between 9% or 10% EBITDA, which we are expecting it to start improving once we bring in

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all the synergy activities that we are bringing in. We already see the improvement in the first quarter, and it has started coming to very healthy levels. So, thank you very much.

Gokul Maheshwari: But is this what we are paying is lower than what the Antolin has in the previous paying to their parent?

Krishnakumar Srinivasan: Those details we don't give normally, but it is in line with whatever is there in the market requirements, in terms of normal technology fees that we paid for all the others. We have got 5 technology partners, as you know. And with all of them, whatever kind of technology fees we pay is more or less in line with that.

Gokul Maheshwari: Secondly, just on the capital allocation, KK, sir, if you could just elaborate the reason for doing a QIP because I understand that your net debt is around INR 750-odd crores or so, but that is around 0.25 debt-equity, which is not much. So, what is the reason for raising INR 1,000 crores or plans to raise INR 1,000 crores for QIP more?

Krishnakumar Srinivasan: Yes. The QIP is not being raised for repaying the loan. As you know we are already operating on a low debt equity ratio. But we are still hungry to grow our business, and we are still hungry to look at other options. And there are some interesting options available that we are working on.

Nothing has been formalized. So, for growth, both in the areas of our internal growth as well as all the other growth through acquisition, we will continue to be hungry and looking out for options. So that is why it is necessary for us to look at options of raising funds.

Moderator: The next question is from the line of Radha from Motilal Oswal.

Radha: So, my first question is, sir, headliners contribute the largest portion of revenue for Antolin India, where the company, along with Krishna Maruti is already holding a very large 75% market share. So, given the high market share and limited aftermarket and export opportunity in the segment, what do you see as the key growth drivers for the industry outperformance going forward? Would the focus be more on scaling up other product categories within Antolin? Or is there a play on premiumization or any other growth plans if you can highlight, sir?

Krishn

akumar Srinivasan: Yes. So, what happens is in Antolin, headliners classically have been the leading product, as you rightly said. But over a period of time now, we have a good mix of headliners, plastic trims, plastic components, door trims and also interior lighting along with sun visors. So, we have a fairly good mix amongst all the product line. And I must say that the growth is coming across all segments with our customers.

And luckily for this, this is an animal where or rather I should say that headliner a Iso is an animal which actually continuously undergoes change as the vehicle changes. So, any new model, it has to have a different headliner. And for any kind of different applications with SPR Auto Technologies Limited
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sunroof, without sunroof, et cetera, also the headliner keeps changing. As a result, the number of variants and number of requirements also goes up with every new model.

So, we are working on a number of new platforms, and it's a very busy time as far as Antolin is concerned in terms of the newer growth into multiple models across the country. So, there is going to be continuous growth, and we expect that we will continue to grow on all the product lines that we have within Antolin.

Radha: Understood, sir. And second question is, sir, in previous calls, you had highlighted that the total addressable market for the automotive segment of TGPEL and Takahata business is somewhere about INR 3,500, where you had highlighted that the company's aim is to reach 20% to 30% market share.

So, what are the levers for gaining market share in this competitive business? And secondly, by expanding your presence in industrial and medical components, how will this INR 3,500 crores TAM increase? And how much market share are you expecting in this non -automotive segment?

Krishnakumar Srinivasan: Yes. So basically, what happens is this precision auto component industry is also undergoing a lot of change. And people realize that there's a huge amount of technology that is required for some of the newer areas like I just said in the previous question that for the 2-wheeler, just for the anti -skid braking system, we have specific component which goes into the anti -skid braking system, which requires a very very different kind of molding technology and very high precision technology.

So, this again is a new business that we have won, and it has really helped us to put in our new investment that we are planning to put in Takahata. Similarly, even in TGPEL, we are working on new areas as far as precision injection molding is concerned. So, the market is continuing to evolve. It's not that the market is going to remain static at INR 3,500.

My own impression is that this market will continue to evolve as newer technologies are demanded by the customers. And precision injection molding components are the ones which get immediately affected in terms of the requirements. So as a result, I think with the various programs that we are working on, we already see that we are either improving market share or improving the volumes. And as a result, we have to continue to put in investments to grow that. So, we'll continue in our Plastics division that way. And going forward, coming to the newer areas of business that we have within the plastics portfolio also, we see a lot of possibilities for us to supply within the group.

For example, there's a lot of plastics requirements by Antolin, which can be supplied from our Plastics division, other plastics division. So, there will be a lot of synergy that we see between the various companies, and this will really help us to grow the business equally across all the segments within the plastics.

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Radha: Understood, sir. And sir, last question is, sir, Antolin already operates as a Tier 1 system integrator. Now also

going with TGPEL and Takahata, is there a scope to further deepen this integration by combining complementary product capabilities into larger interior solutions for OEM? Can this become a key differentiator or a USP for the company and hence, margin drivers going forward?

Krishnakumar Srinivasan: No, within Antolin itself, this capability exists today, even within Antolin India. And so we call it more as SPR Auto Interior Solutions now. And within this SPR Auto Interior Solutions, we are finding that there are multiple possibilities for us to combine not only headliners, but along with headliners, a lot of other ancillary components that needs to be delivered to the customer. In fact, for many of the customers, we give a very integrated solution with all the assemblies done. So, there is a lot of possibilities for us to do it for our many, many other customers, and we are working on it continuously.

Moderator : The next question is from the line of Preet Pitani from InCred AMC.

Preet Pitani: Congratulation for good set of numbers. Sir, just wanted to ask on QIP front. What, would promoter be participating in the QIP? And what is the minimum stake which promoter would like to continue in the company?

Krishnakumar Srinivasan: Well, in QIPs, promoters cannot participate. So very clearly, they will not be participating. But that is fine. Whatever we want to raise, I think, should be possible for us to raise for them. And they go by the business needs, and they are completely supportive of growing the business.

Preet Pitani: Sir, is there any minimum stake that promoter would like to have at least in the company or something like that?

Krishnakumar Srinivasan: Not that I know of. Nothing that has been specified.

Moderator: The next question is from the line of Punit Gupta from Girik Capital.

Punit Gupta: Congratulations on a good set of numbers. Just wanted to ask when do we plan to repay the debt we've taken for the Antolin acquisition? And if you could also answer what specific segments are looking to break into for M&A? If you could detail that would be helpful.

Krishnakumar Srinivasan: So as far as the NCDs are concerned, we have two time frames. One INR500 crores is for 18 months and INR 500 crores is for 24 months. We plan to repay it on time. So, there is no such ideas of prepaying it. And whatever QIPs we are raising, it's all for growth reasons, including our internal growth as well as growth by acquisition.

Punit Gupta: Yes, sir. I just wanted to understand which segments do we want to acquire if we want to do more auto components, which ones are?

Krishnakumar Srinivasan: We are looking at various options. Now it will be difficult for me to give that at this stage. But most of the options that we are looking at, and you have seen in the past 5, 6 years that we

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have done acquisitions over the last 6 years, it has always been with technology and in technology areas and fairly with a good headroom to grow.

So, it's primarily with that clear option that wherever we see a good possibility for us to continue our growth aspect, we want to ensure that it is earning accretive for us overall. And based on that, we continue to look at options.

Moderator: The next question is from the line of Hrushikesh Desai from Motilal Oswal AMC.

Ali: This is Ali from Motilal Oswal Mutual Fund. Just following up on the question the previous participant asked you regarding this growth. You mentioned that this QIP that you are doing is for growth. If you could just share some more colour in terms mentioned this is for both expansion as well as inorganic.

So, if you can just outline some more details regarding how much you plan to use out of this for organic, how much for inorganic? Is this something in more advanced stage and you think possibility that this could probably get fructified maybe

in the next 1 year? And any more details you can share related to that?

Krishnakumar Srinivasan: Yes. Normally, we don't give these details, because obviously, because you know we also have huge competitors, and everybody is tracking us. So, at this stage, it will be very difficult for me to give these kinds of details. But rest assured, there are very strong plans. And based on that, only we have decided to go in for this QIP. Otherwise, the kind of generation the company has, with the kind of debt-equity we are having, it is not required for us to really raise that.

Ali: So, this will be entirely for inorganic, right? Or also, this could be used for any organic large expansions?

Krishnakumar Srinivasan: No, we are looking at both. Because overall, we have to see as far as the company still has good amount of funds available, the net debt is going to be a much lower figure than the INR1000 crores that we have taken as debt from NCDs. So, even I think that, you know, for both organic and inorganic, we need for our future growth in the QIP.

Ali: Sure. Second question, sir, is on margin. You mentioned that while your acquisition targets that you have recently taken are at much lower margin, close to about 10%, 11% versus your stand-alone margin at 20% plus and your aim is to get the subsidiaries also closer to your stand-alone margin. So, any road map you can give how much time it should take to achieve those targets? Is it probably next 2, 3 years, it could be much longer? And what are the levers that you have to improve margins in your subsidiary business?

Krishnakumar Srinivasan: It's not that I can give you a clear road map on this because we are working on a number of permutations combinations. But one thing I can tell you that with introduction of newer technologies with some of the synergies that we are looking at with a lot of in-sourcing that we can do for components, there are a lot of possibilities to improve our margins, and we are working on that.

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And I think the road map is quite clear for us in terms of how we want to achieve it. But it's

going to take some time to clearly lay it out. It requires a lot of them require customer approvals. We have to get it validated from customers. So, all this takes a lot of time. So, we can't exactly give you the timeline, but the direction is quite clear.

Ali: Okay. Would this be like a 3-year plan, sir, or it will be longer?

Krishnakumar Srinivasan: Well, I expect it to be even lower than 3 years. My demands are lower than 3 years, but then we can't say how it will go, but we'll have to look at it how it comes.

Moderator: The next question is from the line of Anubhav Mukherjee from Prescient Capital.

Anubhav Mukherjee: Now that it has been like few months that we have acquired the Antolin business. So, can you provide a qualitative assessment of what are the areas in which as a parent company, we can help them? Will it be like better sourcing to improve gross margin or cost control or new customer addition? Some qualitative like perspective will be very helpful.

Krishnakumar Srinivasan: In various areas in almost all the areas. For example, SPR is well known in the industry for the last 5 decades. And it's well recognized, well respected amongst all the customers. We have excellent relationships with all the OEMs and also with many of the aftermarket customers.

So, we can help in various activities with regards to growing their sales. And at the same time, looking at helping them on various synergy activities across the group since we are in the same line of business as a auto component supplier, a lot of things that we can do together. And we can also leverage a lot of things from their side because we have an excellent team in Antolin India. And I think that they only add a lot of value to the overall group, and we can leverage that a

nd we'll be able to really see that we are able to grow together.

Anubhav Mukherjee: And sir, like from the investor presentation, like, we saw that like the exports have been flat for us since FY '24. So, can you share some like growth perspective for the exports in the coming financial year or over the next 2, 3 years?

Krishnakumar Srinivasan: Yes. So, it's no big surprise that exports are really in a tough situation with the Ukraine war continuing, with the kind of situation that exists in the European region, there's hardly any growth. There is, in fact, degrowth. And in terms of the kind of situation that has now started because of the Middle East war, so obviously, all this puts a lot of restrictions with regards to not only the entire supply chain, but also in the sentimentalities of all our customers with regards to procuring goods from various places.

So obviously, there is a lot of issues with regards to the overall export market. But the good part is that even though the markets have become tougher, we have been able to more or less

retain our export business at the same level as last year, even though the market actually went down badly.

So that shows the number of new areas that we have been able to enter into, the new product lines that we have started and been able to service newer customers whom we have been able

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to develop. This process is continuing. And I think if everything goes well, we should be able to further grow our exports business. It's not that we are going to reduce our exports business. You can be rest assured that we continue to grow that.

Moderator: The next question is from the line of Devesh Kayal from Boring AMC.

Devesh Kayal: Sir, you mentioned that we are setting up a new facility at Neemrana and expanding capacity at existing Noida plant. So overall, sir, across facilities, what is our capex plan for FY '27?

Krishnakumar Srinivasan: Last year, as I said, we have invested almost close to INR 200 crores, which will give some kind of increased businesses, which we have already taken some a year in advance. And then all those businesses start getting mature over the next 1 or 2 years. So, all the investments that we have to do in the automotive business is always the maturity comes after maybe 2 to 3 years. So, we will continue to invest those kinds of figures with regards to the kind of investments that we have to do over the next 2, 3 years.

Devesh Kayal: Okay. So fair to assume we'll do around INR 200 crores over the next 2 to 3 years, like every year?

Krishnakumar Srinivasan: More or less. More more than more less.

Moderator: The next question is from the line of Divyansh Gupta from Latent PMS.

Divyansh Gupta: Yes. So, a couple of questions. So right now, you mentioned 60% is, let's say, powertrain agnostic. Is there a target number for the next 2, 3 years we want, let's say, the legacy business to reach a certain number?

Krishnakumar Srinivasan: Well, frankly, now I'm looking at more or less maintaining this kind of a stand because it's a fairly good kind of a mix. And even with this kind of a situation, I think the legacy business is never going to become zero. And neither I have been hinting at that. In fact, for most of our customers, as I said, we'll be the last man standing for the ICE product.

And across all customers, we are seeing continued investments for development of new engines for hybrid requirements. And as a result, we are continuing to, in fact, put more money into the legacy business also as we are putting into the other areas. So more or less, this kind of a trend will continue.

And I think it's a very good mix that we have now even if we just look at growing the aftermarket business as well as the exports business, we have a good huge runway that is possible for us to do. It's only that we have to keep on adding ca

capacity. So, we have to be very careful in the overall capacity enhancement plan that we have across all the companies so that we don't overcommit on one and under commit on the other. So, we are balancing it very well and trying to see how we can continue to have the growth story amongst all our subsidiaries.
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Divyansh Gupta: But sir, that also means that, let's say, any future acquisitions, even ICE business acquisition is something that is in play? Because otherwise, if we acquire non or other power -agnostic business, then this should ideally come down.

Krishnakumar Srinivasan: Well, at least I don't see any immediate plans to acquire any business on the ICE products because we have just recently done the asset deal with Sunbeam, that has actually improved our capacities as far as pistons are concerned. And engine valves, we are growing also organically with regards to the further investments, and we continue to invest in those areas.

Divyansh Gupta: Got it. And sir, second question is regarding EMFI. So, with all of this Middle East tension and let's say, at least in Q3, we said we expect 5 X to 7x ramp -up. Are you seeing an even more accelerated approvals from clients because of, let's say, people saying that let's buy EV instead of ICE because of fuel prices or availability? And the second associated is, I was reading that we have some partnership with Lingbo and Greatland. But my understanding, these are more 2-wheeler and lower power capabilities. Do we have anything planned for 4-wheeler EVs?

Krishnakumar Srinivasan: Well, Lingbo and Greatland are for both high-voltage systems, we are operating on low voltage as high voltage, less than 300 volts as well as more than 800 volts up to 800 volts. So, we have all the systems that are required on our motor and controller facility. Now with the new setup that we have in Coimbatore, it is a state -of-the-art plant, one of the best that you'll see in the country.

And with all the customers that we are working, we clearly see that most of our customers are now approaching us not only because of the facilities that we have, but also because of the technology that we bring on the table, including some of the newer technologies like hairpin winding and all that. So, we have a lot of possibilities being worked out with our customers at this stage.

Divyansh Gupta: Got it. And sir, if I may ask last question because of time. If I look at our exports ex of Europe and North America, they have degrown. While I understand Europe, let's say, Europe plus 1 was a wave. But any colour that you can give on why South America or Middle East because Middle East only, let's say, March is when, let's say, all the fighting started, but the fall in revenue has been much higher. So, any colour you want to give on the export market, what happened basically there?

Krishnakumar Srinivasan: No. As I said, - the end markets are badly affected in Europe as well as across the Middle East as well as America. So, it is not that the markets are growing there. And as a result, we do have a small dip in those regions. But if you really see our overall performance has been even better than FY25.

So, we have more or less been able to retain our export volumes. And yes, we did not have a phenomenal growth. But certainly, with the current market situation that is existing in the Middle East as well as in Europe and with all the tensions that is there on the supply chain, this is a fantastic number in terms of the overall growth in exports.

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Divyansh Gupta: But basically, no market share loss?

Krishnakumar Srinivasan: No, no, absolutely nothing.

Moderator: The next question is from the line of A Sriram Palaniappan from ithoughtpms.

A Sriram Palaniappan: Sir, in previous calls, you mentioned that the

plastic precision is a niche segment where an OEM fixes one supplier for one item. If that is the case, how are we increasing our revenue apart from our existing business? Would new OEMs switch to us or is it increasing orders from the existing customers? What will drive our revenue in this segment, sir?

Krishnakumar Srinivasan: Yes. I think I answered it in the previous question it was there, Mr. Sriram, that precision injection molding facilities, the growth comes more from new technology addition like for example, it has become mandatory now for the anti -skid braking system 2 -wheelers. This

requires a completely different product that has to be designed and planned for some of the Indian OEMs or rather most of the Indian OEMs.

And it requires a huge number of investments and capabilities to be built on technology as well as on volumes. So, both the sides, we are investing, and we are seeing that we are able to grow in that area. And precision injection molding as I said in the previous calls also, we would expect that we want to retain our margins, and we don't want to become a low-margin, high-volume business. It's going to remain a niche segment and that is how it's going to contribute to the overall growth of the overall franchise.

Moderator : The next question is from the line of Harsh Shah from Seven Rivers.

Harsh Shah: Sir my question is on the standalone, the legacy business. Would it be fair to assume that 11%, 12% growth would kind of be a mature or a maximum growth that we can do in this business given that OEMs are growing at single digits? And also, in Q4, have we lost any market share because a lot of OEMs have reported more than 18%, 20% kind of sales volume. So, if you can highlight on that?

Krishnakumar Srinivasan: No. So as far as the legacy business is concerned, we always believe that we should outgrow the market. So, if you really see the overall market has grown by around anywhere between 6% to 7% if I do a combined weighted average kind of a growth for all segments of the business, whether it is 2-wheeler, 4-wheeler, tractors, commercial vehicles and everything. So, but against that backdrop, we have grown at around 11%, and we have outgrown the market. We have outgrown the business. And my aim is and my push to the team is always to outgrow the end market. So, we'll continue to do that as far as the end markets are concerned. Coming to quarter 4, as I said, I don't think there has been a lot of volume play that has happened between the 2 quarters, the quarter of October to December and December to March. So, while the end markets might have been better for the OEM, but you have to see it from a overall year perspective because our supply chain actually works on the overall supply chain. So, while they have probably done 6% to 7% overall for the year, we have done 11%.

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That is how you have to see it. In the quarter, basically, what happens is they did have good volumes in the pipeline, in the stocks, which happened at the post end December. And they have continued to sell those volumes. And as a result, they had increased sales for that quarter. For those volumes, we have already supplied in the past quarter.

Harsh Shah: Okay. Okay. So, on the EV side because of all the geopolitical issues and then recently, the government has notified new capacity norms revised ones and even Delhi government has banned registration of new ICE vehicles from April 2028.

So, a lot of activity is happening on this EV or low emission side. How do you see the industry panning out after FY 2028? I mean with your discussions with the OEMs, would EV penetration start increasing dramatically after 2028 or hybrid would be a better middle ground for them to grow. So, if you have to hazard a guess, I mean, say, 2030, '31, will the penetration of EVs would be higher or hybrid vehicles would be higher?

cles would be higher?

Krishnakumar Srinivasan: Well, frankly, many of the people still term hybrid vehicles as EV vehicles. So when people say it is EV or it is trending towards EV, they also include the hybrid vehicles in that. And if I look at all the programs that we are working on and all the customer OEMs working on various programs, they continue to work on many of the hybrid programs, and there are newer engines being developed by the customers.

I have always been maintaining this, and I again call this off still that we are not -- as a country, we are not fully geared up to service the overall infrastructure requirements that are there for a full EV kind of end play, full EV base EV, whereas it is going to be a combination of all powertrains existing. As I said, we will have powertrains from coming out of CNG coming out of other biofuels and also coming out of ethanol blending.

There is a possibility that the ethanol blending may rise from the 20% to maybe 85%. So, there are various possibilities that are being looked into by the government, which will in some way or the other, also improve the consumption or reduce the consumption of gasoline and diesel in the country.

So, our personal opinion is that there will be multiple powertrains co-existing, and we have to be present in all the powertrains. Luckily for us, we are in the sweet spot that we supply to both ends of the market, whether it is the legacy business or whether it is the new EV business, and we are well positioned to cater to the demands in both the sides.

So, from, say, 2030 perspective, we continue to maintain even after all the current situation, if I include hybrid as part EV and part ICE business, we have to look at it from a point of view that the penetration overall from a number of engines being made and number of electric motors being supplied and look at the total business, I still think that the EV business will be

anywhere between 15% to 17% penetration by 2030, but this will be at a backdrop on a CAGR growth of around 6%.

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If I look at 6% growth over the next 4 years, we are looking at a 24%, 25% growth in volumes and a penetration of 15% still I'll be making more ICE engines or ICE-related vehicles, including hybrids by 2030 - 2031. So, we still don't see any major issue in those kinds of things. So, we continue to work on all the areas. So, I think the most important part would be to see how we can continue to grow the volumes on all fronts.

Moderator : The next question is from the line of Sahil Jain from Ashva Management Services.

Sahil Jain: I just wanted to ask, according to new Labour Laws and the increase in wages, what will be the impact on our employee cost and the productivity at our plant? And how will we mitigate these risks going forward?

Krishnakumar Srinivasan: Yes. I think I answered this question in the last call that we had based on our last quarter results. But I'll repeat again, we have had an impact because of the wage code. And as I said, this is an impact which has already been considered in the financials.

Standalone is almost to a tune of around INR 23 odd crores and consolidated is around INR 27 odd crores. And all of this has been considered in both our consolidated results as well as the stand-alone results. And even post that, I think we have maintained a good run rate on our margins.

Moderator : The next question is from the line of Viraj from SiMPL.

Viraj: Congratulations on a really good set of numbers in a very challenging environment. Sir, just two questions I have. One is, if I look at quarter 4, I understand export has been weak for us.

But if I look at the stand-alone business, any colour you can give in terms of how each segment has done the domestic OEM, the aftermarket, the non-auto business? What kind of a growth trend we have seen in quarter 4 and the

year gone by?

Krishnakumar Srinivasan: Yes. See, the export business has grown only by around 1% - 1.5% primarily, as you can see, it's primarily because of the external environment. We have not lost any business share. And as far as domestic and aftermarket concerned, both have registered a fairly even kind of a growth of almost close to 10%, 11%.

Viraj: Okay. Got it. Sir, and second question was you did give some colour in terms of the margin trajectory for improvement for the Grupo Antolin businesses. But would it be right to think that a large part of the improvement would be driven by factors which are internal to us rather than external, either in terms of new product or price revision for customers?

Krishnakumar Srinivasan: No, I think it is going to be a combination of everything. As I said we have to work on a number of areas. We have to work on customer approvals. We have to work on so many things based on which we'll be able to improve the margins. So, there are lot of actions being planned. And hopefully, it will all give us positive results.

Moderator : The next question is from the line of Jainam Madrecha from C9 Family Office.

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Jainam Madrecha : Just wanted to understand like you said there is new capacity expansion on the Takahata, as well as TGPEL side. What sort of capex are we going to do on that side?

Krishnakumar Srinivasan: We are putting up a Phase 3 expansion in Takahata on the land that we bought at some point in time, almost, I think, 2 years back, we are building up a new factory there for manufacturing again, very related products, which is precision plastic injection molding. And similarly, we are also expanding our facilities in TGPEL, where we are putting up extra facilities for growth areas.

Jainam Madrecha : Okay. But like can you quantify the capex amount like we talked about?

Krishnakumar Srinivasan: Well, overall, all put together, we are looking at a capex figure, which is similar to the kind of figures that we have already invested last year. And going forward also in the next 2, 3 years, we'll have to continue to do those kinds of investments.

Jainam Madrecha : Understood. Okay. And on the acquisition side, I wanted to understand, what are the minimum sort of return levels we would be targeting in whatever new acquisitions we do? And what sort of peak valuations are we comfortable when we go about like going for the acquisition of a company?

Krishnakumar Srinivasan: I think very clearly, more or less, you have to go as per whatever acquisitions we have done in the past. Over the last 5 years, we have done 5 acquisitions, so, it is more or less you can see the kind of multiples we have given and multiples we have worked on.

And but at the same time, it is important to note that we don't only go by multiples, we or by the margins they make today. We

go by the possibility of how we can work together to use the synergies with the group and be able to improve our businesses overall.

So, there are multiple things on which we look at. It's a very, very detailed exercise and it's not going to be just one odd valuation or one odd cap numbers that will drive this kind of a decision. We also look at a lot in terms of the technology, and we also look at how that technology play will be there in the future, and we do a very detailed exercise on that.

Moderator: Thank you. Due to time concerns, that was the last question for the day. I now hand the conference over to Mr. Krishnakumar for closing comments

Krishnakumar Srinivasan: Thank you all for joining us today and for asking such valuable questions. Your engagement has really enhanced our discussions today. We are confident that the company is very well positioned for the next phase of growth. This confidence comes from the strength of our teams, the trust of our customers, the support of our partners

and the progress that we have made over the last years and all the support that we get from all our stakeholders and including many of you who are there in the call today.

And we hope all your queries have been answered. In case of any unanswered questions, please do reach us to our Investor Relations partners at E&Y, or to our secretarial cell, we'll be very happy to answer your questions. So, thank you once again for joining the call and look
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forward to continuing the growth story that we have for SPR Auto Technologies Limited.
Thank you so much.

Moderator : Thank you. On behalf of SPR Auto Technologies Limited, formerly known as Shriram Pistons & Rings Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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